Deepak Fertilisers & Petrochemicals Corp. Ltd. (DEEPAKFERT)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

May 26, 2023

The Secretary Listing Department
BSE Limited National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers, Exchange Plaza,
Dalal Street, Fort, Bandra - Kurla Complex, Bandra (E)
Mumbai – 400 001 Mumbai – 400 051
BSE Code: 500645 NSE Code: DEEPAKFERT

Subject: Management Transcript of Q4 FY 202 3 Earnings Conference Call

Dear Sir / Madam,

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Management Transcript of the Earnings Conference Call held on 19th May, 2023 to discuss the financial results of the Company for the quarter & year ended 31st March, 202 3.

The transcript of the Q 4 FY 202 3 Earnings Conference Call will also be made available on the website of the Company i.e. https://www.dfpcl.com/ .

We request you to take the same on your record.

Thanking you,
Yours faithfully,

For Deepak Fertilisers
And Petrochemicals Corporation Limited

Gaurav Munoli
Company Secretary
Encl: as above

Management:
Mr. S. C. Mehta – Chairman & Managing Director
Mr. Amitabh Bhargava – President , Finance and Chief Financial Officer
Mr. Tarun Sinha – President, Technical Ammonium Nitrite
Mr. Deepak Balwani – Head , Investor Relations

Hosted by PhillipCapital

Earnings Conference Call

Q4 FY2023

May 19, 2023

 Moderator: Ladies and gentlemen, good day, and welcome to the Deepak Fertilisers and Petrochemicals

Limited Q4 FY 23 Earnings Conference Call hosted by PhillipCapital (India) Private Limited. As a reminder, all participant lines will be in the listen -only mode, and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is be ing recorded. I now hand the conference over to Mr. Harmish Desai from PhillipCapital (India) Private Limited. Thank you, and over to you, sir.

Harmish Desai: Thank you, Lizann . Good afternoon , and welcome to the Q4 and Full Year FY 23 Earnings Call of Deepak Fertilisers and Petrochemicals Limited hosted by PhillipCapital.

From the management , we have Mr. S C Mehta – Chairman and Managing Director; Mr. Amitabh Bhargava – President, and Chief Financial Officer; Mr. Tarun Sinha – President , Technical Ammonium Nitrate; Mr. Suparas Jain – Vice President, Corporate Finance; and Mr. Deepak Balwani – Head (Investor Relations).

I would like to thank the Management for giving us the opportunity to host this call . We will begin the call with opening remarks from Mr . S C Mehta followed by Mr. Amitabh Bhargava for details on "Financial Performance ," post which we will have a Q&A session .

Thank you, and over to you , sir.

S C Mehta: Thank you, Harmish. A very good afternoon to all of you , and welcome to the Q4 FY 23 Earnings Conference Call.

I hope you had a chance to look at the Financial Statements, Press Release , and Earnings Presentations that were uploaded on the exchange s and our website . Let me take you through some of my thoughts a nd insights as I look at the larger picture .

At the outset , let me share the joy of the performance of FY 23 as a whole for the 12-month period that where our revenue jumped by 47 %, and it crossed the landmark of 11 ,000 crores , 11,300 to be precise. Even more , I would say joyful was that profits jumped by 77 %, and c rossed the landmark of over 1,000 crores . To be precise, 1,221 crores .

And looking at this performance , last week in our Board meeting , the Board was also enthused to recommend a 100% dividend for the coming year for the shareholders to consider . And all of these are, indeed, landmarks , and this is something that is a joy to see . Of course, almost over 85% of these results are emerging out of the chemical business , and that is something that in one sense brings this misnomer also to like that we are the fertilizer company , but 85 % is from the chemical business .

 Now I was looking at in terms of what could be the undercurrent takeaway from the 12-month results , and one aspect that I thought I should share with you what I was seeing was that despite the fact that we saw an unpreceden ted hike in raw material prices in the last year almost 60 to 80 %, and as a result we also saw an unpre cedented hike in finished product pricing because we had to pass on .

But the usual aspect or something that we saw is a very positive object was that there was no demand destruction despite these unprecedented finished good pricing. And what that gave us very clearly as a message was that it validated the excellent alignment all of our three businesses have with the India growth stories . The fertilizer business , the industrial chemicals or Pharma chemical business , and the mining chemicals business , all of the three indeed have a very good alignment with the India growth story and which is why we did not see any demand destruction.

Now having said that , we were seeing also Q4 and whereas the Q4 all the revenues jumped up by 39%, in terms of profits , there has been a dip of around 9%. And as we analyzed that we saw that mainly it is emerging from the TAN business , the mining chemical business or Technical Amount Nitrate business , and there we saw two or three things that have emerged in this quarter .

Number one is what we haven't seen in general also in specific to this quarter that now the raw material prices are gradually coming down to the normal levels which were there during the pre-COVID period. And so also there is a similar correction in the finished good s prices , and they are going almost in tandem , but we are seeing th at in some other quarters , one precedes the other or the other precedes the first which is there for that particular quarter, there could be a little bit of an impact emerging as the raw material prices and finished goods prices in tandem move to the lower levels . So, there as I see it while it has impacted the quarter, it is something that should even out in the balance part of the year , but in case of TAN, there are three other things that uniquely happened .

Number one is that the government put a ban on exports of Ammon ium Nitrate. And this is

something which we were wanting to actually push , especially the Low Density prills , which is our top-grade quality product , but because of the worries that the government had in terms of availability of TAN for the larger targets that they had for coal mining that they were worried that it would not be available , it's a misplace worry. But as we see there is a ban on exports . And of course, we have talked to the various levels in the government, and now they see the illogic in that aspect. We are hoping that some corrective action will come in soon .
The second aspect is that there were floodgates open up of imports because the antidumping duties went through a sunset clause getting over, and while the government and the other measures that are there to re -evaluate that logic of it, this window was clearly there that import s were really allowed .

 And the most important aspect that we saw was that because of the various sanctions on Russia
from other countries , India has become a nice dumping ground, and that aspect of it also impacted . Now a lot of these things are gradually shifting , moving into a better space , but from a strategic perspective , if I might share that some of these volatilities i s something that we are seeing as a part of our lives .
And in order to combat the volatility , we are looking at three -pronged approach :
Number one is we are continuing our aggressive drive in all the three businesses to move from this commodity orientation to a specialty orientation , enhancing specialty, it is more in terms of holistic solutions for the end consumers . And in the fertilizer business instead of the commodity implicates, more and more now we are looking at crop specific nutrient baskets , and instead of focusing on the dealers , we are focusing on the farmers as I have shared last time also . And similarly , for the TAN business , that's very strong focus on technology -based holistic offering , TCO as they say for various infrastructure projects. so, first aspect that we are seeing as a strategic imperative to deal with the volatility is a continued strong drive to move from commodity to specialty.
The second as pect that we are also seeing in order to co mbat the volatility is again what we have put into effect , which is a backward integration into our raw material, which is ammonia , w

hich can become a very great risk mitigator so that the volatility of the ammonia prices stays within the group . So, there again as what we had committed before the end of Q1, we are looking at declaring commercial production , and as we speak , we are in the last , very last legs of commissioning activities that are going on at site. But that is going to be , the ammonia is going to be also a good risk mitigat or in the longer run so that we have a good , com bat for the volatility that otherwise would have imp acted us in the ammonia pricing .
And third is we are moving more and more in a lot of our products for our natural hedge where the finished good s price s are somewhere interlinked to its raw material and Forex . So, that some of those become a pass through .
Now as I look at the balance part of the year in terms of the major undercurren t, what I see is , number one , as far as the TAN mining chemicals sector go es, the coal mining upswing that we are seeing and so also in case of cement infrastructure , those both were very positively in terms of at least the demand , the needs that are there . And there, like I said , we will continue our drive for holistic products offering in terms of product led solutions rather than just products .
In case of the acid business , the China plus one aspect is something which is continuing to good demand for the acid. And in fact , it is leading us to look at additional capacities very seriously looking at the growing market. And even in case of acids , we have got some very good breakthrough for specialty grade acids for the ste am sector or for the solar industry , and that

 is something that we are pushing . Once we have a good proof of concepts, I believe that even
the export markets could open up for these specialty grade .
In case of IPA where we had struggle d with the dumping from China , now , thankfully , the safeguard duty has kicked in , and that is something that is going to give us a certain kind of a insulation. And additionally , of course , our drive to move the commodity IPA into Pharma grade IPA also continues .

On the Crop Nutrition space, we will continue for the balance year or years ahead to focus more and more in terms of the crop -specific NPK and working more and more closer to the farmers so that the move is from your price - base d, commodity -based selling to more value -based and value pricing kind of approaches and thoughts . Like I said , the ammonia available from our own plant will become a good risk mitigator , and whereas we have tied up almost 68% of our gas requirements for the next 3years . We are just about round the corner to pass the balance that is there.

And lastly , our demerger activities are going in the right direction . It's a matter of little time , the NCLT process is on , and we should be in a position to look at , I would say , effective ly implementing the demerger. And what it will do is , as you are a ll aw are, it will get a very strong focus on each business segment . Now we house in an independent corporate entit y. So, right from the Board to the lowest level of management will be very strongly focused on that specific sector and obviously , this would open up also various kind s of further corporate restructuring ideas and thoughts . so, that is also something which is in the right direction .

With these initial thoughts , let me hand it over to Amitabh who can take you through all these details of the figures and how the year and the quarter went by .

Amitabh Bhargava: Yes. Thank you, Mr. Mehta. Good afternoon , ladies and gentlemen , and thank you for joining the Deepak Fertilisers and Petrochemicals Confe rence Call. We are presenting our Q4 FY 23 Re

sults . I think the Chairman did cover at length a number of aspects . so, I will just keep my statement very brief .

Just to quote the numbers , DFPCL has successfully concluded FY 23 with record -breaking financial achievements of our highest ever revenue and PAT figures. For 23, we reported a substantial growth in our total operating revenue, which amounted to about 11 ,301 crores , representing an impressive Y-o-Y increase of 47.5 %.

Our operating EBITDA was Rs. 2,165 crores , a growth of 60 % on a Y-o-Y basis , and profit after tax of Rs. 1,221 crore , growth of 77.6 %. These remarkable growth figures are the results of our various strategic initiatives undertaken during the year as Chairman also explained in his statement .

 As of 31st March 23 , the Company has net debt of Rs. 2,518 crores with net debt to equity of 0.48x . We have already tied up the entire debt of Rs. 1,541 crores with door -to-door tenure of 14 years for our TAN Gopalpur project , and we don't have any large loan repayments due in the next 3 years .

Now I open the floor for question -answer session .

Moderator: Thank you. The first question is from the line of Vishal Prasad from VP Capital . Please go ahead .

Vishal Prasad: Amitabh, I think sometime in 2021 , I had asked about our CAPEX , and you had explained in detail why we are doing Ammonia backward integration and the benefits we would have , but all has not happened during last 21 months . so, what we know today in terms of gas and ammonia price behavior, if today we have to take a decision on the CAPEX , would we come to the same conclusion , and you will choose to do the CAPEX ? Or will you be a lot more circumspect ?

Amitabh Bhargava: Any of the long -term decisions which where you are building an asset for 25 - 30 years or even longer , you don't take those decisions based on what happened in last quarter or this quarter or the next quarter . You need to look at the last 10 years , 15 years average number . Now what has happened and you are right in that the gas prices have gone up . And we know the reason why gas prices have gone up . One of the factors has also been what has happened in terms of geopolitical changes that have happened in Russia -Ukraine war and therefore , suddenly Europe cramming for more gas . Now those are the kind of events you would , no one would be able to anticipate , but that said , that still doesn't change the fact that in a matter of time , the gas prices will become and they have already corrected significantly from what we saw in terms of peak to we are looking at today , that we are JKM of around 10 o r little less than 10. So, we are seeing gas prices coming down . We also equally are at a stage where barring our next 2 to 3 years which we have tied up , beyond those 3 years , next 15 years of gas that we are looking to carry upfront to 15 years is at significantly competitive rate because there are more capacities coming up globally of LNG . Equally, on the ammonia side the fundamentals haven't changed that there are no significant investments have happened on Standalone ammonia plants globally , which is what typically would decide the prices of traded ammonia or the price at which we would end up buying ammonia . Today , given ammonia what is happening to nitrogenous fertilizer and their demand , ammonia seems to be in excess . It's overbought , and we would have to wait for this commodity cycle or this a low cycle of ammonia to kind of get through that . And then because we are not building this asset for 1 year , 2 year , or a few quarters , it's a 20 year s, 30 year s or even longer asset . So, I think , our decision certainly one does get influenced by here and now , but certainly in

this kind of long assets , you have to take
a 10 year s, 15 year s view , and you can 't get a walk down by a high price of commodity or a low price of commodity those cycles would we always knew that low prices would come in

 ammonia and gas . My answer would be that we would still , by and large , come to the same
decision because for us it's a 15, 20 year s view, not a quarter view.

Vishal Prasad: I was having a conversation with the Company based out of Punjab and not in our sector , but it's another sector , and they had similar benefits as we have got for our CAPEX where they will get the SGST refund . However, over many years , they haven't got a single penny from the government , but in spite of them putting a lot of effort and having all the paperwork ready . So, I know we are not putting it up in Punjab , but in your experience , how confident are we that we will be able to get what has been promised without much hassle ?

Amitabh Bhargava: You are talking about state policy . We have made investment in Gujarat , and we have started getting those incentives. In fact, we have collected a significant part of our incentives that we have claimed, and we don't see that any different . In fact, Maharashtra and Gujarat , given the industrialization , given the kind of investment that these states have attracted , I think their policies as well as the ir way they would implement their policies is not going to be any different from each other .

Vishal Prasad: Sir, Tarun, we worked with Coal India and other miners where we sell our explosive solutions, and we also supply to solar Industries . So, what is the difference between what will supply to the miners directly and what we supply to solar industries?

Tarun Sinha : Thanks for the question . so, first thing is the product that we supply to solar industries, that is Technical Ammonium Nitrate, which is actually used as a raw material by solar industries to produce commercial explosives , and then that commercial explosives is supplied to Coal India and all other mining companies across the country as a finished product . so, that's what we do with solar industries. Now what we are doing slightly differently as well which is what Chairman mentioned in his opening address which is a shift from selling just product and Technical Ammonium Nitrate is just product to selling products but also getting closer to the end consumers in the form of holistic solutions . Who are the end consumers for us in this context ? They are again the mining companies , the infrastructure projects and so on and so forth . So, what do we do in that business model ? It is about again a term which was used by Chairman in the opening address , a term called total cost of ownership , TCO in short is what we call as , which basically means we work very closely with the end consumers , again the mining com panies and the infrastructure projects , to first baseline and benchmark their operating cost, which is cost of extracting minerals, cost of extracting rock, and then we put in technology together with some specialized differentiated explosive products , which is not Technical Ammonium Nitrate. And that's the difference fundamentally . And then we commit ourselves to certain improvements in the cost of mineral extraction , which is basically in simple terms productivity improvement in the min es and infrastructure projects , and that's the solution we provide . Parallelly we are running two business models . One is a product as product , which is

 the first example I gave . And the se

cond one is complete holistic solutions for min e productivity
improvement, which is where we go direct to the end users which was being talked earlier .

Vishal Prasad: So, Tarun, do we directly complete with solar because they provide the same thing to Coal India and other min ers, right?

Tarun Sinha: As I said , our business model is very different because most of the explosive manufacturers in India and explosives vendors of Coal India, they just supply products which are explosives and get paid for that which is through the rate contract that we have let's say , with Coal India or other mining companies , whereas we do not sell explosives a s explosives only . We basically provide a holistic solution , which I was talking about earlier , which is a min e productivity improvement program and then we invoice to those end users based on the solutions that we are providing instead of the products , explosive products or something else that we are provided . In some cases , we have gone to the extent of structuring our contracts , which we call outcome -based contracts . What it means is we also get paid on the basis of the outcome that we generate as a result of the solutions that we provide , which is very different compared to getting paid on the basis of input that is supplied to a mining Company which is explosives . so, it's very different business model compared to what other exp losive manufacturers are currently working on in India .

Moderator: Thank you. The next question is from the line of Vidit from IIFL Securities . Please go ahead .

Vidit: My first question was again coming back to the new ammonia plant . so, we have tied up around two-thirds of our procurement for the next 2 to 3 years at least have near -term procurement . Can you guide how much this is and what cost we will be paying for at least in the near term ? And also, if you could give us an update on the current dynamics of the plant in terms of how much we will be making at prevalent rates of ammonia and gas ?

Amitabh Bhargava : Your first question is in terms of the quantity of gas . so, we require roughly about 1.3 billion cubic meter of gas per day , and we have tied of about 68 % of that . That said, the balance 32 % is also at an advanced stage in terms of finalizing the commercial terms and signing the gas supply agreement . These gas contracts have different underlying price benchmarks , mainly Brent . Some part of the gas is linked with Brent prices . There are a part of the contract is also linked with the JKM prices , but at the same time , because it is coming from KG basin , it is also governed by the price cap that government comes up and revises every 6 months . so, it is JKM linked, but cap that the P PAC price ceiling that government determines . The contract that we are looking to tie up, again from a diversification point of view could also be linked with Henry Hub prices . so, we are trying to create a portfolio where it is linked with different benchmarks , and to that extent diversification so that we are not dependent on or expose ourselves to volatility of one of the only o ne underlying commodity mainly oil or spot prices of LNG or Henry Hub. Now at the current prices of ammonia , I think we have discussed this at length in terms of typically what is our economic s. We require of roughly about 33 odd million BTU of energy

 in form of gas for per ton production of ammonia. And therefore, depending on what happens to these underlying price benchmarks and to our prices of gas, we would typically, you can take that if it is let's say, today, my guess would be that well , I have not looked at the grants and all of these benchmarks as on date, but my guess is that our portfolio woul

d be somewhere around $14 , and as JKM prices go down , we would get the impact of that . And so at about $14, you can calculate based on $33, it's roughly about $450 to $460 of gas cost , and then we have about $25, $30 of other costs involved . That ’s the cost of production and if you look at prices of ammonia today , we are seeing the contract prices of FOB Middle East around $300 or plus minus whatever movement happens on a weekly basis . And if we add say about $80 to $90 on transportation , customs and other charges that we pay to bring the ammonia to our doorsteps , and then we add about let's say 9% of that as the duties or the benefit , GST benefits that we are getting , and roughly about $10 to $15 of production of steam that we would replace in our existing operations . That would give you a sense on where the economics of our per ton of ammonia lies.

Vidit: Thanks for that detailed explanation . The second question I had was on the TAN expansion plan . We were going to debottleneck around 75 ,000 odd tons of capacities over the next year . What is the status of that ? And on the other mega project at Gopalpur, I see that's been pushed to FY 26 now . so, what's happening out there ?

Amitabh Bhargava : We are debottlenecking our ammonia nitrate plants . We have already done debottlenecking of 45 ,000 tons in Taloja, and the second step of another 45 ,000 would be done by September , October of this year . So, that increases our current capacity . Gopalpur is somewhere in H2 of FY '26, we would comp lete, and that's about 3,76,000 tons . So, as of now , you see last year we have done about 5,05,000 odd tons. so, that means that we still have , and that is on the basis of 4,86,000 of nameplate capacity . so, we do have , therefore , enough headroom in terms of enhancement of our production this year and until Gopalpur comes in, we do have that additional capacity . And Gopalpur would then get add ed by the second half of FY 26.

Vidit: Does that mean that the nitric acid that we sell externally , that those volumes come off as we expand volumes of ammonia ?

Amitabh Bhargava : Post-COVID and during COVID, there were challenges in terms of regular maintenance of the

nitric acid plant, and we did see a drop in capacity utilization , which you would notice that even this year we have improved it compared to last year , but we have still not even touched what the capa city utilization that we saw pre-COVID. Plus, like I said , we are also doing some debottlenecking and improving reliability . So, we are confident that as far as enhanced capacity of TAN is concern ed, we should be able to extract it out of our existing Nitric acid assets.
Moderator: Thank you. The next question is from the line of Chirag Shah from White Pine. Please go ahead .

 Chirag Shah: Sir, my first question is again coming to ammonia . so, are the take on pay arrangement, the 3 year s locking contract that you have done , or you have an option of not picking up the off take or something like that . So, what is the committed off take that you have to take ?
Amitabh Bhargava : One is we have tied up 68%, and I was mentioning that the balance we are in the advanced stage of tying that up. It's not yet finalized.
Chirag Shah: So, 68% you have to, it's a take o r pay kind of a thing, right? Even if the spread is negative?
Amitabh Bhargava : In terms of these , the contracts that we have signed , there is somewhere between 80 % to 90 % kind of take or pay obligation. Let's say , plant initial hiccups in terms of because utilization , we have the option of settling the take or pay on net proceeds basis meaning that the aggregat or through whom we are buying it , if they sell it in the mark

et , we can bear the balance differen ce cost also . So, we have all of those arrangements . There is also a makeup arrangement typically in these con tracts, that if you don't take a part of the capacity and you pay for it , you can then make up or you can take that in future quarters . So, it's a combination of all of this that works in these contract s.
Chirag Shah: Sir, just to follow up on this , so in your experience of past so many years such kind of spreads when there's a lot of spreads , generally , how do they large ? Is it a 1 or 2 quarter phenomena or it can last longer also . So, what's your general experience has been if you can indicate ?
Amitabh Bhargava : As I was mentioning with the first question that was asked of if we had taken the same decision based on the current prices , we took our decision based on last 10 years and 15 years price trend, and there as I have mentioned earlier as well that on an average , in 10 to 15 years whatever horizon we take , the average cost of ammonia has been about $420 to $430 of FOB Middle East and about $80 of adjustment costs whether it is ocean freight or Customs or local transportation and port storage. So, we have seen this ammonia cycle , but an average of $500 of landed cost for us , and to that $500 of landed cost, if you add the Duty benefit , GST benefits , and the steam production that we do , our estimate was that we would have an average realization of 565 -570 odd dollars . As against that , on an average , even if one were to take , and we had looked at about $8.5 of gas, today JKM is around $10 and maybe landed at $11, $11.5 for us . But if you look at the gas cycle also and the kind of price that we are seeing beyond 3years , for next 10 years in terms of the contractual some of the discussions that we are having , the average price of gas even if we were to take it as $9 to $10, let's say $10, it's been talking about 330 of gas and about $25, 30 o dd dollars of other costs . That leaves almost $200 of per ton of margin . $180 to $200 per ton of margin average is the basis on which we took this decision. You know that six months back, the cycle desp ite high prices of European gas, Ammonia was at almost $1,000, $1,100 FOB Middle East. Now that the margins would have looked very, very different at that stage . So, I think we need to look at it more from an average standpoint over 10 years , 12 years ' time frame because at the end of the day , it is also we have not set this up for trading this capacity or sending it outside . It is for our own internal

 consumption . And to the extent the ammonia prices go down , we do have certain benefits in some of our products where our margins improve . And therefore, on an integrated basis we still find that this is an investment which would give us the desired return . And we have also spoken about the aspect that as we are increasing our total ammonia consumption , we are seeing challenges on JNPT . The kind of disruptions we have seen in freight, we have seen it in ports at different locations , that questions the very sustainability of our downstream operation , and that's the risk that we have now addressed through this backward integration . You can't put economic value to everything that you sort of from a risk perspective . So, that's

another aspect of that that needs to be kept in mind .
Chirag Shah: Sir, last question if I can squeeze in, on the TAN, this solution -based offerings , one, how much percentage it contributes to our acid business if you can indicate and how the trend has been ? And secondly , in terms of incremental economics , how much is the differen tial itself , if you can help us understand that also ? What will be the margin differe

ntial?
Amitabh Bhargava : I couldn't get your question . Let me just ask my colleagues if they did.
Tarun Sinha: The first part of the question was what percent age of the revenue or of the business is the solutions model ? That was the first question . And the second question as I understood was what sort of margins or differential margins are we making out of the solutions model ? Is that correct for these two questions ?
Chirag Shah: Yes.
Tarun Sinha: The first part , we started this business model of holistic solutions about a year and a half or so back from now . So, it is in the nascent stage of its journey. It's coming up quite nicely , and we are seeing some very positive responses across all the end user segments . And the way we categorize the end user segments because that also determines the profitability of the model , the way we categorize the end user segments in the solutions model is there are three end user segments . One is what we call the coal mining segment where we operate directly with the coal mine operators in that through that solution model . The second is the non -coal mining , which is all kinds of metals an d limestone, but they are still mining . And the third end user segment for us for the solution model is the infrastructure segment where we operate in different kinds of infrastructure projects . Now, because this solution model has been a journey which started about a year and a half ago from now , as of now it's picking up . It's a small portion of the overall business , but certainly as we move forward , because of the Group strategy that Chairman was talking about again in his opening address , it's about moving from just being a product supplier to a holistic solution provider also . This will pick momentum in all the three segments , and we are already seeing a lot of pull because the re are not too many companies in India which are operating on the so lution model that I was describing to the earlier question , one of the earlier questions , where I said that we are also building a business model whereby we are trying to get paid for the outcome that we generate instead of just the input being

 provided to the mining compan ies or the infrastructure projects. That's the fundamental
difference , and these models take time to get matured because not too many companies are doing this in India . So, that's the first , that's the answer to the first question . And in terms of the margin is a second question which is around the margin , obviously because the solution model has got a lot of value for the end consumers because basically , it means improving their cost of mineral extraction or improving their cost o f rock extraction if it is a qua rry project for that matter . Naturally, it comes along with products and services and solutions all bundled together instead of just a product being supplied as an input . so, margin levels are much better compared to the pro duct -only model . Now, again , in terms of what is the margin and what's the Delta between this model and the product -only model , I would qualify this as commercially sensitive information at this stage . so, I won't go any further on that .
Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital . Please go ahead .
Deepak Poddar: Sir, I wanted to dwell more on the ammonia mechanics that you mentioned . So, what I understood is that if I have to buy ammonia from outside , our landed cost would be close to about $700 per ton , whereas from our plan t we would be able to manufacture at $500 per ton. so, $200 is the spread that we will get from this ammonia plant . Is that right ?
Amitabh Bhargava : No, I quoted last 10 or 15 yea

rs average number, and those numbers were more like $560 and
$360, the gap of $200.
Deepak Poddar: No, as per current term I was just trying to understand .
Amitabh Bhargava : The current prices would be lower for ammonia because the $560 is based on 420 odd dollars of FOB Middle East. so, as the current FOB Middle East would be more like $280 to 300 odd dollars, gas prices are today on a higher side compared to the gas price that I mentioned from a last 10 or 15 years perspective. so, today , the margins are obviously more like , I think we are at breaking even rather than having that 200 odd dollars of margin , and that is where the point I was making is that one needs to look at it across the commodity cycle and not at a point in time in that commodity cycle .

Deepak Poddar: I got that point . So, currently , the spread is barely anything , right ? I mean, that's what you are saying .
Amitabh Bhargava : Yes.
Deepak Poddar: And from this plant , what would be the incremental depreciation and interest cost that will come in ? And we are going to capitalize it from the first quarter onwards , right?

 Amitabh Bhargava : Yes, we are expecting commercial operation in the first quarter. Given that we are already in May, so we would get the depreciation largely from second quarter onwards. So, depending on when we commence commercial operation, the interest cost would be in the range of somewhere about of course , the current loans are at the higher interest rate because of the construction rate , and we look to refinance that . But on an average , somewhere in that around about 200 odd crores would be the in terest cost, and depreciation would be 276 crores to 300 odd crores .
Deepak Poddar: This is per annum figure, right?
Amitabh Bhargava : Yes, per annum figure. Yes.
Moderator: Thank you. The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.
Vignesh Iyer: I just wanted to understand what was the spread of natural gas to ammonia in Q4, just to get an idea?
Amitabh Bhargava : Let me just corre ct one figure. Depreciation would be around 110 odd crores.
Vignesh Iyer: So, I just wanted to get an idea. So, from what I understand, now we are breaking even at today 's level. Just to get an understanding, what was the spread if you could quantify in Q4 ?
Amitabh Bhargava : Let me just check that , please. I will answer your question . We can, in the meantime , go to the next question.
Vignesh Iyer: How is it panning out the new ammonia facility ? If you could just give an idea when it's going to start on the time lines, are we on time to with that timeline and by when ? So, basically this facility is to backwards integrate , but our TAN facility will take some time to coming up , right ?
Amitabh Bhargava : We are looking to commen ce operations in Q1 itself . And therefore , roughly nine months of operation is likely to be completed in this financial year . We need to still see what kind of capacity utilizations , but ammonia plant technically s peaking can ramp up to 100 % capacity fairly quickly , but we will have to speak whether we touch that capacity soon enough, but we are confident that this year we would run it at least average of 80% capacity utilization, and so overall I think 75% to 80% given that we are also losing 3 months, roughly 3 months in the year.
so, Q4FOB Middle East prices were on an average of $ 670.
Vignesh Iyer: Sir, I just wanted to understand what the spread was ? I mean, was it at $200 in Q4?
Amitabh Bhargava : Q4 gas prices would have been given that these again were linked with Brent , Henry Hub, and JKM, JKM component would have been on a higher side. So, on average , very difficult , but I

 think somewhere the average , this, the margins would have been somewhere in that at least about odd $100 to $150 .
Vignesh Iyer: Sir, just one last question . I just want to understand , are we going to switch to a different tax rate a lower tax rate like 2 5% probably , like many of the manufacturing entities have done or are we going to continue with the 33 % including the deferred tax component ?
Amitabh Bhargava : Yes, we have already moved to 25%. As far as STL is concerned , it has right now two businesses which is Technical Ammonium Nitrate and fertilizer business , and we have taken firstly benefits exemptions under earlier benefits that were available. so, till the time STL remains an integrated entity, it will be roughly about 34%, but once the demerger takes place, then we would have choice of uptick for lower tax rate in Deepak Mining Solutions which is TAN business while STL where the fertilizer business would be there would continue to be at 34% because that is where we have taken certain exemptions earlier , and ammonia would be at again 25%.
Moderator: Thank you. The next question is from the line of Chirag Shah from White Pine . Please go ahead .
Chirag Shah: Sir, on the fertilizer business, if you can just throw some light. I have seen a very strong number . So, how much of this is kind of sustainable ? Th at's the first part . Is there any specific to note

about it which could be a lumpy or a temporary event and some reversal could happen ?
Amitabh Bhargava : Last year our capacity utilization in fertilizer in the bulk fertilizer which is where our Ammonium Nitro Phosphate , ANP, and the NPK both Croptek and Smartek capacities are, they were while ANP was roughly about the capacity utilization there was more like 65%, 70%, but the capacity utilization at NPK Croptek and Smartek were on the lower side partly because our Croptek products are at premium in terms of pricing . Given the raw material prices were at a higher -level last year, we saw some challenges in terms of the demand size or affordability of farmers , but even in that kind of an environment , our Croptek, we clocked a total of 1.01 lakh tons of Croptek we sold. In the previous year , in fact , it was about 40 ,000 tons . so, we have seen almost 2.5 times jump in our Croptek product . One is fundamentally a capacity utilization , and we do have a head room available in increasing our capacity utilization in both ANP and NPK, and given the raw material prices are going down , and therefore , in general , MSP of these products particularly the premium products would also commensurately come down . We are quite hopeful that this year our Croptek volumes will grow further and by a good margin . So, that's one commentary as far as the volume is concerned . On the overall margin front , given that last year we had made some changes to our portfolio because some of the portfolio that we produced were seen certain lower margins . so, we did not produce some of those grades , but this year given where the raw material prices are and NBS, the recent NBS that has been announced by the government , we see all our gr ades making selling good margins . So, even the volumes in non -Croptek NPK, which is in the Smartek category , this yea r we should see better volumes overall . Overall, as far as your question of one -time kind of an impact , given

 that NBS has been announced very recently , and it has both January to March and April to June
NBS has been changed , we may see certain provision in terms of the subsidy which we had booke

d compared to that the change in NBS on the inventory, which was lying in the channel , we will see some effect of that in our coming quarter . So, that is more like a one -time impact that we would see, but from a longer -term perspective , lower raw material prices are in fact a better outcome for us from our overall volume and margin perspective.
Chirag Shah: Sir, no specific call out for Q4 also because sequentially also , Q4 fertilizer segmental performance is extremely strong . So, no specific call out for Q4 also , right ? It's normal . It's a normal kind of thing .
Amitabh Bhargava : Yes, it was normal in Q4 . In fact, Q4 overall margins were better despite lower volumes and that reflected in the number. And we will have like I was mentioned that some effect of revised NBS would come in Q1 in that.
Moderator: Thank you. The next question is from the line of Ranjit from IIFL. Please go ahead.
Ranjit: The first question is in the opening remarks , Chairman has alluded to some headwinds in the domestic TAN business with the influx of imports . So, just wanted to get a sense how do we see the profitability panning out over the next 1 year ? And that also with our own backward integration into ammonia , so we always have this decision to make whether to buy or make . How that play out for our base TAN business o ver the next 1 to 2 years ?
Amitabh Bhargava: TAN business, as Chairman was also mentioning that there has been increased imports in Q4 , and there has been high opening in ventory. To that extent , we are going to see some pressure on the prices . But fundamentally , as far as the demand sectors are concerned , whether it is coal or the infrastructure , we are not seeing any weakness . In fact, if at all the kind of investment government has announced , we are likely to see better of f take on the infrastructure segment. So, demand -wise , in fact , volume -wise , we are hopeful that this year with our increased capacity which last year we utilized partially , but this year we have that available for the full year . Our volumes should be better . Margins -wise, if you see current prices and the current import situation is such that we may see some pressure on the margin side. But we will have to see by the time the season again picks up post monsoon , we will have to see what happens to the prices of both import ed TAN and ammonia . So, buy versus make , at this moment , see, we were, anyway , even earlier , we were making roughly about 100 ,000 tons of our own ammonia from an old plant , which was it was actually far less energy efficient . so, we are going to , to the extent of our own requirement , we would actually see a better economic s in the operations of the new plant because it's far more energy efficient . Assuming the same gas price , our cost of production from the new plant would be better than what it was in the old plant . That's one aspect . The second aspect that in the event we produce more ammonia than what we consume , we are also seeing that the local graded ammonia or ammonia that is bought by players whose consumption is on a smaller level , and they don't

 import directly , the prices of that are today almost I think roughly about almost 50 % to 60 %
premium over import parity prices. So, the traded ammonia , local traded ammonia , which also has a significant volume , is actually trading at significant premium to import parity. And that's because most of the players who are producing ammonia and trading it in the market , particularly the fertilizer players who produce excess ammonia , their cost of production is high given where the gas prices are . Therefore, we would also , we are also seeing an opportunity of selling a part

of our production in the domestic market, particularly if you were to run both our old and new ammonia plants . So, we will see a combination of that playing out in terms of our margins . And we don't , once it starts producing from our new plant , in very odd situations that we would be importing , but mostly , we would be producing on our own , and any excess ammonia we would also have an opportunity to trade in India's domestic markets .

Ranjit: Are we allocating any portion of the new ammonia plant towards fertilizers ?

Amitabh Bhargava: No, there is no such requirement . The ammonia would be consumed by all our three segments : TAN, fertilizer and acid . And the gas that we are buying , we are not buying from any priority sector allocation . so, from that perspective, we are free to allocate it to any of our products portfolio.

Ranjit: And one last thing , how do you see the peak debt panning out over the next 1 to 2 years now that we have kind of pushed the Gopalpur plant? so, what would be the peak debt levels over FY 24 and FY25?

Amitabh Bhargava: We have mentioned earlier, t here are two CAPEX that we have undertaken , ammonia and TAN. Ammonia has, if you look at a cutoff of March 31st 23 has about 700 odd crores of additional cost that needs to be incurred. We may largely funded by way of our internal accruals. We may not while we have tied up the bank debt, we may not draw more debt at least for ammonia. As far as TAN is concerned , over the next 3 years , we have roughly about 1 ,500 odd crores of CAPEX that we would draw down . And we would also be typically paying 250 to 300 crore every year from our existing debt , amortization of our existing debt. That's the way we are, the numbers are looking currently. And we have also, I think we have made that point earlier as well that our ammonia as well as Gopalpur TAN debts that we have tied up are from an amortization perspective are long -term debt s anyw here between 10 to 14 years of repayment cycle .

Moderator: Thank you. Ladies and gentlemen, that is the last question. I now hand the conference over to Mr. Amitabh Bhargava for his closing comments .

Amitabh Bhargava: Thank you everyone for your participation . The re were interesting questions , and I think most analyst investors were focused on our ammonia plant which is rightly so because we are going to start our operations very soon . For any further queries or clarifications, p lease do get in

 touch with our Investor Relationship team. And thank you once again for participation. Thank
you.

Moderator: Thank you, members of the Management team . Ladies and gentlemen, on behalf of PhillipCapital (India) Private Limited , that concludes this conference call. We thank you for joining us and you may disconnect your lines. Thank you.

For further information, please contact:

Note: This transcript has been edited to improve readability

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Cautionary Statement: This release contains statements that contain “forward looking statements” including, but without limitation, state ments relating to the implementation of strategic initiatives, and other statements relating to DFPCL’s future business developments and economic performance. While these forward -looking statements indicate our assessment and future
expectations concerning the development of our business, a number of risks, uncertainties and other unknown factors could cause actual developments and results to differ materially from our expectations. These factors

include, but are not limited to,
general market, macro -econom ic, governmental and regulatory trends, movements in currency exchange and interest rates, competitive pressures, technological developments, changes in the financial conditions of third parties dealing with us, legislative developments, and other key fact ors that could affect our business and financial performance. DFPCL undertakes no obligation to publicly revise any forward -looking statements to reflect future / likely events or circumstances.

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Call: Aug 2023

03rd August, 2023

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Subject: Management Transcript of Q1 FY 202 4 Earnings Conference Call

Dear Sir / Madam,

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Management Transcript of the Earnings Conference Call held on 28th July, 2023 to discuss the financial results of the Company for the first quarter ended 30th June, 2023 .

The transcript of the Q 1 FY 202 4 Earnings Conference Call will also be made available on the website of the Company i.e. https://www.dfpcl.com/ .

We request you to take the same on your record.

Thanking you,
Yours faithfully,

For Deepak Fertilisers
And Petrochemicals Corporation Limited

Gaurav Munoli
Company Secretary
Encl: as above

Senior Management:
Mr. Sailesh Mehta – Chairman and Managing Director
Mr. Deepak Rastogi – President and Chief Financial Officer
Mr. Amitabh Bhargava – President and Chief Strategy Office r
Mr. Tarun Sinha – President, Technical Ammonium Nitrite
Mr. Supara s Jain – Vice President, Corp orate Finance
Mr. Deepak Balwani – Head , Investor Relations

Hosted by PhillipCapital

Earnings Conference Call

Q1 FY202 4

July 28, 2023

 Moderator : Ladies and gentlemen, good day, and welcome to the Deepak Fertilisers and Petrochemicals

Limited, Q1 FY24 Earnings Conference Call, hosted by Phillip Capital (India) Private Limited.
As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I would now like to hand the conference over to Mr. Harmish Desai from PhillipCapital (India) Private Limited. Thank you and over to you, sir.
Harmish Desai : Thank you , Seema . Good afternoon and welcome to the Q1 FY24 Earnings Call of Deepak Fertilisers and Petrochemicals Limited, hosted by PhillipCapital.
From the management we have Mr. S C Mehta - Chairman and Managing Director; Mr. Amitabh Bhargava - President and C FO, recently designated as President and Chief Strategy Officer with effect from August 1st, 2023; Mr. Tarun Sinha - President, Technical Ammonium Nitrate; Mr. Suparas Jain - Vice President, Corporate Finance; and Mr. Deepak Balwani - Head, Investor Relation s.
Also, I would like to welcome Mr. Deepak Rastogi who was recently designated as President and Chief Financial Officer of the Company with effect from August 1st, 2023. I would like to thank the management for giving us the opportunity to host th is call.
We will begin the call with opening remarks from Mr. S C Mehta followed by Mr. Amitabh Bhargava for details on financial performance post which we will have a Q&A session. Thank you and over to you sir.
S C Mehta : Thank you. Good afternoon to everyone. I extend a very warm welcome to each of you for the Q1 FY 24 Earnings Call of Deepak Fertilisers.
I trust that you have had the opportunity to review the Financial Statements, Press Release and Earnings Presentation already m ade available on the stock exchange and our website. This quarter as you would have seen, we have had a severe drop in our bottom line , and the obvious questions that could have arisen in your mind would have been what is led to this drop? And are there some fundamentals that have shifted, or it is a temporary abrasion? So, let me share some of these undercurrents as we saw them , and here are four or five undercurrents that I would like to share.
Firstly, post -COVID, swing back on the raw material and finished good prices in comparison to the huge jump that we had seen last year, the swing back was expected. We had also envisaged that for a quarter or maybe two there was likely to be a mismatch in the sense, in terms of the sequence that sometimes the raw material prices remain the same, finished good prices drop first and sometimes the other way round. So, these were expected and we had thought too in our

 budget when we had set it up also and we expect these to settle back into a fair and balanced
equilibrium matching to the typical long -term average.
Second impact especially for our TAN sector came from the dumping of cheap Fertilizer Grade Ammonium Nitrate (FGAN) from Russia. Now here what we saw was initially the embargo from various countries and global players for the Russian products post the Ukraine war made India a very convenient dumping ground for whether it is Russian oil or Russian FGAN and others. Now combined with this the government, because of an earlier fear of not having sufficient ammonium nitrate for the mining activities, coal mining in particular they had also put a ban o

n exports of TAN. So, on one hand , the import floodgates opened up with cheap Russian FGAN and exports were banned. Now as we see the scenario the embargo is somewhere getting readjusted in terms of the global need and we also learned that the government is actively considering lifting the export ban on TAN.
The third dimension that emerged is where we saw that a major global Phos -Acid supplier to India decided to virtually withdraw from the Phos -Acid market and move to a finished fertiliser supply. Now here we in the industry and we as Deepak also what we ha ve done is, we have encouraged and nurtured a lot of new Phos -Acid suppliers from other sources and have fine - tuned our plants to accept the acid from multiple sources. So, that front also should be something that should now be on a comfortable levitate.
The fourth interesting negative impact that came in was due to the reduction in the fertiliser subsidies. Now normally as the raw material prices come down, there is a resultant subsidy reduction but in this case the government was delayed in announcing and they had to retrospectively announce the reduction for the first quarter. So, two quarter reduction came in simultaneously in this current quarter , adding up to almost Rs. 160 crore of i mpact.
And for us and everyone in the industry the material that was there in the pipeline, the pipeline

inventory that got hit because that pipeline had finished products manufactured with the earlier raw material prices. So, n ow of course we have approached the government to somewhere consider this factual aspect and see whether some relief can be given, particularly for the pipeline inventory.
Internally we also had somewhere an extended shutdown in one of our nitric ac id plants, but the long delivery repairs and all are now behind us.
Lastly the rains were also somewhat delayed probably due to the Adhik Maas. And now good rains and adequate kharif sowing has happened all over, particularly in Maharashtra.
So, while we see the typical lull that is expected in the mining activity during this monsoon now, I am talking about this quarter with its typ ical impact on the TAN business. The fertiliser season should certainly be brisk.

 So, having said that on the positive side , we are very happy to share that for our new ammonia
project we have seen a successful trial production emerge and very soon we shou ld be declaring complete commercial production and that will be something that will be giving us a long -term very good ri sk mitigation on our key raw materials for all our three businesses.
Lastly , I might share that at the fundamental level our cr itical strategy of moving from commodity to specialty continues to be a very strong and positive strategy and we are continuing to work on that front for all three businesses and we are finding in each place a very positive traction.
So, on the fertiliser side while the one -time subsidy hit came in, at the product level we are continuing to see a good margin and that is emerging of course because we have now shifted more and more to crop specific nutrients rather than commodity fertilizers.
Similarly in the case of Technical Ammonium Nitrate more and more we are looking at a holistic offering, what we call as TCO (Total Cost of Operation) offering as required for the end user where product plus unique services put together as a holistic solution is what we are offering, and that is having very positive traction.
Also in the case of our industrial chemicals where we are seeing that the unique offered products are pharma grade, small pax and hospital grade products including in case of nitric acid, the solar grade and the steel grade acid where we are addressing the requirements of specific segme

nts,
those are all giving very positive traction.
So, for more details I would now invite Amitabh to share with you in terms of figures and the rest of the details and of course we would then be available to answer all your questions. Thank you, Amitabh.
Amitabh Bhargava: Thank you , Mr. Mehta . Good afternoon ladies and gentlemen and thank you for joining the Deepak Fertilisers and Petrochemicals Corporation Limited conference call to discuss Q1 FY 24 Results.
During Q 1 FY 24 we achieved a total operating revenue of Rs. 2,313 crore representing a decrease of 24% compared to the same peri od last year. This was of course largely due to the raw material prices going down and commensurate with that there was also a reduction in finished good pricing.
Our operating EBITDA for Q 1 FY 24 amounted to Rs. 281 crore with a margin of 12%. Despite the challenging quarter , we recorded a net profit of Rs. 114 crore with a margin of 5%.
During the quarter our chemical segment had a revenue of Rs. 1,238 crore a decrease of 30% on YoY basis, IPA sales volume increase d by 87% Y oY in Q 1 FY 24, with manufactured IPA generating revenue of Rs. 154 crore.

 Manufactured a cids for the quarter recorded a revenue of Rs. 319 crore, a decrease of 25%
compared to the previous year. The volumes were up 7.5%.
The manufactured TAN business had a revenue of Rs. 541 crore which represented a decrease of 50% YoY during the quarter. Though , volumes as such were down 15%.
As far as the fertiliser segment is concerned, Q 1 FY 24 revenue decreased by 15% YoY to Rs. 1,069 crore, manufactured nitro phosphate and NPK inclusive of our crops set recorded a sales

degrowth of 34% YoY to Rs. 737 crore. Though, as such volumes were down by 8% which was largely because of delayed rains as our MD w as alluding earlier. Bensulf sales decreased by 59% YoY to Rs. 21 crore.

During the quarter our IPA plant operated at a capacity utilization of 111% and both acid and TAN operated at 83% and 87% respectively. In the Crop Nutrition segments, NP and NPK pl ants operated with a utilization of 76% and the Bensulf plant operated at a 51% utilization level. The available capacity across our plants gives us additional headroom for future growth potential.

We recognize the challenges that lie ahead but remain committed to our long -term vision and growth objectives. With a dedicated and resil ient team, we are confident we will navigate through these uncertain times and achieve sustainable growth.

With this , we are happy to answer your questions. Thank you.

Moderator : Thank you very much. Ladies and gentlemen , we will now begin the question -and-answer session. We will take the first question from the line of Mr. Madhav Marda from Fidelity International. Please go ahead sir.

Madhav Marda : My question was on the ammonia facility, now that is about to ramp up, could you give us an update in terms of how the spreads are looking currently given there are RM cost s for the gas and then the end market pricing ? If you could just share that, please that will be helpful.

Amitabh Bhargava : So, we are currently looking at FOB Middle East prices of about $230 to $250 odd in that range and given the current gas prices, I think overall we would somewhere be between $125 to $150 odd negative in terms of our import parity prices versus the prices at which we would be producing ammonia. That said I think there are two other points I want to make one is that while the import parity prices of ammonia are obviously derived from $230 to $250 odd FOB Middle East, the domestic prices of ammonia, the ammonia that is created domestically we are still seeing significant premium over import parity and that reflects the cost of production because for all the pr

oducers of ammonia who trade into surplus ammonia, the gas prices still remain elevated and that gives us an opportun ity to place part of our ammonia in the domestic market. Also , the quarter gone by we saw almost 18, 20 days of disruption in ammonia and that's again one uncertainty that we would once our plants start operating commercially that uncertain ty around therefore the production of our downstream products like TAN and acid, that uncertainty

 in some sense would also be taken out. So, those are the factors that we need to sort of look at from the point of view of once our own production of ammonia begins.

Madhav Marda : And then given that this was like essentially a backward integration project for the company. So, in this scenario where it seems like it could be better to buy the imported ammonia rather than produce it in -hous e. So, would we look to run the plant at a lower utilization initially or would we still look to ramp it up just to get your thoughts and I am not very clear how that plays out going ahead?

Amitabh Bhargava : So, one is we have tied -up long -term gaps which have certain minimum off tick commitments. To that extent, within that flexibility that we have we would keep production at that level and the balance we always have the choice of continuing to import. So, that's really the way we would approach it, b ut there is also a factor that the capacity utilization as higher capacity utilization, our cost of production is also lower. So, we need to balance between reducing our capacity utilization and sort of looking at balance importing through the import chann el but in such case s the cost of production we may have to compromise because these plants as they run on 100% capacity, their energy efficiencies are significantly better than at lower capacity utilization.

Madhav Marda : So, basically you know if we do end up running the plant at high utilization, essentially is it fair to assume that the spreads that we make in our downstream products that TAN or nitric acid will get impacted because if we don't like basically we will be producing more expensive ammonia in-house than we can buy from outside. Would that mean that it has a negative impact on our EBITDA as this plant ramps up ?

I know that this is a very cyclical margin and we are probably at the other end of the extreme on the margins , so this has to normalize at some point but given where we are today just wanted to get your thoughts on how that would impact our P&L?

Amitabh Bhargava : So, as such we are going to transfer the ammonia from our ammonia plants , which is into a separate legal entity Performance Chemiserve at the arm's length prices to our downstream products but to that extent whatever downside we would see at PCL level which is at ammonia plant level, that from a consolidation point of view yes it would have an impact on our margins but individually speaking for each of our products because they would get ammonia at the arm's

length price there is not going to be any impact as such.
Madhav Marda : And just for the TAN business, the other question was again like you indicated that there has been a dumping by Russia as they are like trying to kind of resupply to India because of geopolitics. How do you see this playing out in the next one or two years because will the government come in and step into protect domestic manufacturers, because dumping clearly should have some response from the government , right?
Amitabh Bhargava : So, it is difficult to predict what the government would do but what we can definitely say is that in the past, there has been antidumping duty has been imposed by the government in the TAN

 sector. So, at least the history sugge sts that there could be a case for antidumping, but we would
not like to hazard a guess as to what government would do in such a scenario.
Overall while, one aspect is of course the, let's say in this season there was cheaper import that came from Russia b ecause of the factor that Russian product was not finding outlet elsewhere but there was also a larger overhang of nitrates globally in terms of the price reduction because European season and demand was on the lower side and there were channel inventory.
Now we are already seeing that because of certain incentives that European governments are giving to farmers as well as, we are seeing uptick a much better uptick in this new crop season in Europe, we expect that in general nitrate prices will recover and that should have a barring also on even if the imports continue to come from Russia, it could obviously some at the price parity with the nitrates in rest of the global market.
Moderator : Thank you. We take the next question from the line of Mr. Vignesh Iyer from Sequent Investments. Please go ahead.
Vignesh Iyer : This is regarding the fertiliser subsidy reduction that the government did and we have to take it in our books. Just to get an understanding of it , whether this lower subsidy is extended for the second and the third quarter? And what is the possible impact that we could see because of this just to get an idea of how does this pan out for the rest of the year?
Amitabh Bhargava : So, as such the revise d subsidy announced by the government is valid or rather applicable from April 1st to September end. The impact that we saw was about Rs. 161 crore odd is because of channel inventory. So, going forward as much as the NBS has come down or will be lower NBS it would be applicable, even if the raw material prices have commensurately come down and as our MD was earlier mentioning that overall if you look at the product by product, per ton margins compared to what we saw last year, if we remove the impact of this subsidy reduction and the impacts that we have taken on our inventory, the margins ar e better, per ton margins in our products are better. So, the impact could be a better sort of positive sort of traction both in terms of volume and margins going forward in the coming quarter.
Vignesh Iyer : Ok, and in the case of ammonia , let's assume what the price that is running FOB $230 to $250, at what utilization level would we probably match this cost, I mean if we have to match the cost for our production what would be the utilization level that we would need to operate the plant at?
Amitabh Bhargava : The point I was making is that as opposed to running the plant at 70%, 80% it would always be better to run the plant at 100% capacity utilization, because the energy consumption norms are quite sort of perceptively better at 100% vis -à-vis 80%, but at 100% also current prices of gas and ammonia, we are in that negative sort of domain and to that extent the prices of ammonia need to recover for us to breakeven.

 As I was mention ed the nitrate and nitrogen pr ices in general have seen weakness in this quarter
and as those recover, ammonia is expected to recover and even the cost of production of ammonia, marginal cost of production of ammonia in places like Europe is still high because the gas prices ,, TTF prices are high. So, we expect that the ammonia prices will recover in a matter of time and with that we should be in a position to breakeven and make positive margins.
Moderator : Thank you. We will take the next question from the line of Mr. Naushad Chaudhary from Aditya Birla Sunlife. P

lease go ahead sir.
Naushad Chaudhary : Some clarification, firstly on as you mentioned that we are moving from commodity to specialty, especially on that TAN side of the business you said total cost offering kind of services we are now providing. So, just wanted to understand the thought process behind it and what exactly we do here and what is the size of the opportunity we see in this kind of services?
Tarun Sinha : So, talking about the Technical Ammonium Nitrate business and the journey from commodity to specialty and the concept called Total Cost of Ownership. So, there are two components of the term specialty, the way we look at it in our TAN business. One is specialty products wh ich are not commodity products and secondly is the customized solutions which make it special in terms of our offering to our consumers and the consumers being the mining industry, the mine owners, the mine operators, infrastructure projects so on and so forth. So, those are the two components of specialty.
Now the concept of Total Cost of Ownership in simple terms means, if the cost of extraction of mineral s or cost of extraction of rocks depending on whatever the case that's what we are attempting to improve through these customized solutions and the way we are approaching that is there are essentially five value streams, the way we look at it in any mining operations, they are being drilling, blasting, excavation, hauling which is same as transport and then crushing if applicable. So, these are the five value streams and the sum total of all the cost becomes the cost of mineral extraction for the mine operator.
So, we have started to build in capabilities in the form of tools, software , people capability, all of that over the last one and a half years to try and attempt to bring about improvements in each of these five value streams of a mining operation and thereby reducing the Total Cost of Ownership or Total Cost of Mineral Extract ion for the mine operators which is going to be beneficial for them. So, that's in summary this whole solution based and specialty -based transformation journey of the Technical Ammonium Nitrate business riding on the concept of Total Cost of Ownership.
Naushad Chaudhary : And what is the size of opportunity we see here and how big can this be for us at least in the next two, three years?
Tarun Sinha : So, in terms of the opportunity the universe is quite large. Effectively every single mine in India and every single infrastructure project in India has opportunities, if not in all those five values streams then at least in some of those value streams and you can just imagine how big is the

 opportunity and we have just started the journey as I said one and a half years ago. We are very excited about it as we go along in terms of the growth potential for the business and equally importantly for us to be able to add value to the consumers which are the mining companies and the infrastructure project owners.
Naus had Chaudhary : Any global benchmark kind of companies you have which offers this kind of services or is it something new we have thought about and we don't have any benchmark of these kind of services?
Tarun Sinha : So, internationally the leading explosives manufacturing companies, some of them not all they do have this business model in place. Certainly, in the Indian industry, I think we are going to be more or less the pioneer, because if I may add one more point to make it you know Mr. Mehta and his initial address also talked about holistic solution s. One part of the holistic solution for our Technical Ammonium Nitrate business and TCO is just a part of it, but if you look at the overall part, you see how integ rated we are in terms of being able to provide the

solutions for the mining companies, for example , we have our own ammonia, we have our own ammonium nitrate, we are having forward integration initiatives in the explosives areas and then we are investing i n blasting technology which I was talking about. All this unique chain starting from ammonia going up to blasting technology, we are the only company in India, you know to have this holistic and complete value chain as in our offering. So, it's very unique from an Indian point of view.
Naushad Chaudhary : And any particular numbers we are targeting in the next two to three years in terms of revenue from this?
Tarun Sinha : So, as I said the potential is huge and we are starting from a sm all base because we started this journey just about a year and a half ago. So, we definitely see some good momentum picking up in the coming months and years and hence quite a bit of growth both in the top-line and bottom - line through this business model.
Naushad Chaudhary : And when are we planning to commercial production of ammonia plant or has it is started yet?
Amitabh Bhargava : Currently the trial productions are on, we are monitoring the performance parameters and as the performance pa rameters and the plant operation stabilizes by and large we would be in a position

to declare commercial operations.
Moderator : Thank you sir. The next question is from the line of Mr. Deepak Poddar from Sapphire Capital.
Please go ahead sir.
Deepak Poddar : First , I wanted to understand the ammonia, our new plant. Now you mentioned we are having
$125 to $150 per ton of negative carry as compared to import parity prices, right. So, as we
stand , I mean on our overall capacity of 0.5 million tons if I have to just calculate so a Rs. 500
crore kind of an annual EBITDA impact could be there, because of this negativity with the
import parity prices ?

 Amitabh Bhargava : I don't think we have done an annual calculation. We will see as the amm onia prices and we are
confident that the way overall nitrogenous fertiliser demand is picking up and overall nitrogen
prices are going up there has to be a recovery for ammonia in the second half of this year.
Deepak Poddar : Incremental impact on depreciation and interest will be about Rs. 300 crore and Rs. 200 crore
respectively from this plant on an annual basis?
Amitabh Bhargava : So, in terms of interest, we are restricting our overall debt on this project to about Rs. 2,000
crore, if you recall earlier , we were looking to waive almost Rs. 2,600 crore but we have funded
it from our own internal accruals. So, Rs. 2,000 crore debt we are looking at about 9 to 9.50%
kind of interest rate so you can do that calculation. As far as depreciation is concerned it's
roughly about Rs. 200 crore annually.
Deepak Poddar : How much?
Amitabh Bhargava : Rs. 200 crore.
Deepak Poddar : Depreciation is Rs. 200 crore.
Amitabh Bhargava : Yes.
Deepak Poddar : And in one of the comments earlier you mentioned that TAN profitability should improve, I
mean did I hear correct I mean going forward.
Amitabh Bhargava : Yes, the point I was making is that in general the nitrate prices have seen weakness because of
the Europe season and in general there were channel inventories of nitrates and we are already
seeing in Europe the offtake of nitrates has been quite good in the n ew season also overall I think
that there have been farmer incentives as such in Europe and that is reflecting in terms of not
just the offtake of nitrate but even recovery of nitrogen in general nitrogen as fertiliser and that
should reflect b ecause if you look at overall fertiliser grade ammonium nitrate is part of the
overall basket of nitrate including urea, ammonium nitrate and as those prices recover from a
parity perspe

ctive the prices of fertiliser grade ammonium nitrate should also re cover.
And I must also mention that we believe that we have seen the bottom there is already some
recovery that we have seen in FGAN prices in recent times.
Deepak Poddar : But the pressure that you mentioned because of the dumping from Russia as well as th e export
ban, so those pressures I mean are easing out in that sense?
Amitabh Bhargava : So, as far as the export is concerned, the narrate of having import, the export ban at a stage where
India was reeling under pressure that you know there would not be enough ammonium nitrate
from a coal production point of view that has certainly eased out and the import that has
happened from Russia project that there is enough ammonium nitrate available and with that

 view we are quite hopeful that the government would lift the ban on TAN. So, that is certainly
the case.
Deepak Poddar : And my final question is on your duty, you mentioned that this quarter we had a two quarters
impact of subsidy reduction. So, wha t would be normal run rate of this subsidy impact for quarter
going forward ?
Amitabh Bhargava : So, like I mentioned that this impact is on the channel inventory, but the NBS prices have come
down commensurate with the raw material prices, so going forward it's business as usual
meaning that you are now on a new NBS regime and you are also going to be producing at the
lower or new prices of raw material. So, this one time I would say the impact that comes in
channel inventory as and when NBS c hanges that aspect is not going to be there and we would
be back into a normal margins that we would make and there I was mentioning and our MD also

made that point that per ton kind of margins in each of our products, we are seeing better margins
compared to a similar period last year.
Deepak Poddar : So, this Rs. 160 crore would be considered as a one -time impact, right at this, it will not react.
Amitabh Bhargava : In a sense, yes , I mean as and when NBS changes there can always be an impac t but right now
we are into the new NBS which is effective from April to September, that impact we have taken
on our channel inventory.
Moderator : Thank you sir. The next question is from the line of Mr. Jainam Ghelani from Svan Investments.
Please go ahea d.
Jainam Ghelani : So, most of my questions have been answered, but I just have one more question. So, have we
signed any contract for gas pricing and if so what is the gas price that we have finalized on?
Amitabh Bhargava : So, we have signed contr acts for the next three years of gas. These are three different buckets of
contract some contracts are related to Brent prices and therefore the prices of gas would depend
on the Brent movement. There are, balanced are linked with Henry Hub prices and als o JKM,
Japan Korea Marker, this is the domestic gas which is also capped by the government
So, a combination of these three is going to determine our prices. So, effectively we are, one is
taking a view on Brent, Henry Hub and JKM put together. So, it is difficult to say which way it
could move. What we have also done is we have taken a certain hedging position to ensure that
if some of these commodities go up , we do have protection on the upper side.
Jainam Ghelani : And can we expect this to be the bottoming out of ammonia prices
Amitabh Bhargava : I think in our v iew the point I was mentioning about nitrogenous fertilisers and nitrates in general
having seen the bottom, we are seeing demand recovery. Also, the inventory which was there
with producers is now getting exhausted. So, nitrate prices in general nitrogen prices will go up
from here and should go up from here and as the demand recovery happens the incremental cost

 of production of ammonia in Europe is still very high. So, the prices of ammonia obviously have
to somewhere reflect these fu ndamentals.
Moderator : Thank you. We will take the next question from the line of Mr. Viraj Parekh from JMP Capital.
Please go ahead sir.
Viraj Parekh : Couple of questions on the debt side so what would be our gross and net debt as on date?
Amitabh Bhargav a: Net debt is about Rs. 2,600 crore end of June and we were holding roughly Rs. 1,300 crore of
cash, balance is about Rs. 3,950 crore odd of gross debt.
Viraj Parekh : And since we have seen a significant spike in the finance cost for the quarter gone b y for Q1 vis -
à-vis the previous periods should we work on this run rate in terms of the finance cost for the
rest of the financial year?
Amitabh Bhargava : In general , there is an increase in NCLR and to the extent loans do get adjusted to or get reset
because of the new NCLR on reset dates. There is an increase or there would be an increase in
interest cost, but incidentally for us compared to March 23, in June 23 our average cost of
borrowing we have reduced by about 40 basis points. We were earlier holding slightly expensive
loans on ammonia projects which we repaid completely in this quarter and we are refinancing
those loans with cheaper loans.
Viraj Parekh : So, just another one on this, so by the end of March 24 what should be our gros s debt number,
should we be at similar levels or there will be a spike?
Amitabh Bhargava : See fundamentally the ammonia project is now complete and particularly complete from the debt
standpoint, whatever debt we needed to draw we have drawn an ammonia project. The debt
which would get added from hereon would be the debt on TAN in Gopalpur, roughly I would
say Rs. 4 00 crore to Rs. 500 crore odd should get added on Gopalpur till March, equally through
the year we roughly pay about Rs. 250 crore to Rs. 300 crore, we amortize the debt, and for the
balance period whatever is the pro rata number that should come down. I think that’s how we
should look at the gross debt numbers and net debt would also in some sense would depend on
how the business performs in the next three quarters.
Moderator : Thank you sir. We will take the next question from the line of Mr. Aditya Bagaria from Vision
Capital. Please go ahead sir.
Aditya Bagaria : Just want to get a brief overview on how the ammonia cycle works. Now from what I understand
there is a demand short fall and because of that the markets are down. But essentially all the in
the world right now selling ammonia at a loss, because how does the ammonia end up being at
the rate in spite of the gases being at the rate that they are. So , if you can shed light on that, it
would be helpful.

 Amitabh Bhargava : See one is ammonia cycle in the past and we have spoken about it that when we look at our own
imported cost in last 10 to 15 years, we have seen an average of $420 to $430 FOB Middle E ast
prices which landed cost basis would be in the range of $500 to $510 so that's how average of
ammonia import cost has moved for us.
Now in that average , we have seen lower cycle the way we are seeing right now which is $220,
$230, $240, $250 odd, but w e have seen the higher end of $1,200 as well, in fact in the recent
past the whole of last year the average cost of or average FOB Middle East prices would have
been somewhere in the range of $650 odd with the upper side of $1,200 odd. So, that's the kind
of cycle that you would see.
Now globally ammonia that gets traded and procured by the players who are not integrated with
ammonia , they dep

end on the global trade or the surplus capacities which either come from
integrated plants or certain ammonia merchant plants which trade into the market. That we have
seen in the past and the numbers are no different current ly, just roughly while the increase on
the demand side has been about 1.5% or so, 1.5% to 2%. The supply side is somewhere between
0.5% to 1% in terms of the addition as you look at CAGR or per annum addition and that gives
us assurance that the supply side is remaining somewhere behind in terms of the demand side
and that should sooner or later reflect on the ammonia traded prices.
Now what happens is in all of this, there are global players who have access to the cheaper cost
of gas because these are gas producing or gas surplus countries or locations. However, the prices
of ammonia would always like in any other commodity will get recommend ed by this
incremental cost of production, because if the demand goes up it's the last plan t that produces
ammonia to cater to that demand is what would determine the prices of ammonia and that is
where I was mentioning earlier that in Europe given the TTF prices of gas are still high and will
perhaps go higher as the winter progresses the cos t of producing ammonia in Europe will remain
high.
Today because the demand side is lower or nitrogenous fertiliser demand is weak some of those
incremental plants are shut and therefore ammonia demand is lower, there is also maybe a
channel inventory. As that equalizes , we are going to see again the demand supply fundamentals
playing out and there should be the lower end of t hese commodity prices that we have seen,
where we should see recovery from here.
Aditya Bagaria : Another small aspect alt hough it's nothing compared to our balance sheet at this point, but the
real-estate division, in onset of the interest rates going up and also the property market picking
up, why aren't we trying to basically get done with the sale that we have been trying to do for
the past several quarters now. It will also help us ease out the increasing debt in our balance
sheet, so is there any update on that end?
Amitabh Bhargava : So, fundamentally any non -core assets that we have been re view ing that closely, we ha ve
recently started selling some of our non -core real -estate plants not necessarily in Pune , but we
had some land outside of Pune we have sold that and therefore directionally we are looking at

 coming out of Nagpur. The timing of when we take a decision on our Pune land and then how
do we really go ahead with that because even that has more than one parcel of land. We w ill
inform as and when Bo ard takes a view on that.
Moderator : Thank you sir. The next question is from the line of Pinaki Banerjee from AUM Capital. Please
go ahead.
Pinaki Banerjee : I would like to ask some question on the Isopropyl Alcohol segment, in the presentation have
menti oned because of that imposition of import restrictions by the Government of India has been
one of the kind reasons for the significant jump in volumes this quarter and if you go back FY 22,
you had about 64,900 which had fallen drastically to 43,900 in FY 23. So, how much are we
expecting to produce for this fiscal considering the fact that all th ese import restrictions have
come?
Amitabh Bhargava : So, this quarter our production has been around 19,000 odd tons, and our capacity utilizations
were about 111%, and we produced about 19,467, we are quite hopeful that our run rates this
year should be I would say extrapolation of what we hav e seen in Quarter 1.
Pinaki Banerjee : So, basically you are expecting to surpass your FY 22 levels?

Amitabh Bhargava : I don't know what the FY 22 level as such but --
Pinaki Banerjee : It is around 64900
Amit

abh Bhargava : Yes, I think that should be possi ble, though we will have to see how the prices on propylene prices vis -à-vis acetone prices also the overall demand side, we will have to see what happens in the next three quarters, but you know the signs in terms of what has happened in Q1 on turnaround in IPA are very positive.
Pinaki Banerjee : Actually, can you give us a breakup of in the segment with the ratio of B2B or B2C, is there any segregation in this segment --?
Amitabh Bhargava : We are largely or significantly still in B2B because pharma remains almost 80% plus volumes go in to the pharma segment as solvent. Even the other sectors that we service through IPA are largely B2B, which is the segment which in a sense is of the disinfectant we are focusing on institutional customers. There is obviously there are product portfolio which cater to the retail customers, but our focus is also going to be in hospital segment as in disin fectant for our hospital segment.
Pinaki Banerjee : Just one last question regarding the TAN segment, actually since it is being used for manufacturing of explosives, are you supplying this products to any defense company?

 Taran Sinha : So, as far as TAN is concerned there is a very small proportion of TAN in our business which goes to some ordinance factories, which is then used for converting into some sort of products which eventually get used in the defense sector, so we are couple of steps away from tha t.
Pinaki Banerjee : Yes, considering the fact that the defense there is a huge expectation from the defense segment, so are you planning to further increase this exposure?
Tarun Sinha : So, I can talk from a Technical Ammonium Nitrate perspective and certai nly Amitabh can add more from a group strategy point of view. At this stage you know the Technical Ammonium Nitrate business is focusing more on our transformation journey that I talked about which consists of a complete value chain starting from ammonia, ammonium nitrate, forward integration into explosives and then into blasting solutions and finally mine productivity improvement so that's what we will be focusing on as part of the core strategy for our business.
Moderator : Thank you. We will take the nex t question from the line of Mr. Meet Vora from Emkay Global. Please go ahead.
Meet Vora : My first question was, what would be our cost of producing ammonia, dollar per ton, including the current gas cost and the conversion cost versus the Middle East prices, where we breakeven, if we exclude the freight and customs duty that we pay while impor ting?
Amitabh Bhargava : I have already answered that question.
Meet Vora : The current gas prices including it should be around $380, our cost of producing ammonia?
Amitabh Bhargava : I mentioned that overall from an import parity versus our cost of producti on, we are in that $125 to $150 odd range depending on the prices fluctuation we are seeing in ammonia that's the negative we are seeing currently.
Meet Vora : Secondly in terms of the contracts that we enter into, for our TAN and nitric acid business, how do we fit the pricing are these formula linked to ammonia or if you could just give a broad sense on what will be our spot, what will be our long term and how do we fix the pricing?
Amitabh Bhargava : Prices typically of any product, there is a combination of contractual customers and spot customers. Contractual customers are typically on the basis of certain margin protection where we pass on increase and decrease in cost. As far as the spot is concerned, we look at each of our custom er locations, what is the next best alternative they have and typically our prices are to some premium over the other alternative given the quality of our product, given t

he kind of reach we have, the turnaround time in terms of reaching these products to our customers. So, largely that's the way any spot commodity or commodity we price on spot basis and we are not different.
Meet Vora : And what will be our ROCE for ammonia project that we would have initially worked on versus what would have changed now or just to know what will be the payback of this project that we were initially expecting versus what will be it now?

Earnings Conference Call Q1 FY202 4 • www.dfpcl.com Amitabh Bhargava : Ammonia, see you can't look at it in one quarter, I mean if you asked me this question in the
previous quarter or the quarter before that, based on that quarter's price the number could be very different. So, therefore you need to look at these 20 year or 30 year projects on the basis of the average commodity cycle and that's where I just explained that in the last 10, 15 years we have seen prices of $420 to $430 FOB Middle East and that's the basis on which we conceptualize the project and we don't see t he commodity prices are going to be any different. In one quarter you may see $1,000 in another quarter you are seeing $250. Now you can't keep changing your payback based on what happens in that quarter.

Moderator : Thank you sir. We will take the next que stion from the line of Mr. Pallav Garg from Start Health. Please go ahead sir.

Pallav Garg : The first question I wanted to know was the CAPEX plans that you have for FY 24 and FY 25, the TAN project is a one where you would be putting in most of your CAPE X, but apart from that is there any debottlenecking projects or assignment and apart from that any maintenance, so how should we look at?

Amitabh Bhargava : So, as of now the projects that we are working on after ammonia completion, TAN Gopa lpur project is the only project that we are working on. So, as such based on whatever decision Boards have taken so far that these are the projects, these two are the main projects that we are undertaking.

Pallav Garg : So, practically whatever remaining C APEX for this project and additionally some maintenance CAPEX is what we should be expected , I hope my understanding is right?

Amitabh Bhargava : Yes, that's correct. See in the past if you would recollect we have also our MD has also made that point that the next round of growth that we see is also going to be from a potential opportunity that we would see in Brownfield expansion in Dahej a cid project. The timing of it or when does that happen, as and when that takes place , we would bring it to the investors but as of now these are the two projects we are working on.

Pallav Garg : And you mentioned a very interesting point that you have been taking some hedging positions to cover up for any spike in the raw material prices. If you can divulge some details around what are these products, what index, what kind of percentage of your whole consumption menu and pricing levels if you can talk anything on that?

Amitabh Bhargava : Right now , we have taken position on Brent related contract . We are evaluating the positions in other contracts as well.

Pallav Garg : And I believe the subsidy impact which we had for this quarter, Rs. 161 crore this is in a way there is not resulting in like any cash outflo w rather it is just the impact on the P&L accounting statement items. So, practically what the portion of the income which we registered for the fourth quarter of the last fiscal and one which is for this quarter, that is the impact which we have to bear, right ?

 Amitabh Bhargava : Yes, see to the extent channel inventories are yet to be sold. The realiza

tion that both from trade and subsidy has to still take place but since you have booked the sales at a particular value and that NBS has come down, if yo u need to take that accounting there is no outgo of the equivalent amount as such.

Pallav Garg : So, let's say if we kind of imagine ourselves in the world where the NBS subsidies are getting repriced every now and then based on the prevailing raw material prices, this impact would never have been there because that differential could have been built in, in the price itself when commodities were, when we were placing our products right?

Amitabh Bhargava : I am not sure if I got your question, but fu ndamentally anything that we are going to sell going forward will be at the new subsidy regime. To the extent you have sold and collected, you have collected; to the extent your inventory which you have earlier booked at a particular value and on that subs idy has come down, we need to revise that we need to sort of take that impact on that general inventory.

Moderator : Thank you sir. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Amitabh Bharg ava for closing comments.

Amitabh Bhargava : Well, thank you everyone for your insightful questions, for any further queries or clarifications please do get in touch with our Investor Relations team. Have a good day and thank you so much.

Moderator : Thank y ou. On behalf of PhillipCapital (India) Private Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited to improve readability

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Call: Nov 2023

10th November , 2023

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Subject: Management Transcript of Q2 FY 202 4 Earnings Conference Call

Dear Sir / Madam,

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Management Transcript of the Earnings Conference Call held on 3rd November, 2023 to discuss the financial results of the Company for the quarter and six month s ended 30th September , 2023 .

The transcript of the Q 2 FY 202 4 Earnings Conference Call will also be made available on the website of the Company i.e. https://www.dfpcl.com/ .

We request you to take the same on your record.
Thanking you,
Yours faithfully,

For Deepak Fertilisers
And Petrochemicals Corporation Limited

Gaurav Munoli
Company Secretary
Encl: as above

Management:
Mr. Sailesh Mehta – Chairman & Managing Director
Mr. Deepak Rastogi – President and Chief Financial Officer
Mr. Tarun Sinha – President, Technical Ammonium Nitrite
Mr. Deepak Balwani – Head , Investor Relations

Earnings Conference Call

Q2 FY202 4

November 3, 2023

 Moderator: Ladies and gentlemen, Good day, and welcome to Deepak Fertilisers and Petrochemicals

Limited Q2 FY24 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that the conference is being recorded.

I now hand the conference over to Mr. Ranjit Cirumalla from IIFL Securities.

Ranjit Cirumalla: Thank you, Akshay. Good afternoon, all. On behalf of IIFL Securities, we welcome everyone to Deepak Fertilisers and Petrochemicals Corporation Limited Q2 FY24 Earnings Call. Today, we have with us Mr. S.C. Mehta, Chairman and Managing Director; Mr. Deepak Rastogi, President and Chief Financial Officer; Mr. Tarun Sinha, President, Technical Ammonium Nitrate; Mr. Suparas Jain, Vice President, Corporate Finance; and Mr. Deepak Balwani, Head, Investor Relations.

I would now hand over the floor to Mr. S.C. Mehta to begin the proceedings. Thank you, and over to you, sir.

S.C. Mehta: Thank you. A very good afternoon to all of you. I extend a very warm welcome to each one of you for the Q2 FY24 earnings call of Deepak Fertilisers. I trust that you have had the opportunity to review the financial statements, press release and earnings presentation already made available on the stock exchange and our website.

Now on the face of it, as we look at the figures, I'm sure we all would feel that it seems to be quite dismal. However, let me share some insights for your better appreciating and understanding the numbers. Firstly, when we look at the last year Q2, it was indeed some bit of an abnormally high base. So, if you were to compare with Q2 FY22 , Q2 FY21 , Q2 FY20 , Q2 FY19 , the performance of current quarter Q2 FY24, is indeed better, and this is decidedly better in lieu of the challenges that we faced. So, despite the challenges, we are seeing this kind of a performance, and let me share some of those challenges.

On the fertiliser front, let me just explain that the government policy on subsidy is a little backward looking. That is the prices of the previous 6 months form the basis of the new subsidy, 6 monthly penalty and the subsidy is given on the tonnages actually bought by the farmers. There is a POS machine, and on that basis, the subsidies are given. So, what happened is that the inventories which have been sold to the channel or dealers, but not sold to the farmers, that gets impacted and in a situation where the global prices are falling, the industry gains on this channel inventory, while it loses on the channel inventory when the global prices of raw material are going up. Now in view of this, basically, we took a hit in the Q2 of alm ost Rs. 106 crores on this discount.

On the other hand, the performance of the quarter in terms of sales and liquidation , it was the highest ever that we have ever done. what is more is that our crop -specific grids, the move that

 we had from commodity to specialty or the crop specific , is gaining very good ground and very good acceptance.

The second aspect is that we also took a hit of around Rs. 87 crores in this quarter itself, emanating from our new ammonia plant. Now firstly, any new global scale plant takes a quarter or so to stabilize and during the stabilization phase, there are some plant trips and restarts, which always add to the cost. So, post our COD, some of those co

sts are contributed by the stabilization phase, and this is quite normal and expected. What is peculiar was that the ammonia prices during the Q2, when we started the plant were unusually low, almost down to $330 Middle Ea st. Now as we speak, the plant has now stabilized, and it is both in terms of capacity, efficiency and sustained running. It's now reached to the designed capacities. And what is more, the global ammonia prices have also climbed up to $550 levels, aligning to the long -term average, which was what was expected.

The other thing that happened was that the other major impact came from the Russia -Ukraine war ramification. What actually happened was Russia found an embargo on its various products in various countries, because of the tilt towards the Ukraine. In this situation, India became a good dumping ground for the Russian products and this brought in large quantities of cheap fertiliser -grade ammonium nitrate, and that impacted our Technical Ammonium Nitrate business.

However, because of our strong market grip, we have insured in Q2, also despite all these headwinds, a very strong volume growth and going forward, all the mining activities that we are seeing are on an upswing, whether it is coal mining, limestone or cement, or the infrastructure based on the government budget outlay. They're all having a very positive current and the key that is there is that we have started making this concrete shift from commodity product -oriented business to mining solutions business based on success fee On the Industrial Chemicals space, the nitric acid business, besides the typical monsoon lull, did have some impact emerging out of our downstream customers, the agrochemicals and pharma customers, because they were getting impacted by the Chinese dumping.

In that space, on the other hand, the IPA had a very positive current. As we move to the specialty space, steel grade nitric acid or solar grid nitric acid, or pharma -grade IPA, we will be gradually scaling up into those specialty areas, and that should create a good insulation for us from the larger global vagaries.

In summary, if you compare the previous 4 years Q2 other than last year, it validates our strength and resilience to take in the headwinds of the geopolitical environment and at the formation level, I remain completely convinced that our strategic transformation journey from commodity to specialty or holistic solution in each of our business lines, that is Mining Chemicals, Industrial Chemicals and also the Crop Nutrition bu siness, in all the 3, I feel very deeply that they are in the right direction and over the next few years, quarter -on-quarter, as we consolidate our this part of the journey from commodity to specialty, and as we solidify the premiums and the brand, I feel that we will bring Deepak into a complete different light. I also feel that now that the

 ammonia plant is with us in the group and running fine, it will bring a huge risk mitigation for the group's downstream from all the global vagaries.

Overall, in terms of the financial controls , we see the gross debt to equity now at 0.76x, so which is also a healthy state and in terms of our growth strategies, all of it would be, since they are all in areas where we continue to have the support of our last 40 years of strength, that is only going to be something that'll, once again, prove the resilience against any kind of geopolitical situations.

For more granular details, I will now hand over to Mr. Deepak Rastogi, our new CFO and I also take this occasion to share my warm wishes to you and your families a little in advance for the Diwali festival. Thank you.

Deepak Rastogi: Thank you Mr. Mehta , Good afternoon, ladies and gentlemen. I thank you for j

oining the Deepak Fertilisers and Petrochemicals Corporation Limited conference call to discuss our Q2 FY2024 results.

In Q2, we achieved a total operating revenue of Rs. 2,424 crores with an operating EBITDA of Rs. 286 crores, which translates to 11.8% margins. This Q2 EBITDA was Rs. 286 crores, as what Mr. Mehta was mentioning . We have basically taken around Rs. 87 crores EBITDA loss or a charge due to ammonia plant stabilization, and Rs. 106 crores charge on account of fertiliser inventory based on the new subsidy notification , which actually got recently notified. Therefore, our net profit for the period was Rs. 63 crores with a margin of 2.6%.

Last year, for the same quarter, the base was Rs. 495 crores , which was a positive upgradation, but we all knew that the margins are very high , and we may not be able to sustain for a long . EBITDA is one of the best quarterly performances for DFPCL. We are on an exciting journey despite the raw material volatility, geopolitical concerns and other external challenges impacting the business.

Our lifting of export ban in growth capex towards our nitric acid Dahej and TAN Gopalpur, which basically helps us in transitioning from commodity to specialty products and also to giving holistic solutions, capturing the overall backward integration and on the top of it, the ultra -mega benefits will act as catalyst and is laying a strong foundation for long term sustained growth.

Manufactured TAN business had a revenue of Rs. 516 crores in Q2 of this year with a strong sales volume, up over 9% on a year -on-year basis. The company achieved its highest ever Q2 sales volume of AN Melt. The margins were impacted on account of dumping of cheap Russian .

During the quarter, our manufactured Pharma/Specialty Chemicals business recorded a revenue of Rs. 409 crores. IPA registered a volume growth of 62% on a year -on-year basis, supported by strong demand and implementation o f SGQR , while nitric acid volumes growth was almost 12% year-on-year.

Earnings Conference Call Q2 FY202 4 • www.dfpcl.com Regarding fertiliser business, it recorded manufactured revenue of around Rs. 708 crores. During
the quarter, sales volume of manufactured, NP and NPK, including Croptek was 1,47,000 metric tons as compared to 1,55,000 metric tons in the previous quarter. This was slightly impacted on the erratic monsoon, which actually continued during this quarter even though we had obviously record sales after that.
In Q2, IPA plant operated at 76% capacity utilization while both assets and TA N operated at 93% and 118%, respectively. In the Crop Nutrition segment, NP/NPK plants had a utilization level of 51%, while Bensulf plant operated at 52% utilization. With capacity had to be available across our businesses , we are well positioned to capitalize on future of those prospects.
Gross debt as on 30th of September was approximately Rs. 4,000 crores with gross debt to equities 0.76x. Net debt was Rs. 2,700 crores. A similar number for March 31, which is net debt was around Rs. 2,500 crores as on 31st of March 2023.
With this, we would be happy to take our questions. Thank you.
Moderator: We'll now begin the question -and-answer session. The first question is from the line of Jainam Ghelani from Svan Investments.
Jainam Ghelani: I want to check on the ammonia facility that now you said that the last quarter, we had an impact on the stabilization of the plant to the tune of Rs. 87 crores that we have already taken a hit. Now with the gradual ramp -up of the facility, can you give us the update in terms of how the spreads are looking currently, given the gas prices contract that we have already entered?
Deepak Rastogi: The way the ammonia prices are currently, and they are in the range of around 550, the spread is closer to, giv

e or take, around $75 to $100 is the spread right now.
Jainam Ghelani: But the $75 to $100 is including the benefit that we're getting from the government in terms of subsidy and the steam benefit?
Jainam Ghelani: So that means equal to almost $150 to $160 of this that we could get it in Q3?
Deepak Rastogi: Yes. closer to that.
Jainam Ghelani: In terms of the capacity utilization, how shall one look for the second half in terms of the ammonia plant?
Deepak Rastogi: We are already reach the 100% designed capacity. So, we think we would be around 90% to 100% capacity utilized during the H2.
Jainam Ghelani: Second question is on the TAN business. Now since that you have already indicated that our volume is growing in the TAN because of strong domestic demand, but there is a huge dumping by the Russia . I just wanted to understand whether we are getting any measures or the protection from the government and how shall one look in terms of the margin of the TAN business when the imports are continuing at such a high level?

Earnings Conference Call Q2 FY202 4 • www.dfpcl.com Deepak Rastogi: So obviously, the margins are impacted to some extent. But generally, WAN prices move in
tandem with the IPP prices of ammonia. Currently, they are not moving in tandem. We expect that things would basically move in tandem, and we expect that things may get better from where it is. But we'll have to wait and watch how do the actual year pans out.
Jainam Ghelani: To assume that at least for the couple of quarters because the ag-chem prices are not moving in the line with the TAN prices, there could be a pressure in the overall chemical business margin for the second half?
Deepak Rastogi: We basically expect some pressures, but we'll have to really wait and watch to see. But overall, we think, over a period of time, things will only improve but we'll have to really go through how the geopolitical scenario looks like and then take a call accordingly.
Jainam Ghelani: The other question is on the fertiliser. Now we have almost taken Rs. 267 crores of the impulse of the reduction in the subsidy. Now in the last quarter, which we did of almost Rs. 106 crores, that includes the revised subsidy rate, right?
Deepak Rastogi: Yes, that is correct.
Jainam Ghelani: Sir, if we take it forward, assuming that there is no further reduction in the subsidy from the government and the fertiliser price remains steady at current level, is it fair to assume that our fertiliser business can generate near about Rs. 400 crores to Rs. 500 crores of the EBITDA on the quarterly basis?
Deepak Rastogi: I will have to check and maybe come back to you on this.
Jainam Ghelani: With the expansion that we are doing here it in terms of TAN and WAN, what will be our peak debt? and when could we see that number reaching in by FY20 24-25?
Deepak Rastogi: It depends upon what kind of growth projects we encounter. Predominantly, the only way I could answer is that we will be in comfortable position overall from a gross debt -to-equity perspective.

As I said that we are comfortable right now, and we expect that we will be continuing to be in comfortable zone going forward.
Moderator: Thank you. The next question is from the line of Nishit from Aequitas Investments. Please go ahead.
Nishit: I wanted to understand that now since the TAN export ban is lifted, by when do we see the exports to start?
Tarun Sinha: Yes, you're right, the export ban for ammonium nitric finally got lifted a month or 2 ago from now, which is a great news and currently, I think you must have picked it up for the information available on the public domain, that our company is going through some corporate restructuring and one of them has been the name change of our previous company, Smartchem, which used to ho

use technical ammonium nitric business and fertiliser business to another company called Mahadhan Agritech Limited, which continues to house the same 2 businesses as we speak today.

 As a result of this name change, the TAN business, which is a highly regulated business from a licensing perspective, is currently undergoing through some license transfers in terms of the name change from the previous company to the new company and we're expecting the final steps to be completed in that direction, hopefully, in this month. Once the license thing is transferred from old company to new company, all types of licenses of technical ammonium nitrate business, then we should be able to start exporting again.
Nishit: My second question is that in this current quarter, the production of IPA was only 76%. Any particular reason for the lower production? and how do we see that going forward?
Deepak Rastogi: Our capacity utilization for IPA is around 76%. If the demand continues, we would expect that it should improve.
Moderator: The next question is from the line of Arvind from ValueQuest Investment Advisors Private Limited.
Arvind: Few questions from my side, some of them have already come up. Now when we talk about the fertiliser subsidy going forward, this is obviously a backward -looking policy. So, is there a possibility that any more could be hitting us around this coming, the election time?
And the second thing, that I would like to ask is, in some areas, we are talking about 118% capacity utilization. Some light on this, what does this mean? and whether can a plant operate like this for a long time, or then, how would it reflect on the operations of the plant as well?
Deepak Rastogi: Subsidy part is difficu lt for us to predict anything, but we do not expect that any changes because this subsidy notification is applicable until March 2024 and hence, we are not expecting anything which will come in between.
The other question is on the account of our TAN capacity utilization, which is predominantly at 118% and obviously, we are taking steps to improve the capacity going forward till March and things like that and because we are debottlenecking it and hence, this position is going to improve going forward.
Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital.
Deepak Poddar: I just wanted to have a few clarifications . Now the subsidy impact of the last 2 quarters that has come, the subsidy rate remains same there's no further impact, right? All the channel inventories impact has already been factored, right, in our P&L?
Deepak Rastogi: Yes, that is correct.
Deepak Poddar: You did mention that including the government benefit, at current price of $550, that is FOB Middle East price, right?
Deepak Rastogi: That is correct.

 Deepak Poddar: So blended price would be additional $100, that would be $650?
Deepak Rastogi: That is correct.
Deepak Poddar: Okay. So, we are getting about a spread of $150 to $160, the spread we are getting, including the government benefit, right?
Deepak Rastogi: That is correct.
Deepak Poddar: I just wanted to understand, because that effectively means it's utilizing fully , so Rs. 150 crores

of benefit that we might get on assuming $150, on a quarterly basis from this plant?
Deepak Rastogi: That is your estimation, obviously and we will have to go through the utilization over a period of time when we see how it actually pans out.
Deepak Poddar: Utilization is 90 to 100, I'm assuming.
Deepak Rastogi: Yes, but that is just a calculation.
Deepak

Poddar: I mean, this quarter, we had a lot of one -offs, right? If I adjust that one -off, our EBITDA would have been more than Rs. 500 crores and if I take the advantage of our ammonia plant – so just wanted to understand at the current prices, ammonia prices, what should be our steady -state EBITDA margin? I mean , would it be in more in the range of 20%, 22%? Because ideally, your EBITDA would have been more than Rs. 550 crores if this one -off would not have come, right?
Deepak Rastogi: We are unable to give any forward -looking statements, so I will not be able to comment on this.
Deepak Poddar: No, this is not regarding forward -looking statement. I'm just trying to understand at current ammonia prices, if this one -off would not have been there, so our steady -state EBITDA margin would have been in the range of 20% plus, right? I'm just trying to understand that point.
Deepak Rastogi: You can add Rs. 87 crores, and I don't know whether you are adding subsidy. If you can add that number, it will be those are to around Rs. 417 crores .
Deepak Poddar: And plus Rs. 87 crores, the impact will not come, right, because it was in stabilization ammonia plant?
Deepak Rastogi: Yes. Looks like that, yes.
Deepak Poddar: So that, also, we need to add, right?
Deepak Rastogi: Yes.
Deepak Poddar: Fair enough. I got it. When we say this benefit of ammonia plant spread, we have factored in the recent change of UMPP benefit to 100% from 75% of this greenfield project, ammonia?
Deepak Rastogi: The answer is yes.

 Moderator: The next question is from the line of Sharan, an individual Investor.
Sharan: My first question is, historically, how has been the price of ammonia fluctuating? and when do you see you are getting the benefit from the new plant with respect to price getting increased?
Deepak Rastogi: The ammonia prices, FOB Middle East, has been ranging from $ 250 to almost close to $1,100, and these are in U.S. dollars, FOB Middle East price.
Sharan: What factors, does this price fluctuation impact? and from when do you see getting benefited and from what price onwards Deepak will start getting benefit of it? and when do you see it happening?
Deepak Rastogi: So effectively, it also depends upon how the gas prices are moving up and down, so it is not a straight answer. But as I said, currently, we have a positive spread of around $100, $150 based on the current FOB Middle East, and that will change over a perio d of time based on how the global prices are moving up and down.
Sharan: Other question is the new specialty chemicals for solar and the semiconductors. From when do you see those getting into production? and also, what do you see from, like, from next 1 or 2 years, the revenue and the benefit from that, the profit?
Deepak Rastogi: For solar, as we have communicated in our press release also, that we will be starting production from October of this year. As far as semiconductors are concerned, obviously, the market is still growing in India and it will take some time for us to get to a full -scale revenue level and for a solar perspective, since obviously, it's a forward -look statement, we will not be able to comment that how much and to the extent of the revenues, specifically for this particular request.
Sharan: The other question on the same is, like, basically, are there any other producer who is producing a similar kind of chemical in India? and what's the total market size for that chemical , and what is going to be your share in that?
Deepak Rastogi: Currently, to our understanding, there is nobody else who's actually doing this at this point in time.
Sharan: Okay , and what's the market size for Deepak in that segment overall?
Deepak Rastogi: So, we have just s

tarted that. We are talking solar grade. So, we have just started that and we are obviously landscaping because the solar markets itself is obviously in a nascent state and growing. We basically are doing our own market studies to figure out how much that market would be and how much we will play into that.
Sharan: On the last question about the Pune real estate sale, just like noncore asset sale. Any update on that?

Deepak Rastogi: As we have mentioned that we would be looking for such sale and take action , based on the Board approvals.

 Moderator: The next question is from the line of Niraj, an Individual Investor.

Niraj: I just wanted to know what is the status on demerger, which was announced long back? What is the current status of NCLT approval , and by when we can expect listing of these 2 businesses? And second, what is the status of Gopalpur project. Can you please share a tentative investment amount, which has already been done in this project till now?

Deepak Rastogi: Your first question on the NCLT approval. We basically have got a hearing coming up for this NCLT order, which is fixed on 10th November and if the order is passed, then we will know the outcome.

The other question which had on the TAN Gopalpur right now. So, we have currently spent close to around Rs. 525 crores worth of capex, which we will see WIP and that would be up and running sometime in the second half of FY2026 , so FY2025 -26. So that is the currently COD dates which we are looking at.

Niraj: let's suppose if we get the demerger approval in November, by when we can expect the listing of these 2 businesses. Is there any plan currently?

Deepak Rastogi: Whenever we firm up those plans, we will come back as a part of our statements. Currently, there is no approvals which we have right now to go for a listing.

Niraj: Any plans of any strategic investors participating in mining business?

Deepak Rastogi: We continue to obviously have those discussions and whenever there is a right time, get the Board approvals and all, we will come back and communicate accordingly to all.

Niraj: One last question. Recently, the government has lifted the ban on the TAN export. So, you were sharing some information on that. It'll take maybe a couple of months before we start exporting it. Can you give the tentative numbers? What would be the revenue breakup of TAN in terms of export, in terms of domestic?

Tarun Sinha: Right now, the ban, which has been lifted, it comes with a quantity. So, it's a bit of a cap. Because usually, when government of India imposes ban on certain commodities or products and when it starts to lift it, then it is not an abrupt complete lifting. It is state -by-state lifting, which then determines what quantities can start moving out in the form of exports.

For this financial year, the quantity which has been allowed for export is 20,000 tons, and that's the sort of ceiling and then subject to how things pan out in the next financial year, in terms of the overall demand/supply of ammonium nitrate in the country, which is required for the mining and infrastructure sectors' growth, then again, government may review this and decide to revise the quantity. So that's the kind of guidance I can give at thi s stage.

Niraj: Any understanding on Russian dumping? Anything in foresight we can understand that this can stop by so and so time or any implementation of antidumping duty by Indian government? Any update on these lines?

 Tarun Sinha: Sure. So, when can things stop or start again, as far as the Russian or the cheap Russia

n fertiliser -
grade ammonium nitrate is concerned will largely be driven by, again, geopolitical situation, as our Chairman, Mr. Mehta, stated in his opening remarks. Because Russia is going through a lo t of sanctions, as we know, with the Western world. They have limited markets to put their products in and India, of course, is one of them. So, timeline is anybody's guess, so we would not speculate.

Coming to your next question in terms of any measures, remedies, things like that. I think you people might be aware that the government of India had rightly imposed antidumping duty on a number of countries, and Russia was one of them for import of ammoni um nitrate in India, and that was way back in 2017. It was a 5 -year tenure for that antidumping duty, which expired sometime in August, September 2022. After that, Ministry of Commerce and Industry, one of its arms, which is DGTR, Directorate General of Trade Remedies, they were looking at what to do with this for the continuation of antidumping duty. They recommended that the antidumping duty should be extended for a few countries and certain rates were also prescribed.

However, it is interesting to note that 1 arm of our government, which is Ministry of Commerce and Industry, in the form of DGTR's recommendation, was rejected by another arm of the government, which is Ministry of Finance and this didn't just happen for ammonium nitrate, but a lot of similar recommendations in the form of remedies, which were proposed by DGTR, were actually rejected by Industry of Finance and that, too, without assigning any reasons. So, because so many industries were getting impacted as a result of this, I think the matter went to court and the matter is still Sub judice as we speak .
Niraj: One last question from my side, Tarun. What would be the revenue contribution in terms of domestic business for TAN? Earlier when we used to export, what was the contribution then?
Tarun Sinha: When you say contribution, you mean export as a percentage of total revenue? Is that your other question as well?
Niraj: Absolutely.
Tarun Sinha: That's why I gave you a guidance that there is a ceiling this year for the export ban, which is at 20,000 tons in this financial year and the TAN capacities you are aware of. You can see the level at which we are operating, which Mr. Deepak Rastogi talked about. You could do your sums based on those numbers.
Moderator: The next question is from the line of Parshva Veer, an individual investor.
Parshva Veer: I have 2 questions. First thing is what is your current TAN capacity?
Deepak Rastogi: So, we have close to 525 lakh metric tons.
Parshva Veer: If I understand correctly from that, only 20,000 tons will be exported. The remaining will be used for domestic sales, and you're operating on 100% TAN capacity. Am I correct?

 Deepak Rastogi: Currently, we have around 487 tons. We are going to add 50,000 metric tons additionally by
March of 2024 .
Parshva Veer: Second question is coming to the ammonia plant . I wanted to understand the math. How are our gas pricing contracts being done and the FOB normal current UAE charges? and what are we saving after putting this particular plant? Like, you said it's approximately Rs. 550 crores, but there's a lot of math between the gas and the FOB process from UAE and the Government subsidy. If you could help me understand, that would be very helpful.
Deepak Rastogi: We have FOB gas pricing, which is based on the Brent link or HH link and things like that.
Parshva Veer: So, are we doing it on Brent link? Or the HH link to understand?
Deepak Rastogi: Predominantly combination of HH, Brent and JKM.
Parshva Veer: That will be how much percent of the Brent, sir?
Deepak Rastogi: It depe

nds on contract -to-contract basis.
Parshva Veer: I'm sure there would be an average number that you would have in mind that this is our normal pricing policy with an average percentage.
Deepak Rastogi: For your calculation's sake, you can say to equal of all those.
Parshva Veer: I mean equal of all those, would that mean 22% of Brent? Would that be 50% of Brent? How should I consider that? If you can help me with an average number would be very helpful.
Deepak Rastogi: You can say that in average, which is 1/3 because we will not be able to obviously provide that information.
Moderator: The next question is from the line of Dhaval Sanghavi, an individual investor.
Dhaval Sanghavi: Based on Chairman's comment side, where we are moving from commodity to specialized solutions, I just wanted to understand, from a broader perspective, like, from a 3 year perspective FY2027 , where do we see ourselves as an organization, as a company, what direction addition we want to move , what kind of revenues on an average we should be expecting?
Deepak Rastogi: Moving from commodity to service providers is predominantly, we are doing in 2 businesses. Actually, all the businesses but predominantly in TAN, so I would request Tarun to just give some glimpse on how he looks at the business, so over to you, Tarun.
Tarun Sinha: The way we are moving into the solutions business model, as far as our group's Mining Chemicals business is concerned, is we have come out with a concept, which we call as total cost of ownership, TCO as an acronym, in short.
In simple terms, layman perspective, what that means is when a mine operates, it is basically operating to extract some minerals or to extract some rock, whether it is a mine or an

 infrastructure project where blasting takes place. So total cost of ownership is a concept, which basically aims at cost of mineral extraction or cost of rock extraction.

So, what we are developing as a solutions business model is that we try to improve the total cost of ownership, i.e., the cost of rock or mineral extraction in a mine or in an infrastructure project. So that's the theme. Now how do we do that? Essentially , in any mine or any infrastructure project or a quarry where blasting takes place and rock and minerals are being extracted, there are 5 value streams where improvements can be brought about in order to improve the total cost of ownership. What are those 5 value streams? It starts with Drilling in the rock or the mineral to be extracted; followed by Blasting, so that's the second one; the third one is Excavation of that blasted rock where it has to go for further processing and handling, so that's Excavation; and then fourth is Transport from the place it's blasted to take it to another place; and the fifth is Crushing. So Drilling, Blasting, Excavation , Transport and Crushing.

Now we have developed tools, softwares , people capability, different kinds of products, and we are continuing to do that to attack each of these 5 value streams in an operating mine or any other operating infrastructure project, so that the collective outcome of all these inputs is, that the cost of mineral extraction or rock extraction is improved.

So that's the overall model in our Mining Chemicals business, which we also start calling at Mining Solutions business, because now we are migrating towards a mining solutions company and this has just started about 1.5 years ago, and it's a complex process because it requires working every day in the month and then showing all these improvements and then eventually, it starts to translate into a sustainable business, which was your question. So therefore, putting a figure is a difficult one at this stage.

The entire Indian market is the canvas that we are looking at. It's this very huge opportunity.

Every single mine, every single infrastructure project operating in India has potential to improve its total cost of operations and that's how we see the overall size of the price from our point of view and that's why we are investing heavily in that direction to be able to impact in that sense.

Dhaval Sanghavi: What I was actually looking is, yes, I understand how the solution is going to , but what I was looking mainly from the perspective of 3 year time horizon is at an organization level, year -on-year or I mean, what's the guidance that the company is looking? Like, for example, in FY2023 , we did somewhere around Rs. 11,000 crores, right? This year, we will be somewhere around Rs. 10,000 crores, so I'm looking from that perspective. What is our focus, I mean how the growth would be 3 years down the line in terms of sales growth, ROE. That's what I was looking mainly from that perspective.

Tarun Sinha : I guess I tried to answer it by saying putting a number to any of these new solution initiatives is not possible in the early stages and another way I replied to that question is entire mining industry and infrastructure industry in India is the opportunity for us from a longer -term perspective. So, it's a huge opportunity for us as we go along.

 Moderator: Thank you. The next question is from the line of Rishab Agnihotri, an individual investor. Please go ahead.

Rishab Agnihotri: Because of the DAP subsidiary cut, there's like a margin shortfall of around USD 100 per ton on imported DAP, right? and we imported, like 2,950,000 ton in September 2023. I think Deepak produces that. So, do you see that as an opportunity going forward in the fertiliser market?

Deepak Rastogi: I can only say that we do not manufacture DAP for ourselves. We generally have trading volumes there and based on the opportunities and the market, we continue to take those calls on a quarter -to-quarter basis.

Rishab Agnihotri: The second question is on the line of TCO. So, I think you have executed some projects. Can you give us some guidance on like the solar industries as a competing segment, and explosives, and then they cater to the same mining industry. How does your TCO solution compete with solutions like them?

Tarun Sinha: Great question. Thank you for that. So, one way to look at this is , what Deepak is trying to do, as a solutions model, is completely different from any explosives manufacturer in India. I'll try to explain it in simple terms. All the explosive manufacturers in India, they supply explosives to the mining industry and the infrastructure industry. They invoice the client for the inputs in the form of explosives, in this case, and they get paid on the basis of the inputs that they have provided.

What we are developing as a business model is, in order to impact all this Drilling, Blasting,

Excavation, Transport and Crushing value streams in a particular mine, we are definitely putting in inputs there in the form of Products, Services, Technology, Solutions, People on the ground. So that's the input, which definitely we also invoice for. But in addition to this, and here comes the difference. In addition to these inputs, we guarantee certain outcomes as a result of the inputs that we provide to the mines and infrastructure projects. So, in other words, we agreed to a set of KPIs as outcomes co ming out of the inputs that we are putting.
So, in other words, we are putting our skin in the game and in doing so, we also request the beneficiary, which is the mining company or the mine operator to share a part of that benefit, which they get through the inputs that we provide and through the outcomes that we guarantee

and produce for them. We share a benefit for those. So, we also get paid for this output and the outcomes that we generate. That's the fundamental difference between us and explosives manufacturing companies. Input only in one cas e versus input and guaranteed outcome and getting paid also on the basis of the guaranteed outcome. So that's how I will try to summarize it at a high level.
Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital.
Deepak Poddar: The ammonia plant got commissioned, I think, in the first week of August somewhere, right? So ideally 2 months of incremental depreciation and interest would have got factored in, in this current quarter?

 Deepak Rastogi: That is correct, yes.
Deepak Poddar: So incremental , I mean, I think on a quarterly basis, we were of the view that Rs. 50 crores of depreciation and Rs. 50 crores of incremental interest costs will come through, right?
Deepak Rastogi: Yes, it's close to that, yes.
Deepak Poddar: But in this quarter, as I can see only Rs. 22 crores and around Rs. 25 crores of incremental depreciation and interest has come. I mean balance Rs. 25 crores for each, depreciation interest is likely to come in the third quarter? Would that be a fair thing to assume?
Deepak Rastogi: So effectively, we have capitalized close to Rs. 4,500 crores. So yes, I think Rs. 25 crores to Rs. 30 crores approximately should be the depreciation. I don't have to know the numbers by heart, but probably that number sounds to be right.
Deepak Poddar: The incremental that may come in third quarter, right? I mean, FY2025 ?
Deepak Rastogi: Yes, could be in that.
Moderator: The next question is from the line of Jason Soans from IDBI Capital.
Jason Soans I just required a certain clarification. When you look at the results and the notes to the accounts , you mentioned that there is a loss of Rs. 148 crores, emer ging out of the initial stabilization period for the ammonia plant. Now when you look at the presentation, this amount reduces to Rs. 87 crores. So, I just wanted to reconcile what is the right number for this stabilization?
Deepak Rastogi: So, Rs. 148 crore actually is the PBT number. Rs. 87 crore is the EBITDA number. So that is the difference. Both numbers are correct.
Jason Soans: Just one question. I just wanted to know, I understand that you have announced the demerger of the TAN and the fertiliser business and have seen the structure of it. But just wondered if you could just throw some colour on what you want to achieve through it, what is exactly your game plan to this restructuring, that would be really helpful.
Deepak Rastogi: So, are you asking the question, like, what is the game plan of restructuring of this demerger?
Jason Soans: Yes. What's the objective of it? Because I understand that you would want to move. You've already highlighted that you would want to move from a commoditized business to a more specialized one, and you're taking steps towards it. Now just in terms of the corporate structure, it was a little hazy to me. Just wanted to know what exactly your objective behind this corporate structure. The new one which you have, I can see it in your presentation, so I just wanted to know some colour on it.
Deepak Rastogi: Earlier, the structure was that Deepak Fertilisers, which is a holding company, was actually holding and it continues to hold the Industrial Chemicals business as well as the reality business. Underneath, there was a company called STL, which has now been renamed as MAL. With this

 restructuring, we are actu

ally taking away and the MAL had the Crop Nutrition business as well
as the TAN business. With this demerger, we are actually separating the TAN business from
CNV business , and the TAN business will be now called and Deepak Mining.
The purpose for restructuring is predominantly because each business is quite big right now and
hence, the leader for each specific strategy to obviously go through it. That is one of the reasons
why we want to do it, so there is a specific focus in each of the businesses.
Moderator: The next question is from the line of Shivnil Giri from Centrum PMS.
Shivnil Giri: Just regarding the Mining segment, the Mining business. You mentioned that you'll be reducing
the cost of ownership for the mine owners. So, will this be coming from yield enhancements or
changing the type of mix that is being used to complete the process? What would that be?
Tarun Sinha: As I was mentioning earlier, and this is just a recap in case you may not have captured it at that
point in time. There are 5 value streams in an operating mine, usually, which are namely Drilling,
Blasting, Excavation, Transport and Crushing. This is how the rock is extracted and there are
products in the form of different types of explosives that we are using. There are different kinds
of services, which is on -bench, last -mile execution services. Then there are different kinds of
blasting technologies in the form of software, tools also include artificial intelligence, using
drone, doing predictive blasting models so that next blast gets better than the previous one, so
on and so forth.
It's a combination of Products, Services and Technologies, which we depute and deploy and
supported by people, of course. Because this needs really high skilled people, which is a hard
thing for any company to make overnight because its first thing is to recruit the right types of
sort of people who understand the consumers' language, and then to train them up and then to
hand them over all those tools that I was talking about, supported by products and services and
then this team was to go and deliver all this mine. So, it's a combination of all of this, which
actually helps our consumers in terms of improving their performance.
Shivnil Giri: But wouldn't the cost of ownership increase be using these enhanced services over a period of
time? Because then you would have to offset that with certain improvements in their outcomes
right now and our outcomes right now how much you can expect from a rock or from any mine
for that matter. How would that cost o f ownership get? How would they be able to compensate
that with your enhanced services?
Tarun Sinha: The way it works is, we first do a baselining. So, as we step into a mine, let's say, we do a
baselining of their existing cost of extraction of mineral, which has got some benchmark levels
of cost of raw material, everything included and then we take up some pilot blasts through our
own design, software, all of that, that I was talking about, in some cases, changing products and
different kinds of services and we analyse through the pilot blast which of the 5 values between
drilling and crushing we can actually impact, and then we convert that in the form of a proposal
to the mining companies. So that's how we go about doing it. Take the process, which works
like that.

 Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to
Mr. Deepak Rastogi for closing comments.
Deepak Rastogi: Thank you, everyone, for your participation. For any further queries or clarifications, please do
get in touch with our Investor Relations team. Thank you, so much, and happy Diwali, to all of
you.

For further information, please contact:

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ote: This transcript has been edited to improve readability

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CIN: L24121MH1979PLC021360

expectations concerning the development of our business, a number of risks, uncertainties and other unknown factors could cause actual develop ments and results to differ materially from our expectations. These factors include, but are not limited to, general market, macro -economic, governmental and regulatory trends, movements in currency exchange and interest rates, competitive pressures, techn ological developments, changes in the financial conditions of third parties dealing with us, legislative developments, and other key factors that could affect our business and financial performance. DFPCL undertakes no obligation to publicly revise any for ward -looking statements to reflect future / likely events or circumstances.

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Call: Feb 2024

9th February, 2024

The Secretary Listing Department
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Mumbai – 400 001 Mumbai – 400 051
BSE Code: 500645 NSE Code: DEEPAKFERT

Subject: Management Transcript of Q3 FY 2024 Earnings Conference Call

Dear Sir / Madam,

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing
Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Management Transcript of the Earnings Conference Call held on 2
nd February, 2024 to
discuss the financial results of the Company for the quarter and nine months ended 31st
December , 2023.

The transcript of the Q 3 FY 2024 Earnings Conference Call will also be made available
on the website of the Company i.e. https://www.dfpcl.com/.

We request you to take the same on your record. Thanking you,
Yours faithfully,

For Deepak Fertilisers
And Petrochemicals Corporation Limited

Gaurav Munoli
Company Secretary
Encl: as above

Earnings Conference Call
Q3 FY2024

February 02, 2024

MANAGEMENT :
MR. S. C. MEHTA – CHAIRMAN AND MANAGING DIRECTOR
MR. DEEPAK RASTOGI – PRESIDENT AND CHIEF FINANCIAL OFFICER
MR. TARUN SINHA – PRESIDENT (TECHNICAL AMMONIUM NITRATE)
MR. SUPARAS JAIN – VICE PRESIDENT (CORPORATE FINANCE)
MR. DEEPAK BALWANI – HEAD (INVESTOR RELATIONS)

 Moderator: Ladies and Gentlemen, Good day and welcome to Deepak Fertilisers a nd Petrochemicals
Limited Q3 FY24 Earnings Conference Call hosted by PhillipCapital (I ndia) Private Limited .

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. S hould you need assis tance during the conference call, please signal the operator by pressing "' *" and then " 0" on your touchtone telephone. Please note that the conference is being recorded.

I now hand the conference over to Mr. Harmish Desai from Phillip Capital (India) Private Limited . Thank you and over to you, sir.

Harmish Desai: Thank you Manas. Good afternoon and welcome to the Q3 and 9 Months FY24 Earnings Call of Deepak Fertilisers a nd Petrochemicals Limited hosted by PhillipCapital.

From the management we have Mr. S. C. Mehta – Chairman and Managing Director, Mr. Deepak Rastogi – President and Chief Financial Officer, Mr. Tarun Sinha – President (Technical Ammonium Nitrate), Mr. Suparas Jain – Vice President (Corporate Finance) and Mr. Deepak Balwani – Head (Investor Relations).

I would like to thank the Management for giving us the opportunity to host this call. We will begin the call with "Opening Remarks" from Mr. Mehta followed by Mr. Deepak Rastogi for detailed and financial performance post which we will have a Q&A session.

Thank you and over to you, Sir.

S. C. Mehta: Thank you. Good afternoon to all of you. I extend a warm welcome to each of you for joining us in our Q3 and 9MFY24 Earnings Call of Deepak Fertili sers.

Our "Earnings Presentation and Press Release" have been up loaded on the Company 's website as well as on the S tock Exchange and I hope you have had a chance to review it.

Now, as you would have noticed from the figures t hat we have faced yet again a very challenging quarter. However , let me take this opportunity t o share what are macro and micro undercurrents that will help you to better understand the context a s well as the figures and also get a bit of a medium -term long -term perspective as we see it.

So, the Results are good or challenging based on what they are compared with. So, last year was our historic unusual best hence comparing it with last year t he current quarter , 9 months do appear rather pale. However, when we take the average of the last 5 years same quarters o r last 5 years 9 months w e have noted that the contribution margins continue to be good, and this shows the resilience of our business.

If I were to put aside the one time subsidy hit on the f ertilizer side and also the onetime Ammonia plant stabilization cost d uring the stabilization period, then in fact our margins profile are

 actually better. As far as the Ammonia project goes, which as you all recall was a large investment, it has now fully stabilized. We recently completed our guaranteed test runs and the capacities and efficiencies have been now well proven.

So, in a nutshell from a higher volatile zone of Ammonia to all downstream w e have now moved to a lower vola tile zone of gas to downstream w ith the Ammonia plant coming in and that is going to help all the three businesses as we go forward. We are also broadly seeing that the global newer Ammonia capacities like at Maaden, they are getting tied up wi th downstream fertilizer needs and with all that put together we expect the Ammonia prices to stabilize.

Now in case of our Technical Ammonium Nitrate (TAN) business which serves the mining sector w e did face a big hit emerging out of the h

uge quantum of Russian fertilizer grade ammo nium nitrate dumped into India because of the sanctions on the Russian products in some other countries.

Now as we see we are seeing that some demand revival of the fertilizer grade ammonium nitrate for Russia's domestic demand itself as well as in Brazil where earlier this year the pickup was almost half of the typical needs. Also, as what we had envisaged in the last call that the Government t has now ope ned up the ban on exports of TAN by some 30,000 tons and we expect the complete removal of the ban in the near future as a good policy an d that will allow us to export our top -grade TAN which will help going forward.

The Government is also being sensitized to non -level playin g and safety security concerns w hich are there for t he imported fertilizer grade ammonium nitrate (AN) a nd which may result into some non- tariff barriers and controls for the imported Afghan.

Lastly, as you would have read more recently Coal India's aggressive plans to supply domestic coal i s targeted to completely replace all th e imported coal coming to India. T his Atman irbhar drive is likely to boost TAN demand to probably double digit CAGR positive for our Gopalpur project.

Now, as regards industrial chemicals. We've seen some global slowdown overall emerging out of the increasing interest rates and aggressive supplies last year at higher prices. As we speak now, we see the upward interest rate regime slowing down which you are all reading about in the US and elsewhere, and a fair degree of destocking that has happened which we are now seeing that gradually we should shift back to normal prices.

Finally, as far as the fertilizer business goes j ust to explain the context Government of India had come up with the nutrient -based subsidy scheme some 10 years back. What it simply meant was there would be fixed subsidies and free MRPs . So, they would allow us to price our products, fertilizer products freely.

However, in the last few years with the global pr ices of fertilizer shooting up t he Governmentclamped down upon free pricing and as regards fixed subsidies a s per the formula

 they are based on previous 6 months average. Now in case of risin g global prices t he industry would suffer losses on its inventory because the fixed subsidies would be co vered based on the previous 6 months.

In light of this, the industry had been pleading to the Government to restore the old nutrient - based subsidy scheme with free MRPs but worries of farmer Vote Bank the Government was worried about any exploitative pricing.

Now I might share that a very good middle path was announced by the Department of Fertilizer just 7 days, 10 days back which came up in terms of guidelines for reasonability of margins. So, up to what margin t he industry can make and beyond which it would be something that would be exploited even we would need to give it back.

So, these margins are allowing us decent headroom a nd definitely better margins tha n what we are looking at today a nd these margins the margin guidelines are also somewhere giving us headroom for innovations. So, this policy and this clarity is something that the industry was looking forward to and it will be a very positive dimension to look at the fertilizer sector going forward.

Our innovative crop specific CropT ech product has been gaining very good traction a nd if I summarize at the fundamentals our committed strategy of moving from commodity to holistic solutions f or the crop nutrition bus iness, for the technical ammonium nitrate mining business as well as industrial chemicals where we are looking at specialty grades t hat strategy we feel is validated again and again even during tough times and that is something

that we are looking forward to further building upon and our recent ly approved restructuring will get a more focused I would say drive on each of our businesses.

So, with these broad perspectives, I will hand over to Mr. Deepak Rastogi our CFO to take you through more details and then of course be available for any clarifications for any of your questions. Thank you.

Deepak Rastogi: Thank you, Mr. Mehta. Good a fternoon, ladies and gentlemen and I thank you for joining Deepak Fertilis ers and Petrochemicals Corporation Limited Conference Call to Discuss the Q3 Financial Year ‘24 Results.

During Q3, we repor ted total operating revenue of Rs. 1, 853 crores with an operating EBIT DA of Rs. 2 82 crores. Our operating margins grew by a pproxi mately 343 basis points quarter -on-quarter to 15.2%. The net profit for the quarter is 61 crores with a margin of 3.3%.

Similarly for the 9 months, which is YTD December f or this financial year, we reported total operating revenue of 6 ,590 crores with an operating EBITDA of 849 crores. 9 months revenue and operating EBITDA have shown a consistent increase over the previous 5 years except for last financial year which we know was a positive aberration. The operating EBITDA margin is 12.9% and without the one -time impact which actually we took in H1 the same will be 18.3%.

 The one time impact includes subsidy impact of 267 crores an d 87 crores on account of Ammonia business stabilization d uring the first half of financial year.

Coming to the performance of our business segment f or chemical bus iness:

Chemical segment margins t hat improved to its 24% in the Q3 versus 21% in Q 2 the capacity utilization of our a cids and ammonium nitrate business was closer to almost 89 %, 90%.

Similarly, the capacity utilization for 9 months was around 90 % to 92%. Our manufactured

Specialty Chemical s egment recorded revenue of 382 crores compared to 454 crores in Q3 of last year .
Nitric Acid sales volumes improved b y 9% YoY a nd for 9 months it was similar which is around 10%. For IPA, the sales volumes improved by almost 49% for the quarter, which is YoY and 66% YoY for the 9-month period. Now due to p oor demand and downstream from the downstream industry there was huge amount of imports of nitro aromatics from China a t a very, very cheap rate which act ually impacted the m argins for our Nitric Acid business, and it also impacted the volumes.
However, the margin pressures which Nitric Acid business actually phased for more than offset by our IP A business p rofitability during the quarter as well as obviously for the 9-month period.
The manufactured TAN business had a revenue of 440 crores i n Quarter 3 and despite the positive industry trends the cement as well as power sector actually grew almost by 14 %, 15%.
Overall, TAN sales volumes during the quarter declined by 15% YoY in Q3 and by 7% for the 9-month period becaus e of a huge import from Russ ia during the speed and at it was at a very, very cheaper rate.
Follo wing the lifting of the export ban i n a phased manner, we will restart our TAN export operations i n the coming quarter onwards. Demand is going to be we understand, will continue to be stable. The expected increase in domestic demand in Russia and demand for Russian products in Brazil are projected to reduce and hence we expect that the R ussian imports would gradually be obviously coming down over a period of time.
During the quarter, bulk ferti lizers volumes improved by 23% YoY for Quarter 3 and the pl ant utilization was closer to 75% in Q3 versus 67% for the 9 months. As you are aware that because of the erratic rains d uring the rainy season has a ctually impacted and similarly lower than average rainfall and inadequate and an

educated irrigation water and especially for Q3
unseasonal rains and hailstorm actually has caused a reduction in sowing of rabbi crop, b ut SkyMet's recent predictions indicate normal monsoon for the current year which w ould support a good fertilizer season for skies.
PCL Ammonia plant we actually after successful commissioning in August 20 23 w e the plant has conduc ted performance guarantee test r un which has conclusivel y established the design norms are achieved. The plant is current ly running at f ull design capacity.

 With available capacity across our plants, we are well positioned to navigate through challenges
and capitalize on the growth opportunities. W ith this I would like to open the floor f or questions and answers. Over to you, Moderator. T hank you.
Moderator: Thank you very much. We will now begin the question-and -answer session. We have our first question from the line of Jenam Gilani from Swan Investment . Please go ahead.
Jenam Gilani: So, we had a few questions. Sir , I wanted to know what is the current spread for imported Ammonia versus our production and when do we expect it to run at full utilization?
Deepak Rastogi: Maybe I am not clear on your first question a re you asking that what is the Ammonia pricing FOB Middle East U.S dollars which is closer to A round 400 and it ranges which one, but last quarter it was clo ser to almost $475, $480 on an average. As far as your second question is concerned, we are actually running the plant at full capacity .
Jenam Gilani: How much sequential improvement can we expect in this quarter or the upcoming quarter s?
Deepak Rastogi: I'm not clear about the question are you asking that i s that on the margin side?
Jenam Gilani: In terms of the spreads for us for the Ammonia spread, how do we expect it to like what would be the spread for us in the upcoming quarters, d o we expect it to improve, or should it be stable?
Deepak Rastogi: So, effectively what we are expecting is that it should be more or less stable or maybe slightly coming down because it depends upon how the ammonia prices globally actually are going to behave. So , we expect the Ammonia prices would at least be either stable or co ming down a little bit is what our understanding is, but we will have to really see how it will actually happen. So, for the time being you can think it will be stable to a slightly marginally.
Jenam Gilani: And sir in the fertilizer the Department of Fertilizer Policy that has b een given by the Governmentt. Sir, where will we be standing, w ill we be considered a manufacturer or integrated player?
Deepak Rastogi: We would be actually considered as manufactur er.
Jenam Gilani: So, I gues s the CAP for us would be 10% PBT margins?
Deepak Rastogi: That is correct.
Jenam Gilani: And how would that impact our profitability?
Deepak Rastogi: I don't think that it is going to impact our profitability because it is within our overall limits that we can actually

improve our profitability until that happens 10%. So, the profitability can go up.
So, we have room to be able to actually improve our profitability going forward.

 Jenam Gilani: And sir as you mentioned that the ban of TAN exports ha s been lifted, so when do we expect the first shipment from us for exports?
Deepak Rastogi: So, I will ask my colleague Mr. Tarun Sinha to respond to this, please.
Tarun Sinha: Right now we are just waiting for our export license from the statutory bodies and it has taken a little bit of time because of the cor porate restructuring that Mr. Mehta talked about where we had actually f irst change the name of the Company from “Smartchem ” to “Mahadhan” under which the TAN business came and then through a recent demerger process we are demerg ing the TAN business from “ Mahadhan” to “Deepak Mining Solutions Limited” .
So, as a result of these name changes, we are just awaiting some licenses from statutory bodies and with that we expect if not by March, then certainly by start of April our export should commence.
Jenam Gilani: And s ir last question. As you had mentioned that the chemical business was impacted by imports. So, can you please help us what were the total imports for our products and how is the situation in the month of January?
Management: Are you basically looking at for the TAN products?
Jenam Gilani: Yes TAN.
Tarun Sinha: Sorry I probably thought this question was about chemicals or was it about the import of ammonium nitrate, can you pleas e come back with your question.
Jenam Gilani: Yes, import of the ammonium nitrate.
Tarun Sinha: So, what's you r specific question around that ?
Jenam Gilani: We were mentioning that we were impacted by imports. So, is there any feature that what was the total imports for the products during the last quarter and how is the situation in January, have the imports reduced or so?
Tarun Sinha: I will just give you some pointers to get some picture around it. So, last financial year, which was financial year ending 31st March 2023 , the total quantum of imports was 3 55,000 - 356,000 of that order an d in the first 10 months of this financial year which is in the January it has been around 373,000 - 374,000 odd tons. So, the imports are higher this year, but having said that the demand of ammonium nitrate in India is also growing. So, a part of that growth is being taken by imports naturally and whil e the domestic capacities are trying to service the rest of the demand of the country.
Moderator: We have a next question from the line of Deepak Poddar from Sapphire Capital

 Deepak Poddar: Sir first up just wanted to understand, and I mean couple of impact that you mentioned about the Russian imports as well as the Chinese import impacting the TAN and Nitric Acid respectively the sales. So, I mean how much time do you think that it will take from now for the situation to normalize as we speak now, I mean we are we are we one quarter, two quarter away from things getting normalized and plus the export impact also benefit will also come. So , some light on that would be helpful .
Deepak Rastogi: Obviously, it’s difficult to basically pinpoint any specific timelines for it, but I'll give you an answer in very specific parts for our industrial chemicals which is Nitric Acid and obviously for TAN ammonium nitrate.
As far as the industrial chemical which is Nitric Acid is concerned given that the destocking has already happened and obviously, we are expecting that the interest rates are obviously Fed has already said that t he interest rates are going to eventually increase. Hence, there should be an uptake o f volume and obviously the reduction in imports overall is what we are expecting f or a couple of quarters . Now, whether it will happen in one quarter , two or three quarters it is diffic ult for us to obviously comment, but it is in near term obviously the things are getting stabilized now. This stability will continue, and it will eventually improve, but we'll have to really wait and watch how and when the situation improves. As far as A mmonium Nitrate is concerned as Mr. Tarun Sinha was mentioning that we have actually seen t he imports actually coming in from Russia because of t hat they are actually exporting close to 1.5 million metric tons of Afghan to

Brazil in the past, but in this

year specifically they have only exported around 1.1 million to 1.2
million tons to Brazil and it was b ecause of officially the lack of demand in those markets and
all that product which was going to Brazil ha s actually made into India. So, obviously the things
again on Ammonium Nitrate are stabilizing now and o bviously this could be one time event, it
could r epeat, but we'll have to really see.
The o ther thing which I would also place on record is that gener ally there is always an import
closer to 350,000 metric tons which would continue, which doesn't impact our growth and things
like that because the domestic market is also improving. So, for Ammonium Nitrate also we are
seeing a stabilizing signs o bviously Q3 have been one of the tough quarters across both these
business, b ut we have seen lot of si gns of stabilization and hence w e think that the improvement
would obviously start c oming in, it's only a matter of time whether it will take one quarter or
couple of quarters w e'll have to really wait and watch how the situation is.
Deepak Poddar: My second question revolves around your Ammonia. Currently it is at $475 - $480 per ton, the
Ammonia Middle East FOB price because that was you mentioned about was for the last quarter?
Deepak Rastogi: Currently obviously it keeps changing. C urrently it is hovering around $ 425 to $450 so that i s
the range, especially in January.
Deepak Poddar: $425 to $440?

 Deepak Rastogi: $440 - $450 that is right, but what happens is that on an average you have to see how the whole
month actually drive it. So, the Ammonia prices FOB – ME have actually been variating quite a
bit and we think it would actually stabilize over a period of time . I would say generally the r ange
of Ammonia is closer to $450 to $475. So, it should have stabilized in that range.
Deepak Poddar: And what would be our spread at this $425 to $450 per ton including the benefit we get from the
Government ?
Deepak Rastogi: We had been basically talking about a spread between $75 to $125 depending upon how the
actual variation is, b ut at $450 generally we talk about a spread of close to maybe around $75 to
$100.
Deepak Poddar: And that includes the Government benefit of $75 that we get?
Deepak Rastogi: That will be tha t will be slightly over and above .
Moderator: Thank you, s ir. We have our next question from the line of Aditya Sen from Robo Capital. Please
go ahead.
Aditya Sen: With the capacity addition in T AN and given that we will start exporting in the coming quarter,
how much volume addition do we aspire in the coming year that is FY 25?
Deepak Rastogi: We basically are currently at 486,000 metric tons and are looking for 100,000 tons worth of
capacity expansion g oing forward in next year which will take us to around 587,000 metric tons
with Gopalpur coming in sometimes in FY 26-27 that would actually add up additionally 376
tons. So, give or take in a couple of years we would be close to a million metric tons of capacity.
Aditya Sen: And this 100,000 tons in next year is expected to come by which quarter, ?
Deepak Rastogi: The 50,000 tons is already in place 50,000 tons is under obviously planning mode. So, it will
come early next year financial year.
Aditya Sen: My question basically is because Ammonia CAPEX, which is sort of a backward integration
CAPEX ultimately, we believe that the objective is to c ut down the volatility on the A mmonia
prices. So , do we expect any increase in gross margins or any EBITDA with the addition of such
CAPEX?
Deepak Rastogi: Yes, the answer is yes otherwise there will be no ROI. So, effectively there will be an increase,
but it also depends upon how the A mmonia prices in the global ma rkets are doing it eff

ectively,
but just to give you an answer , overall we have been looking at a payback period of around
6 -7 years f or the project and hence accordingly the numbers and we think w e would be able to
basically be delivering those numbers over there .
Moderator: We have a next question from the line of Ranjit from IIFL Securities. Please go ahead.

 Ranjit: The first question is on the PCL performance chemicals. Can

you share rough financials whether
you would be able to breakeven at the EBITDA level for this quarter?
And second, you have also mentioned that we are looking forwar d to getting the Government
incentive , the state Government incentives. How do we account for that, w ould it be accounted
up in the 4Q or as and when we would receive that? That's the first question I had?
Deepak Rastogi: Ranjit so that I understand a re you saying that will we be break even at EBITDA level this year
or means coming quarter is wh at your question is.
Ranjit: Yes for PCL?
Deepak Rastogi: The answer obviously we'll have to do some math , but the answer could be yes roughly, but we'll
have to really see how the overall things pans out in terms of external FOB A mmonia, obviously
rising because it's all the revenues of PCL are d etermined on the obviously how it is marked
with the market pricing. So, that is number one.
As far as the other question which you had was how we account for the incentives is what your
questi on is that state incentives. So, these numbers if I were to obviously start adding incentives
because these numbers are wit hout incentives then definitely, we will be EBITDA positive, but
we are actually currently in a process of filing the details for the eligibility certificate and once
we have got those things we should be able to account for it. Now we are working on the
timelines as to when we will be a ble to get those from the district industries commission. So, we
will hav e to really see when we get it, b ut the idea would be that if we can get that eligibility
certificate d uring this year then we should be able to account for it as well during this year end.
Ranjit: Just on e extension for whether the 2 Q or 3Q w hatever production that we have done, we would
be eligible for that, or it would only be implemented from the date of elig ibility certificate that
we get?
Deepak Rastogi: No, it is from the start of the production.
Ranjit: The second what is the average gas costing now since we have almost entirel y tied up. So, if you
can help with the average gas costing that would be helpful?
Deepak Rastogi: It is somewhere around closer to around \$13.5 MMBTU .
Ranjit: And final bit of the FOB price that you have shared, what will be the landed cost of A mmonia?
Deepak Rastogi: So, when you talk about FOB ME pricing you are talking about dollars, we have to add to
basically get to the landed cost. So, closer to around \$100 - \$110 because just at a landing it is
\$100 then you have to add customs and all which will add maybe around \$15 more. So, that is the reason I have said it is
around \$110 - \$115.

 Ranjit: And finally, any update on the Nitric Acid project that we have done, what are the timelines we
are looking at for the commissioning?
Deepak Rastogi: So, we are look ing for the second half of FY 26.
Ranjit: FY26?
Deepak Rastogi: Yes.
Ranjit: And what is the CAPEX that were incurred till now out of Rs. 1,900 o dd crores?
Deepak Rastogi: So, we have just started it. I t is actually currently because we are into more procurement right
now. So, it's more of placing the orders and providing th

e LC s wherever it is required because
lot of assets are long lead items, but j ust if from a cash perspective we have hardly incurred
Rs. 20 crores – Rs. 30 crores so far.
Moderator: We have our next question from the line of Mr. Ankit from Kota k. Please go ahead.
Ankit: Sir, can you please let us know the net debt number for December 23?
Deepak Rastogi: It will be closer to around Rs. 4,000 closers to that number.
Ankit: This is net debt, right?
Deepak Rastogi: Yes, that is correct. It’s an annualized number, that’s the way we are looking at this.
Ankit: Sir annualized as in annualized for FY24?
Deepak Rastogi: Yes, that is correct.
Ankit: And what is the status on Gopalpur project?
Deepak Rastogi: So, currently just to answer you currently we are at around Rs. 3,400 crores as a net debt
effectively just to give you a sense.
Ankit: On my second question what is the status on Gopalpur project?
Deepak Rastogi: So, that progress the project is progressing well now, and the time lines are for second half of 26.
Moderator: We will have our next question from the line of Sharan Nandikoren from Individual Investor.
Please go ahead.
Sharan Nandikoren: I would like to know the demerger status and by when both the entities will be listing separately
on the stock exchange.

 Deepak Rastogi: So, we have got the order . They have pronounced the order on 17th of January. The demerger
has been approved and w e have yet to receive the order. So, it will take a while, maybe a month
or so to basically put that process in place.
The second question on the IPO side is what you are saying we will have to basically run these
companies and whenever t he board actually approves the l isting process then we will come back
and then a ccordingly plan and then inform everyone.
Sharan Nandikoren: What's the timeline ? Do you have any timeline like in next two quarters this will happen like
allocation of sha re ratio for the existing share holder and when both entities will be listed
separately?
Deepak Rastogi: So, currently board has not taken any view on tha t. So, there is no timeline as such which I can
provide you.
Sharan Nandikoren: And the second question is about the non-core asset, real estate. I think for the last more than
one year we have been discussing in all the calls and currently the Company is going through
tough times with respect to imports and other phrasi ngs. Is there any plan for selling the non-
core asset , to liquidate a nd make the balance sheets stronger?
Deepak Rastogi: So, there is always a plan obviously for liquidation. The only thing is the board has not taken a
final view and whenever obviously we get the best pricing so the board will take a call an d then
accordingly, we'll do it, but we are aware of this, and we want to do it no sooner than later.
Sharan Nandikoren: And the question on what's our production cost of A mmonia currently market price is $ 450 what
you said, what's our production cost?
Deepak Rastogi: It’s around $38,000 - $39,000 or maybe around closer to $40,000.
Sharan Nandikoren: Sir it’s a $450 per ton is the market price and our per ton production cost?
Deepak Rastogi: The production obviously we don't provide those numbers but net -net we always say the margins
which we basically or the spread we have depending upon how the Ammonia prices, the spread
ranges from $75 to $125.
Sharan Nandikoren: I have one request actually , can we get an update on whenever there is an increase in the export
like export ban was there and it is lifted now from $20,000 to $30,000 and any further because
all these updates we will not get to know until the con call in between the quarter whenever such
things happens if we get an update on these thin

gs it will be helpful?
Deepak Rastogi: Sure, we will look in that.
Sharan Nandikoren: And also, the export licensing that's also pending from last one quarter, Mr. Tarun mentioned in
the last con call as well that it is pending and even today its pending whenever that happens if

 we get update on such things, these are major events in terms of export ban, export lifting and
getting the approval all these things t hat's the request. Thanks for your time.
Moderator: We have our next question from the line of Neeraj , Individual Investor. Please go ahead.
Neeraj: Just wanted to wha t is the status on putting anti-dumping duty again and last con call I gathered
that the matter is sub judice. So, any update on that front is specific to TAN business?
Tarun Sinha: So, the answer is still the same as in India when the matter is sub -judice we would be lucky to
have a decision in a quarter which is the time gap between two consecutive con -calls like this.
So, the matter is still sub -judice.
That said it appears th at now the Ministry of Finance w hich earlier had been rejecting unilaterally
without assigning any reasons to a number of AD D recommendations f rom the D GTR which is
the Directorate General of Trade R emedies under Ministry of Commerce and Indust ry, and this
is not just for Ammonium N itrate , for many products in different industries.
Now I think the message they're getting is that the stand of Ministr y of Finance is changing
slowly. So, we'll just see what happens and as I said it's hard to put a date or timeline to a matter
which is in court.
Neeraj: So, is that stand is changing, are we expecting that something positive can happen in terms of
again putting this anti-dumping duty? Any such feedback or feelers you have from the
Government side?
Tarun Sinha: At this stage no , it is just a very recent information we received t hat now probably things are
looking for better not sure whether it is for A mmonium Nitrate or it is for which product, but

certainly there is a bit of a change what we feel.
Now, if we are talking of the pending matter , which is the matter pending in the court now that probably will continue to be in court and we will have to wait till the d ecision comes out. If it comes to a stage that there's a case for putting in a new AD D request t hen it will follow the entire process as it does which is starting from Directorate General of Trades and Remedies, and then if they feel there's enough justification for a fresh anti- dumping duty, then they may develop a case, put up the case to make your finance again and then we will have to see what happens there.
Neeraj: So, we are expecting any such development?
Tarun Sinha: If there is a case we will. So, I think our chairman mentioned in the initial part of this call that we have sensitized the different Government bodies in terms of the need to create a level playing field for the Indian producers and then there are ways to do that through tariff barriers, t hrough non-tariff ba rriers. So, all those measures are being looked at and we will towards the line depending on how the Government and the various ministries and guide us on this process.

 Moderator: We will move on to the next question from the line of Kushal Shah, an Individual Investor .
Please go ahead.
Kushal Shah: My questions are on the lines of the mining s olutions business that we have, a nd my first question is about the nature of contracts that we have with our customer. What are the inputs w e provide to our customers as in we do we make some kind of promise that we

will produc e x tons of the material and what kind of r eturn do we get like do we get the percentage of amount we will save for them?
The second question is since we have no experience in downstream like w e do have experience for using TAN, b ut we do not have experience in Mining . So, what kind of prototyping have we done in this area and what kind of customer reviews we have got till now?
Tarun Sinha: So, that's a great question because it is aligned to again one of the comments our chairman made right in the beginning of the call which is our transformation strategy for all our businesses from just selling products to solutions and in the T echnical Ammonium Nitrate which is now going to become a M ining solutions Company anyway going forward through the corporate restructuring. This is the buzzword.
So, what we do I'll try to keep it simple. The details can be quite lengthy. What we do with the Mining companies and the M ine operators is that see effectively there are 5 value streams in a typical mine and they are starting from drilling which is drilling holes in the rock then blasting which is putting the right type of explosives in the right quantities in those h oles in the rock. So, that's blas ting after the rock is blasted the third value stream is lifting that rock excavating that broken rock so excavation a nd then that excavated rock is moved from where it was blasted to the place of processing or further t reatment s o that's transportation the fourth one. And the fifth one is crushing, if applicable.
So, drilling, blasting, e xcavation, transport and crushing i f we combine these 5 operations in a typical mine or an infrastructure project then this is what we call as the total cost of ownership of the mine operator or the quarry opera tor of the project operator. So, what we do in the form of mining solutions business is we reach out to the mines and these infrastructure projects try to do a base lining work in terms of mapping the baseline cost for each of these 5 value streams that I talked about t hat is that is drilling to crushing.
Figure out w here are the scope of impr ovements in terms of the delta t hrough introduction of the right products and the right technologies which we are in the process of developing and that's the part of downstream the term that you used in your question and then we deploy a team of people which is another area where we are building capability and then we actually offer put an offer on the table for the mine operator saying look this is what we feel it is in terms of the current cost structure and these are the let's say 2 out of the 5 value streams or 4 of the 5 value streams depending on the case where we think we can bring delta improvement. And as a result of we are being able to bring that delta improvement and if we are able to bring that delta improvement, we would like to share some of the benefits with you.

Earnings Conference Call Q3 FY202 4 • www.dfpcl.com So, in other words, the model that that the mining solutions business of Deepak is putting in the
market is we provide inputs to the mines in the form of pr oducts, services and solutions which
includes technology and get paid for that a nd at the same time we guarantee certain outcomes as
a result of the inputs that we provide and those outcomes are agreed in the form o f certain KPIs
in our contract and then we try to go for benefit sharing once we deliver those outcomes.
So, it's a two -way income stream input and outcome based, that's the kind of model w hich we
are working on, and we will continue to develop as we go along.
Kushal Shah: Sorry to interrupt you. Is it a one-time contract or is it a long running contract for multiple years?
Tarun Sinha: So, initially we were doing shorter term contracts let's say 6 mont

hs kind of thing because this
is a new concept, a novel concept in India. N o Company in India is doing it actually and therefore
the consumers also wanted to see how it actually works from their perspective . Now that we've
done a number of these a nd now the success is there, and the consumers can see it. We are now
targeting slightly longer -term contracts.
When I say longer term, we will be look ing at anywhere between 1 to 2 year kind of contracts
to begin with and again as we get more matured the industry gets more matured , the consumers
start to see even more value out of this potentially in the longer term we can go for even longer
term contracts.
Kushal Shah: So, the unanswered part of my question is what kind of prototyping have we done and what kind
of customer reviews have been till now and what road map do we expect, h ow long do we expect
till we go to full scale?
Tarun Sinha: So, the short answer is entire country is the canvas that we can attack with this model because
nobody in India is doing it. When I say entire co untry one level down detail is all the mines in
India and all the infrastructure projects in India and there are thousands of them as we know. So,
it's a huge canvas to cover, b ut then the point is not every consumer is at the same level in terms
of how they look at productivity improvement.
So, we are very conscious in terms of approaching those consumers first who actually understand
this language that we are trying to develop and then we start to engage with them, and t he results
have been quite good.
In saying so we basically approach the entire market in three segments. One is what w e call as
coal segment w hich is a very big segment in India the coal mines, that's coal segment for us.
Then the non-coal mining segment which is all other minerals other than coal and limestone all
put together because they have different ways of running their mines, their nuances are different,
their requirements are different, mindset is different.
And then the third segment which we approached for this solutioni ng model is the infrastructure
segment w hich is completely different from mining anyway. So, these are the sort of customers

Earnings Conference Call Q3 FY202 4 • www.dfpcl.com and we have actually covered all three types of customers in the past 12 months to 18 months
with this novel idea and this novel business model and as I said it's picking up traction as we go
along.
Moderator: Thank you, sir . Ladies and gentlemen, that was last question for today and I now hand the
conference over to Mr. Deepak Rastogi s ir for closing comments.
Deepak Rastogi: Thank you everyone for your participation. For any further queries or clarifications please do
get in touch with our Investor Relations team. Thank you.
For further information, please contact:

Note: This transcript has been edited to improve readability

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expectations concerning the development of our business, a number of risks, uncertainties and other unknown factors could

cause actual develop ments and results to differ materially from our expectations. These factors include, but are not limited to, general market, macro -economic, governmental and

regulatory trends, movements in currency exchange and interest rates,
competitive pressures, techn ological developments, changes in the financial conditions of third parties dealing with us, legislative developments, and other key factors that could affect our business and financial performance. DFPCL undertakes no obligation to publicly revise any for ward -looking statements to reflect future / likely events or circumstances.

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Call: Jun 2024

June 4, 2024

The Secretary Listing Department
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Phiroze Jeejeebhoy Towers, Exchange Plaza,
Dalal Street, Fort, Bandra - Kurla Complex, Bandra (E)
Mumbai – 400 001 Mumbai – 400 051
BSE Code: 500645 NSE Code: DEEPAKFERT

Subject: Management Transcript of Q4 FY 2024 Earnings Conference Call

Dear Sir / Madam,

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Management Transcript of the Earnings Conference Call held on 30th May, 2024 to discuss the financial results of the Company for the quarter & year ended 31st March, 202 4.

The transcript of the Q 4 FY 2024 Earnings Conference Call will also be made available on the website of the Company i.e. https://www.dfpcl.com/.

We request you to take the same on your record.

Thanking you,
Yours faithfully,

For Deepak Fertilisers
And Petrochemicals Corporation Limited

Gaurav Munoli
Company Secretary
Encl: as above

"Deepak Fertilisers and Petrochemicals Corporation Limited Q4 FY24 Earnings Conference Call"

May 30 , 2024

MANAGEMENT : MR. S. C. MEHTA – CHAIRMAN AND MANAGING DIRECTOR
MR. DEEPAK RASTOGI – PRESIDENT AND CHIEF FINANCIAL OFFICER
MR. TARUN SINHA – PRESIDENT (TECHNICAL AMMONIUM NITRATE)
MS. PALLAVI BHALLA– HEAD (INVESTOR RELATIONS),
DEEPAK FERTILISERS AND PETROCHEMICALS CORPORATION LIMITED
MODERATOR : MR. HARMISH DESAI – PHILLIP CAPITAL (INDIA) PRIVATE

Moderator : Ladies and gentlemen, good day, and welcome to the Deepak Fertilisers and Petrochemicals Limited Q4 FY '24 Conference Call hosted by PhillipCapital (India) Private Limited .

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*"and then "0" on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harmish Desai from PhillipCapital (India) Private Limited . Thank you, and over to you.

Harmish Desai : Thank you, Myron. Good evening, and welcome to the Fourth Quarter and Full Year FY '24 Earnings Call of Deepak Fertilisers and Petrochemicals Limited hosted by PhillipCapital.

From the Management , we have Mr. S.C. Mehta – Chairman and Managing Director; Mr. Deepak Rastogi, President and Chief Financial Officer; Mr. Tarun Sinha, President, Technical Ammonium Nitrate; and Ms. Pallavi Bhalla, Head of Investor Relations.

I would like to thank the management for giving us the opportunity to host this call. We will begin the call with opening remarks from Mr. Mehta followed by Mr. Deepak Rastogi for update on financial performance, post which we'll have a Q&A session.

Thank you, and over to you, sir.

Sailesh Mehta : Thank you, Harmish. Is my voice okay?

Harmish Desai : it's fine, sir, yes.

Sailesh Mehta : Okay. A very good afternoon to all of you. I extend a very warm welcome to each of you for joining us in the Q4 and Full Year Earnings Conference call of Deepak Fertilisers. Our earnings presentation and the press release have been updated on the company's website as well as on the stock exchange. And I do hope you have had a chance to review it. But let me share with you a few of my observations and the broad comments.

So, we have just completed our Board meeting where we reviewed the consolidated results of the Q4 as well as the year. And I was sharing with the Board that this year, we faced very strong headwinds in all the 3 of our businesses. And such a negative triple ef fect is rather rare. Generally, it doesn't happen, but we did face headwinds in all our businesses.

For instance, in case of mining chemicals, TAN business, there was a strong short -term aberration of dumping of cheap fertilizer -grade ammonium nitrate in large quantities from Russia. In our industrial chemicals, again, we faced a short -term aberration em erging out of cheap Chinese Nitroaromatics, which impacted our downstream asset customers, whereas in the fertilizer business in the crop nutrition business, we faced some unusually low and erratic rains

last year and almost a drought -like situation in some of the states where we operate. And along with this, there was also a certain degree of micromanagement of products and prices by the government, keeping in view the short -term orientation. Additionally , we also had to take 2 rather heavy financial hits, namely 1 being that there was a onetime large subsidy hit that we had to accommodate and the other being emerging from our new ammonia plant stabilization costs.

Now all these headwinds were pretty strong and impactful. And yet, if I look at the last year and I look at the last Q4, see, when we look at our Q4 EBITDA margins and we compare it with Q4s of the last 5 years, the Q4 '24 EBITDA margin of 21% is indeed am ong the highest, other than the 24% we had clocked in, in an unusually good FY '22. Second is the TAN mining chemical business delivered second -highest volume in its history. The IPA business bounced back at 44% year-on-year. Our crop -specific Croptek fertilizer grew by 11%.

And looking at all these aspects and the fundamental trends, ICRA reaffirmed our long -term and short -term ratings. And taking cognizance of all of this in the Board meeting after due deliberations, the Board has also recommended 85% dividend. So, if you were to ask me in one word to explain the year that went by and our operations, the only word that comes to my mind is resilience, that our businesses have shown great resilience to all the headwinds that we face. And unusual, like I said, the headwinds that came on all the 3 businesses.

Having said that, now going forward, let me share some of the dimensions and interesting dimensions that I am seeing. Going forward, number one, with our ammonia plant, the new ammonia plant now stabilized because we have just completed also the guaranteed test run and with its running rated capacity and with globally best efficiency norms, this will make our val ue

chain rock solid.
The second is you would have heard that we have tied up a very attractive formula base, 15 -year LNG contract with the Norwegian giants. And this will bring a complete upstream stability. So, right from LNG, ammonia, building block, nitric acid to all the downstream. So, the whole value chain will be rock solid.
Third I would share is that our TAN mining chemical expansion project at Gopalpur, it is going to capitalize not only on our 40 years of proven capability in that space, but also on the hugely growing coal limestone and infra sectors linked to the India gr owth story.
Fourth, the new nitric acid project that we have taken up, again, leveraging on our 40 years history and a large capacity already underwritten by our customer under a long -term contract, will bring another risk -mitigated attractive project. Additionally, y ou would have heard that we have just recently signed a 7 -year strategic commercial alliance contract with a global leader in specialty fertilizer, namely Haifa. And this will speed up our journey in the very attractive specialty fertilizer sector.

Additionally, I am happy to share that the IMD forecast for this year is a good monsoon. And this will support all the sectors, especially our crop nutrition business. And last but not the least, our continued relentless drive to move from commodity to holistic solutions co ntinues with full vigor, and we are seeing step -by-step, beautiful success. And this is something that we are pushing, as you are aware, in all the 3 of our businesses, namely the building -block industrial chemicals, the crop nutrition bu siness, and the third is the mining chemicals business. And all the 3 being beautifully aligned with the India growth story, going forward, we are, of course, looking forward to very positive tailwinds to support each of our businesses.
So, with these opening remarks, let me now hand you over to our CFO, Mr. Deepak Rastogi, who can take you through the detailed financials and also respond to your queries. Deepak?
Deepak Rastogi : Yes. Thank you, Mr. Mehta. Thank you so much. Can you hear me loud and clear? Okay. So, good afternoon, ladies and gentlemen. Thank you for joining the Deepak Fertilisers and Petrochemicals Corporation Limited conference call to discuss the Quarter 4 and Financial Year '24 results. I am delighted to share the highlights of our performance during Q4 and for the full fiscal year.
So, during Q4, the total operating revenue is Rs. 2,086 crores, with an operating EBITDA of Rs. 438 crores, which is 21%, an increase of 421 basis points Y -o-Y and 575 basis points quarter -on-quarter. The net profit for the quarter is Rs. 220 crores versus Rs. 61 crores for the same quarter last year.
Similarly, for the fiscal year, the operating revenue is Rs. 8,676 crores and operating EBITDA of Rs. 1,287 crores. Despite headwinds, our revenue and operating EBITDA have shown a consis

tent upward trajectory over the past couple of years. Barring the adj ustments of onetime subsidy and the ramping -up cost, which was taken because of our new ammonia plant, our operating EBITDA margins would have been around 18.3% instead of 14.8%, which we have actually, underscoring our operational efficiency.
Moving to our business performance. Our mining chemicals business, which is the TAN, Technical Grade Ammonium Nitrate, the sales volume grew by 26% during Q4 year-on-year, and 39% quarter -on-quarter, driven by improved demand. And obviously, as you heard, Mr. Mehta saying that this year for especially for Q2 and Q3, we actually saw imports in large quantities from Russia. And we saw that coming down especially in Q4.
Similarly, AN Melt sales volume reached all -time high in Q4, marking substantial growth both year-on-year as well as quarter -on-quarter basis. Despite challenges, TAN volumes grew marginally year -on-year basis, reaching second -highest sales volume in our c ompany's history. Highest was sometimes in 2018 -19.
The capacity utilization for our TAN business was close to almost 101% for the quarter and 92% for the year. As I mentioned earlier, the first quarter was very strong for the TAN business. However, due to excessive imports of fertilizer -grade ammonium nitrate during Q2 and Q 3, saw

margin and obviously volume pressures. But from Q4, the demand has improved, and obviously, stabilized and improved, and there was gradual reduction in Russian imports. We have started TAN exports from March '24 onwards once the ban was lifted during the y ear. Growth in demand is expected to continue for the next fiscal, which is '24 -'25 because the coal mining, power, infrastructure, all the sectors are expected to grow between 10% to 12%.
In the industrial chemicals business, nitric acid faced challenges in Q4, primarily due to our

extended shutdown of our Dahej plant, whereas our IPA sales continued to perform well with significant volume growth of 27% Q -on-Q and 6% volume growth Y -o-Y. Fo r the full year, nitric acid sales remained similar to previous year despite subdued demand from downstream industries caused by imports of cheaper Nitroaromatics from China impacting the margins of our nitric acid business and volumes temporarily.

The capacity utilization of our nitric acid business was close to 82% for the quarter and 86% for the full year. The capacity utilization of our IPA business was approximately 102% for the quarter and 87% for the full year. Going forward, nitric acid price s are expected to remain stable and improved over a few quarters. RGP, which is propylene -based IPA, would continue to perform better from both demand and price perspective.

Crop nutrition business, despite the lower and irregular rainfall, had impacted the rabi crop in Q4 of this year. Our specialty products, Croptek and Smartek, sales volume actually increased by 11% and 10% Y -o-Y respectively . For the full fiscal , bulk fertilizer sales grew by almost 1% despite unfavorable seasonal conditions and decline in margins mainly attributable to the subsidy impact, which we took in H1, amounting to Rs. 267 crores during the year.

Our bulk manufacturing capacity utilization was close to 58% for the quarter and 55% for the full year. With IMD forecasting above average rainfall for the upcoming monsoon season, we expect a favorable kharif and rabi season. PCL ammonia plant is running at 90% -plus capacity utilization after PGTR in January '24. The project has received an Ultra Mega Project certification eligibility certificate and has started accruing state incentives. During the fiscal, we have also entered into 15 years long -term gas supply agreement with Equinor commencing in May 2026. This move is expected to ensure greater stability in overall business.

ICRA has reaffirmed DFPCL as w

ell as MAL long -term credit rating to AA - with stable outlook, and short -term credit rating is also reaffirmed at A+ which is the highest rating. CRISIL has recently assigned a short -term rating of A+ to DFPCL and MAL, which i s again the highest rating in the short -term order. As on 31st of March, there is no encumbrance of any kind on promoter's holding. Further, the Board has recommended a dividend of Rs. 8.50 per equity share of Rs.10, which is 85%.

Now I would like to open the floor for questions and answers. Over to you, moderator. Thank you.

Moderator : Thank you, sir. We will now begin the question and answer session. We have the first question comes from the line of Jatin Damania from Svan Investments. Please go ahead.

Jatin Damania : Sir, I have couple of questions. Firstly, on the ammonia front, now when you say that our plant has been stabilized and the cost has been largely factored in, so how shall one look at the profitability in the ammonia business given the current pricing dy namics?

Deepak Rastogi : You are done with the question?

Jatin Damania : Yes, I am done with question on ammonia.

Deepak Rastogi : Yes. This question is for the Financial Year ‘2 4, '25, is what I would expect, right?

Jatin Damania : Yes, sir.

Deepak Rastogi : So, obviously, the way we are looking at it is that the ammonia pricing for this year based on the forecast, which we have received from multiple agencies, that should be around $400 to $450 during the year. At this point in time, it's close to $310, which I am talking about FOB ME. So, we expect that the business to do well if the ammonia pricing continues to be at a similar level. But I can also tell you that the ammonia plant does not have to actually worry about how the, obviously, ammonia prices are because we have a gas contract and the manufacturing price based on the input prices of the gas actually determine the cost price, a nd eventually the selling price is based on the ammonia pricing, which is the IPP pricing. So, having said that, we are optimistic and expect a good year for the business.

Jatin Damania : Yes. But sir, if you look, the current level of the pricing and our long -term contract is going to start in the next 18 months, so given the current level of the pricing of $400, $450, are we able to make any money on the ammonia? Or on the EBITDA level, we will be breakeven? Or we'll be operating with a loss?

Deepak Rastogi : So, if you were to see our Q4 Results , we have actually made, obviously, money during that particular quarter at an EBITDA level. So, effectively, overall, we have made money in Q4, which is for the current year. And that is what we expect going forward as well. Obviously, there are certain ranges, which basically would continue because there will always be variability in terms of gas pr icing as well as ammonia pricing. So, if they continue to move in food, obviously, there is no reason.

And the other thing which I would want to tell, which I keep reminding the investors on the investor call is that we have actually invested this plant for 20, 25 years. So, this is not a quarter - on-quarter investment or year -on-year investments. And some quarters may be very, very good.

Some quarters may not be too good. But from an overall financial perspective, the plant will obviously be making money over a period of time. So, there is absolutely no doubt. And in our mind, that this is a good investment.

Jatin Damania : So, sir, how much this ammonia contributed to the overall revenue and the profitability in the last quarter?

Deepak Rastogi : So, last quarter, the revenue was close to around Rs. 600 crores.

Jatin Damania : And sir, second question, in the initial remarks, you indicated that we are goi

ng with the 2 of our projects: One is on TAN, and other is nitric acid. So, if you take the total CAPEX that we'll be accumulating will be total of Rs. 4,000 crores. And currently, we have a debt of about Rs. 4,500 crores on the book. So, how are we going to fund this CAPEX ? Because if you look at the current profitability, it seems that, that will further inch up from the current levels till the time the contract on the ammonia or the profitability of some the ammonia doesn't improve.

Deepak Rastogi : So, the net debt, which we ended for this year, is close to Rs. 3,400 crores. And it is not Rs. 4,500 crores as what you suggested. The second thing is that during this year, ammonia plant, the EBITDA was not for full year. Obviously, we had some ramping -up ch allenges also. So, we expect that the EBITDA would grow. As far as the funding needs are concerned, we have already tied up the funding for our Gopalpur project, which is around Rs. 2,200 crores. It's already done and dusted. We have go t the approvals in place from the banks.

As far as the Dahej is concerned, which is our expansion plan, there, we are looking at to invest close to Rs. 1,950 crores. And there also the bridge funding is in place today. So, we don't expect that we will have a challenge in terms of funding. But overall, we expect with the businesses, when the business is like this year, we had huge amount of headwinds during the whole year. And in a normal year, obviously, the EBITDA would act ually be far more higher than what we would expect. And hence, we are very confident that we should be able to basically take these investments into account.

The other thing is that, unless and until we are ready for future, we will not be having the leadership position either in the TAN business or in nitric acid. So, we are deliberately doing front -end investments to ensure that we continue to serve our customers whenever the demand comes in, which is basically around the corner with the economy doubling over a period of 2 to 3 years now. And for our own captive demand , so this is a requirement. And obviously, it will expand our EBITDA once the plants come ups tream.

Jatin Damania : So, sir, post the completion of both our projects, which is your TAN and the nitric, what will be the peak debt that we are looking at?

Deepak Rastogi : So, we would be in a very comfortable zone. That's how the rating agencies have looked through those numbers as well as the banks when they have actually provided us the long -term funding for us. So, we would be in a comfortable zone is what I can tell you right now.

Moderator : We have the next question from the line of Jahnavi Dodai from Aequitas Investments. Please go ahead.

Jahnavi Dodai : So, my first question was on TAN. Since we've started exporting TAN since March, what would be the export mix that we're expecting this year?

Deepak Rastogi : So, effectively, you mean to say, '24, '25. So, there is a limit to which the companies can actually export. So, the quota, which we have got is around 20,000 ton for the whole year. And obviously, domestically we sell, during the year, close to almost 500,000 or 550,000 tons a year. But slowly, we expect that the government is able to relax these quotas so that we are able to export far more higher than what the current quota is today.

Jahnavi Dodai : Right, sir. And sir, my second question would be on nitric acid. So, the plant that is coming up for nitric acid, are we still on track to commercialize it till H2 2026? And what is the CAPEX that you've done so far in terms of cash?

Deepak Rastogi : So, yes, we are on track to deliver the project on time, which is H2 of '26. The second question is in terms of CAPEX . We have just started just incurring the expenses now. So, last year, we incurred close to around Rs. 60 crores last year. And

accordingly, because you have to pay overall once you are signing up for the purchase orders and all. So, it's a very minimal amount right now. But overall, the project cost is far more higher what we have already committed. And this amount would actually increase this y ear at a much more faster pace.

Jahnavi Dodai : Okay. So, how much of the amount are we planning to incur in the current year?

Deepak Rastogi : So, maybe around close to almost 40% of the overall project cost is what I would expect.
Moderator : We have the next question from the line of Ranjit from IIFL Securities. Please go ahead.
Ranjit Cirumalla : First of all, congratulations on such a resilient performance in 4Q despite weak ammonia pricing. The first question is on the chemical business. We have seen a bit of a strong improvement sequentially. And I believe this is largely led by TAN business, wherein we have seen initially cheaper imports coming and hitting us hard. But later on, I think in the last couple of months, what we have seen in the imports have significantly reduced and is coming down to virtually 0 imports. Just wante d to understand, what's happening on the TAN business point, why suddenly we are seeing lower intensity of imports and how sustainable this would be getting into FY '25?
Deepak Rastogi : So, Ranjit, I think it's a very good question. There are 2, 3 things which is happening. First of all, obviously, we always understood that it is just a short -term aberration overall. And the first reason which we basically understand is that the Russian gover nment has actually banned the exports from St. Petersburg straight away because of the ongoing war with Ukraine. And because it's explosive. So, hence, they have banned it. And hence, there is obviously a little movement from Russia per spective.
The other thing is that the reason why actually there were a lot of imports last year was that Russia actually exports fertilizer -grade ammonium nitrate to Brazil. And generally, their exports is close to 1.4 million to 1.5 million tons every year. Last ye ar, we noticed that only 1.1 million

tons have actually reached Brazil, and all the other product has come through in India, which means it made its way to India.
There are obviously reasons because of the lower rains and because of that fertilizer business not doing well. The other is that again pricing itself was lower. And again, as well as urea, they are actually used surrogate or ammonium sulfate and things lik e that. So, the farmer has the capability to utilize whichever is the cheaper product. So, we are thinking that because of the rain effect and, obviously, the price effect, the product has come in, which in our view, will not recur year -on-year basis. And hence, we don't expect this to happen in a large sum.
There is always an import, which happens because almost 20% of the TAN demands are fulfilled by the imports, and we expect that to continue. That should not affect us. However, what has happened was that the quantity, which used to come in the full year, i t actually made its way within 2 to 3 quarters. And that is where, with obviously a pricing which was slightly more prohibited. And hence, it's created some short -term challenge, but we hope that we are confident that we are out of it now.
Ranjit Cirumalla : Sure, sir. The ban from the Russia should be effective for CY '24. Is that the right way to understand?
Deepak Rastogi : Yes, I think so. We are expecting because now they have extended. Previously, the ban was for 2, 3 months, but now they have actually unlimited ban now given the war situation in that region.
Ranjit Cirumalla : So, the profitability in TAN business should sustain the fourth year as well?
Deepak Rastogi : So, we are expecting. Look, as far as the profitability is concerned, TAN, except for the '22, '23,

which was a positive aberration, if I were to take that away, I think from a profitability perspective, it has not impacted. There is always a variability betwe en 100 basis point plus/minus, but it has moved within that range. So, we expect to be stable and continue to be in an improving trend.
Ranjit Cirumalla : Right. And second question is on the ammonia plant. So, earlier, in the last quarter, we have kind of guided for $100, $120 kind of spreads. So, were we able to achieve that even during the 4Q given the low ammonia prices?
Deepak Rastogi : So, ammonia prices, if they go down beyond a particular level, obviously, then their spread goes away because there is a cost of production. And as I said last time, if the prices stay between $425 to $475 FOB ME, obviously, then there is a spread. But lower, obviously, value comes in like. So, like last quarter, the ammonia was close to around $410 to $425. That was the range. So, we would have some lesser, obviously, spread, but we will always make money. And it came down to around $300 recently. It's moving up. We expect this to go up to almost $350 to $400 in the next quarter again. So, that is the range, and it will stabilize between $450 to $475. If you were to take the last 10 years history, you would find in almost 70% to 75% of the time, it ranges

between $450 to $475. That is how it has played out. But in between, there has been some variability, which as I said, we are confident that these ups and downs would continue to happen. And we will go through this.
Ranjit Cirumalla : Right, sir. As you rightly pointed out, despite that, we reported profit in ammonia plant during 4Q at the PBT level.

Deepak Rastogi : Yes.
Ranjit Cirumalla : Some bookkeeping data points, possible if you can give that one. What has been the average gas cost during the quarter? And the incentives that we have recognized, was it for the full year or for the quarter, and if you can quantify that?
Deepak Rastogi : So, we basically have taken the incentives for the full year i.e from August onwards because that is how the incentives are. So, we have recognized for the full year. The second thing is that as far as the gas is concerned, it was closer to almost 13.3 or 13.5. That's the range it has actually hovered most of the time.
Ranjit Cirumalla : Can you quantify the incentives?
Deepak Rastogi : So, it is closer to maybe around Rs. 89 crores effectively.
Ranjit Cirumalla : All right. And this should rise as we increase our production at the ammonia plant?
Deepak Rastogi : So, the more the production will be the sales will be. Obviously, this incentive, so generally, we are expecting this incentive to be paid out over a period of 20 years, and the total amount of incentives, which will be paid, will be close to Rs. 4,000 crores. So, if I were to just simply do it equally, it is Rs. 200 crores every year. But obviously, every year, based on the demand -supply situation, the numbers will change, but this is how the numbers would look like going forward.
Ranjit Cirumalla : Sir, the earlier impression was that this was to be paid out over 8 years. Now we are saying it would be 20 years.
Deepak Rastogi : So, it also depends upon how the ammonia pricing is behaving apart from obviously the production which we do in sales and all. So, if the ammonia prices go up, obviously, it can be paid far more earlier than what we expect.
Ranjit Cirumalla : Yes, sir, but we are kind of confident the entire CAPEX will be recovered.
Deepak Rastogi : Yes, for sure. It's no -brainer. Only thing is that if you take from a money -to-money perspective, the government has already given us the eligibility certification. That we are eligible for it. We have to just prove that this much of the taxes as far as state, GSTs, we have paid, which will get actually reimbursed back to

us.

Ranjit Cirumalla : And going forward, we will recognize this on a quarterly basis?
Deepak Rastogi : So, we will do it effectively. We will do it on a periodic basis.
Ranjit Cirumalla : That's good. And one final thing. In couple of years' time, we now have a net debt of around the fund that we have said. Where do you see this couple of years down the line given that we have 2 large CAPEX , probably FY '25?
Deepak Rastogi : So, we always see the net debt -to-EBITDA effectively, our net debt to equity as opposed to just counting the money as a gross debt and this thing. As I said earlier, we will be in a comfortable zone because we will also not take, obviously, steps which will cr eate challenges for our own sake. So, we always play out. In fact, you would have seen that we have actually got comfortable with our ammonia that it's getting capitalized and the start of production. We then actually said that we are g oing ahead with our nitric acid expansion plan.
So, we always take those calls to ensure that we are in a comfortable zone from a leverage perspective. And we will continue to be in a comfortable zone going forward because the EBITDA is going to increase wherever we are today. But the debt will not increase beyond a particular point because there are only a few projects which we are doing it, unless and until, obviously, there are new things which come up. But after 2 years, this will also start throwing a lot of EBITDA going forward. So, we will always be i n a comfortable range. And that is one of the reasons why the rating agencies and the banks have been comfortable giving us debt as well as, obviously, reaffirming the rating which we have got.
Moderator : We have the next question from the line of Narendra from RoboCapital. Please go ahead.
Narendra Khuthia : Congratulations on a resilient quarter. So, my first question is regarding the ammonia prices, right? So, do we expect them to go to about $400 or $425 in Q2, Q3?
Deepak Rastogi : Yes. The answer is yes. From Q3 onwards, it should touch $400 plus is what we are looking at right now.
Narendra Khuthia : And the volumes should be fairly strong, right, similar to the current quarter's volume, right?
Deepak Rastogi : So, actually, almost 80% of the volumes get captively consumed. So, we don't have an issue in terms of the volumes at all. That is number one. Second thing is that from purely from production perspective, the plant is now after PGTR, which is the performance guarantee test run. The plant is running at design capacity, whic h is 100% -plus. Actually, it is capable to run even more than 100% now. The second thing is that even the norms, the gas norms, the design norms, so it is meeting all the design norms. So, the more, obviously, the volumes are the better off for the plant is and even the plant is capable to obviously handle it.
Narendra Khuthia : Understood. And what kind of utilization would we see in the crop nutrition segment and also the nitric acid, specialty chemicals?

Deepak Rastogi : So, nitric is almost 100% all the time purely from a nitric acid perspective. And last year, because we had some challenges in terms of the plant shutdowns. And hence, the nitric acid in few quarters, especially the last quarter, we saw some challenges, and he nce, the capacity utilization was lower. As far as CNB business is concerned, we would be close to almost, like last year, we delivered around 58% for Q4 and 55% for the whole year, with so much of challenges in terms of the irregularit y of rains, which were there. Going forward, given that the monsoon is expected to be normal, hence, we expect the utilization should go up to around 60% to 70% depending upon which quarter you are talking about, even higher t

han that because we have capac ity to produce. And we should be able to basically make good use of that. But in good days, we have even done 75% to 80% also.

Narendra Khuthia : All right. And given the positive sentiment, right, so the Q4 margins that we have of 21%. So, is that sustainable? And what could be the whole year number, I mean, for '25?

Deepak Rastogi : So, we don't give a future, obviously, forecast or estimates for the upcoming year. I would say all the businesses had challenges. When we are able to sustain the business at that level, in a normal year, obviously, you can expect that it should at least be at that level or better than that.

Narendra Khuthia : Okay. Great. Great. And one last question. So, your expansion project, right, so Gopalpur and the Dahej expansion. So, when are these expected to come onboard?

Deepak Rastogi : So, they both are actually expected to come upstream in H2 of '26.

Narendra Khuthia : Both of them, right?

Deepak Rastogi : Yes, both of them, yes.

Moderator : We have the next question from the line of Nirav Jimudia from Anvil Research. Please go ahead.

Nirav Jimudia: So, my question is on the nitric acid business. So, if I see our capacities for WNA and CNA, they are like close to around 8.5 lakh and 2.3 lakh tons, respectively. So, just wanted to understand from you, like after consuming our WNA for our CNA as well as for ANP, do we have some extra WNA which we sold in the market? Or everything what we've been reporting in our quarterly numbers is more of a CNA number, and it doesn't include the WNA numbers?

Deepak Rastogi : No. Actually, the sales of CNA is obviously purely from acids perspective, so CNA sales for like last year. So, overall, it will be close to almost 100% or more than that. That actually is the sale of CNA, which basically gets sold. So, WNA sales is not very similar effectively because the other products, whatever is not sold outside, so the way it is, is that almost we can consume 100% captively to be very honest with you. And depending upon how the demands actually grow business by business, we actuall y have to import also at times to ensure that we are able to meet the customer demands, which are outside. Last year, we did it. We are doing this year as well. So, we have our own demand as well as obviously outside demands, which we meet to ensure that w e are obviously serving all the customers we have. So, WNA is almost 30% of total

nitric acid sales, which we have made out to outside customers in both these segments, closer to that.

Nirav Jimudia: Got it. And when we say that we have imported nitric acid, there is predominantly the WNA which we have imported and not the CNA because it becomes difficult to import CAN at times?

Deepak Rastogi : Logistically, actually nitric acid imports are obviously because it's a hazardous thing. So, it's always WNA, which is weak nitric acid, which is imported.

Nirav Jimudia: And required ammonia for our WNA plant. Earlier, we had a lesser capacity of ammonia, but with the commissioning of new plant, are we able to use that ammonia plant for our WNA plant? Or we still need to import ammonia for the WNA?

Deepak Rastogi : No. We have self -sufficient ammonia with us with the existing capacities we have. And we don't have an issue. But once the Gopalpur plant comes in, at that point in time, we may need to think about it because the volumes would go up obviously significant ly there.

Nirav Jimudia: All right. Sir, one of the statements you also mentioned that nitric acid was not doing well because the downstreams were not doing well on the customer side. So, more recently, because the freight rates have gone up, the container rates have gone up, are we seeing some inquiries on the increase side from the customers for the nitric acid business, whereby those imported mate

rials from the customer side are not happ ening and that could possibly drive our nitric acid sales?

Deepak Rastogi : So, we don't have an issue from a demand perspective. That is number one. There was absolutely not an issue from a demand perspective. What happens in these scenarios are that the margins come slightly under pressure. As far as we are concerned, even the margi ns were not so bad or, rather, not so depressed. And you are right in saying that the logistic cost has gone up, but those logistic costs have gone up towards the Red Sea and those kind of European regions where there is a war. There, a ctually, we see much more of freight because the shipping lines don't take those routes, and they take a longer route to actually get the goods towards Asia and all.

But this is competitive landscape. We have been dealing with this throughout when we have started this business, and this continues. So, sometimes it may get slightly more intense than lesser one. That's all. But otherwise, the imports continues. There is a parity between the imported price versus the domestic price. But I can tell you that we are actually very highly competitive. Hence, no ne of the pricing even from China perspective also, it does not actually hit. This year, because China actually had exp orted the Nitroaromatics, not nitric acid.

Nirav Jimudia: Nitroaromatics I was talking about.

Deepak Rastogi : Yes. So, what has happened is that they have actually exported because they have enough capacities. The demand is not there in China. Their export demand has vanished. And hence, they were just trying to dump, which is very, very cheap. Our customers also are findi ng to run

their own plants at a cost competitive because imports were far more cheaper compared to their running their own capacity. So, a few months, we saw that, but those days are over now. The imports have come down. The nitric acid, as I said, pricing has actually stabilized, and it will continue. But a few quarters may be up and down. But over on a long run perspective, I don't think so that we have an issue.

Nirav Jimudia: So, one thing here, let's say, hypothetically, if ammonia prices starts going up, and we do produce ammonia for our WNA. Because some of the other players are also expanding the capacities of nitric acid in India, the relevant demand may or may not go up to th at extent the way the capacities have been deployed on. So, at times, can we enter into that sort of trade -offs where those ammonia could be more profitable to sell directly in the market rather than converting into WNA and selling the W NA in the market?

Deepak Rastogi : So, your hypothesis to say that the demand supply will outstrip demand, we have not seen that statistics at all. Most of the companies actually produce, and specialty fertilizer or exclusive companies, they produce for their own captive consumption. The leftov er is actually sold out in the marketplace. Nobody will actually put a plant outside India to export out into India because it is not, first of all, logistics friendly, neither it is cost effective. That is number two.

Second thing is that if the economy of India is going to grow from, let's say, $3 trillion to $6 trillion or $7 trillion, the kind of demand of nitric acid would actually simply double. And there is no capacities which are coming, which can cater to that k ind of a requirement. In fact, there is a shortfall today. And that shortfall will double if there are no capacities which are coming in.

So, we don't expect that any year would be that the supply would actually outstrip. There could be, if at all, the eco nomy goes down. But we are not expecting that to happen.

Nirav Jimudia: Sir, last from my side is, is it possible to share the current demand for CNA? And what sort of capacities are there currently? And how do you

see these demand numbers going up over next 3, 4 years based on the reasonable amount of GDP growth or doubling our economy or the kind of customer feedbacks which you are getting in terms of their downstream capacities, which are using nitric acid?

Deepak Rastogi : So, I don't have that number right now, but we can share later on, as an industry, what is the demand and what is the supply currently and how that will be.

Moderator : We have the next question from the line of Sheel Shah from Sameeshka Capital. Please go ahead.

Sheel Shah : Yes, so our realty assets have increased by almost Rs. 120 crores sequentially. So, just wanted to understand, what's happening there, sir?

Pallavi Bhalla : Can you repeat your question? Your voice is not clear.

Deepak Rastogi : I am not able to actually follow you at all, Sheel.

Sheel Shah : Yes. So, our realty assets have increased by Rs. 120 crores sequentially. This is as per our segmental assets. So, just wanted to understand what we are doing there, sir?

Deepak Rastogi : You are asking a question that the realty assets have increased?

Sheel Shah : Yes, correct.

Deepak Rastogi : Okay. So, why Rs. 120 crores is what you are asking that question?

Sheel Shah : Yes.

Deepak Rastogi : We will get back to you. It's around Rs. 183 crores, yes. That's what you're asking. So, effectively, there was some reclassification which has happened, and there is no change in the assets as such, but there is a reclassification. And I can tell you that, that reclassification, because

you are looking at segmental, it looks like you are look ing at segments. So, from unallocated, it
has actually allocated to the realty. But otherwise, there is no change in the asset number, the
amount of a ssets which we own versus what we have added. We have not added any assets,
especially in that realty segment.
Moderator : We have the next question from the line of Hardit Gori from Alpha Plus Capital Associates.
Please go ahead.
Hardit Gori : Could you provide the approximate conversion cycle or thumb rule for converting natural gas to
ammonia?
Deepak Rastogi : So, generally, 34, 35 is what we generally have suggested.
Hardit Gori : And was there any impact of NBS subsidy in this quarter?
Deepak Rastogi : So, there is none because the prices have actually gone up since then. So, there is no as such
impact. As I said in the call earlier, we have already taken a onetime effect of the notification,
which is Rs. 257 crores, and we continue to account for this on a regular basis. So, the normal
ups and downs are accounted in the results. And because of that, there will be no variability in
terms of this.
Hardit Gori : Can you provide an update on CAPEX incurred to date out of Rs. 2,000 crores allocated for
Gopalpur TAN project?
Deepak Rastogi : Sorry, can you repeat that for me, please?
Hardit Gori : Out of Rs. 2,000 crores allocated for Gopalpur TAN project, how much is incurred to date?
Deepak Rastogi : You mean to say how much in cash we incurred or actually committed?
Hardit Gori : No. How much in cash you have incurred?

Deepak Rastogi : So, we are close to around Rs. 654crores. That's how it is. But from a commitment perspective,
we are far more higher. And till date for this year, we have actually done it. So, what we are
saying is that we have actually incurred so far almost 1/3 of the amount for the project which is
close to around Rs. 2,200 crores. So, we have already incurred till date, because I was referring
to only for the year, but till date, we have actually done almost close to 1/3 of the amount, which
was supposed to be incurred.
Hardit Gori : Okay. And the remaining will be funded via internal accrual or debt?
Deepak Rastogi : No. So, we have only d

rawn part of the debt. We have already put in equity. We have already
put in some of the debt. So, there is obviously lines which are available to obviously get the
funding. The second thing is that, if at all something is required, there is some equity which we
have to put in, which we will put in whenever it is needed to be done.
Moderator : We have the next question from the line of Ranjit from IIFL Securities. Please go ahead.
Ranjit Cirumalla : Sir, needed just one clarification actually. We have reported higher other income, which was
largely due to an asset sale at Vashi. So, on the segmental reporting, where all this would have
got clubbed? Would it be under chemicals?
Deepak Rastogi : No, no. It should not be under chemicals. Just let me see that. So, basically, it is clubbed under
other unallocable, that is where that is actually reported out.
Moderator : Ladies and gentlemen, that was the last question for today. I now hand the conference over to
Mr. Deepak Rastogi for closing comments.
Deepak Rastogi : So, thank you so much for attending the call, and nice talking to you today. Thank you so much,
and have a nice day.
Moderator : Thank you. On behalf of PhillipCapital (India) Private Limited , that concludes today's
conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

August 7, 2024

The Secretary Listing Department
BSE Limited National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers, Exchange Plaza,
Dalal Street, Fort, Bandra - Kurla Complex, Bandra (E)
Mumbai – 400 001 Mumbai – 400 051
BSE Code: 500645 NSE Code: DEEPAKFERT

Subject: Management Transcript of Q1 FY 2025 Earnings Conference Call

Dear Sir / Madam,

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing
Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Management Transcript of the Earnings Conference Call held on 1
st August, 2024 to
discuss the financial results of the Company for the quarter ended 30th June, 2024.

The transcript of the Q 1 FY 2025 Earnings Conference Call will also be made available
on the website of the Company i.e. https://www.dfpcl.com/.

We request you to take the same on your record.

Thanking you,
Yours faithfully,

For Deepak Fertilisers
And Petrochemicals Corporation Limited

Gaurav Munoli
Company Secretary
Encl: as above

“Deepak Fertili sers and Petrochemicals Corporation
Limited
Q1 FY '2 5 Earnings Conference Call ”
August 01 , 2024

MANAGEMENT : MR. S C MEHTA – CHAIRMAN AND MANAGING
DIRECTOR
MR. DEEPAK RASTOGI – PRESIDENT AND CHIEF
FINANCIAL OFFICER
MR. TARUN SINHA – PRESIDENT , TECHNICAL
AMMONIUM NITRATE
MR. SUPARAS JAIN – VICE PRESIDENT , CORPORATE
FINANCE
MS. PALLAVI BHALLA – HEAD, INVESTOR RELATIONS

MODERATOR : MR. RANJIT CIRUMALLA – IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Deepak Fertilisers a nd Petrochemicals
Corporation Limited Q1FY '25 Earnings Conference Call hosted by IIFL Securities. As a
reminder, all participant lines will be in the listen -only mode, and there will be an opportunity
for you to ask questions after the presentation concludes. Should you need assistance during the
conference call, please signal an operator by pressing s tar then zero on your touchtone phone.
Please note that this conference is bein g recorded.

I now hand the conference over to Mr. Ranjit Cirumalla from IIFL Securities Limited. Thank
you, and over to you, sir.
Ranjit Cirumalla: Thank you, Laiba . Good afternoon, everyone, and thank you for joining us on Deepak Fertilisers
and Petrochemicals Q1 FY '25 Earnings Conference Call. From the company we have with us
Mr. S.C. Mehta, Chairman and Managing Director; Mr. Deepak Rastogi, President and Chief
Financial Officer; Mr. Tarun Sinha, President, Technical Ammonium Nitrate; Mr. Su paras Jain,
Vice President, Corporate Finance; and Ms. Pallavi Bhalla, Head, Investor Relations.
We would like to begin the call with a brief opening remarks from the management, following
which we will have the forum open for an interactive Q&A session.
I would now like to invite Mr. S.C. Mehta to make the initial remarks. Thank you, and over to
you, sir.
S.C. Mehta : Thank you, Ranjit . A very warm welcome to all of you for this earnings call. Our earnings
presentation and press release have been updated on the company's website as well as the Stock
Exchange . And I do hope you had a chance to review it.
So, at the outset, I'm very happy to share that DFPCL has delivered a good performance in Q1
FY '25. Our EBITDA margins climbed from around 12% to an impressive 20.4%. And the net profit increased by 76% year
-on-year and have now notched up to INR200 crores. I'm also happy
to share the positive impacts emerging from the recently announced Union budget. From a larger
perspective, the Finance Ministry's continued strong support on the fertilizer subsidies , the
growing outlay for the agriculture sector, and the strong support to infrastructure. All of them
will go to provide a strong and positive tailwind to all our business segments.
At the micro level, the duty hike on ammonium nitrate and the duty reductions on the precious
metals that go for fabricating the catalyst for all the nitric acid plants, both will bring small but direct benefits. Further, I'm also
pleased to share that NCL T Mumbai has now formally approved
the demerger plans, now paving the way of unwinding each business into a separate corporate
entity. So the Chemical business will be housed in 1 entity, the Crop Nutrition Fertilizer business
in another one and the Techn ical Ammonium Nitrate Mining Chemicals in the third.
Now with this strategic restructuring, this aligns very well with our vision of evolving from a commodity player to one that
provides specialized holistic solutions. This restructuring will also
help the businesses to focus on their specific business strat egy, specific market leadership,
technology and operational excellence right from the Board level to the junior most officer
levels. Each business will now be sharply positioned in advancement of the respective transformational journey. The
restructuring w ill also open doors for strategic global investors
focus on specific businesses to join us and besides that, it will also further improve the specific
business visibility for the investors in general.
Now turning to our business performance. In case of Mining Chemicals, Technical Ammonium
Nitrate, showed a robust growth, resulting in a 23% increase in the technical ammonium nitrate
sales volume year -on-year. This growth is supported by improved prices a nd increased demand
in key end sectors such as coal mining, steel production and both showed around 11% growth.

Also, in our journey to provide holistic mining solutions, it is continuing and there we've now
established some segment -specific case studies with very impactful results. So , we are getting
more and more confident that we will be able to provide a very strong value proposition. The robust performance of the TAN
business once again valid

ates the beautiful alignment of our mining chemicals with the India growth story.
As far as the industrial chemicals go es, the business delivered lower volumes in nitric acid due
to an extended repair job at our Taloja Nitric Acid plant and partly due to reduced demand from
the downstream industry following a temporary shutdown of the GNFC TDI plant, leading to an oversupply of their asset in the
market. But as you would have guessed, both are short -lived
negatives.
IPA volumes were a little lower due to a plant shutdown. So that was as per plants. Having said that, our specialty products in
the Chemical segment - Industrial Chemicals segment, including
the pharma grade IPA and the stainless -steel grade nitric acid continued to grow based on the
positive customer feedback as regards their value propositions.
When it comes to the Crop Nutrition Fertilizer business, the business delivered 11% year -on-
year increase in sales of manufactured bulk fertilizers, whereas sales of specialty products like
Bensulf have surged by 51% over last year. During the quarter, the business launched Croptek
grade for soybean and Smartek grade for paddy and pulses, taking us forward in our crop-specific nutrient journey.
Further, the positive outlook is bolstered by a very good monsoon as you can all see. And so

also our new partnership strategic alliance that we have with the Israel -based global leaders, Haifa Group, for high- performance specialty fertilizers. Besides the 3 businesses, our ammonia plant, is also now running fine. It's running at around 98% capacity. And this inclusion of this raw material in our fold has truly inducted a great risk mitigator in our total basket. So , when I look at it from a broader perspe ctive, at the fundamental level, there are 3 things that we are seeing now and getting more and more validated.
Number one is, we continue to benefit in all our business segments due to the excellent alignment with the India growth stories, which are providing very strong tailwinds as the country's GDP also grows. So , it's a very natural corollary of positivity.
The second thing at the fundamental level that we see is that the solid foundation that now is laid, right, from LNG gas to now a world-scale ammonia plant to the building block, nitric acids to finished products and strong market shares in each. This give s us a very solid value accretion and risk mitigation basket. So , this is a second.
And the third is our relentless pursuit from a commodity product player to a specialty holistic solution player , riding on the foundation is also expected to deliver towards higher margins, particularly in view of the customized branded and volatility, insulated business profile that is gradually emerging in the next few years.

So, in a nutshell, 3 things. Beautifully aligned India growth story; number two, solid value chain; and number three, move from commodity to holistic solution. All the 3 promises to change the very face of Deepak Fertilisers in the years to come.
So, with this broad overview, I will now hand over to Mr. Deepak Rastogi, our CFO, who will provide you with more detailed insights on the financials and should be able to also address questions and clarifications. Deepak?
Deepak Rastogi: Yes. Thank you, Mr. Mehta. Can you hear me loud and clear?
Moderator: Yes, sir.
Deepak Rastogi: Very good. Good afternoon. Ladies and gentlemen, I thank you for joining Deepak Fertilisers and Petrochemicals Corporation Limited conference call to discuss the quarter one financial result . During Q1, we reported total operating revenue of INR 2,281 crores with an operating EBITDA of INR 464 crores, which saw an improvement of almost 66% from INR 281 crores on year -on-year basis.
Our operating EBITDA margins were at 20.4%, which grew by approximately 823 basis

points
year-on-year basis. The net profit for the quarter is INR 200 crores, which grew by almost 76% versus last year's quarter one . Revenue and operating EBITDA, as you would see, has shown consistent increase.
Coming to the performance of our businesses. Mining Chemicals business performed very well, both in terms of revenue as well as volumes. Sales volume surged by almost 23% Y -o-Y due to the improved demand and revenue grew by almost 19% on account of improved realization and obviously, the demand as such. The capacity utilization of our TAN business was closer to 104% for the quarter.
From an outlook perspective, as Mr. Mehta said, post demerger and the TAN business would get into a separate legal entity now. And it will establish itself as a fully integrated technology solution provider for all our customers. As you are aware that the export ban was lifted last financial year. We have already started exports from March '24 onwards, and we will talk about how much exports we did during this quarter as well.
The quarter also witnessed positive trends across key market indicators compared to the high base of Q1 of '24, which is last year. Based on the data published by the Ministry of Commerce and Industry, coal and steel production actually increased at 11% Y -o-Y. And we expect the demand to remain strong, which is again driven by the coal , power and infrastructure segment going forward.
Coming to the Industrial Chemicals business, the nitric acid was lower by 12% on account of extended repair job at our Taloja plant. Further, various trials at customers, especially for the steel grade nitric acid have been under obviously, they are being conducted right now. And we expect expansion of volumes from speciality grade going forward from here.

IPA volumes are down Y -o-Y based on the planned shutdown. Our specialty chemicals, which is pharma grade IPA continued to grow and receive positive customer response in this regard.

The capacity utilization of our nitric acid plant was closer to 90% for the quarter. And for the IPA plant, it was closer to almost 78%. The price of nitric acid continues to be stable. The imports have become steady, and they have come down. And we expect the pricing improvement gradually over a period of few quarters. The pro pylene based IPA would continue to perform better as it has performed last year, as the demand and, obviously the price perspective, things remain stable or better.

For our Crop Nutrition business during the quarter despite delayed monsoon, in the last quarter, which is Q4 of last year had been not so great. The water tables have come down. Despite the delayed monsoon this year as well because two months there was hardly any rain and higher inventory of phosphoric fertilizers , the sales of bulk fertilizers grew 11% on Y -o-Y basis. Sales of specialty fertilizers saw an increase of almost 51% and specialty traded fertilizers grew by almost 80% Y -o-Y.

Bulk fertilizer manufacturing capacity utilization was closer to 67% during the quarter. We have also launched Croptek grade of soybean as well as Smartek grade for paddy and pulses. As the rains are predicted above normal this year, we are expecting a goo d Kharif season as well as growth volume in the coming quarters. The partnership with Haifa will help us to promote the high-performance specialty fertilizers, which we have been talking about.

Performance Chemicals Limited, which houses our ammonia plant. Ammonia plant as you know that we basically started this plant last year in Q2 . The capacity utilization in Q1 at around 98%. Out of the total production, around 86% was for captive consumption and around 14% for the merchant sales. As we have been telling all our investor communities that the backward integration is helping us and will help us to reduce vola

tility to enable us to retain the margins within the group.

So this year, at least this quarter we saw the ammonia prices coming down for which some of the benefit actually got to the other businesses within the group which are our downstream industry. The same we have done it in the past, we have seen it, and we hav e seen it again. The outlook is that FOB -ME ammonia pricing is expected to improve and started already improving. With the available capacity across all the plants, we are well positioned to navigate through challenges and capitalize on the group of opportunities.

With this, I would like to open the floor for questions and answers. Over to you, moderator.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Jainam Ghelani from Svan Investments.

Jainam Ghelani: Good evening, sir, and thank you for the opportunity and congrats on great set of numbers if you look on the year -on-year basis. But sir, I just want to understand on the TAN business, now since we are already operating at the rated capacity about 104%. So can you help us understand the demand supply dynamics in the TAN business and what will be general operating performance in terms of the EBITDA that we will be making only from the TAN?

Deepak Rastogi: So, are you suggesting how we would you be improving our growth for TAN business? Is that your question?

Jainam Ghelani: Yes.

Deepak Rastogi: We currently have a capacity of around 540,000 tons right now, we are actually expanding additionally 50,000 tons , which will come upstream by the end of September. So obviously, the capacity would go up. We are looking for getting our new plant ready in Gopalpur with a capacity close to 376,000 tons . You can say around 400,000 tons , which would come upstream sometimes to next year.

We actually are looking for a huge growth going forward. I would also say that we generally are close to almost 50% to 60% of the marketplace, and we will continue to do that.

Jainam Ghelani: From our operating performance, how much will be contributed from TAN? Like see INR 464 crores of the EBITDA that we reported in the current quarter, what would be the contribution from the TAN in it?

Deepak Rastogi: I will have to see the numbers effectively. But purely from a TAN perspective, I would say close to almost 50%, 55% would predominantly come from, but I will just confirm those numbers to you.

Jainam Ghelani: Even if you take 50%, when we try to assume that the EBITDA per ton under TAN remains between INR18,000 to INR 20,000 per ton , right?

Deepak Rastogi: That is up to you, but you're very close for sure.

Jainam Ghelani: Sir, secondly, in the nitric and in the IPA, we have seen the lower volume because of the repair and the maintenance shutdown. So is the facility back in operation or probably see lower volumes from both these facilities in Q2 as well ?

Deepak Rastogi: So your question is for IPA you mean to say?

Jainam Ghelani: IPA and nitric in Taloja also we have taken a repair due to which there was a shutdown and there

was a lower volume?
Deepak Rastogi: So IPA, I can tell you that the reason why we have good, obviously, runway on IPA is that, there are two things. First of all, obviously, we continue to supply the pharmacopeia certified grade of IPA, that's number one, which goes into the pharma category. And we have continuously been seeking CDSCO approvals to make sure that IPA's use continues to be number one.
The second thing is, on the other side, the IPA is manufactured as through the phenol route, which is like from acetone. And given that the prices of phenol have been quite low and hence the pricing. It doesn't make sense for them to really sell at a pricing which is not conducive. And the reason is that all this ph

enol chemicals actually go into predominantly into automotive as well as construction industry, and most of the consumption happens in China. Given the local industry has not been doing well and hence those pricing continues to be stretched right now.

On a long-term basis or rather short to midterm basis, this trend will continue. So , we are expecting that demand would continue for the next at least a couple of quarters or maybe a couple of years as well.
Jainam Ghelani: So our capacity is that in IPA will continue to remain the range of 80%, 85%, it won't go beyond above that, right?
Deepak Rastogi: I think last quarter, we did more than 100%. We will basically reach 100% given that we had a plant shutdown and hence, we have this situation. But we will be able to clock almost 98% and 100% only going forward.
Jainam Ghelani: Sir, in terms of nitric acid, extended repair job that continues in the Taloja, is the facility up and running in month of July or the repair work is till going on?
Deepak Rastogi: So that is a short time aberration. It got repaired within the quarter only, but it had an impact.
Jainam Ghelani: Because this quarter at least we'll see capacity ramping up from nitric as well.
Deepak Rastogi: Yes, you're right.
Jainam Ghelani: Contribution in the overall revenue from the ammonia. And as the current realization, what would be the EBITDA per ton that we will be making on the ammonia plant?
Deepak Rastogi: So from an EBITDA perspective, given that the ammonia prices have been quite subdued beginning of this quarter. Obviously, I will have to get the numbers exactly how much per ton will be. But predominantly, it was quite less at least for this quarter because overall ammonia prices have been depressed quite far. But from an external sales perspective, whatever we sell to third party, those have been quite encouraging because it sells over on premium of the ammonia pricing, which generally it is we generally have a benchmark as FOB -ME pricing. And it was trading as the external sales are from a premium perspective. So we gained something out of it.
Jainam Ghelani: And just help us understand what will be our cost of production in ammonia definitely pricing will depend. But at what level we will be breakeven at the ammonia?
Deepak Rastogi: So we have been answering this question. We will basically provide you offline those details.
Moderator: The next question is from the line of Parth Kotak from Plus91 Asset Management.
Parth Kotak: Firstly, I would like to congratulate you and your team for a decent set of numbers. Sir, my first question is on the expansion project and capacity utilization. So just want to take an update with the ongoing expansion at Gopalpur for TAN and Dahej for ni tric acid. Can you provide an update on the expected timelines for these projects? Are we online on what we committed before? And additionally, what are the anticipated capacity utilization from the new facilities upon completion? Can they be ramped up once they are commissioned straight away? Or how would the capacity ramp -up happen?

Deepak Rastogi: So thank you so much for your compliments first of all. To answer you, we are looking to start the production sometime in H2 of financial year '26. That is number one.
Regarding your question on the capacity utilization, it takes because these are very big plants, it takes few months to ramp up fully, but we expect to start ramping up between 70% to 80% initially , which will eventually ramp up to around 90% to 100%. Like even if you were to see
our ammonia plant we basically started with maybe 70% or 80%, and now we are running at 98%, and it would actually further improve from where we are right now.
Parth

Kotak: Sir. That is helpful. Secondly, I would like to understand the impact of ammonia price volatility. As you have rightly mentioned, probably the additional EBIT that we make from ammonia would be negligent. And like we have been guiding if ammonia continues to trade at about $400
or $450, which is the long-term average of ammonia. And again, from more of an accounting
perspective, the way we are reporting our numbers, would it be fair to assume when we would be showing an EBIT margin of about 40% on our Chemicals business and about 15% plus on
our fertilizer business, especially when we are not showing an EBIT for ammonia separately?
Deepak Rastogi: No. So currently, if I were to see, you are talking about the margins? Or you're talking about the volumes?
Parth Kotak: Margins, sir. Margins.
Deepak Rastogi: So we will have to do that math overall. But we don't do the math how much including ammonia
and excluding ammonia because business as a business. But I can only tell you that like last year
also, we saw when we started the plant the ammonia prices were cl ose to around $250 FOB -ME.
This quarter, the average was close to around $290 FOB -ME but it actually ramped quickly to
almost 330 - 340 in the last quarter. And we expect that to happen anytime soon in this as well.
So overall, I don't thin k so that a quarter is a mirror or replica of how the year is going to pan
out. So I just wanted to put that to rest.
Parth Kotak: Perfect, sir. No, probably just for my better understanding, we've posted an EBITDA of about INR 465 crores which would translate, again we are not talking about numbers per se, just from
an understanding of how the business would pan out after ammonia prices normalize. So INR465
crores, so INR 1,800 crores to INR 2,000 crores of EBITDA for the year . And on top of that, there
is a potential to probably due a INR 1,000 crores of EBITDA savings coming from ammonia
price normalization. Is that the ri ght way to look at it?
Deepak Rastogi: I think you are double adding some of the things some of the benefits which the businesses have got, they may not be able to derive similar benefits when the ammonia prices goes up, right?
So there will be definitely some portion of EBITDA would get enhanced or expanded, but not
100% of that. It will be a jackpot if we do it. But I don't think so that is. Anyway, that is not we
are expecting at all.
Parth Kotak: Perfect, sir, that is absolutely helpful. Now I understand clearly . Just to squeeze in a last question
to gain clarity, sir.

Moderator: May we request you to return to the question queue for follow up questions as there are several
participants waiting for their turn.
Parth Kotak: Okay, sure. I'll join back the question queue.
Moderator: Thank you very much. T he next question is from the line of Deepak Mandhana from Avighna
Investments.
Deepak Mandhana: I have two sets of questions. One is pertaining to the TAN business. So we are doing capex for
the Gopalpur plant, but I believe 6 months back, can you just give me what is the export
percentage of our TAN business and the domestic?
Deepak Rastogi: So there was zero exports 6 months back because the ban only got lifted sometimes in October.
By the time the ordinance actually came, it took some time for us to receive and things like that.
So actual exports started only last quarter, which is the last quarter of the la st financial year,
which is '23-20 24. Now from this quarter the business will start looking at aggressively all the
exports to be done.
Deepak Mandhana: The reason why I'm asking this is because Coal and BHEL have signed a JV for setting up 2,000
ton per day ammonia nitrate plant. So obviously, they will also be by the time ready be
somewhere around the time we commission Gopalpur plant. So would that not lead us with an
excess

supply in the market? And wouldn't it impact on our revenue and also on our profits?
Deepak Rastogi: So we are not expecting the plant which you are referring would be ready by then for sure.
Obviously, they have a plan, but they have not suggested when they will start how much would
be the case. So both things are there. As part of the declaration, we ar e aware of it, but there are
no time lines that when they will do it.
Now coming to your question whether we will have an excess capacity going forward. So I can
tell you that currently, almost 25% to 30% of the demand actually is fed by imports today as we
speak, every year -on-year basis. And we have to see how much is the new capacity is coming
in. But on the contrary, given the emphasis on mining as well as infrastructure activities, these sectors are going to grow at a CAGR of, if not more 10%, at least 8%. So that would, again, maybe 5, 6 years, it will improve dramatically.
We are not expecting on long-term basis any capacities which are basically going to be idle, but
there could be a few quarters when the business is not doing well maybe there could be some
surplus capacity. But what would happen is that we would expect lower imports compared to
what we see today. If at all the plants are cost competitive because one of the things which you should also understand is that unless until the plants are cost competitive, it doesn't make sense
for anybody to actually even produc e because if they can get similar materials from outside at a

more cost -effective prices. And we don't know how the costing would pan out to be for them.
Deepak Mandhana: Okay. And the second question was on Mahadhan. So, you had filed earlier circular with the exchange stating that the demand for the commissioner appeals has been discussed by them. Can you provide an update on that? Is there any new set of things that has happened post that?

Deepak Rastogi: So we basically feel that we have a very strong case and whatever demands which the commissioner of income tax has actually saying , we continue to obviously fight that at various levels. And we will go to the highest level because we think we have a very strong case to defend us.
Deepak Mandhana: So is currently the case at the ITAT level or has that reached to high court?
Deepak Rastogi: That is correct. It is at the ITAT level right now.
Moderator: The next question is from the line of Vivek Choraria an Individual Investor.
Vivek Choraria: You've given all the details in quite a general manner . I just wanted to get a broad two to three-year outlook. I'm not asking for a guidance. I mean Q1 FY '25, we've done an EBITDA of close to INR 464 crores. So we're at an annual run rate of close to INR 1,700 crores, INR 1,800 crores.
Is it possible for the group as a whole to aspire for, say, INR 3,000 crores EBITDA number, I mean, in the next 3 years? I'm not asking for any near -term guidance sir or anything. Just wanted to understand what the vision is for the next 2 to 3 years?
Deepak Rastogi: So you are asking me to forecast . So unfortunately, I cannot really answer you exactly. But obviously, the year looks good. That's all I can tell you.
Moderator: The next question is from the line of Adarsh Jain an Individual Investor.
Adarsh Jain: So my question is related to demerger. So basically, we have got the demerger approval and we wanted to know the people who are already holding shares of Deepak Fertilisers will they get the shares of the new entity, which is Deepak Mining Solution and by when it can be completed?
Deepak Rastogi: So the demerger happened, which is the subsidiary of Deepak fertili sers, and it is called Mahadhan Agritech Limited, which is an unlisted company. It used to house the CNB business, which is our fertilizer business and also the technical ammonium, wh

ich is the Mining Chemicals
for us business. Now the Mining Chemicals business is getting carved out into a new l egal entity and its name is Deepak Mining Solutions Limited. So that is the impact. And hence, there is no impact on the existing shareholders of Deepak Fertili sers.
Adarsh Jain: Okay. So what you said is I mean, the Chairman in his opening remarks, he said that any investor who wants to invest in particularly in one business can come and invest in the business he wants to invest, right? So basically, what I want to understand is, i.e., bought shares of Deepak Fertilisers because of TAN business, because of this ammonia plant. Now if somebody else comes and he gets the shares and -- I mean will I be getting the value I'm looking to my shares?
Deepak Rastogi: So the answer is, yes, because we would continue to look for technology partners as well as strategic investors to grow those businesses. Whether it is the fertilizer business or whether it is the Technical Ammonium Nitrate business. So whatever growth whi ch we see automatically it will show up in the holding company. So that is how it will benefit all the shareholders indirectly, but not the way that any shares would get allocated to them.

Adarsh Jain: So the person who will come new will be able to get the shares. And the existing shareholders will get the benefit only of being a holding company, not the individual company?
Deepak Rastogi: No. But I don't think so that we may give a shareholding. It depends upon what kind of investor we would get it. If it is a technology one, obviously, because it is the risk and rewards which carry for any investor from that perspective. And hence, those a re the discussions would happen
if at all somebody comes in and we need it. I don't think so that we are able to comment anything at this point in time.
Adarsh Jain: Okay. But I mean, as a shareholder, I can make you a request that you should keep in mind people who have been investing in your company for the past few years because of the TAN business or the ammonia business. They should also get something out of it. I mean being a
holding company, I mean, if I had known this before that not getting any shares after demerger, I mean, you should do something for them who are existing shareholders, and they should also get the shares of the when you plan to, I mean, divest the stake or maybe if you give the shares
to any investor based on technology value investment or whatever investment you are seeking of the any company.
Deepak Rastogi: We hear you, and we will see what can be done. But I don't think so that we can discuss this right now on that aspect because no decision has been taken so far.

Adarsh Jain: I can make you a request that please keep this point in mind.
Deepak Rastogi: Sure.
Moderator: The next question is from line of Sanjana from FWC .
Sanjana: I have a question on our ammonia plant, the new ammonia plant, what is the capacity utilization right now for the ammonia production?
Deepak Rastogi: It is closer to 98%.
Sanjana: 98%. Can we expect it to remain at this level like is this the optimum level? Or what is the maximum synergy?
Deepak Rastogi: We can actually go more than 100
Sanjana: Okay. And sir, how much is our ammonia requirements for all our plants together? How much do we require today?
Deepak Rastogi: So we have a capacity of closely around 500,000 tons . Almost, as I said, 86% is actually captive consumption -- 85%, 86% will be mostly captive consumption, balance will be for outside. So we would still have some capacity left for us to use it for captive.
Sanjana: Okay. So we still are using almost 85% growth into captive and we have around 15% that we can sell outside? Is that so?
Deepak Rastogi: Yes, that is correct.

Sanjana: And after the expansions are done -- after the channel expansion and nitric acid expansion, how much will our ammonia requirement we win, will we be fully sufficient then? Or we'll still require something from outside?
Deepak Rastogi: No. So in that case, we will have to really buy from outside given that the locational disadvantage even though we may have some capacity left with us, but the logistics costs would not support that. Hence, we would prefer possibly import and we will have to see the cost benefit. But the way it stands today is that we may have to buy locally at Gopalpur.
Sanjana: Okay. Sir, one last question on the mining subsidiaries. So we had a plan for scaling up the service part of the mining subsidiary where we were helping out companies and providing end-to-end services to reduce, say, costs on mining of anything. So is ther e any scale-up happening on that front?
Deepak Rastogi: So as we speak, there are a number of projects which are currently undertaken by the business. And we would continue to scale up. And you would also realize is that these are the services which do not exist today. We are actually creating the market for it . So we've been telling our investors is that we will be definitely, we are very aggressive in expanding it, but it will take some time before we get there. And this will become a material till the time it becomes a material part of the bus iness. So we are still a few quarters or a few years away from where we should be right now.
Moderator: Next question is from the line of Pramod Dangi from Unifi Investment Management.
Pramod Dangi: Thanks and congratulations for the good set of numbers. Mr. Mehta, I just want to check on the TAN. Last year, we have seen a lot of import of the Russian TAN, low -grade TAN. Can you throw some light, what's happening over there today? Is there any antidum ping duty being be imposed or that certain import has been reduced? How do we see that going forward?
Deepak Rastogi: So last year, we got a lot of it is not TAN actually, it is FGAN which actually got imported. And as I said, that almost 25% of, domestic requirements, getsimported . Last year, what has happened is that all the imports came from Russia only. That is number one.
Second thing is that generally, we are seeing around 325,000 to 375,000 tons per annum. Last year, what happened is that almost 400,000 tons actually came in a span of two quarters or maybe 2.5 quarters. And hence, it created an short -term aberration. Currently, obviously, the imports continue, but obviously, it is slightly more restricted. We are not seeing that kind of imports or that kind of volumes coming together. And obviously, all the companies have represented for the antidumping, but obviously, t he government has to take its own call. But so far, there are no antidumping duties. But in the new budget, as you would have read is that the duty has actually been increased for importing ammonium nitrate. So 2.5% of the duty has gone up, part of it would create some kind of a deterrent for the importer, but we'll have to see. I'm sure that the government is taking more steps to be able to at least give some competitive advantage to the domestic manufacturers as well.

Pramod Dangi: Okay. And secondly, on that since our capacity is coming on stream next financial year, additional capacity on the TAN. How the overall industry scenario looks like any other guys are

doing any expansion? A ny other largest player in India. So how the competitive scenario looks
like after 1 - 1.5 years down the line?
Deepak Rastogi: So we know that RCF and sorry, Chambal is actually coming up with some kind of new capacity. As I have been telling that they have actually announced that it is an ammonium nitrate capa

city
which they're bringing in. But they are also manufacturing fertili zers. So we'll have to really see
where their facilities will get utilized.
Assuming it is for ammonium nitrate only the current capacity, as I have said that domestic demand if fed through imports and still would come in and there would obviously, room for
imports. So we don't see much of a mismatch, but few quarters here and there, it could be mismatch. If the demand goes down, obviously, there could be some volumes here and there. But long-term basis, we are not looking for any kind of a supply gap for mismatches.
Pramod Dangi: Okay. And lastly, if I may...
Moderator: The next question is from the line of Bhavesh Shah an Individual Investor.
Bhavesh Shah: I wanted to ask that what was there any S -GST benefit in the ammonia project recorded in this
quarter?
Deepak Rastogi: Yes. We have actually . So you mean to say the incentives?
Bhavesh Shah: Correct.
Deepak Rastogi: Incentives for the ammonia plant. So last year, as you know, that we have actually got in Q4
around INR89 crores. For this quarter, we have done closer to almost INR 35 crores. We have
booked it which is prorated for the year. We expect similar if the volume obviously, if the prices
goes up, it may be even higher in the future quarters.
Bhavesh Shah: So the accounting will be consistent, right, for this quarter -over -quarter?
Deepak Rastogi: Yes, yes, yes.
Moderator: The next question is from the line of Jainam Ghelani from Svan Investments.
Jainam Ghelani: I just had two questions. The first one is there any planning for debt reduction this year? And
how would you be dividing our debt post the demerger within the 3 companies?
Deepak Rastogi: So, we always continue to reduce debt. But there are ongoing projects, which would require new
debt for funding those projects. So whether it is Gopalpur or whether it is Dahej. So overall even
though we may be repaying the existing debt , but overall, the debt portion may go up because
the new debts are coming in for the new projects. And it should peak out sometime next year..
And hence, we would start seeing some reductions there on.
Jainam Ghelani: So what would be the peak debt level?

Deepak Rastogi: So it depends how we see it. But more or less, it should be between INR 5,000 -- INR5,500 crores
to INR6,000 crores is what we think right now, but it can be lower than that as well. Given that
if everything comes together, but that's the way we are looking at it. But net, this is a ground
which I'm talking about the net debt will be definitely be lower tha n that.
Jainam Ghelani: Sir, by when do we expect the demerger process to be completed? And how would we bifurcate
the debt within those 3 entities?
Deepak Rastogi: So we basically have certain plants which are already there in queue. So let's say, the Gopalpur
that will go to the TAN business. The Dahej project that would go automatically to DFPCL.
That's how the things are. And the existing debt which is there, base d on the projects which it
has funded. So it is very, very clear. So that we would start obviously once we will start releasing
our financials now business-wise, it would actually show up how much debt each business or
each entity would carry .
Jainam Ghelani: Is it fair to assume that at the end of last financial year, we had a debt of INR 4,150 crores which
was the gross debt and this was largely used for funding of our ammonia plants. So this plus the
Gopalpur project once gets completed, is it fair to assume that the majority of the 70% to 80% of the total debt will be on the TAN, I mean, the Chemical business and the remaining will be
on the Industrial Chemicals?
Deepak Rastogi: So there are existing there for you know past projects because these are long -term debt. And the
door-to-door tenure is

10 to 12 years. So some of the debt would also come from the previous
projects. And hence, it is not even though it may be lower, but you rightly say, majority of the debt would be from t he ammonium plant, the Gopalpur plant and obviously then the nitric acid,
which is the Dahej plant.
Jainam Ghelani: How much capex you are going to do this year and next year because both of the facilities is
going to come on stream in second half of FY ‘26?
Deepak Rastogi: I cannot hear you properly. Please repeat it.
Jainam Ghelani: Sir, capex spend for FY ‘25 and ‘ 26.

Deepak Rastogi: ‘25 and ‘ 26, meaning for the projects you mean to say?
Jainam Ghelani: Yes, Total capex for the project.
Deepak Rastogi: So we have said that the Gopalpur project, we are going to incur close to INR 2,200 crores. As far as Dahej is concerned, we have said we will do around INR 2,000 crores.
Jainam Ghelani: And sir, how much we ’ll be spending in this year and next year?
Deepak Rastogi: So we are going to spend close to around INR 700 crores for our Gopalpur project because we have also incurred last year. So overall, we are talking about close to INR 750 crores for each of the plants between – so close to maybe INR 1,500 crores both put together that ’s the kind of money which we will spend this year.

Jainam Ghelani: INR1,500 crores will be equally divided between Gopalpur and the Dahej?
Deepak Rastogi: More or less, yes.
Jainam Ghelani: And next year also, it will be more or less the same amount?
Deepak Rastogi: We’ll have to see how much is actually retained, but could be similar here.
Moderator: The next question is from the line of Subash from Value Investments.
Subash: Sir, could you please explain in simple words about your demerger of TAN business? Because the earlier question which was asked by some of the investors I got confused because you said the demerger has happened and the wholly owned subsidiary that is this after split it is a new company name is Mahadhan, right? And what is the other business that you mentioned? And if this is a wholly owned subsidiary of Deepak Fertilizers, if at all, this Mahadhan gets listed right in the future, why wouldn’t the e xisting shareholders get shares in Mahadhan. I mean, could you explain in simple terms about the demerger, please?
Deepak Rastogi: So first of all, you should go to our corporate presentation or the earnings presentation. We have actually added a slide on the demerger exactly to the question which you are asking. It talks about what is the existing structure and what will be the new s tructure, demerged one. So once you should look at it, otherwise it may be difficult for me to explain and you would may further get confused. It ’s better to look at that.
And then if you still have follow -up questions, we will be able to answer you off -line. As far as your listing of the entities are concerned, we have 2 unlisted entities, which is one is for Mahadhan Agritech, which is an unlisted entity. The other is Deep ak Mining Solutions Limited, that is other unlisted entity. There are plans in future, but no decision has been taken so far on the listing part. So whenever that comes in, we will talk at that point in time. And we will also talk about what could be the deal for the existing shareholders. It is difficult for us to comment right now because there are no plans.
Subash: I completely understand that you cannot explain the complete structure. I ’m looking at your presentation. So to be more specific, If at all, right, I ’m not asking about any deal or the ratio or anything. If at all, this Mahadhan gets lifted in the public space, would Deepak Fertilisers shareholders get the shares of Mahadhan?
Deepak Rastogi: So that will be whatever the scheme would be we will basically come out at that point in time. That’s what

I said. I cannot basically comment today because there is no decision which we have taken so far.
Subash: But you mentioned that Deepak Fertilisers shareholders are not eligible to get Mahadhan shares ?
Deepak Rastogi: We never said that DFPCL shareholder will get shares . We possibly said that in order to these companies to grow, which is Mahadhan as well as Deepak Mining If they needed technology support, they needed funding and all they can do their own technology and funding tie -ups..

That's the only comment which we have made. Obviously, there are expectations from shareholders, which we cannot answer right now because no decisions have been taken so far.
Subash: Okay. I understand that these companies are still under Deepak and they're wholly owned subsidiaries. That's the end right?
Deepak Rastogi: Yes.
Moderator: Next question is from the line of Pramod Dangi from Unifi Investment Management.
Pramod Dangi: No, my question was answered.
Moderator: The next question is from the line of Adarsh, an Individual Investor.
Adarsh Jain: My question is already answered. I've already asked them the question.
Moderator: The next question is from the line of Niraj an Individual Investor.
Niraj: I just wanted to know what are the plans? And what is the current situation on Mining Solution

business? And what are the prospects? Who are the current competitors? How is that business shaping up?

Tarun Sinha: This is Tarun Sinha here. I will take your question. Thanks for your question. So as Mr. Deepak Rastogi was mentioning earlier, this newly created entity by the name Deepak Mining Solutions Limited, essentially has a very unique value chain for its consume r, which starts from its own ammonia and then goes on to its ammonium nitrate. And then we use all of that together with blasting technology and different kinds of operational machines to provide mining solutions in the form of productivity im provement in the mines and infrastructure projects of the country. So that's the uniqueness of this model. It's a self -contained blasting solutions business. And I would rather call it a Mining Solutions business.

Who is doing it in India today? That was the other part of your question. The answer is no one has this kind of a value chain from ammonia to mining solutions as an integrated chain under one umbrella. So that's the uniqueness. And there was a question in the call in case you heard that, how long will it take to scale it up? We just started this whole thing about 1.5 years ago, this whole solutions model. And now we've created a new corporate entity to give it the impetus that it needs and slowly, slowly w e'll be looking forward to scaling it up by building all those required capabilities.

Niraj: So, where do we see this Mining Solutions business 2, 3 years down the line? What kind of a growth percentage tentatively if you can share the -- we can expect in this business?

Tarun Sinha: So this is a similar question in one of the previous, I would say, quarterly calls, I'm not sure whether you were there. The answer here is the sky is the limit, to be honest, because the canvas is entire Indian mining industry and the infrastructure industry. There are two main factors which will determine how fast or how slow this can be done in terms of scaling up. One is because it's a new type of business model, our consumers are actually watching us, how do we bring this model in the mark et. We are working on a number of pilot projects as we speak. So that is one

factor which will determine what it will look like in the next 2, 3 years, which is from an acceptability point of view.

Second is the speed at which we will be building our own internal capability to convert t

he
market.

Niraj: Okay. So at the international level, is this kind of a business operational or its -- globally it's a unique one?

Tarun Sinha: So there are very few handful of global companies who actually have this kind of a model operating, not in India, in different parts of the world, but no one does it in India today.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today's call. I now hand the conference over to the management for closing comments.

Deepak Rastogi: Thank you all for attending quarter one financial year '25 conference call of Deepak Fertilisers and Petrochemicals Corporation Limited. Thank you again, and good evening to all of you.

Moderator: On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza,
Bandra - Kurla Complex, Bandra (E)
Mumbai – 400 051 5th November, 2024
The Secretary
BSE Limited
Phiroze Jeej eebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001
BSE Code: 500645 NSE Code: DEEPAKFERT
Subject: Management Transcript of Q2 FY 202 5 Earnings Conference Call
Dear Sir / Madam,
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Management Transcript of the Earnings Conference Call held on 30th October, 2024 to discuss the financial results of the Company for the quarter and six months ended 3 0th September, 2024.
The transcript of the Q 2 FY 202 5 Earnings Conference Call will also be made available on the website of the Company i.e. https://www.dfpcl.com/ .
We request you to take the same on your record.
Thanking you,
Yours faithfully,
For Deepak Fertilisers
And Petrochemicals Corporation Limited
Gaurav Munoli
Company Secretary
Encl: as above

"Deepak Fertilizers & Petrochemicals Corporation
Limited Q2 & H1 FY-25 Earnings Conference Call"

October 30, 2024

MANAGEMENT : MR. SAILESH MEHTA – CHAIRMAN & MD
MR. DEEPAK RASTOGI – PRESIDENT & CFO
MR. TARUN SINHA – PRESIDENT TECHNICAL
AMMONIUM NITRATE
MR. SUPARAS JAIN – VICE PRESIDENT , CORPORATE
FINANCE
MS. PALLAVI BHALLA – HEAD. INVESTOR RELATIONS .
DEEPAK FERTILIZERS & PETROCHEMICALS
CORPORATION LIMITED
MODERATORS : MR. HARMISH DESAI – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Moderator : Ladies and gentlemen good day and welcome to the Deepak Fertilizers & Petrochemical Corporation Limited Q2 FY25 Earning Conference Call hosted by PhillipCapital (India) Private

Limited.
As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Harm ish Desai from PhillipCapital (India) Private Limited. Thank you and over to you sir.
Harmish Desai : Thank you , Nikita. Good evening and welcome to the second quarter and half year FY25 earnings call of Deepak Fertilizer & Petrochemicals Limited hosted by PhillipCapital .
From the management we have Mr. Sailesh Mehta – Chairman & Managing Director , Mr. Deepak Rastogi – President & Chief Financial Officer , Mr. Tarun Sinha – President (Technical Ammonium Nitrate), Mr. S upras Jain – VP (Corporate Finance) and Ms. Pallavi B halla – Head Investor Relations.
I would like to thank the Management for giving us the opportunity to host this call. We will begin the call with "Opening Remarks " from Mr. Sailesh Mehta followed by Mr. Deepak Rastogi for update on "Financial Performance ", post which will have a Q &A session. Thank you and over to you sir.
Sailesh Mehta : Thank you Harmish. Very good afternoon to all of you. I would like to warmly welcome each one of you in this Q2 FY25 Earnings Call.
I hope you have had a chance to run through our earnings presentation and p ress release details which have been updated on our website. I hope you have had an opportunity to somewhere study them.
But let me share with you some of the highlights as I see in the Quarterly Results. So, at the outset let me have joy in sharing the highlights of the Quarter Results from the positive change that we have seen.
The consolidated revenues grew by 13% and have crossed Rs. 2,700 crores for the quarter. EBITDA grew by 73% and stands to around 494 crores. The margins grew from 12 % to 18% and all of it culminating into a 237% jump in the net profit to Rs.214 crores for the quarter. Now what of these have undercurrents that are once off , what are short term , what are the undercurrents that will sustain and grow over a period , could be the rightful curiosities from a strategic perspective. And let me share some of my thoughts on these areas.

A good monsoon while strongly supporting the crop nutrition business did bring some expected dampening in the mining and chemicals business. However, going forward while the enhanced water levels in the soil and the dams promise a continued good agriculture season for Rabi leading right up to next Kharif . The clearing of the monsoons should trigger the revival of the mining sector , chemical sector in the second half.
In terms of the longer term and sustaining undercurrents , I would like to reiterate four major ones. So, number one , quarter after quarter we continue to get a very good positive validation of the beautiful alignment of all our three businesses with the India growth story. The demand drivers continue to remain robust, and we see that undercurrent emerging from India's needs for coal power or limestone cement or infrastructure. All of it giving very good tailwinds for the Mining Chemicals business. And so al so the growing income levels , mid income group levels growing and their food habits moving to more of fruits and vegetables , aligning beautifully with our crop nutrition business. And so also the China Plus One and the

move towards more and
more specialty chemicals supports our Industrial Chemicals business. So , number one the first undercurrent which we are seeing play out quarter -after-quarter and having a sustaining positive effect has been this beautiful alignment with the India growth story.
Second that we see a positive play emergi ng out of our backward integration into the ammonia plant as you are well aware that world scale ammonia plant that came up short while back. And what we are seeing is that it is emerging to be a very strong risk mitigator and a value capturer for us and a very strong stabilizing foundation for all our downstream businesses. More so as we look at the disturbing sit uation emerging in the Middle East and we were just thinking that if we didn't have the ammonia plant , our dependence on a critical raw material coming from the Middle East would have been a matter of deep concern because of the issues emerging there and the shipping costs and so on and so forth. So , this aspect of it is going to be a great risk mitigator to have our own ammonia facility across our current complex. Plus, the price volatility that would emerge on the ammonia front will now be captured within the group rather than us being at the mercy of the pricing that will emerge out of a war like situation.
The third undercurrent that I am seeing which will have an ongoing strong impact is our intense and committed strategic journey from commodity to specialty based on very strong R &D and deep consumer segmentation and insights. In the crop nutrition business, we are seeing a

growing basket of crop specific nutrients and a growing and strong market acceptance on its efficacy , obviously in terms of improvement in yield but also in terms of the quality of the produce. We have also now begun with the introduction of crop specific water -soluble fertilizers. So, the journey continues with I would say very strong drive in the fertilizer business for sure. Even in the Industrial Chemicals business , we are finding good inroads with the steel grade nitric acid and the pharma grade IPA. And in the mining chemical business the team has executed over 15 TCO projects besides proving LDAN base ANFO as a huge value addition for the end user segment. So , the third undercurrent that I'm seeing which will have a long-term impact is the committed drive from commodity to specialty or holistic solutions.

The fourth undercurrent that promises to have also a long-term sustaining impact is the recent NCLT approved restructuring and demerger. What it will end up doing is not only unwind and unfold the real strengths of each of the businesses , but we'll bring the end -to-end focus right from the board member right down to the lowest officer for that specific business and of course make us attractive propositions for strategic alliances and global joint ventures.
Now beyond these four sustaining undercurrents that I shared ; namely the alignment with the India growth story , the backward integration that the ammonia brings , the commodity to specialty drive and the corporate restructuring. There are two other developments that I would like to share which you may have read about. One is of course 5 year anti-dumping duty on IPA will also have a good long-term sustaining impact both on the top line and bottom line of the Industrial Chemicals business. And the second is , we are seeing a very strong fast paced CAPEX plan executing the technical ammonium nitrate Gopalpur project and the D ahej nitric acid project and those will have lasting positive undercurrents. And unlike other typical CAPEX programs these two CAPEXs are usually risk mitigated. In view of , #1 the 40 years of operating experience behind these projects we are not doing anything new. I mean we have experience of running TAN facilitie

s and nitric acid facilities over the last 40 years. So , no unknown areas , whether it is in terms of safety , health , environment , operations rules regulations . The second is that for both the products we will be entering a market again where we have been there for the last 40 years. It is nothing new in terms of creating new customers or new distribution networks nothing. All of it will be stepping into something which we have been doing since the last 40 years. And of course, in both the cases the demand drivers continue to be aligned with the India growth story. So , we feel that t hose CAPEX plans are usually risk mitigated.
So, now with this strategic overview let me now hand you over to Mr. Deepak Rastogi to share the nitty gritty and detailed figures and a lso questions that you may have . Before I end all my very best to each of you and your families for Deepavali. Thank you .
Deepak Rastogi: Thank you Mr. Mehta. Good afternoon, ladies and gentlemen. I appreciate you joining us today for the Deepak Fertilizers & Petrochemicals conference call to discuss our results for the second quarter and for the first half of Financial Year ‘2 5.
I'm pleased to report that our performance for this quarter is a reflection of resilience and strategic initiatives we have undertaken in recent years. We have achieved total operating revenue of Rs.2,747 crore s with an operating EBITDA of Rs.494 crore s. This is for the second quarter of this year. This translates to an EBITDA margin of approximately 18% , representing significant year on year growth of approximately 690 basis points. The net profit for the quarter soared to Rs.214 crores , reflecting a 237% increase compared to the same period last year.
On the balance sheet side, we continue to work on the deleverage of debt. We have prepaid 200 crores of debt ahead of the schedule. Therefore , overall debt has come down during the quarter.
I would no w like to dwell deeper into the performance of our businesses. So , this is for the crop nutrition business performance , during the Q2 of ‘25 the sales volume of manufactured bulk fertilizers achieved is 268 ,000 metric tons , marking extraordinary growth of 83% over Q2 of last

financial year which is Financial Year ‘2 4. This quarter stands out as one of the best performances in the company's history. Our strategic focus on high performing products has started bearing fruits. Favorable monsoon conditions in core markets allowed us to drive sales of specialty fertilizers like Cropte k, Smarte k. Sales of Cropte k reached 37 ,000 metric tons reflecting a robust year-on-year growth of 70%. Our targeted campaigns for crops such as cotton and sugar cane have been effective to grow revenues . We continue to focus on high quality specialty fertilizers like Solute k for grapes and tomatoes.
Looking ahead to Q3 ; the above normal monsoon rain has greatly enhanced the ground level water , promising a strong Rabi season . We anticipate increased acreages for Rabi crush crop

particularly sugarcane , onion and potato.
Regarding Industrial Chemicals business – nitric acid volumes slightly decreased by 1% on YOY basis while IPA volumes actually fell by 10% YOY. Despite that the revenues overall for the Industrial Chemicals business actually grew by 9% . IPA volumes were declined due to process constraints and plant shutdown . As we are aware, the anti-dumping duty has been implemented from October 22nd of this year for a duration of 5 years, which would actually help the domestic manufacturer sustain margins going forward.
The specialty stainless steel-grade nitric acid has received positive feedback from the customers, and we continue to work to enhance the revenues from that perspective.
Demand and margin for nitric acid are expected to remain stable over the next few qua

rters.
RGB based IPA demand and margins are expected to be stable and improving . following the implementation of the anti-dumping duty on Chinese suppliers , over the next few quarters.
Regarding the Mining Chemicals business – LDAN's s ales volume increased by 16% Y OY and 20% from the first half of this year as compared to the first half of the last year. Overall sales volume decreased by 21% Y OY in Q2 , attributed to the planned shutdown and the lean period due to monsoon . Overall revenues fell by 8% YoY while in the first half the volumes declined marginally by 1% of similar half of the last year while revenues rose by 6% Y OY.
The plant undertook a planned shutdown of maintenance activities to complete capacity debottlenecking resulting in increased capacity from 537 K TPA to 587 KTPA. Consequently, production volumes were lower by 21% YOY because it was planned. Looking forward we expect the demand recovery in Q3 supported by growth in coal , cement and steel production.
In Summary :
Our strong performance this quarter is a testament of strategic initiatives we have undertaken like backward integration and moving from commodity to specialty and also introducing innovative product offerings to our customers and consumers. We believe the steps we are taking will position us for sustained growth in the future.

Now I will open the floor for Q &A.
Moderator : Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Rishabh Gang from Sa ncheti Family Office .
Rishabh Gang : How do you see the trend of margins going forward , like we can expect 18% to be a steady state EBITDA margin ?
Deepak Rastogi: So, just to clarify are you asking for the consolidated 18% is what you are saying, or it is a business specific number?
Rishabh Gang: Consolidated .
Deepak Rastogi: I think that we have been actually delivering these numbers over the past few quarters and we think we have got that at sustainable level going forward. Obviously, there will always be some cyclicality involved going up and down within the ban d. But that should be the way to go forward.
Rishabh Gang: Also, regarding the new proposed corporate structure , the demerged entities , would they be separately listed?
Deepak Rastogi: So, the plan obviously is that each business would be separately listed at appropriate point in time.
Rishabh Gang: Like 1 to 2 years down the line ?
Deepak Rastogi: So, there is no timeline as such. But obviously we would provide the timelines as we take those decisions going forward.
Rishabh Gang: Also , what's your roadmap on being net debt free , like how many years do you envision or like any plans for that and what's your take on the steady state ROCE of the business?
Deepak Rastogi: So, purely from a net debt perspective as you know that we already have two expansion plans which are continuing going forward , one is for Gopalpur and the other is for Dahej a nd hence given that the repayments only start post the CODs which is the commissioning happens and hence the deleverage of the balance the debt would happen after that. However , the normal repayments cycles for all the businesses continue the way it is and whenever we have an opportunity , like we had an opportunity thi s quarter , we are able to at least fast forward or expedite some of those repayments ahead of schedule.
Rishabh Gang: By the year end how much net debt do you think you will be having?
Deepak Rastogi: So, from a gross perspective currently we have delivered around Rs.3,600 crores. So, I would say that additional drawdown of maybe around for the projects , so there will be no other

drawdowns, but we are expect

ing around 300 to 400 crores worth of additional drawdowns for
our new projects going forward. So, give or take a gross number would be closer to maybe
around Rs.4,000 crores again around that number is what we are expecting right now .
Rishabh Gang: By the year end , and also the ROCE front , like what do you think would be the steady state
ROCE of the business?
Deepak Rastogi: So, we will have to really work that out because there are two new projects which are coming in
and the EBITDA for those projects would only start obviously kicking in from effectively for
on a yearly basis close up around ‘26-27. That's the financial year. And generally, the idea is
that all the IRRs effectively of the new projects should be between 18% to 20%. So, if we
continue to deliver this , the ROC will be far more obviously very high in terms of the deliveries.
But till that happens because there is a CAPEX which is happening and there is no EBITDA to
that obviously the ROC will be depressed for now.
Moderator: The next question is from the line of Jayanam from Swan Investment.
Jayanam: My first question is what was our contribution from ammonia savings in this quarter?
Deepak Rastogi: So, what we have done i s, but purely from overall contribution on EBITDA side , it is closer to
around Rs.45 crores to Rs.50 crores. That's the number which we have, and these numbers would
actually improve once the ammonia prices continue to go up which we have been actually seeing
those indications now that . Mostly Q3 and Q4 when the winter kicks in obviously we have seen
the ammonia prices actually which is FOB -ME hardens and it is closer to around $400/ MT to
$450/MT. So, if that happens obviously the margins would further improve going forward.
Jayanam: At the current level of ammonia what will be the contribution that you will be making per ton at
$430 which you indicated for the month of October?
Deepak Rastogi: We basically don’t obviously provide that data specifically, but I can tell you that and which we
have been consistently telling that if the ammonia prices are closer to $300 FOB -ME per ton ,
we would be obviously contributing positive. If we are if the ammonia prices are (+$400) FOB -
ME, we would be PBT positive and that will continue. So, obviously the other thing which
obviously we have been reinforcing it and in fact Mr. Mehta also made the point , if the ammonia
prices are slightly lower obviously the benefit flows into the other businesses. If the ammonia
prices are actually higher , the benefit stays in the ammonia business and obviously it doesn't
flow through the other business. But overall, from a cons olidated perspective it will not have
much of a difference across the company and across the group as we will capture the benefit or
expense both sides within the group. So , it would not have it. But obviously if you are looking
independently this business yes, there will be some cyclicality involved based on ammonia
prices how it actually moves.

Jayanam: Given the recent uptick in the ammonia prices which had gone down 300 , now back to 430 , how
do you see a global demand supply playing out in terms of ammonia and in terms of the pricing ,
I mean the broader sense you can help us understand ?
Deepak Rastogi: So, as far as the global economics is concerned , you can actually get through the history of how
the prices have actually behaved. But most of the time the prices have ranged between $400 to
$450 FOB -ME. Most of the time there are variabilities in between. We saw last quarter the prices
were close to around $275 to $300. This quarter we are looking which is Q2 we saw inching up
to around $350 . Going forward and all the time Q3 is definitely and Q3 and Q4 are from an
ammonia pricing perspective are higher because of the harsh winters if it goes

through then the
demand goes up and hence the prices actually have an impact on the same.
Jayanam: Second question I mean just from the earlier participant in terms of the CAPEX , you indicated
that there will be additional 300 -400 crores of drawdown during this fiscal year. And since now
both the project s Gopalpur and the nitric acid project is likely to come out soon in second half
of FY26. So , what is the incremental C APEX that you will be spending in Financial Year ‘2 6
and post the completion of this C APEX what will be our peak debt?
Deepak Rastogi: So, if I were to sum up what you are asking is that we are expecting the peak debt to hit
sometimes in end of Financial Year ‘2 5-26 or early ‘26-27 to be closer to around 6 ,000 crores
because we basically have to incur closer to almost 3 ,000 crores both put together and 30% of
that would come from the equity and the balance would be raised through the debt.
Jayanam: 6,000 crores will be a peak debt one can probably assume by end of next fiscal year . Now if you
want to break up because if you look Mr. Me hta in his opening remark indicated regarding the
sustainable growth driver and one of the sustainable growth drivers for the business was the
demerger. So, can you help us understand the total 6 ,000 crores or current 4 ,000 crores of the
debt, which is there in the book , how does it bifurcate between the various verticals that is going
to get demerged ?

Deepak Rastogi: Obviously we can send you the details separately, but it is based on the projects which business is. So , let's say for our Mining Chemicals business Gopalpur , obviously plant debt would actually be added there . As far as Dahej nitric acid is concerned , obviously it will come to the Industrial Chemicals business which is under DFPCL . But we can share that data separately. I do not have the data right away.

Moderator: The next question is from the line of Parth Kotak from Plus91 Asset Management.

Parth Kotak: Most of my questions again have been answered. One question that I have is the impact of facility downtime. Taloja faced downtime for IPA and nitric acid production , can you share when this capacity utilization will return to normal and if repairs will have any impact on this quarter's EBITDA margins ?

Deepak Rastogi: Just to give you a sense that Parth that irrespective of whether it is a planned or an unplanned downtime , we are actually looking to operate our plants between a capacity of around 92% to 98%. That is the kind of capacity utilization we have in all the actually plants currently , including ammonia , including nitric acid , including IP A and things like that. And hence wherever we will need to enhance the capacity , we had to actually enhance the capacities let’s say for our Mining Chemicals business , so we added that . There will be a needed downtime for those products. We have been continuously doing preventive maintenance for all the plants and we want to optimize it. But this year you would find that most of the facilities would actually be between 92% to 95% capacity utilized . Ammonia would be an exception. It can be even higher than 100%.

Parth Kotak: I think that sums up your views really well. Lastly, on the impact of ammonia on segment reporting. You mentioned earlier that ammonia profits are embedded in the chemicals business. Can we expect any changes to segment reporting post expansion to provide better visibility into ammonia performance or this i s how we'd like to continue ?

Deepak Rastogi: So, for now we will want to continue like this. But we will look into this to see whether we need to change our segmental reporting. Even though on the yearly sid e we provide the details for all the segments for our ammonia business. In any case we actually publish separate results and hence

and the consolidated results. So , you will have most of the details. But as you have requested, we will look into this and see if it is appropriate for us to change the reporting.

Moderator: The next question is from the line of Harsh Shah from Reera Holding s.

Harsh Shah: First question is on the technical grade ammonium nitrate part of the business , this quarter if I see the realization has been almost flattish on QOQ basis. So, just wanted to understand that have we not yet seen the benefits of higher ammonia prices flow through into our realization? That is one. And second is once we have our de -bottlenecking capacity operative , what kind of growth in terms of volume are we seeing? Because I remember last few quarters, we had seen a lot of imports coming from Russia. So, any update on that situation in terms of import supplies?

Deepak Rastogi: I will answer you in two parts. First of all, the monsoon season actually is a lean season for this business because of the waterlogging or flooding in the mine. The mining activities actually are reduced. So , in spite of that the volumes have slightly come down. But they are not nowhere actually too much down in overall. That is number one. The second point which you made for on the pricing side , generally the ammonia prices do not decide how the TAN prices actually work . There is a commodity which is called FGAN ; Fertilizers Grade Ammonium Nitrate , that actually determines how the pricing and the premiums would be actually set in the marketplace. So, I can tell you that versus last year obviously the amount FGAN pricing globally has actually strengthened, and we have been obviously getting higher selling prices for our product versus last year. So , the third question which you asked was that ? So, from purely from an imports perspective generally arou nd 15 % to 20% of the demand of India is catered through imports , this year obviously there are Russian imports but almost 40 %-50% imports are also from other countries apart from Russia. And hence we do not basically see much obviously challenge there but that is going to continue overall.

Harsh Shah: Another question was for the industrial chemical business , since we are expanding our nitric acid capacity , will this mostly be used for our captive consumption, or this will also be used for market sales ?

Deepak Rastogi: So, for CNA actually it is predominantly for market sales , so we have tied up almost close to 65% of our capacities of our CNA with Aarti. The balance again will actually go on spot sales and things like that. As far as the diluted which is DNA or W NA, almost 50 % to 60% actually is capt ive, the balance would be sold outside to the other.

Harsh Shah: And in terms of end user industry , will we see any change in sales mix in terms of more product getting sold for value added products or will the sales mix or the end consumer remain same that we have currently?

Deepak Rastogi: We have been actually improving our specialty grades sales over a period of time. So, obviously the customers , so as you know we have added steel grade nitric acid for an example. We have added Purosol v which caters to mostly hospitals or the pharmaceuticals and the disinfectant industry and things like that. Now we have also in a process to launch for semiconductors IPA grade those products. Now these are very much industry specific applications which we will continue to develop and hence we will always have the similar base of the customers which we will cater which we have been catering to. But we will continue to add with the specialty , we will continue to and new customers going forward.

Harsh Shah: And just the last question follow -up; would you be able to give any numbers in percentage terms as to how much would be commodity grade sales to fert

ilizer companies , speaking about nitric acid and how much would be value added and where would this percentage stand 2-3 years down the line ?

Deepak Rastogi: We are currently at around 20% , 80%-20%. 80% is the normal grade and 20% are specialty grades and we are looking to at least double this number over a period of a couple of years.

Moderator: The next question is from the line of Heet from Moneybee.

Heet: Most of my questions have been answered. I just wanted to know , do we have any progress with our mining services division, and have we secured any orders for that?

Deepak Rastogi: We have already executed more than 15 projects or programs so far. And as we speak , multiple projects are under progress at this point in time. So , that's a work in progress and that it is only going to increase and improve going forward.

Heet: What sort of margins do we look at when we take these mining services cont racts?

Deepak Rastogi: So, generally what happens is that the product margin stays because we are selling the product and all but the services , there is an additional margin that is based on what are the project or the program details , how much is the benefits which gets accrued to the customer based on which

we basically decide how much will be the premium we will charge for our services. So , it is not obviously a single number. But if I were to give you a ballpark number maybe 10 % to 15% over and above what we do , obviously it will become a normal benchmark going forward as we actually improve and increase the kitty of the TCO programs going forward.

Moderator: The next question is from the line of Kushal Shah , an individual investor.

Kushal Shah: I have two questions. My first question is that we have seen many changes recently in the top management. That is Mr. Amitabh Bhargava resigned last year and now Mr. Deepak Ras togi is going to resign. We have so much of CAPEX plan then how do we plan to stabilize the top management? And with Mr. Su bhash Anand, who will be joining in the position of Deepak Rastogi continue for so many years. Like do the shareholders have that kind of assurance. And second question would be on the lines of Mining Chemicals . And it's particularly how Deepak Fertilizers would have an edge over the existing experienced miner and how difficult or easy it is to replicate the total cost of ownership model that we have built ?

Deepak Rastogi: On the first question obviously, the company has a very good pipeline in terms of succession planning. There will be management people or employees would actually join , new employees would join and some employees would actually leave. So, that's a normal process of an organization and the organization is well equipped to handle either the new expansions or the demergers and things like that. So, given that we have seen this over the past 40 years all the IP and the knowledge actually reside s in the processes and the compan y. So, I don't think so that that could be one of the concerns which we have . Obviously, we will as we speak, we continue to create more obviously experts and more people in the system so that we do not have a vacuum in terms of succession planning, which is well actually matured, and it is obviously discussed at the board level also. So, that is number one . On your question towards the TC O, I would hand it over to my colleague Mr. Tarun Sinha who will answer that whether it is easy for any other company to replicate the TC O model . I will over to you Tarun .

Tarun Sinha: Let me reconfirm your question. What's your question on TCO if you can repeat ?

Kushal Shah: My question is , why do Deepak F ertilizers , a Chemical Company would have an edge over the existing miners who have several years of experience in mining or let us say infrastructure

? And second part of the question is some other player comes into the market then how easy or difficult it is to replicate the total cost of ownership model for them ?

Tarun Sinha: On the first part , we are not claiming in any form and shape that our knowledge base is much larger than the existing miners. What we do is as it happens in the normal course of business in any organization when there is a team of people working on the same thing over and o ver again ,

like it happens in a typical mine , then chances are high that area of opportunities are overlooked
not because of any design but it's just that it's normal way of working. So , what we do in our
total cost of ownership model is we send a team of people to the mines , so a baselining ,
benchmarking of their overall costs which encompasses drilling , blasting , excavation , hauling
and crushing , wherever applicable these operations and spot opportunities for improvement. And

then as we spoke earlier in one of the questions we try to enter into some projects and contracts
to help the mining companies to improve that cost. So, that's the business model. On the second
one, whether any other company is able to replicate this? I think I've answered this question in
some of the other calls earlier in previous quarters. It is difficult. We don't know of any company
which is working on this model. It is unique and why it is unique is no t just because of how we
approach it, but it is al so about how we contract these kinds of projects, which is a combination
of the inputs that we provide and at the same time the outputs that we generate. So, it is very
much outcome -based approach rather than an input -based approach which is where most of the
companies operate in this space. That's where we draw the difference in terms of our business
model versus the others.

Kushal Shah: And one more question on how long will it take for TCO to mature and be a significant
contributor in the revenue?

Tarun Sinha: So, we started this concept a couple of years back and like it happens with any new concept , it
matures over a period of time. We have come a long way already in terms of not only just
building the capabilities but also as was mentioned by Mr. Deepak Rastogi earlier , by executing
15 odd projects in that direction. And these projects have been delivered in coal segment of the
market , in the metal and limestone segment of the market and also in the infrastructure segment
of the market. So , it's w orking quite nicely , it's maturing, and we are on the growth trajectory.
We anticipate that as we go along this will start becoming a bigger pie in our chunk.

Moderator: The next question is from the line of Jay Jariwala , an individual investor.

Jay Jariwala: I have two questions. My first question is based on like you mentioned in the PPT that we are
going to launch a new IPA based on a semiconductor base. O n according to which quarter, we
can expect a revenue kicking in from this particular segment , it is in a very initial stage like I
want to just know the progress on this ?

Deepak Rastogi: We already have a product right now. Obviously , the scale is very small given that the industry
in India has to pick up. And because a lot of manufacturing activities have just started for
semiconductors in India. And hence we expect this business to grow multi fold. T ill the time
whatever activities which are there for domestic sales as well as for exports , we continue to look
at those opportunities and see what the best way could be to actually improve obviously our
revenues in that particular segment.

Jay Jariwala: The second question is on technical ammonium nitr ate. So, like we are seeing a couple of other
companies like Coal India, and they are joint venture for this particular ammonium nitr ate. So,
they are the

y have specified an ammonium nitr ate. I just want to know whether this technical
ammonium nitr ate is different from an ammonium nitr ate, l ike is the both the products are same
and the capacity which we are going to be live by Coal India in somewhere FY26 ?

Deepak Rastogi: What Coal India is trying to do is that they are doing much more from a coal gasification if that's
what they are trying to do. And they have been working with BH EL to bring that kind of a

technology and in the previous quarters I've actually mentioned that the technology as per them
is not commercially viable. That's how they have actually reported in their annual report. So, we
have to see when they will actually bring in. But the products are the same , technical ammonium
nitrate is the product which is used for explosive purposes for the mine. And they are trying to
basically obviously create some in -house capabilit y with this joint venture going forward. But
we have to see how it actually pans out.

Moderator: The next question is from the line of Chintan Shah from JM Financial Family Office.

Chintan Shah: I have two questions. One is on the TAN segment , if we see there are two to three players who
are adding capacities here and also as you mentioned earlier , significant contribution is from
imports. So, now this is a slightly longer term. Once we commission our additional capacity by
end FY26 and I believe probably other players are also adding somewhere in FY26 to ‘27, do
we see a case that could put pressure on pricing and once we commission this capacity , we could
see lower profitability ? That is the first question. And second, it's slightly near term. So, right
now, from FY26 perspective just wanted to understand since you are already operating at such
high-capacity utilization levels , what sort of growth levers do we have? Is this only realization

and profitability or is there a scope for volume expansion as well? Those are my two questions.
Deepak Rastogi: I will take the second question first and then go to the next question. We already have got capped in terms of the capacity and that is one of the reasons why we have actually added 50 KTP very recently wherein we took a plant shutdown to increase the capacity. Because today we do not have a dequate capacities to actually service our own customers. That's number one and that is one of the reasons why we have actually gone for the expansion. Because if you really see the coal mining or mining activity , power activity or infrastructure activity , are slated to grow between 10 % to 12% CAGR over a period of next at least 5 to 6 years if not more. What this will do , is that the current demand supply situation , the current demand of India is close to almost 1.5 million tons , at this point in time are 1.6 million tons. With the space of infrastructure growth and mining activity growth it would actually go to around 2.2 or 2.3 million tons per annum. The current capacities which are there on the ground is closer to around a million or 1.1 million tons. And hence when I was making a comment that a round 15% to 20% of the demand is actually fed by imports, which is the case all the time. So, going forward also the new capacities which are coming in by through Chambal or RCF, the ca pacities will move from including our own, the capacities will move from maybe 1.1 or 1 million to around 1.6 or 1.7 million tons. There would still be enough scope for the imports to continue. So, when we have actually and envisaged our project at Gopalpur , we have assumed that a similar import would continue , given the kind of the demand supply situation in India. Now these are normal scenarios , if the demand comes down because of some Blue Swan events or because there is a cyclicality. There could be few years which are more softer

than others. But on a long-term basis we are very confident that the capacities which are there on the ground will continue to be capacity utilized to the brim and there will be hardly any case for us to say the capacities are not utilized. In fact, the way that we have been planning is that from day one we are thinking because of the ramping and all, the

things would start between 60 %-70% capacity utilized from day one. That's the way it is. It is going to improve over a period of time. So, that is how we are looking at this market.
Chintan Shah: And just one last question on our real estate venture , is there any update or what the plan here?
Deepak Rastogi: So, the plan is that the business have a parcel of land. There is a business which does not need to be, it's a neutral , it’s not materially from a value perspective , from a revenue or profit of these things. And hence we will continue to run that business and whenever we need to we will have an asset to liquid ate if at all. We get obviously good pricing and things like that appropriately. But currently there is no need for us. There are no pressing reasons for us to take those actions.
Moderator: Thank you. Ladies and gentlemen , that was the last question for today . I now hand the conference over to Mr. Deepak Rastogi for closing comment.
Deepak Rastogi: Thank you all of you for taking the time to participate in Deepak Fertilizers & Petrochemicals Limited conference call. I again wish everyone on the call a very Happy Diwali and a prosperous New Year to all of you. Thank you so much.
Moderator: On behalf of PhillipCapital (India) Private Limited , that concludes the conference call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

6th February, 2025

The Secretary Listing Department
BSE Limited National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers, Exchange Plaza,
Dalal Street, Fort, Bandra - Kurla Complex, Bandra (E)
Mumbai – 400 001 Mumbai – 400 051
BSE Code: 500645 NSE Code: DEEPAKFERT

Subject: Management Transcript of Q3 FY 2025 Earnings Conference Call

Dear Sir / Madam,

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Management Transcript of the Earnings Conference Call held on 30
th January 2025 to
discuss the financial results of the Company for the quarter and nine months ended 31st
December, 2024.

The transcript of the Q 3 FY 2 025 Earnings Conference Call will also be made available on the website of the Company i.e. https://www.dfpcl.com/.

We request you to take the same on your record.

Thanking you,
Yours faithfully,

For Deepak Fertilisers
And Petrochemicals Corporation Limited

Rabindra Purohit
VP – Legal, Compliance & Company Secretary Encl: as above

"Deepak Fertili sers and Petrochemicals Limited
Q3 FY25 Earnings Conference Call "
January 30 , 202 5

MANAGEMENT : MR. SAILESH C. MEHTA – CHAIRMAN AND MANAGING DIRECTOR – DEEPAK FERTILISERS AND PETROCHEMICALS LIMITED
MR. SUBHASH ANAND – PRESIDE NT AND CHIEF FINANCIAL OFFICER – DEEPAK FERTILISERS AND PETROCHEMICALS LIMITED
MR. SUPARAS JAIN – VICE PRESIDENT – CORPORATE FINANCE – DEEPAK FERTILISERS AND PETROCHEMICALS LIMITED
MS. PALLAVI BHALLA – HEAD OF INVESTOR RELATIONS – DEEPAK FERTILISERS AND PETROCHEMICALS LIMITED

MODERATOR : MR. PRATYUSH KAMAL – INCRED CAPITAL WEALTH PORTFOLIO MANAGERS PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Deepak Fertilisers Q3 FY '25 Earnings Conference Call hosted by InCred Capital Wealth Portfolio Managers Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone.
Please note that this conference is being recorded .
I now hand the conference over to Mr. Pratyush Kamal from InCred Capital Wealth Portfolio Managers Private Limited. Thank you, and over to you, Pratyush.
Pratyush Kamal : Thank you. Good evening, and welcome to the Third Quarter FY '25 Earnings Call of Deepak Fertilisers and Petrochemicals Limited hosted by InCred Equities. From the management, we have Mr. Sailesh C. Mehta, Chairman and Managing Director; Mr. Subhash Anand, President and Chief Financial Officer; Mr. Suparas Jain , Vice President, Corporate Finance and Ms. Pallavi Bhalla, Head of Investor Relations.
I would like to thank the management for giving us the opportunity to host this call. We will begin the call with opening remarks from Mr. Mehta, followed by Mr. Subhash Anand for update on financial performance, post which we'll have a Q&A session. Thank you, and over to you, sir.
Sailesh Mehta : Thank you. I hope my voice is clear, Pratyush?
Pratyush Kamal : Yes, sir.
Sailesh Mehta : Okay. So good afternoon, ladies and gentlemen. I would once again warmly welcome each of you for the Q3 FY 2025 Earnings Conference Call of Deepak Fertilisers. As usual, I hope you have had a chance to explore the detailed earnings presentation and looked at some of those numbers. But just at the outset, let me share that it's a happy situation for us to share that our consolidated revenues have surged by 39% and we have crossed INR 2,500 crores for the quarter. EBITDA saw a very good smart 72% increase bringing our EBITDA to almost INR 486 crores. I guess this is the highest in the last 5 years same quarters. EBITDA margins also have improved significantly. They climbed up from 15% to 19% and net profit surged by 318%, reaching almost INR250 crores plus. So one common denominator and obvious underplay has been the volumes growth in each of the products.
But what has gone behind this and what we feel we will be giving a very strong foundation for sustainability is something that I would want to share with all of you . So there are five or six strategies that have been at play since the last few years and we are seeing a stronger and stronger validation of some of these in terms of what we see in the quarterly results also. S ome of these may be a repeat for some of you who have been with us in every of these calls.

But nevertheless, I'm restating these because it is giving us a very strong confidence about the validity of some of these strategies at play. So number one is that we are seeing a continued strong validation of the beaut iful alignment that all of our three businesses are having with the India growth story.
So as India needs coal for power, limestone for cement and all the push on infrastructure, it provides a very strong tailwind for our mining chemicals, technical ammonium nitrate. As far as the increasing income levels and the shifting food habits towards fruits and vegetables, we see a very good alignment with our crop nutrition business. And then the China p lus One and the push towards specialty chemicals is giving a very good impetus to our building block chemicals, nitric acid and the i ndustrial chemicals business.
So one aspect that is definitely getting validated is a beautiful outside -in strong alignment

with the India growth story for all three of our businesses. When we look at it from the inside out, the tremendous hard work that we have put in, in terms of bringing in operational excellence is something that is also helping to fur ther build on the outside in alignment and the demand drivers that are emerging from the economy.
So we have seen anywhere from 85% to 105% capacity utilizations and a concerted effort that we had put by way of cross -functional teams to look at every single reason for a downtime in the last 3 years and then attacking that by way of proper thrust on repair, maintenance, condition monitoring, preventive maintenance, those all have been bearing fruit.
In addition, we are also bringing in now very strongly at the manufacturing end all the smart factory initiatives. And that is also helping us to have a much better control section by section, process by process to look at efficiencies, which could be globally benchmarked. And at the overall level, we are finding very good benefits out of the IT -driven S&OP systems, the sales

and operation planning systems that we had put in place, where right from raw material, coordination, operations and marketing.

There was a clear IT -driven loop that has been helping us to plan in a fashion where we can allocate raw materials to the best possible end use. So that has been one aspect that has at an undercurrent of the results that you see.

Of course, the second one riding on this India growth story, our c apex program where we have said that look if all the three businesses are so beautifully aligned, the clearest growth strategy has to be doing more of the same.

And from that perspective, some years back, we had added capacities in the fertilizer business and in the nitric acid business. As we see in a year's time, we should have our additional capacities of technical ammonium nitrate at Gopalpur and the additional facilities for nitric acid at Dahej also come alive.

These capex's also will ride on both the strong alignment with India growth story, but so also our solid 40 years of knowledge and experience in this space. And it will also, of course, take good advantage of the distribution networks and customer bases that are already in existence.

The third aspect as a strategy at play that we are seeing getting validated by this quarter and of

course, it will continue, which is the advantageous backward integration that we have done to strengthen the whole value chain by our investments in the ammonia facility, a world-scale ammonia plant, ammonia being th e key raw material for all the three business lines.

And now the ammonia plant is stabilizing at higher and higher levels. And this is something that is going to continuously give us the solid advantage at the foundation level for the complete chain of products. Particularly amid the geopolitical uncertainties, this is going to help us to navigate the market volatility and bring a competitive edge.

The fourth undercurrent strategy that is at play and which is also going to as time elapse it is going to get more and more stronger in terms of its delivery and impact has been the transformation from commodity to specialty. And this strategic pivot that we are bringing in, it's powered by very strong R&D efforts, consumer and market segmentation to make sure that we move from customer to consumer in each of our products, in each of our business lines moving from pure product to a holistic solution.

So somewhere the efforts that we have been making to bring in steel -grade nitric acid or pharma grade IPA in the chemical sector or in case of the mining chemicals, we are bringing in the total cost of operation, meaning covering not just technical ammonium nitrate, but also blasting services and holistic offering to raise the mine productivity.

And lastly, b

ut in a major way if we see this quarter, seeing the positive i mpact of our drive to move the crop nutrition business from commodity NPKs to crop-specific NPKs and that is really bearing good fruits by way of very good acceptance in the marketplace that these, I would say, unique fertilizers, performance fertilizers, if I might put it that way are giving very clear improvements in yield and improvements in quality for our farmers.

Last but not the least, in terms of the strategic drivers at play has been the corporate restructuring that we have completed, and now we will see in the coming quarters and, of course, the years ahead in terms of the enhanced focus. So now each business i s going to be housed in a separate corporate entity, which will have then right from the board member to the lowest officer, very sharply focused on the requireme nts of that particular business.

And the requirements of those specific consumers for that business in terms of operations and work culture and all that is required. So these five have been the strategic drivers at play, and that is behind the quarter's performance as well as we see the quarters ahead and the years ahead because each of the strategic drivers have a very solid muscle power that will help build on the foundation that has been created so far.

Now as far as the details of the quarterly financials goes, let me hand you over to Subhash Anand, who will take you through the details. And then, of course, we'll be available for clarifying any other questions that you may have.

Subhash Anand : Thanks, Mr. Mehta and good evening, everyone. Thanks for joining us today. I am pleased to share that our Q3 FY '25 results reflect the strength, resilience, effectiveness of our strategic initiative over the past few years. These efforts have enabled us to achieve robust growth across key business segments, rei nforcing our commitment to delivering sustainable value.

Starting with our financial highlights for quarter 3 FY '25. Operating revenue stood at INR 2,579 crores, marking a strong 39% Y -o-Y growth from INR 1,853 crores of Q3 FY '24. Over the first

9 months, revenue grew 15% Y -o-Y to INR 7,607 crores compared to INR 6,590 crores in 9 months FY '24.
Operating EBITDA surged 72% Y -o-Y to INR 486 crores, up from INR282 crores in Q3 FY '24.
Our EBITDA margin expanded by 362 basis points from 15% to 19% this quarter, driven by optimized business mix, pricing strategies, cost effectiveness and the other initiative that Mr. Mehta just explained. Over the 9 -month period, EBITDA grew 70% to INR 1,445 crores with margin expansion of 611 basis points to 19%.
On net profit front, Q3 FY '25 came to INR 253 crores, reflecting an impressive 318% Y -o-Y increase from INR 61 crores in Q3 FY '24. On a 9-month basis, net profit grew 181% to INR666 crores from INR 238 crores in 9 months FY '24. The net margin expanded by 652 basis points to 10%.
Just to bring attention, the net profit do include onetime tax provision reversal of INR 40 crores.
Even excluding this, our profit margin stands at 8.2% for the quarter and broadly similar number for 9 months. These results underscore our ongoing commitment to cost efficiencies, margin enhancements and successful execution of our strategic priorities.
Now let's take a closer look at performance across our key bu siness segments, starting with mining chemicals. Our m ining chemicals segment delivered a strong performance in quarter 3 FY '25. Sales volume of TAN increased 19% Y -o-Y to 129 KMT, up from 108 KMT in quarter 3 FY '24. Over the first 9 months, the sales volume grew 5%, reaching 372 KMT. Our premium product, LDAN, sa w 10% Y -o-Y growth in quarter 3 and 16% Y -o-Y growth for first 9 months.
Looking ahead, quarter 4, typically a peak production period for mining and infrastructure activities. We expect increased

demand coming from coal, cement, steel sectors, which recorded roughly 6% to 8% Y -o-Y growth in quarter 3 FY '25. This should further strengthen demand for our TAN business.
On an Industrial Chemical front, despite global challenges, our Industrial Chemicals segment demonstrated resilience. Nitric acid sales volume rose 4% Y -o-Y in quarter 3, though there was a 3% decline over a 9 -month period due to increased import of low -cost nitroaromatics impacting downstream acid customer.
On IPA side, sales grew 36% Y-o -Y to 17.48 KMT in quarter 3 FY '25 compared to 12.8 KMT in quarter 3 last year. Over the first 9 months, sales increased 4% to 48.89 KMT, primarily driven by robust demand from pharmaceutical sector. Looking forward, nitric acid demand and margin is expected to remain stable.
Meanwhile, IPA margin, which has seen some pricing pressure likely to improve gradually, aided by anti -dumping duty on IPA and narrowing Phenol -Benzene spread, which should enhance profitability in the coming quarters.

Our crop nutrition business delivered strong results in quarter 3 FY '25. Manufactured bulk fertilizers grew 64% Y -o-Y, reaching 231 KMT. Over the first 9 months, sales increased 52%, supported by above -normal monsoon rains in the key operational regions. Our flagship product, Smartek and Croptek experienced outstanding growth, with volume rising 186% and 56% Y -o-Y, respectively.
Specialty fertilizers such as Bensulf and water -soluble fertilizers saw an 8% Y -o-Y increase, reaching to 19 KMT. Favorable water conditions improved ground-level availability, are expected to sustain growth in the coming Kharif season. On a project c apex front, as we communicated earlier, the current capacity utilization is almost at a very high level or a peak level. So we are, at this point of time, more constrained on the supply side rather than on the demand side.
Company has undertaken two capacity expansion projects, Mr. Mehta talked about, one in Dahej, other in Gopalpur, Odisha. Both projects in next 12 months or I'll say, H2 of coming year, we do expect both projects to go live and start adding to our capacities. Project execution is currently in line with plan and expected to start production, as we spoke earlier, somewhere somet ime during H2 of next year.
In summary, our strong performance in quarter 3 and first 9 months of FY '25 reflects the successful execution of our strategies. Our focus on backward integration, shifting from commodity to specialty and driving manufacturing excellence has positioned us for a long- term sustainable growth. We remain confident in our ability to continue delivering value to all our stakeholders. Thank you. I now welcome any questions you may have.
Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Nirav Jimudia from Anvil Wealth. Please go ahead.
Nirav Jimudia : So, I have a few questions to ask. So first is when we see our current run rate of TAN and WNA

production, our ammonia requirement comes to close to around 4 , 25,000 tons. And once our expansion of TAN and WNA goes through, I think this requirement will go up to 6 ,20,000 tons. So just wanted to understand from you, let's say, for the Gopalpur project, how we are placed in terms of our ammonia requirement? So , the ammonia would be transported out of our Taloja plant to the Gopalpur plant. This is how the system would work like? And also, if you can share in terms of how both our plants are currently operating on, let's say, one old plant of 1,38,000 tons and the newly commissioned 5 lakh tons of ammonia plant. If you c an just help us?
Subhash Anand : Okay. Just to share our ammonia plant capacity is 5 lakh s plus.

Subhash Anand : The new plant of PCL, which we have set up is 500,000- plus capacity and the old one i

s around
129,000. , The new plant takes care of our current requirement what we have. So , the old plant is -- we are keeping it or we are not running at this point of time.

Coming to the new plant, once Gopalpur and Dahej comes up, yes, our demand goes up. Current Taloja will not be able to cater to entire capacities. And we have planned to import the ammonia and feed to our newer capacity what we have. In fact, the capacity, which is coming up in eastern coast, it's much beneficial if we import and utilize that ammonia rather than shipping from Taloja to those locations. So that commercially, it makes more sense to import and run that plant in that model.
Nirav Jimudia : Got it. So let's say, the requ irement of close to 1, 3 0,000 tons of ammonia for the new TAN would be imported and whatever is excess produced here at Taloja would be sold at the merchant rates in the open market ?
Subhash A nand : Yes. We have all the options available. We can do this, whatever commercially more suitable for us. If selling in the merchant market and importing in Gopalpur or in Dahej is viable option, we'll do that. If shipping is cheaper, we can even do that. So, we have both options. We'll evaluate what makes more sense at that point of time.
Nirav Jimudia : Got it. And the number of 4, 25,000 tons of current requirement of ammonia considering the current production is correct in terms of the calculation, and probably safe to believe that the balance 75,000 to 80,000 tons is getting sold in the open market by us current given the 5 lakh tons of newly commissioned plant?
Subhash Anand : Currently, plant is running at a good capacity utilization, ammonia plant. So yes, the surplus capacity, what we have in ammonia plant, we are able to sell in the merchant open market or a merchant market. So that continues to be there.
Nirav Jimudia : Correct. Sir, second question is on the IPA side. So, like one thing is like we have been consistently running at our plant close to 100%. And with now ADD also in place, any plans to expand here? And if you can just correlate with this in terms of the initial remarks from the Chairman that we have been tryi ng to move from the commodity side of the business to the specialty side of the business.
So one thing which has been alluded in the presentation is the electronic -grade IPA, which has been highlighted on. So if you can share, let's say, out of INR 1,150 crores of turnover, which we have reported on the chemical side, considering both TAN and Industrial Chemicals, how much is currently the share of specialty? And going forward, let's say, over the next 2, 3 years, how this share would look like?
Subhash Anand : Okay. In fact, currently, IPA, you are right, we are running at almost full capacity. This is how it is. And we do see demand continue to grow on this. There are more, I'll say, opportunity to move more and more towards specialty in IPA. We are already mov ing in pharma -grade IPA that's already running or already in place.
On top of that, we are also looking at chloride which is, I'll say, a value -added product for clinic or in pharmaceutical sector, I call it. So, we are even in that side. Going forward, IPA getting into electronic -grade semiconductor is the opportunity or what we call it high- purity chemical is an opportunity for us in this space.

We are in a stage where we are exploring all these opportunities. And once we have a more, I'll say, solid case and we understand it's going to add value to our business, we'll take that forward. But yes, all remain in our considerations to discuss and see what opportunity we can encash going forward from these.
Nirav Jimudia : But sir, any numbers which you can share, let's say, out of current revenue numbers, w

hat
according to you could be a share of specialty in the current sales? And how much we intend to take it to, let's say, over the next 2, 3 years? If some qualitative un derstanding would also help, sir?

Subhash Anand : Can you hear me?

Nirav Jimudia : Yes, sir, your voice was not audible. If you can just...

Subhash Anand : Is it better now?

Nirav Jimudia : Yes, it's better now.

Subhash A nand : Okay. what we sell out of the total, company-wide, we are almost at 20% share of specialty, in our overall revenue. On IC side, this is a place which is catching up. In the next few years, it will be much bigger. But currently, IC business contribute almost double digit to our overall total revenue what we have.

Nirav Jimudia : Got it. And sir...

Subhash A nand : Going forward, this percentage split will be much better because the way our focus is more and more growth initiatives are towards specialty side. So our intent is to grow specialty share to the total business to a larger number.

Nirav Jimudia : Got it. And sir, just a last clarification on the supplies of LNG from Equinor. So if you can just help us in terms of whe n the supplies could start on a nd how much in the first year of those supplies will help us to suffice our total requirement of gas for our...

Subhash Anand : The supply starts from next year first quarter. And yes, no, I'm talking financial year. So, FY '27 first quarter of next year, the supply from Equinor will start. And once it starts, it will take care of entire requirement what we have.

Nirav Jimudia: Correct. Thank you so much and wish the entire team. All the best.

Moderator: Thank you. The next question is from the line of Jainam Ghelani from Svan Investments. Please go ahead.

Jainam Ghelani : Sir, just carry on with the Nirav's question in terms of our new project, which is coming in Gopalpur, the TAN. So, assuming that we will be importing an ammonia, so what will be the IRR that we are expecting on both the new projects that we are commencing in the second half?

Subhash Anand : Okay. IRR will not be very different because even the way we do run our business currently also, the TAN business and the transfer of or, I say the intercompany sales happens at a market

value or at international price value. So, the profitability which TAN has, even if they start importing, it will continue to be at a similar level.

Jainam Ghelani : Sir, it means it will be in the high teens or early 20? I mean can you give a qualitative thing on that front?

Subhash Anand : It will be high teens.

Jainam Ghelani : Okay. So your IRR is in the high teens. And on the current utilization, I mean, the current capacity that we are having in Taloja and what is the captive consumption, if you can help us in terms of quantitative numbers, annually, how much do we consume captively ammonia?

Subhash A nand : Majority of the ammonia gets captively consumed, small quantity which we are left over at this stage goes in the market. So, if you're looking at a number, out of the total, I'll say 80%, 85% is captively consumed.

Jainam Ghelani : 80%, 85% is captively consumed. And in the last quarter, I mean, what was the actual savings that we got from the ammonia facility because we operated almost at a rated capacity. So, what are the savings that came from the ammonia for us in the Q3 numbers?

Subhash A nand : Okay. I will not give you a very specific number, but as we spoke earlier, the moment we have an ammonia price crossing $400 FOB middle East plus, we start reaching more and more to near breakeven point. So last quarter was the time when you will see all 3 months' average ammonia prices was $400 plus. So, we were almost at breakeven level when it comes to ammonia business.

Jainam Ghelani : No. But sir, if you look in the previous quarter, which is the Q2 call, Mr. Rastogi h

as clearly
mentioned that the annual saving was INR 45 crores to INR 50 crores when the ammonia prices were just crossing $400. And in the last quarter, it was more than $410, $430 if you look on the last 3 months basis. So, is it fair to assume that saving was towards the INR 100 crores, or it was lower than that?

Subhash Anand: If you're looking at EBITDA level, yes, savings are -- I'm talking we were at almost at breakeven at PBT level. EBITDA contribution was much higher than what number -- what Mr. Rastogi talked about. The moment we crossed 300 crore s we crossed almost 300, 350, our EBITDA is breakeven. and last quarter, we were at $400 plus, so we have generated money out of that. Our EBITDA was -- I'll say it contributed significantly, and it has added to our numbers.

Jainam Ghelani : And in terms of month of January, we are back to breakeven because the ammonia price as per your presentation is $370 per ton?

Subhash Anand : Yes. This is a normal trend if somebody looks at ammonia on a longer duration. Normally, the prices of ammonia do come back in quarter 4 and remains soft in quarter 4 and early part of

quarter 1. And then again, it starts going up. So, nothing unusual, nothing unexpected. This is the normal trend which this commodity follows.
Jainam Ghelani : Sir, last question. I mean I know we shouldn't look at the numbers on a sequential basis. But if you look at our chemical business, I mean, TAN business and IC business we had seen an overall

increase in the revenue but -- because of a higher volume. But on the realization front, there was a dip in the TAN business also and as well as in the IC business. So how do you see the realization playing out in the Q4 and probably in full year of FY '26?
Subhash Anand : No, it's a seasonality which comes in, I'm not say anything very specific thing happens. Every quarter or if you see annual reset every quarter, the prices or the volume remains in the range. It's not something which is exceptional or abnormal, what we see in the last quarter. So, we do see our margin will remain in a stable range and we continue in the same trajectory.
Jainam Ghelani : And sir, any update on the monetization of the noncore assets that you are looking at it, which is the Pune mall and...
Subhash Anand : We haven't reached to a conclusion at this stage. It's still under discussion, and we'll see what the right strategy for us to move forward. We'll let the market know once we reach to any decision point. This point of time, it's very well there, and we are operating. But at some point, of time, we'll come back.
Jainam Ghelani : And in terms of the demerger, I mean, NCLT has approved our scheme on June 28. So, what is the status on that?
Subhash Anand : The demerger, if you ask tech nically, demerger is over. All three entities are now independent entity, even operating independently. But they continue to be a subsidiary structure. The DFPCL is a main parent entity and both MAL and DMSL are subsidiary of DFPCL operating independently. So this is what the structure is.
Good thing which has happened with this restructuring, since all entities are now independent, each business is highly focused on their key strategic levers, how do they take their business to the next level and how do they move from commodity to specialty. So, the lever which were earlier focused on at an entity level, now each business is charting out its own growth path and moving in that direction. So that's what where we are at this point of time.
Jainam Ghelani : Sure, sir. And last on the debt front. I mean, if you look at the last September, we closed the first half at INR 3,776 crores of the debt. Now with both these expansions coming in the second half of FY '26, what will be our peak debt in FY '26?
Subhash Anand : Our current net debt is around INR 3,250 crore

s kind of a thing. Since we are in a capacity expansion mode and next year when -- our peak debt will be sometime towards H2 of next year when our both projects gets completed, we will be in a range of -- I'll say we'll be around INR5,500 crores kind of a net debt, and that will be the peak that what we expect to touch. But that will be a gradual increase. And once our plant becomes operational, we'll start generating enough cash. So what we see, we don't see challenge in terms of overall debt level because we see this is a temporary phenomenon for us. If you see our oper ational results, we are generating cash. So it's a matter of some time when we again come back and then impair our debts and bring back to a much comfortable level.

Jainam Ghelani : So INR5,500 crores of the net debt, which one are looking at the end of FY '26. And if you look on the demerged entity, then the larger portion of the debt will be on the chemical business, right, and then not on the IC and the Smartek business?
Subhash Anand : The investment is happening. If you see an investment, Gopalpur investment is TAN business and Dahej investment is IC business. So, TAN business is DMSL, so some of the debt will be sitting in DMSL and IC business that will be in DFPCL books.
Jainam Ghelani: Sure sir. That’s all from our side. Thank you and all the best.
Moderator: Thank you. Next question is from the line of Hardik Gori from Alpha Plus Capital Associates. Please go ahead.
Hardik Gori: This year, we have added approximately 50,000 tons capacity. So, sir, I wanted to understand, is there any leeway for debottlenecking within the Taloja facility?
Sailesh Mehta : In fact, as a part of our ongoing operational efficiency, we keep looking opportunity for debottlenecking. It's not like the first time we did, and this won't be the last time which we will be doing it. So, we have a program which we call it CFTs and one of their objective is to keep looking at opportunities how we can debottleneck.

So, there are plans to debottleneck and add lines in the existing Taloja facility itself, not
immediate in short term, but since each of these debottlenecking do take time. So over a period
of time, some debottlenecking is expected.
Hardik Gori: Got it. That's helpful. And what is the remaining cap ex out of total cost of INR 1,900 crores of
capex for nitric acid and INR 2,200 crores of c apex for TAN?
Subhash Anand : The total c apex which, in fact, if I recollect , we spoke about total c apex on these plants are
expected to be around INR 4,500 crores. Spend till now is around INR 1,300 crores. So balance
is -- which is expected to be spent from quarter 4 of this year till the next year project completion.
Hardik Gori: Got it. That's really helpful. Thanks for taking my question.
Moderator: Thank you. The next question is from the line of Parth Kotak from Plus91 Asset Management.
Please go ahead.
Parth Kotak : Sir, I have a couple of questions. First on the fertilizers bit. We've been seeing encouraging
numbers from the c rop nutrition business. Just wanted to get a sense of what would be our
sustainable EBIT margin from this piece of business? We've been clocking about 9% for the current quarter, 8%. Is this the
sustainable level o r is there further room for improvement?
Subhash Anand : Okay. Normally, we don't talk about business -specific EBITDA numbers. But this business, if
you see, yes, it's a single -digit margin business. And we do see with our focus what we have on
specialty, the way we are moving our business and going towards specialty, our intent is to move
this margin up. We are seeing every quarter or quarter -on-quarter this shift is help ing us to
expand margin, and this journey will continue.

Parth Kotak

: Perfect, sir. That's very encouraging. A lot of my other questions have been answered. One
another piece and probably a little too early to talk about the strategic demerger. But maybe if
you can just throw some light on how do you see Deepak Fertilisers e volving over the next 5
years in terms of business mix, profitability and growth focus, that would be really helpful?
Subhash Anand : Okay. That's -- I'll say, too longer version or too longer vision. But if you ask me, the early part
of our call, Mr. Mehta, do speak about the way our business -- we are seeing this business, our
business will move more and more from commodity to specialt y. Each business now with the -
- after demerger is looking into their growth charter plan.
How do they move more into specialty, like TAN business, we are talking about moving from
pure TAN to TCO kind of an approach, which is getting connect ed with mine owners or with
infrastructure project owners. So, we not just control TAN, but we participate in the entire value
chain of this business.
Same way, C NB, if we talk about c rop nutrition business, if we talk about, we have a strategy
or we are internally looking how do we do 5x in this business. if you see our collaboration with
Haifa, that also is basically with the intent to bring more specialty products into the Indian market. So all those opportunity in
this business has been looked. I just spoke about IC business
some time back, bringing more high -purity chemical into our fold.
Looking into IC -- looking into adjacencies, which are the places , or which are the business
which has I say synergy where we can expand those business into specialty. So, all those pieces,
which we are part of our strategy are in discussion and getting discussed to draw a next 5-year road map. Plan is to share or
get a much bigger share of specialty business and expand the margin
profile of entire Deepak portfolio. That's what we are looking into.
Parth Kotak : Perfect sir. That's very encouraging and wish you all the very best for the future and that's all
from my side.
Moderator: Thank you. Th e next question is from the line of Viraj Mahadevia from MoneyGrow India.
Please go ahead.
Viraj Mahadevia: This is Viraj here. Sorry, a quick question. How much of the performance is being driven by
geopolitical events, particularly with Russia reducing dumping of TAN into India? And is this
sustainable in terms of our current TAN production? Is it on par with Russian landed TAN costs?
Subhash Anand : Okay. In fact, if you see this year, we haven't seen much impact on TAN because of geopolitical, whatever
incident what we have. Last year has much bigger impact on the business. This year,
it's normalized, I call it. So whatever performance you see on TAN business is a sustainable
normal business performance.
Viraj Mahadevia: Okay. Excellent. And in terms of the landed cost of Russian TAN in India versus our production
cost, is there a big difference, sir?

Subhash Anand : No, we are competitive in the market. Our strategy is very clear being a player and being, I'll say, a sustainable player in India, we will charge premium to the imported price and that strategy will continue to play.
Viraj Mahadevia: Right. And clients are seeing value in having a second local supplier even if they are buying some imported TAN?
Subhash Anand : Yes.
Viraj Mahadevia: Thank you. All the best.
Moderator: Thank you. The next question is from the line of Sharan Mandikar an Individual Investor . Please go ahead.
Sharan Mandikar : I saw this time there is a mention about cartridge-based explosives in the presentation. Is it a new product? And what's the potential and market share of this cartridge -based explosives? Are you able to hear me?
Subhash Anand: This is basically TAN business, downstream business, what we are talki

ng since we are saying we are going to move into the entire value chain of TAN business currently with the mine owner discussion. So as a part of that, we are doing, I call it, some of t he concept testing, and we would have gone and done some part of, I'd say, that product. But currently, that's not sizable in our overall portfolio, what we have.
Sharan Mandikar : Okay. And where it is used? Is it only in the mining or it is used in defense as well?
Subhash Anand: No, we are not in defense at this point of time.
Sharan Mandikar : Okay, sir. And sir, like since you mentioned already most of the existing capacities are running at maximum utilization levels and the next big c apex is coming in the next year second half. So, till that time , next three to four quarters, what will be our growth driving factors? Because we are already at maximum utilization level for existing ones, next c apex is almost 3 to 4 quarters away. So in between these couple of quarters, what will be the growth factors?
Subh ash Anand : No. In fact, the driving factor will be getting into more and more profitable segments, the customer segmentations and looking how we can sell at a more profitable places and segments rather than selling and capturing anything and everywhere. So, we'll be segmenting the market and looking more profitable growth rather than a growth.
Second thing, capacity debottlenecking, what we did will help us to utilize for next full year plan. Third thing, not in TAN business, but other business, we do have debottlenecking in NPK and ANP. So that's an ongoing process. So, we'll get the more capacity coming from those businesses.
Sharan Mandikar : Okay. And can you throw some light on this semiconductor and solar -grade IP chemical? And any partnership or vendor we have onboarded and supplying to them the semiconductor and solar is already in place, right?

Subhash Anand : No. In fact, these are the specialty business in IC, what we are working on and growing it. We do have, in fact, in -house capability through which we have developed it. But specific detail, what you're looking, normally, we don't share. That's a very speci fic business detail, so that we will not want to share in this call.
Sharan Mandikar : Okay. But we have started already supplying the specialty chemical, industrial chemical for solar and semiconductors?
Subhash Anand: We do have share of those business, we not just started this year. It's an ongoing business or we have started this from last couple of quarters. So it's an ongoing business for us.
Sharan Mandikar : Okay. And when do you see it gradually increasing, from which quarter?
Subhash Anand: It's an ongoing, I'll say, efforts. How big this business can be, we are putting an effort, let's say, in the next couple of years it will be a business which we can talk about and say, okay, this much it contributed. But this point of time it contributes I'll say, a single digit to our overall i ndustrial chemical business.
Sharan Mandikar : Thank you sir. Thanks for your time and opportunity to ask questions and all the best.
Moderator: Thank you. The next question is from the line of Harmish Desai from PhillipCapital. Please go ahead.
Harmish Desai : Sir, my first question is on Equinor gas supply. Once the gas supply starts, that is from Q1 FY '27, which you mentioned earlier in the call. What will be the changes in our cost structure with regards to gas once the supply starts?
Subhash Anand : The cost structure will be far more efficient, I call it. Our overall cost of production will be sizably reduced, I call it. And the breakeven point will be at much lower or within the price range, what we are talking.
Harmish Desai : Sir, any percentage reduction in cost, which you mentioned, sizable percentage number, right?
Subhash Anand : It will be 20% plus.

Harmish Desai : 20% reduction in gas cost, correct?
Subhash Anand : 20% reduction in gas cost.
Harmish Desai : Got it. And sir, what is our gas -- what has been our gas cost for the third quarter?
Subhash Anand : It's around $13.
Harmish Desai : Okay. And sir, now we are almost less than a year with our plants commissioning. So have you set a definite time line? Is it in Q3 or Q4? Or we are still going with H2?
Subhash Anand : Sorry, come again?

Harmish Desai : I'm asking, sir, with the 2 projects to be commissioned in less than a year, have you set a definite time line, whether it is Q3 of FY '26 or Q4 of FY '26 ? Because that will give us an idea how fast can we ramp up and whether FY '27 will be having the full numbers or not. So that -- just to get an idea of the -- do you have that?
Subhash Anand : The plan is to complete in towards H2 of FY '26. Definite time line, if you ask me, just wait maybe next call when we come and we'll be able to share with you more accurate or more better idea which quarter or which month those plants will become operational because most of the activity will be coming to a stage where time line will become far more crystal clear for us.
Harmish Desai : That will be all, sir. Y es. And sir, what has been our c apex for 9-month FY '25?
Subhash Anand : For these 2 plants, it's around INR 1,300 crores.
Harmish Desai : No, sir total c apex for Deepak for 9-month FY '25?
Subhash Anand : Just a minute. It will be roughly around INR 700 crores, INR 800 crores.
Harmish Desai: Understood. That is all from my side. Thank you so much.
Moderator: Thank you. Next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.
Darshil Jhaveri : Some of my questions have already been answered, sir. So, sir, just regards to our currently margins, so our EBITDA on a consol e level basis will be sustainable, right, sir?
Subhash Anand : Yes.
Darshil Jhaveri : Okay. Fair enough, sir.
Subhash Anand : Yes, we can hear you.
Darshil Jhaveri : Yes. And sir, with the c apex, so what kind of asset turnover are we looking at, sir, like with the capex is coming online next year?
Subhash Anand: Okay. Typically, for this kind of a business and this size of a c apex, asset turn anything around 0.7, 0.8 seems to be a good asset turn.
Darshil Jhaveri : Okay. Fair enough, sir. That is helpful, sir. And sir, so once we get the capacity online, what would be the timeline we see for getting them to optimum utilization levels?
Subhash Anand : Good thing for our capacity, what we have put in, these are the same product or same plant which we are running in Taloja. For us, it's not a learning period, which will make difference to us. It will be a ramp -up, and we expect ramp -up to be pretty fast.
Darshil Jhaveri : Okay. So, ramp -up, we expect pretty fast. And sir, just on like overall picture, so FY '27, we'll have 2 plants running as well as the gas plant -- we have our gas deal going on. So, what kind

of like an outlook would you -- is it possible to give us in terms of revenue or margins that we'll be looking forward out there?
Subhash Anand : Too early to talk about FY '27.
Darshil Jhaveri : So maybe next year, sir, what can we guide for something?
Subhash Anand : Yes. Let's wait for -- I think, for the right time, so we start having a discussion around how post all these things, how our guidelines will be, but we'll come back.
Darshil Jhaveri : Okay. Fair enough, sir. And just like last, so till the time our c apex has come online, the current level of performance is sustainable, right? And we'll have some other growth as you were saying, like more premiumization?
Subhash Anand: Correct. Correct. Yes, that's what the plans are.
Darshil Jhaveri : Okay

. And sir, just -- sorry, so last our tax adjustment we said we were like a INR 40 crore s one-off. So, going forward what would be roughly the effective tax rate?
Subhash Anand : The last quarter was normal tax rate. So, if you compute, that's what the normal tax rate will be for us.
Darshil Jhaveri: Okay. Fair enough. That’s it from my side. Thank you so much.
Moderator: Thank you. The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer : So, a few questions from my side. First, from the c rop nutrition business side of it, I know it wouldn't be correct to compare it on a quarter -on-quarter basis. But just to get an understanding, on a Y -o-Y basis, we have done an exceptional improvement when it comes to volume. And still we have managed to keep our profitability in line with what it was in Q2, whereas Q2 is a very -- probably the best quarter for us.

So just wanted to understand on which area that we have managed to make our mark in this quarter? And if you could give us an idea of the product that we targeted and managed to sell more of volumes when it comes to crop n utrition ?

Subhash Anand : So, a few things which help actually if you see CNB or c rop nutrition business, our focus on specialty definitely helping us to maintain our margins. Our focus on Croptek and Smartek is something where our growth was phenomenal in the overall growth, what you see in a CNB business. And these being value -added produc t, so it helps us to not only grow -- revenue grow more in proportionate to volume and help us to maintain profitability.

Second thing, which is important, the kind of a business mix which we have, CNB, TAN and IC, there is a natural hedge between these businesses, where one business when it goes towards off-season, other business running through a peak season. So, at an overall level, we can hold on to our overall profitability at a consol level. And that's the beauty of our 3 businesses beautifully aligned to seasonality and India growth story.

Vignesh Iyer : Right. So, but if I just take crop nutrition business segment specific, you have still maintained CNB margins almost at the same level despite doing a lower volume. Sir, I wanted to understand more on your flagship side of the product. Let's say, like you did -- if I'm not wrong, you did a sale of Croptek around 37,000 metric tons last quarter. So, what would that volume be in this quarter?

Subhash Anand : It will be 60,000.

Vignesh Iyer : Sorry?

Subhash Anand : 60,000.

Vignesh Iyer : Okay. And which product is this targeted towards? It is sugarcane. I mean what -- sugarcane would be one of it. What other products that it would be targeted towards the crop?

Subhash Anand : It is sugarcane and onion.

Vignesh Iyer : Sugarcane and onion. Okay. Sir, can we assume going ahead in the quarter 4 that we can maintain around this utilization level?

Subhash Anand : It's a seasonality do play in. But yes, we'll able to maintain this kind of level. Some fluctuations do expect it in this business because this is not a quarter -on-quarter business one should look in.

Vignesh Iyer : Yes. Definitely . Sir, just one more quest ion on my understanding on the i ndustrial chemical side of it. I mean our -- what would be our mix of specialty and regular grade nitric acid be in this quarter? Because I see that despite doing better volumes to what we did last quarter, we have seen some dip in revenue. So, if you could help me understand what would the mix be?

Subhash Anand : You're talking i ndustrial chemicals business ?

Vignesh Iyer : Yes, more on nitric acid side of it?

Subhash Anand : Okay. Nitric acid side of this business, there is no major change when it comes to specialty to overall. It remains broadly similar level what it was earlier in this quarter. But overa

ll, if you are looking at volume increase to value increase, you do see some softness coming on pricing side. That is a result of -- as I spoke during my commentary, there is an import of nitroaromatics, and that has a pressure on overall end customers' pricing resulting to this business pressure on what you call it, pressure on pricing side. But the growth in vol ume and other efficiency help s us to maintain the overall margin or overall EBITDA level for this business.

Vignesh Iyer : Okay. Got it, sir. That’s all from my side and all the best.

Moderator: Thank you very much. L adies and gentlemen, that was the last question for today's call. I would now like to hand the conference over to Mr. Subhash Anand for closing comments.

Subhash Anand : Thanks, everyone for taking out time and participating in our call. I wish all of you best of luck and good time coming ahead and look forward seeing you again or talking to you again next quarter. Thank you.

Moderator: On behalf of InCred Capital Wealth Portfolio Managers Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

28th May, 2025

The Secretary Listing Department
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Subject: Management Transcript of Q4 FY 2025 Earnings Conference Call

Dear Sir / Madam,

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing
Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Management Transcript of the Earnings Conference Call held on 23
rd May, 2025 to discuss
the financial results of the Company for the quarter & year ended 31st March, 202 5.

The transcript of the Q 4 FY 2025 Earnings Conference Call will also be made available
on the website of the Company i.e. https://www.dfpcl.com/.

We request you to take the same on your record.

Thanking you,
Yours faithfully,

For Deepak Fertilisers
And Petrochemicals Corporation Limited

Rabindra Purohit
VP – Legal, Compliance & Company Secretary Encl: as above

"Deepak Fertilisers And Petrochemicals Corporation
Limited Q4 FY-25 Earnings Conference Call"

May 2 3, 2025

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MODERATOR : MR. HARMISH DESAI – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to Deepak Fertilisers and Petrochemicals Corporation Limited Q4 FY '25 Earnings Conference Call , hosted by PhillipCapital (India) Private Limited .

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harmish Desai. Thank you. And over to you, sir.

Harmish Desai: Thank you, Avirath. Good evening, and welcome to the 4th Quarter and Full -Year FY '25 Earnings Call of Deepak Fertilisers and Petrochemicals Limited , hosted by PhillipCapital.

From the Management , we have Mr. Sailesh Mehta – Chairman and Managing Director; Mr. Subhash Anand – President and Chief Financial Officer; Mr. Suparas Jain – Executive VP (Corporate Finance); and Mr. Debasish Kedia – Senior GM (Corporate Finance).

I would like to thank the Management for giving us the opportunity to host this call. We will begin the call with Opening Remarks from Mr. Sailesh Mehta, followed by Mr. Subhash Anand for an update on financial performance, post which we will have a Q&A session.

Thank you. And over to you, sir.

Sailesh Mehta: Okay. Thank you. So, a very warm welcome to all of you for the Q4 and 12 -month FY '25 earnings call.

I do hope all of you had a chance to review the presentations. But just from my side at the outset in terms of the headlines, I am indeed happy to share that Q4 top line grew by 28% and PAT bottom line grew by 21%. For the full year, the top line grew by 18%, and we crossed INR 10,000 crores. But the headline there is that PAT bottom line grew by 102%. It 's almost doubled.

Based on these good results and also balancing it out with the CAPEX plan, though the thought was to look at even higher dividends, but the Board in a conservative manner has recommended 100% dividend.

So now just to share some insights in terms of when I look at the year as a whole to look at the undercurrents and to try and share with you in terms of what we feel is panning out, what has worked. So somewhere, I see very clearly that strategy and execut ion coming together now and getting validated, revalidated in the P&L in the financial outcomes that we are seeing.

So, number one that we see is that our enhanced business focus , aligned to the India growth story is certainly continuing to be a very positive tailwind for all the businesses that we are looking at, in the sense for the fueling of the India growth story, the focus on coal for power, limestone,

cement for the real estate sector, infrastructure, all those are going to be continuing to be critical. And that is where our mining chemicals, technical ammonium nitrate, continues to be beautifully aligned.

Similarly, as the mid -income group grows, the move from basic rice, wheat, bajra to horticulture, fruits, vegetables is something that we are seeing as a continuing trend, and which is where our CNB business, Fertilizer business is very well aligned.

And similarly, our Industrial Chemicals business is riding on the alignment with China Plus One Specialty Chemicals and the Pharma sector. So, one dimension that we see is that this alignment with the India growth story not only is giving us a continued positive traction on the demand perspective side, but is also somewhere insulating us from the global volatility, which has somewhere emerged with all these tariff dimensions that are emerging.

The second and the more c

ritical aspect that we are seeing is that our dedicated drive to move from commodity to specialty is continuing to gain grounds and give us a very positive traction. With the push that we have, overall, we are seeing that almost 22 % of our revenues are now emerging out of this move into the specialty space.

The key contributor to the transformation from commodity to specialty is certainly the Crop Nutrition business , the Fertilizer business , where virtually now every product that we sell has somewhere a specialty offering. It is not the same as what anyone else in the industry are offering.

And all of our NPK , either is sold as NPK with growth promoter coating, which is giving a much higher boost to the nutrient use efficiency or in a major way, which is what has transpired in this last year, where we have moved from commodity NPK to crop -specific NPK along wit h micronutrients and growth promoters. And by now, we have now enhanced the number of grades. We are catering to many more crops than what we were in the previous year.

Now, this aspect of it is somewhere very, very deeply making an impact in terms of not just the yield, but also somewhere the quality dimensions of the agri produce, which is where we are now having a very positive traction in terms of repeat customers , and a very strong attraction

also from the channel.
And uniquely, now we have clocked up not just in terms of the sales, which is by way of invoices, but also by way of liquidation, which would mean that the farmers have actually bought the fertilizers. And that speaks very strongly about the value proposit ion that they are seeing in terms of the Croptek or the crop -specific fertilizers.
So with that, if I look at just the Crop Nutrition business , besides the crop -specific fertilizers, we are also into Bensulf, which is another specialty fertilizer. We are also into the water -soluble fertilizers, which are also specialty fertilizers. And all put together, we are seeing that there is a lot of value that we could bring to the table by looking at not just commodity product orientation,

but somewhere bringing in a lot of weightage to what could impact the farmers and the yields , and so also their income levels.
Similarly, the journey continues from commodity to specialty even in our technical ammonium nitrate mining chemical business , and where, as you would be aware that our range of product itself caters to all possible segments in the mining sector, whether it is ammonium nitrate melt or the high -dense product or the porous prills, the global best porous prills, right up to the Hospital segment is what we are catering to.
And some of these segment -by-segment catering to the needs of that particular segment is somewhere now making more and more sense that, that is the way to go, and that is what is bringing the strength. Similarly, in the acids, again, every segment right fr om 58% acid, 60% acid, 72% acid, right up to 98% acid is something that we are catering to , and going up to even specialized acid with additives for the steel companies that are there.
Finally, even in case of IPA, that our move towards moving away from commodity IPA to pharma -grade IPA is something that is bearing good fruits. So, those 2 aspects are aspects which I feel at the undercurrent level, have given a lot of confidence and is g iving us a very positive feeling in terms of sustainability of these good results.
And going forward, as we move more and more towards segmenting the market and catering to each segment , and as we move more and more from pure commodity product offering to a holistic solution offering, we are seeing that not only there will be, I would say, additions to the contribution margin, but we are on our way to creating valuable brands in the space s that we are performing, in the spaces that we are

having our business focus.
Building upon the same, I would say, strength, we have also taken up projects of enhancing capacities on nitric acid at Dahej and on our technical ammonium nitrate at Gopalpur. And somewhere those aspects are also very strongly built on both these dimensio ns. Both are projects that are beautifully aligned to the India growth story. Both the projects draw strength from our 40-years of knowledge and experience of that sector. And that aspect of it is going to ensure that in the least gestation period, it shou ld begin its contribution to the bottom line. And both of them, we are looking at somewhere, H2 of FY ‘26 to bring it into our financial fold.
I am also happy to share that with the good cash flows that were there, we were in a position to further reduce the net debt by around INR 120 crores. And now the net -to-EBITDA ratio has improved to a healthy 1.72x versus 2.66x, which was in the previous year .
We also brought in and infused INR 800 crores in our subsidiary, Deepak Mining Solutions, which is also available for the group by way of CCD, Compulsory Convertible Debentures . And that is also going to deleverage and make the balance sheet even more healthier as we go forward.

So as we look at this aspect, we were also, from a project perspective, seeing that some, I would say, competition could be emerging. And when we looked at ourselves, we saw unique USPs against competition that we will be bringing to the table.
Uniquely, our facilities will be now on both East Coast and West Coast, and that will provide a freight advantage to us as we serve our customers. With having multiple facilities in terms of our technical ammonium nitrate and our nitric acid s, we will be singularly placed to provide 100% assured supplies to our customers, which others may not be able to.
With the 40 years of knowledge and experience in the market, uniquely, we will be bringing in a huge supply chain advantage of warehouses, dealers, and others to be able to cater to these customers.
And of course, the 40 years of knowledge and experience will be uniquely standing on our side, whether it is in terms of raw material availability, operations, safety, health environment, logistics, so on and so forth.
And the biggest advantage that we see in ourselves is now integrated advantage emerging out of

a long -term tied up LNG contract, then from LNG, ammonia . From ammonia, the multiple nitric acid plants that are there , and then reaching up to the downstream. So, this kind of a complete value chain is something, which will be very, very unique to the Deepak Fertilisers Group.
And finally, when we move right up to the requirements of the end consumer, whether it 's the farmer or the mine , this is something where this strength right from LNG to the final finished impactful product plus solutions is something that in the next 2 years to 3 years will be something that will be uniquely available from Deepak Fertilisers and its subsidiaries, unli ke anyone else.
Having said that, there is a perplexment that does remain in my mind. Recently, when we did the CCD negotiations on the basis of just the Mining business , DMSL, we were in a position to garner the funding at 12x EBITDA, which puts the valuation of just the Mining business to INR 13,000 -odd crores, whereas in totality, Deepak Fertilisers is somewhere getting valued at INR 17,000 -odd or INR 18,000 -odd crores.
And the perplexment has been that how is it that the sum of the parts, meaning the totality of the 3 businesses which are doing so well, somewhere is not getting valued as much as one part is getting valued, which is where I seek a better understanding wit h your help to be able to somewhere get across to the various investor community in terms of the real strength that we bring in terms of our 40 years of knowledg

e base, the real strength that is going to emerge in
terms of the strategy at play, whether it is in terms of the alignment with the India growth story, whether it is in terms of the long -term LNG contract that we have , and the value that we will be bringing right from gas to ammonia to the downstream, or the huge work and now well -accepted work that we are doing from commodity to specialty.

And finally, also helping to bring far more clarity in terms of each business having unwound and now restructured into each business into a separate corporate entity to bring a much more clearer perspective and vision. Some of these aspects, I look forward to each one of you to not only absorb, but to help communicate so that there is a better understanding of our businesses.
So with that thought, I hand you over to Subhash, who will take you through the details of the Q4 and 12 months.
Subhash? Yes.
Subhash Anand: Yes. Thank you, Mr. Mehta, and good evening, everyone.
It’s a pleasure to welcome you all to Deepak Fertilisers and Petrochemicals Corporation Limited earnings call for the 4th Quarter and full -year financial , year ended 31 March 2025. We are pleased to report yet another quarter and year of strong performance, marked by resilient operations, robust financials, and continued progress on our strategic transformation journey.
Let me start with financial highlights. Revenue for quarter 4 , operating revenue stood at INR 2,667 crores, a strong 28% increase Y -o-Y, primarily led by our CNB business, which grew by 86%. The full -year FY ‘25, we reported INR 10,274 crores in revenue. That 's an 18% growth over FY ‘24. Notably, our specialty product portfolio now contributes 22% of our total revenue, led by our crop -specific innovations and our premium LDAN product.
On EBITDA front, Q4 EBITDA came in at INR 480 crores, up 10% Y -o-Y. While the margin for quarter stood at 18%, slightly lower due to change in business mix. Individually, if we look 3 business separately, both TAN and CNB segments individually saw margin e xpansions.
Since the growth of this quarter primarily led by Fertilizer business , that mix change has resulted into this contraction or the lower margin what we are able to see at consol level. Individually, each business is showing an expanded margin and contributing healthy to the bottom line.
For the full year, EBITDA grew remarkably 50%, up to INR 1,925 crores, with a margin improvement of 390 basis points to 19%.
Coming to net profit – Our Q4 net profit increased 21% Y -o-Y to INR 278 crores . FY ‘25, we delivered INR 945 crores in net profit, doubling Y -o-Y. Reflecting strong margin execution and cost discipline, the net profit margin improved by 381 basis points to 9%.
I would like to highlight that Q4 includes one -time deferred tax creation of INR 37 crores , linked to DMSL demerger. Excluding this, the group effective tax rate would be approximately 24.7% for the quarter , compared to reported 13.2%.

Coming to balance sheet and cash flow. As Mr. Mehta pointed out, we have generated INR 1,400 crores free operating cash flow supported by robust EBITDA and improved working capital efficiency.
Working capital as a percentage of revenue declined from 17% to 12%. Despite capital expenditure or CAPEX of around INR 1,100 crores in FY ‘25, net debt was reduced to INR

3,305 crores from INR 3,426 crores a year ago. As a result, our net debt -to-EBITDA ratio improved significantly from 2.66x to 1.72x in this year. Net debt to equity now stands at healthy 0.53.

In Q1 FY '26, our subsidiary, DMSL, raised INR 800 crores CCD, further fortifying the group balance sheet. These results reflect our clear focus on financial prudence, capital efficiency and balance sheet stre

ngthening.

Some more insight on our segmental performance on our Crop Nutrition business that is CNB. The business had one of its strongest ever Q4 showing. The Bulk Fertilizers grew at 68% Y -o-Y to 2.1 lakh metric tons. For the full -year FY '25, we have crossed 1 million metric ton milestone, with manufactured volume surged from 55% to 888 Kt.

Our crop -focused specialty product, Croptek, more than doubled in its volume in Q4, up 111% Y-o-Y basis. Specialty fertilizers ' volume, which includes Bensulf and WSF rose 13% Y -o-Y.

Looking ahead, we are optimistic for the kharif season, supported by forecast of above normal monsoon and our targeted approach across cotton, soybean, paddy, and corn through the Mahadhan brand.

On mining chemical, our TAN business continued to deliver strong operational performance. TAN volume in Q4 grew 13% sequentially to 146 Kt, though Y -o-Y, we have seen a 3% decline. Full-year basis, the volume grew by 3%.

LDAN, our premium specialty offering recorded 13% sequential and 11% Y -o-Y growth, increasing the B2C revenue share to 18%. As India infrastructure and mining demand remains strong, particularly in coal, cement, steel, and aggregate, we see a positive momentum sustaining through FY '26.

On Industrial Chemicals , despite a volatile global environment, this segment saw a solid performance. Nitric acid volumes saw 29% Y -o-Y increase in Q4 , and 3% for full year.

IPA volume declined due to plant shutdown for our process enhancement and productivity improvement, which is now completed in FY '25. And for full -year FY, IPA volume was down 5%, primarily again, led by the shutdown, which was important for us to ensure we have an enhanced productivity and process going forward.

Talking about outlook, nitric acid remains well positioned with improving downstream demand from TAN, while IPA faces some near -term margin pressures due to oversupply and weak

Acetone prices , our specialty product line is gaining steady market traction and positive customer feedback.

Coming to our strategic project update, which is Gopalpur for TAN and nitric acid for Dahej, both have seen steady performance. The Gopalpur progress is 75%, and Dahej project has progressed 48%. We stand committed , the commissioning of both the plant is expected in H2 FY '26. These investments are crucial enablers of our next growth cycle, focused on import substitutions, margin expansions and deeper market integrations.

To conclude, FY '25 was a pivotal year for Deepak Fertilisers. Our strong financials and operational performance is a direct result of strategic transformations undertaken over the past few years. The momentum is expected to continue in FY '26, driven by macro tailwinds and our focus on high -margin differentiated products. We are entering the new fiscal year with strong foundations financially and operationally, and we remain confident in our ability to deliver sustained long -term value to al l our stakehold ers.

With that, I now open the floor for any questions you may have.

Moderator : Thank you very much. We will now begin the question -and-answer session. (Operator Instructions) The first question is from the line of Tarang Agrawal from Old Bridge. Mr. Tarang your line has been unmuted, please go ahead with your question.

Since there is no response, the next question is from the line of Jainam Ghelani from Svan Investments. Please go ahead.

Jainam Ghelani: Hi, sir. Thanks for this opportunity. So, my first question is, what is the current ammonia pricing and what was your annual savings in FY '25 from the ammonia plant?

Subhash Anand: Okay. In fact, the current price of ammonia is around $300. Yes, the last quarter, I will say the average price is around $330. That 's what the average number what we have seen. I will not say saving in terms of ammonia, we

need to see separately because now we have an integrated supply chain. As we continue to maintain , our EBITDA breakeven is around $310, $320 , at that price, the PCL remain EBITDA breakeven.

Jainam Ghelani: Okay. And sir, what would be our EBITDA from our Industrial Chemicals business and the Fertilizers business , if you could specify?

Subhash Anand: So, we don 't give segment -wise EBITDA margin, this thing. But overall EBITDA, if you see, yes, at consol level, we have delivered 19% EBITDA. All 3 business has a different level of EBITDA. That 's definitely we all understand and each one of you aware of. In terms of Mining business , that 's a highly profitable business. Fertilizers business, as such, the industry compared to all 3 businesses comes at a lower level, Industrial Chemicals at the mid-level .

Jainam Ghelani: Okay. That would be helpful, sir. And my last question is that what would be our peak debt levels over the next 2 years , because we have this huge CAPEX upcoming?

Subhash Anand: No, that 's, in fact, a standard question, I call it every time this come up and right so also. Good thing is our current CAPEX cycle is reaching towards fag end. The cycle, we have started with PCL capitalization or PCL operations. Now with Gopalpur and Dahej coming to a fag end , and we are expecting to commencing of production some time in H2 of this year. So the debt level currently, we are at around INR 3,300 crores. So, we expect to be around INR 5,000 crores when the peak touches.

Jainam Ghelani: So, can we expect that by end of FY ‘26, INR 5,000 crores could be our peak debt and then we can expect deleveraging from next year?

Subhash Anand: Yes, that 's the right assumption because the 2 new facilities, which are coming up , will start contributing sizably to our bottom line as well as to cash flow. So the deleveraging will start after that.

Jainam Ghelani: Okay, sir. That 's it from my side. Thank you sir, all the best.

Moderator: Thank you. The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

R. Sankaranarayanan: Congratulations on the results. So in terms of the 2 housekeeping questions I have, one is your other expenses have gone up , both on a Y -o-Y and quarter -on-quarter basis in the consolidated results. And secondly, in the segment results, your Chemical business segment earnings is down , both again on Y -o-Y and quarter -on-quarter basis. Is that because of the IPA shutdown or any other reason for that?

Subhash Anand: You’re talking quarter, right?

R. Sankaranarayanan: For the 4th Quarter , yes.

Subhash Anand: Yes. In fact, Industrial Chemicals , yes, we have an IPA shutdown and that has an impact on our profitability.

R. Sankaranarayanan: And in terms of the increase in other expenses?

Subhash Anand: In fact, since the majority of the growth has come from CNB business , and that has a very high freight output, so that 's the impact what you see in our other expenses.

R. Sankaranarayanan: Is that seasonal? Or is it something, which will continue depending on the growth in your Fertilizer business ?

Subhash Anand: It’s a business specific. CNB growing will always see freight expenses going up , higher compared to other 2 business.

R. Sankaranarayanan: Okay. So now on the projects and the long -term growth in your cash flows and returns. So if you look at your expansion in nitric acid and the integration into downstream TAN, what is the incremental ROC you will get on the additional CAPEX once you reach peak utilization? And what is the peak utilization you expect by, say, FY ‘27?

Subhash Anand: No. In fact, both the new projects, what we have embarked on, we are looking at a healthy ROCE somewhere in

the range of, I will say, 18% to 20%, and we will prefer to maintain that level for these 2 projects.

R. Sankaranarayanan: And what is the utilization level required for this sort of ROCE?

Subhash Anand: This is a standard what we see, I call it. First year, we expect 70%, which is the normal ramp - up. The moment we go to an 80%, 85%, we start seeing this kind of ROCE.

R. Sankaranarayanan: Okay. So, one last thought on the ammonium nitrate prices, which you may have missed for your estimate. So, these numbers require any further increase in prices or at current prices, you will be able to achieve? Because the reason why I am asking that is there are 2 competitors who are setting up, Chambal and GNFC. So, is there a challenge in terms of the placement of the additional volume in the next 1, 2 years before the actual long -term growth in the downstream end-use sectors is abl e to absorb the incremental capacity? What is your thought on that?

Subhash Anand: In fact, although Mr. Mehta touched upon our plant USP and uniqueness, but let me give you a few data points. Currently, the demand of TAN is around 1.4 million , and the present capacity in Indian market is around 1 million. So, this industry is net -net short. So, there is enough headroom for new player to come in and substitute import.

And second thing, this industry, the TAN demand itself is growing 6% to 7% Y -o-Y. That itself

is, if we say roughly around 1 lakh ton is getting added in the demand every year. So if you just put these 2 numbers in place and the new capacity, which is coming up, the ramp -up doesn 't happen on day 1. Everybody will have its own ramp -up time. By the time, this capacity is actually available in the market, net -net, we will again start seeing import higher than the supply available. So, we don 't see a challenge in the TAN demand.
Second, you would have seen our specialty and downstream efforts reaching from customer to consumer. So, that 's another thing which will help us to create our space and our uniqueness , because we are a strong player in this market, first mover, 40 years downstream, and then we are uniquely placed on both the coasts, West or North. All these same factors will make us a very different player or a different league player. We don 't see a challenge placing our capacity in the market.
R. Sankaranarayanan: Thank you for your detailed explanation and wish you all the best. I will join the queue.

Moderator: Thank you The next question is from the line of Nikhil Gada from Abakkus AMC . Please go ahead.
Nikhil Gada : Yes. Hi thanks for the opportunity and c ongrats on a good set of numbers. Sir, just a continuation on this overall TAN growth. Just for the 4th Quarter as well as for the last 3 years, if we see the growth in our TAN volumes, it has been sort of suboptimal. It 's been around 1% to 2% range. And while we are talking about a capacity of close to 6 lakhs, we have still not been able to achieve, at least closer to those kind of levels. So is it because of there being a demand being slower? Or is it something where we are capacity constrained in terms of our nitric acid, which you have mentioned, that is having an impact on this overall business?
Subhash Anand: No, Nikhil, you are right. There 's no demand constraint actually. We do have a demand, and we are at this point of time constrained by supply side. We have a nitric acid capacity constraint, and that 's a limiting factor for us to grow our TAN substantially. And that 's one of the main reasons for us to get into capacity and expansions and then cater to the demand, which we already know we have in front of us.
Second thing, if you see what is immediate, we have done some debottleneck of TAN business, TAN capacity and nitric acid capacity last year towards end of H1 or beginning H2. So, that will

also help us to do some additional volume this year.
And second thing, if you ask me in TAN business especially, our focus is more moving from more and more specialty downstream from customer to consumer. And that gives us not only additional stickiness of the business, but also incremental margins. So the fo cus is more till the time we have capacity, we will continue to go more towards value add and expand our margin. And when the capacity available, we are good to go in a full flow.
I hope I answered your question.
Nikhil Gada : Yes, sir. So then do we sort of say that even for FY '26, I understand that you are focusing on more value addition. But in terms of volume growth, do we see FY '26 also to do like a 2%, 3% volume growth? Or we see better volume growth in FY '26 since your capacity is going to come , most of it will start in FY '27, yes?
Subhash Anand: No, it will be slightly more than the number what you are saying. We do expect with some bottlenecking, we will be able to do slightly better or better than. But yes, if you are looking leapfrog jump, then that will happen once Gopalpur comes in place.
Nikhil Gada: Fair enough, sir. Got it. Sir, in terms of the ammonia business, you have sort of mentioned that $310, $320 levels. Because we have factored in it at $400, $410 , and based on that, our working has been made in this business. Are we always dependent on the pricing for ammonia on a global level? Or is there a better way to get an understanding of the spreads? Because since quarterly, we are not getting all the subsidiary data as well. It 's becoming a bit of a challenge to understand exactly the spread levels.

Subhash Anand: Two things basically. Okay, ammonia pricing is internationally available. I won 't say there 's any challenges. This is a published number as everyday numbers available.
Nikhil Gada: I understand. But then because you sell at a premium as well, so definitely, the price, yes. Sorry.
Subhash Anand: Okay. Broadly, if you ask me, we do publish quarterly how is the ammonia price going on. So this is a number. And there is a standard formula from FOB Middle East to the landed, how the number comes in. We can have that discussion and we can discuss around that.
Finally, any change in ammonia price, we are an integrated business. So it 's a shift from one business to another. And net -net, if you see, still the margin remain within business because we are an integrated player. So even if we see a softness here, but we do see a margin expansion for

our other business.
Nikhil Gada: So sir, if I want to ask it in a different way, the 4th Quarter margins, which were at 23%, it has nothing to do with the TAN ammonia spread. It 's largely because of the Industrial Chemical business , IPA business not doing well.
Subhash Anand: No, which 4th Quarter , 23%, I didn 't get your number. We have an 18% margin.
Nikhil Gada: I was talking about the Chemical business EBIT margins, which were at 23% for the 4th Quarter vis-a-vis 27%, 28%, 31% for the last 3 quarters.
Subhash Anand: No. Okay. When you are looking at Chemical business , overall, if you see ammonia price between this last year, broadly, it remained at a similar level, barring 1 quarter when it 's significantly gone up. But otherwise, it remains broadly at the same level.
Last quarter, specifically, the dip in industrial chemical or dip in Chemical business segment is IPA is one thing, which has impacted , because there is a pressure of IPA prices globally, and that has impacted marginal Industrial Chemical business . The last year, overall ammonia prices was broadly stable barring quarter 3 when it has seen a substantial increase, I call it.
Nikhil Gada: Understood. Got it, sir. So then just to complete this...
Moderator: Sorry to interrupt, Mr. Nikhil. Can we return to

the question queue for a follow -up?
Nikhil Gada: Sure. I will do that.
Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers Limited. Please go ahead.
Bharat Shah : Yes. I hope Sailesh bhai is on the call because in his initial remarks, he made a comment that there was a certain valuation assigned to the Mining Chemical business , which represented the

bulk of the value of the firm. And he was expressing wonderment as to why that is the case. So, I hope Sailesh bhai is on the call.
Subhash Anand: No. Bharat bhai, keep asking, I should be able to answer your questions.
Bharat Shah : Okay. Because he raised the question, I thought he 'll be there to discuss that question that he had raised. But be it as it may, I will reach out to him separately. Subhash ji, if we continue to play coy , and not give proper details of each business in terms of underlying moving parts, its profitability, when the change of the traction over a period of time, how do you expect really speaking for people to be able to analyze the business, which has 3 main a ctivities?
And each activity has many moving parts. And therefore, whole aggregate performance is so much harder to analyze unless and until details are shared. Now, of course, the crop business is put into Mahadhan and the Mining business has gone into DMSL. So, picture would start getting more clear. But I wonder why that has not been the case so far?
Subhash Anand: No, Bharat bhai, very rightly so. And definitely, we started far more insight into our segmental businesses, what we used to talk earlier. And it 's only a matter of time when you start seeing us coming out with far more detail. Input well taken. We will work on this.
Bharat Shah: Subhash ji, the entity which is, DMSL now , received INR 800 crores of the convertible debenture, right?
Subhash Anand: Yes.
Bharat Shah: And effectively, I assume it will dilute equity capital of that business by about 6% to 7%.
Subhash Anand: Yes, on a valuation of around INR 13,000 crores, INR 800 crores will be around that , 6%.
Bharat Shah: That will get converted in by what timeframe?
Subhash Anand: No. In fact, CCD is for 48 months, but there is an option after 30 months , we can convert anything after 30 months.
Bharat Shah: Okay. Till then it will carry the interest rate?
Subhash Anand: Yes. Till that time it has a coupon rate.
Bharat Shah: So therefore, about 94% equity will belong to the holding Deepak Fertilisers?
Subhash Anand: That’s right.
Bharat Shah: And on Mahadhan, what is the equity dilution of INR 400 crores that has happened? How much is the equity dilution?

Subhash Anand: That is internal, not to external public. Basically, there was a n OCD, which Deepak has, that 's got converted into equity. So, that 's 100% remains, 100%. Nothing changes.
Bharat Shah: So then INR 400 crores, which has been injected there, where does it reside?
Subhash Anand: Yes. Basically, there was an OCD which there was an equity infusion from Deepak Fertilisers to Mahadhan. So the 100% still remain 100%. Nothing changes further.
Bharat Shah: It’s just the left and right pockets.
Subhash Anand: Yes, yes, that’s what I am saying. So there is no external.

Bharat Shah: Okay. So that 's a very confusing...
Subhash Anand: No, it 's basically to strengthen Mahadhan balance sheet so the Deepak Fertilisers has put in money.
Bharat Shah: Okay. And the INR 800 crores received in DMSL, I suppose, will remain in DMSL, except whenever dividends are paid out, that Deepak Fertilisers will get?
Subhash Anand: No. In fact, INR 800 crores in DMSL has come in for strengthening DMSL balance sheet, including their capital expansion, which is planned. Gopal

pur is part of DMSL. So it 's part and parcel of DMSL, strengthening balance sheet for capital expansion.
Bharat Shah: One last thing, Subhash ji. While over years, we have grown 8x. We have leapt ahead, then we have fallen behind. But we are still well below what we did in 2022 -'23 when the turnover exceeded INR 11,000 crores , and bottom line exceeded more than INR 2,000 crores. We are still well below those numbers. When do you think we will surpass the performance?
Subhash Anand: Let's hope we surpass very soon.
Bharat Shah: Son as in next quarter or it will be...
Subhash Anand: No, I won 't put a number or immediate timeframe for that. But yes, as a Management , definitely , surpassing that should be soon.
Bharat Shah: Okay. Just one final thing. Current year outlook on the Mining Chemical business , how would you portray it?
Subhash Anand: Okay. Current year, demand side, we don 't see a challenge. Definitely, we do have capacity constraint , and some debottlenecking will help us to grow volume. We expect volume will grow in current year, although it will be single digit. But we do expect margin expansions will play a larger role than just volume growth. And that 's what will be the story of DMSL. And then towards H2 when the new capacity come in, that will be a big, I will say, change, which will take the entire Mining business to the new level.

Bharat Shah: Right. So, year of '26-'27 should be a record year for Mining Chemicals ?
Subhash Anand: Yes. That 's where all the levers, whether it 's Gopalpur, whether it 's Dahej new plant or whether it's a new gas contract, all will be fully operational at that time, and we will be in the new leap, I call it.
Bharat Shah: Okay. So, '26 will be better year than '25 for Mining Chemicals ? Completing this question.
Subhash Anand: Yes. We do expect '26, definitely , we will do an improvement. And you will see definitely a better result compared to FY '25, what we have.
Bharat Shah: Sure. Thank you Subash ji , and we will connect with Sailesh bhai also separately.
Subhash Anand: Sure. Thank you.
Moderator: Thank you. The next question is from the line of Pratyush Kamal from InCred Capital. Please go ahead.
Pratyush Kamal : Congratulations on good set of numbers, sir. I have few questions. First is regarding the Ammonia business, wherein you used to mention that about $380 per ton would be breakeven cost for you. But I suppose that you usually produce ammonia from natural gas, use about 33, 35 MMBtu of natural gas for that.
And given the fact that the natural gas prices have fallen down significantly from Q3 to Q4 , because of Brent -linked and Henry Hub linked contract. So what is the current cost of gas that you are accumulating right now due to which you would have, again, shifted your breakeven cost from $380 to now $330, which you just mentioned?
Subhash Anand: No. In fact, $380 I don 't think so we ever talked $380 in dollars. We always maintain for EBITDA breakeven, our number is around $310 to $320. So, we broadly remain at that level for EBITDA breakeven.
Second thing, you are talking about gas. Currently, our gas prices are more I will say since our long-term Equinor contract yet to get kicked in and that will get kicked in only next year, FY '26, and that 's where we will start seeing the real benefit of gas price reduction happening. Till that time, our contracts are linked to various baskets, not just one Brent or not just one thing. Movement of gas price is not immediately visible to us or not immediately getting passed on to us. So it has some lag when it comes to our ammonia pricing or the costing.
Pratyush Kamal : Okay. So what is the usual time lag, sir, from the reduction of the basket of the price and your accumulating of the benefits of that?
Subhash Anand: It depends , but we b

uy from 3, 4 sources, not just one source. So, each has a different formula.
I call it linkages. Yes.

Pratyush Kamal: Understood, sir. And second is regarding your Nitric Acid business. I wanted to ask that other than the IPA, did you also see some kind of dumping from China as far as nitroaromatics compound is concerned due to which it would have reduced or impacted your margins on nitric acid front?
Subhash Anand: Okay. Nitric acid, when you are talking, yes, nitroaromatics do have challenges , because of imports coming in and that 's seeing a competition. But other side of things, the TAN business across the country is seeing a good demand and nitric acid is one of the important component or a raw material input for that business.
So, nitric acid as a total business, we have not seen a challenge placing our nitric acid. Actually, if you see, we are, net -net, short of nitric acid. If we have more nitric acid, we can sell much more than what we are selling. So, we don 't see an immediate impact of one of the specific segments seeing a softness of nitric softness. Overall, we are comfortable when it comes to whatever capacity we have, we are able to place and place it comfortably at the right profit level.
Pratyush Kamal: Understood, sir. So was there a possibility in terms of getting the nitric acid from some other manufacturers and manufacturing ammonium nitrate from that, if you were seeing a good demand coming off for ammonium nitrate and you were filling short of the n itric acid, so was there a possibility? Or what do you think on that, sir?
Subhash Anand: We continue to explore and keep looking for those opportunities. It 's not that we don 't do that. Whenever right opportunity, we continue to keep looking and keep doing it.
Pratyush Kamal : Understood, sir. Just a final question regarding the expansion.
Moderator: Sorry to interrupt. Mr. Pratyush, can I request you to return to the question queue for a follow -up question?
Pratyush Kamal : Sure. Sure.
Moderator: Thank you. (Operator Instructions) The next question is from the line of Tarang Agrawal from Old Bridge. Please go ahead.
Tarang Agrawal : Just a couple of questions, rather bookkeeping. You said for TAN, is the license capacity 587 Kt or 630 Kt?
Subhash Anand: It's 587. TAN capacity you are taking.
Tarang Agrawal: Right. Okay. Got it. Second, how big is LDAN for you? And what is the significance of the B2C metric that you laid out in the presentation?
Subhash Anand: Okay. No, in fact, the LDAN is basically a product, which gets used as an explosive in the mines or in infrastructure. So, we used to sell most of our product as a B2B segment of late. As a part

of our TCO, we started working with end consumers, which is various mines and infra and started working with them to supply LDAN directly to them. And that 's how our downstream business or a B2C journey in TAN is expanding. And now we have reached to a level where our 18% of the share comes from our sale to B2C segment s.
Tarang Agrawal: So just to understand correctly, if Coal India was your customer, was there an intermediary involved in between and now you are selling it to Coal India directly? Is that what you are trying to say?
Subhash Anand: I will not say the name of the customer, XYZ.
Tarang Agrawal: No, just an example, just an example.
Subhash Anand: But your understanding is right. Earlier, we were going through intermediary , who were converting. Now, we are able to reach out directly and make our product available to them directly.
Tarang Agrawal: Okay. And how are the metrics different for that business versus your overall business? Do you get higher pricing or your volume visibility is better, or your ability to protect

your market share
is better? Any insight would be helpful.
Subhash Anand: All 3 actually, not just one. It gives me value -based pricing because the way our TCO model work, as we have explained earlier, we are moving towards productivity solutions to the end consumer. We are not just selling products. We are working as a partners hip to them and showing we can improve their mines ' productivity or infra productivity.
The moment we reach out to solutions, so it 's value pricing that help us to expand margin, that help us to improve stickiness , because then we become actually a true partner. And third thing, definitely, I call it once you have a stickiness in this, your market share improves.
Tarang Agrawal: So, 18% is for FY '25, Q4?
Subhash Anand: It's Q4.
Tarang Agrawal: Okay. A couple more on CAPEX .
Moderator: Sorry to interrupt , Mr. Tarang, can we return to the question queue for a follow -up question?
Tarang Agrawal: These are just objective one liner questions that I am asking. Just give me a couple more and then I will get back on the line.

So sir, on CAPEX , if you could give us your overall CAPEX for FY ‘26 and ‘27, the maintenance CAPEX within that? And last, for Gopalpur and Dahej, what has been the CAPEX outlay till March ‘26 for ‘25? And what is the likely outlay in ‘26 and ‘27? Thanks, that ’s it from me.

Subhash Anand: Okay. In fact, the total CAPEX this year, which we talked about FY ‘26, the 2 new projects, total CAPEX is expected to be around INR 4,500 crores, total I am talking. Out of that, our capitalization is around INR 1,400 crores. That ’s what we already completed. So, balance is expected in the current year.

Tarang Agrawal: So, INR 3,100 crores in FY ‘26, all of it?

Subhash Anand: Because we have to complete the project. So, this is the CAPEX of this year expected.

Tarang Agrawal: And for your footprint, what is the maintenance CAPEX that you run with?

Subhash Anand: That’s roughly around, I woul d say INR 300 crores to INR 400 crores. That ’s the normal maintenance CAPEX , which will continue as a normal business.

Tarang Agrawal: Sure. Thank you, I will join the queue.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question. I now hand the conference over to the Management for closing comments.

Subhash Anand: Thanks. Thank you once again for your time and interest in Deepak Fertilisers and Petrochemicals Corporation Limited. We appreciate your continued support , and look forward to engaging with you in the next quarter. Thank you.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Note: This transcript has been edited to improve readability

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Call: Aug 2025

4th August, 2025

The Secretary Listing Department
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BSE Code: 500645 NSE Code: DEEPAKFERT

Subject: Management Transcript of Q1 FY 202 6 Earnings Conference Call

Dear Sir / Madam,

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Management Transcript of the Earnings Conference Call held on 30th July 2025 to discuss the financial results of the Company for the quarter ended 3 0th June, 202 5.

The transcript of the Q 1 FY 202 6 Earnings Conference Call will also be made available on the website of the Company i.e. https://www.dfpcl.com/ .

We request you to take the same on your record.

Thanking you,
Yours faithfully,

For Deepak Fertilisers
And Petrochemicals Corporation Limited

Rabindra Purohit
VP – Legal, Compliance & Company Secretary
Membership No.: FCS 4680
Encl: as above

"Deepak Fertilisers and Petrochemicals Corporation Limited
Q1-FY'26 Earnings Conference Call "

July 30, 2025

MANAGEMENT : MR. SHAILESH C. MEHTA – CHAIRMAN & MANAGING DIRECTOR
MR. SUBHASH ANAND – PRESIDENT & CHIEF FINANCIAL OFFICER
MR. TARUN SINHA – PRESIDENT (TECHNICAL AMMONIUM NITRATE)
MR. SUPARAS JAIN – EXECUTIVE VICE PRESIDENT (CORPORATE FINANCE)
MR. DEBASISH KEDIA – SENIOR GENERAL MANAGER (CORPORATE FINANCE)

MODERATOR : MR. RANJIT CIRUMALLA – IIFL CAPITAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Deepak Fertilisers Q1 FY '26 Earnings Conference Call , hosted by IIFL Capital Services Limited.
As a reminder, all participant lines will be in a listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "* ", then "0" on your touch -tone phone. Please note that this conference is being recorded.
I now hand over the conference to Mr. Ranjit Cirumalla, IIFL Capital Services Limited. Thank you, and over to you, sir.
Ranjit Cirumalla: Thank you, Preet. Good evening. Thank you for joining us on the Deepak Fertilisers and Petrochemicals Corporation Limited Q1 FY '26 Earnings Conference Call.
From the company, we have with us Mr. S.C. Mehta – Chairman and Managing Director , Mr. Subhash Anand – President and Chief Financial Officer , Mr. Tarun Sinha – President (Technical Ammonium Nitrate), Mr. Suparas Jain – Executive Vice President (Corporate Finance), and Mr. Debasish Kedia – Senior General Manager (Corporate Finance).
We would like to begin the call with a brief opening remarks from the management, following which we will have the forum open for a Q&A session. I would now like to invite Mr. S.C. Mehta, Chairman and Managing Director, to make the initial remarks. Thank you, and over to you, sir.
Sailesh Mehta: Yes. Thank you. So , a very warm welcome to all of you once again. And I hope you had a chance to review the Results that we have uploaded on the website and stock exchange.
But at the outset, I am again happy to share that in the quarter that we just closed, we have had a 17% improvement in the top line and a 22% jump in the bottom line over the same quarter last year. The net debt reduced by over Rs. 225 crores, resulting into a net debt -to-EBITDA ratio improvement from 1.72x to the 1.5x, despite the CAPEX cycle still going on.
Also, our journey from commodity to specialty continues where now almost 25% of our top line is emerging from the shift. And of course, the biggest contributor has been the crop nutrition business, where we are seeing an excellent traction.
As regards the two major ongoing projects, Gopalpur, the TAN project, there we are seeing almost 90% of the total plant and machinery is already ordered , or I would say 100% of the tagged equipment, meaning equipment, machinery, control valves, panels, packages are all ordered. Only some of the bulk items now would be balanced, which is normal in any project.
And as far as the Dahej acid project goes, while 63% of the total plant and machinery is already ordered, 100% of the tagged one is already ordered.

And so, both the projects we are looking at commissioning in the Q4 FY '26. Both the projects are in a space where we have been there since the last 40 years. And in comparison to any kind of competition, we have ; number one, maximum proximity to customers , and in some of the products, we are on both the coasts. So that gives us the lowest freight deliveries to our customers. We are having multiple facilities, which gives a huge assurance to the consumers because they will have a fallback kind of a thing f rom multiple manufacturing facilities. We have a complete ready supply chain right from all the transportation warehouses and dealers and retailer networks. Of course, there is a 40 years of solid experience right from raw material sourcing, operations, safety, health environment, all the regulatory frameworks, linkages on the sales and marketing side. And last but not the least, unique that is going to be with us is that we are an integrated player, right from LNG gas to ammoni

a to the building block nitri c acid right up to all the finished products. So , this is going to be something which will pan out in terms of further strength to our foundational projects and products that are there.
As far as the quarter goes, I thought of sharing a few interesting insights. Now , as many of you may know, ammonia contributes or constitutes almost 75% to 80% of our key chemical variable cost of production, 75% to 80%. Now ammonia has seen a volatility in the pricing right from, say, 10% to 200% over the last five Q1 quarters, if I might take it that way. And yet, our contribution margin in the downstream of our market determined key products, that is technical ammonium nitrogen acids has hovered around 40% plus , and our consolidated EBITDA margins have hovered around 18% to 20% over the last five Q1 quarters. Now what it tells very clearly in terms of these actual facts that the business model, the businesses have a very strong resilience and robustness, which is evident from some of these financial figures.
The second insight I might want to share is that our plant OP E, OPE is operational efficiencies , have now improved from 78 -odd percent to almost 86% , and some plants over 93% over the last five years of hard work. And as per global benchmarks, this sits in what they would call it as a

very efficient operations category. So the manufacturing setup and facilities are also on a very strong wicket.

The third insight I might share is that with over 25% of our revenues now emerging, thanks to the move from commodity to specialty . The specialty shift has given us price premiums from 15% to almost 40% over the old commodity pricing.

So net -net, the above all of this confirms and validates for us that the three major strategies that we have been working on over the last, I would say, five years, namely number one, that we grow in the area of our expertise where we have the expertise over the last 40 years. Second strategy that we need to look at, backward integration as a risk mitigator. And third, most important, that we get close to the end consumer based on not just products, but tech superior services. All these three strategies ge t validated that we are in the right direction and that it will deliver good shareholder value quarter -on-quarter or year -on-year.

So with these, I would say, broad insights, let me hand you over to our CFO, Subhash Anand, who will take you through the details of the workings of the quarter and as we see things pan out. Subhash?

Subhash Anand: Thank you, Mr. Mehta . And good afternoon, everyone. Thank you, all of you joining us today to discuss the financials and operational performance of Deepak Fertilisers and Petrochemicals Corporation Limited for Q1 FY '26.

We are pleased to report a strong start to the fiscal year marked by disciplined execution, improving operational efficiency and a healthy financial performance. Our strategic priorities are translating into tangible progress and we continue to strengthen our foundations for long - term sustainable growth.

Let me now take you through the key financial highlights for the quarter :

Operational revenue stood at Rs. 2,659 crores, a robust 17% increase Y -o-Y, driven by broad - based growth across segment. Notably, our differentiated specialty product portfolio in crop nutrition business contributed 45% of revenue and the B2C segment in TAN accounted for 16%, underscoring the success of our market focus approach.

On EBITDA, operating EBITDA reached Rs. 513 crores, up 10% Y -o-Y and 7% sequentially. Among our strongest Q1 result, EBITDA margin improved to 19.3%, a 130 basis points increase Y-o-Y, reflecting improved product mix and disciplined cost management.

On profitability :

The net profit grew 22% Y -o-Y to Rs. 244 crores, with PAT margin of 9.1% . While

the PAT declined sequentially 12%, but that was due to Rs. 37 crores after -tax reversal booked in Q4 of FY '25. If we adjust to that, the PAT is largely flat and that reinforces our underlying earnings spend.

Coming on segmental performance :

Fertili zer segment delivers stellar Y -o-Y growth of 125%, driven by higher value -added products and favorable market dynamics. On the chemical front side, the profit declined 9% Y -o-Y due to pricing softness in IPA and ammonia. The rest two verticals has shown improvement or almost at a similar level of profitability.

On balance sheet and CAPEX :

We invested Rs. 377 crores in CAPEX during this quarter. We have successfully reduced the net debt from Rs. 3,305 crores to Rs. 3,078 crores. Our net debt -to-EBITDA ratio improved to 1.5x from 1.72x in March '25. The net debt -to-equity remain comfortable at 0.43x.

Let me share one of the legal update which happened just couple of days back :

In our Mahadhan Agritech Limited, we received a favorable ITAT orders ruling for assessment year 2016 -'17 to 2021. The ITAT deleted all additions made by the income tax department, eliminating tax demand totaling Rs. 581 crores. Corresponding penalty order of Rs. 479 crores are expected to be withdrawn, providing significant regulatory clarity.

On segmental highlights :

In our CNB , crop nutrition business , the segment posted another strong quarter. Manufactured bulk fertilizer sales reached 1.8 lakhs metric tonnes, up 3% Y -o-Y. Croptek, our specialty bulk products saw 73% Y -o-Y growth, demonstrating growing farmer adoption. Specialty fertilizer s like pencil water soluble grades recorded 21% Y -o-Y and 99% quarter -on-quarter growth, respectively, supported by sharp market penetration.

Talking about outlook for our CNB business :

With a favorable monsoon, increasing adoptions of high -value solutions like Croptek and

Solutek , and a sharper marketing, we anticipate strong momentum for kharif 2025 season.
On our mining chemical business :
The sales volume rose 7% Y -o-Y to 146 Kt, supported by full capacity utilization. LDAN volume declined 15% Y -o-Y due to early monsoon impacting mining activities. B2C volume grew 15% Q -o-Q, down marginally 2% Y -o-Y on account of lower LDAN offtake as we just talked about early monsoon impacting activity.
In terms of outlook :
We expect Q2 to be seasonally muted due to monsoon. However, the enhancement of export quota to 50,000 metric tonnes per year is a strategic positive, positioning us for growth in H2. Our focus remains on differentiated high -value offering to mining and infra customers.
Coming to industrial chemicals segment :
The nitric acid volume reached 74 Kt, growing 15% Y -o-Y and 3% Q -o-Q. IPA volume surged 27% Y -o-Y and 51% Q -o-Q, benefiting from plant upgrade completed in Q4. The continued softness in IPA pricing is a key factor weighing on the margins of our Industrial Chemicals segment this quarter.

On outlook :
While we foresee some pricing pressure in IPA and nitric acid due to seasonal and inventory led dynamics, our growing specialty portfolio and targeted customer segmentation efforts position us to weather these short -term challenges effectively.
On our projects of Dahej and Gopalpur :
We continue to advance our strategic CAPEX project. The combined investment of Rs. 4,661 crores across Dahej and Gopalpur project. Gopalpur TAN project is at 80% complete stage and Dahej nitric acid project is at 57% complete. We are firmly on track to commence commercial operation by end of FY '26 and with tight control on timeliness and execution.
In summary :
Q1 FY '26 demonstrate s our continued resilience and agility in a dynamic market environment. Our integrated strate

gy anchored in innovations, operational excellence and customer centricity is delivering consistent performance across all business lines.
Each of our segments aligns strongly with India core economic growth pillars, agriculture, mining infrastructure and pharmaceutical, providing us the robust platform to create enduring value for all our stakeholders.
We deeply appreciate your continued trust and support in our journey. I now welcome any questions you may have.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Yash Gupta from Asit Koticha Family Office. Please go ahead.
Yash Gupta: Sir, my first question is on the TAN value addition business. How meaningful is the TAN value addition business for us? Where do we see ourselves in the next two to three years with this value addition services?
Subhash Anand : Okay. Currently as we just informed, the 16% of our total revenue comes from B2C segment. In terms of how things are going to span out, Tarun, would you like to add?
Tarun Sinha: Sure. So , thank you for your question. In terms of value -adding business for the technical ammonium nitrate portfolio, as we have been talking about in the previous investor calls as well, we pursue a model which is called as total cost of operations model, which is really the value for the end consumers . And these end consumers being the mine owners, the mine operators, mining contractors ; and in the infrastructure sector, different kinds of projects where rock excavation takes place.

So this model was started about one and a half years ago roughly from now. And in simple terms it's about how can we help these end consumers optimizing and potentially reducing the cost of rock extraction or cost of mineral extraction, if it is a mine. That's the value -added model at a high level that we are pursuing. It has got a combination of specialty products. It's got different kinds of technological interventions , it's got people capability, so on and so forth, which we have been building over a pe riod of time.
And the important part that I would like to underscore here in this value -added part of our business is the proof of concept. This total cost of operations that we have embarked upon has been proven in the industry in different kinds of mining conditions, i n different kinds of minerals

deposits as well. So that's one good news. And now we are working on a plan to scale it up going forward, which will require further capabilities to be built, further investments to be made, so on and so forth. That's where I will leave it at this point in time. But certainly, it's moving in the right direction.

Subhash Anand : Yes. Our initial phase was more to build or , I would say, prove ourselves on a proof of concept, which we did successfully. Now is the time for us to look how do we accelerate and take it to the next level , and that's where we are in our journey. Hope it clarifie s.

Yash Gupta: If you can throw some light on the EBITDA margin, like suppose like in the normal business of the TAN, our EBITDA margin are this much. And if we are going with the value -addition services that our EBITDA margin for that particular service is this much. It will be better help us to understand.

Subhash Anand: No. In fact, as Mr. Mehta spoke in his address, any specialty product or B2C segment do help us to have a price premium. And so this business also, we do have a differential margin portfolio to our normal TAN business to specialty or a B2C business. And that differentiation, we expect to continue because that's where we are adding value and we expect that to go further up, not come down . Because we were at a proof of concept , more we go in commercial, it will improve further.

Yash Gupta: Okay, sir. Sir, second quest

ion is on the Gopalpur project. We expect it to achieve like 75% of our capacity by FY '27 , so how we are going to achieve this new capacity? Have we done any tie-up as of now?

Subhash Anand: No, it does not need a tie -up, actually if you ask me. This business , so far, India is short , there's more demand than supply. So the additional capacity, what we expect will help us actually to be more self -sustained as in India. And then yes, there are many activities currently which we are picking up to ensure we have the right marketplace to fulfill or to go down in this and then place this material. Tarun, you would like to add more on this?

Tarun Sinha: Yes, sure. So just adding up to what Mr. Subhash Anand mentioned, right now, as many of you would be aware, who are tracking the market closely, roughly, we see annual imports of ammonium nitrate to the tune of 400,000 tonnes, 4 lakh tonnes. Now obviously, that's the first thing to replace when these capacities are coming up. So that's the first point how these additional domestic capacities will be used up.

At the same time, the domestic market is projected to grow at a CAGR of anywhere around 6% to 7%, which in simple terms would mean every three years, roughly every three years, close to 250,000 to 300,000 tonnes of additional demand getting created. If you combine these two , the import substitution to the extent I talked about in the quantities that I talked about and the extra demand creation which is taking place in India, there is no need to be location concern ed.

And the other advantage we have with at least Deepak's Gopalpur plant is it's on the East Coast. It is the only ammonium nitrate plant in the country on the East Coast at that scale. There's another satellite plant of our own only in Srikakulam on the East Coast. So therefore, due to the locational advantage, as Mr. Mehta also pointed out, of having ammonium nitrate plants on the West Coast as well as on the East Coast of India, it will give us a very unique position in terms of optimizing the logistics co st, cost of delivery to our customers. And that will further help in capacity utilization. So if you combine all of this, we are reasonably placed from a longer perspective.

Yash Gupta: Sir, but if we talk about like 4 lakh metric tonnes we import overall in the India, so are we price competitive in terms of what's imported landed cost and what we are planning to sell?

Tarun Sinha: As we talked earlier in the very first question, although it was from a different caller I think, but it was about value. So , at least Deepak does not have a business model which competes on price. We have a business model which competes on value and that's what we will continue to do.

Yash Gupta: Okay, sure. Thank you, sir.

Moderator: Thank you. The next question is from the line of Adarsh Jain, an individual investor. Please go ahead.

Adarsh Jain: Yes, hi. Thank you very much. Well, my question is related to the export quota of TAN, which was recently increased to 50,000 metric tonnes. So what was the earlier quota? And I mean, were we able to utilize the earlier quota in full?

Tarun Sinha: Yes. Thank you. If I can take that question, Subhash, with your permission. So , a great question again. So the previous quota was 2 -0, 20,000 tonnes, which was valid till December 2024 , that was fully exhausted. That is the first part of your question. And the new export quota which we have got from Government of India, which is 5 -0, 50,000 tonnes, it is per financial year at this stage. And once we start delivering those numbers, we are reasonably confident that eventually

Government of India will remove this quota system completely as far as the exports of
ammonium nitrate is c

oncerned.
Adarsh Jain: Okay. So this 50,000 metric tonnes quota is allotted to Deepak or every manufacturers of India?
Tarun Sinha: Technically, it is to Deepak because Deepak is the only exporter of ammonium nitrate as we speak.
Adarsh Jain: Okay. And one more question related to Australian subsidiary. I think before some time, we had bought some additional shares from their stake actually , I mean, we had bought some additional stake in the Australian subsidiary from the local institutions in Australia. So, what are we doing there? I mean, how much revenue we are generating from there? And what is the plan of scaling up that Australian business?
Tarun Sinha : Shall I take that? Yes. Thank you for that question as well. So you are right, a few months back, we were a 65% shareholder in our Australian subsidiary company and the name is Platinum Blasting Services. A few months back we acquired 20% additional shares of that company, which has brought us to 85% as we speak. Certainly, it's a move by Deepak in the right direction when we earlier talked about the value -driven total cost of operations -driven business model that we are rolling out in India. This enhancement of shareholding in the Australian subsidiary is also a move in the same direction as far as the Australian market goes for us, where we will be playing a much more pronounced, I would say, role in Platinum and accelerating the growth of tha t subsidiary company in the Australian market.
And secondly, by virtue of increasing our stakes in the Australian entity, it allows us to have exchange of knowledge or transfer of knowledge, intelligence, technology because Australia is a much more advanced country compared to India when it comes to mi ning. So there's a lot of other benefits to be gained through our Australian subsidiary by way of this shareholding enhancement by us. That is for the Indian market.
Subhash Anand: And in terms of overall number, yes, there is a qualitative benefit what Tarun spoke about. We get a lot of knowledge coming from our Australian entity. And currently, the TCO model, what we are looking in India, yes, we get a lot of knowledge benefit comi ng from that entity. And then financially, this entity is profitable, do contribute in a decent amount to our bottom line. So strategically it's the right fit for us. And that's what prompted us to enhance our holding in that entity.
Adarsh Jain: Okay. So , I mean, are we exporting TAN from here to Australia?
Tarun Sinha : Yes, there is a plan to do that. Once we have our Gopalpur plant on the East Coast up and running, then if you visualize the world political map, it will be closer from India East Coast to

Australia compared to currently the only plant that we have on the West Coast of India. From there to Australia is a long shot. So the answer is yes.
Subhash Anand: And currently we do not have any surplus capacity in TAN. So even if we want, we cannot because of demand supply short. But yes, there is a plan.
Adarsh Jain : Got it. Thank you.
Moderator: Thank you. The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.
S. Ramesh: So if you are talking about your Australian subsidiary, can you share what is the investment and the cost acquired just additional 20% and what is the size of the company in terms of revenue and profits?
Subhash Anand : The last year if we talk about the total revenues of the company is around Rs. 600 crores approximate.
S. Ramesh: And how much was the profit last year EBIT or EBITDA?
Subhash Anand : See, we do not in fact share profitability specific, so you need to wait for that number. Yeah, and in terms of acquisition, the total entity value at which we acquired was approximate about --
Subhash Anand: I think about Rs. 80-odd crores, somewhere in that

range.
Subhash Anand : That 15%.
Subhash Anand: Yes, we will check back and get back to you with that. But that's the sort of magnitude.
S. Ramesh: 20% at Rs. 80 crores, right, so Rs. 400 crores.
Tarun Sinha : Around that. Yes, do not hold me to that number because I have to check that.
S. Ramesh: Roughly. So is there any debt in that entity?
Subhash Anand: Small debt is there in that entity, not very high.
S. Ramesh: And what is the value of the 65% investment in your balance sheet?
Subhash Anand: No, I do not have that value of that number. But if you see the total valuation on 15% equity if I

go with the number, it's roughly around Rs. 500 crores, Rs. 550 crores that is a total equity value which has come in.

S. Ramesh: So 15% equity. You said 65% shareholding ?
Subhash Anand: No, no. That's the value of the company. I am saying 15% acquired value is around Rs. 75 crores, Rs. 76 crores. That's what we have paid for 15% share. So you can do reverse computation and see the total equity or EBIT enterprise value for that company.
S. Ramesh: Okay. So you are saying some 65% has gone up to 80%. Earlier I thought it was 85%. So 65 plus 15, 80%?
Subhash Anand: Now it is 80% holding --
Subhash Anand : 85%.
Subhash Anand: Sorry, 85%, 65% plus 20%, so 85%, yes.
Subhash Anand : And the value of that 20%, we have got the number Rs. 77 crores.
Subhash Anand: That's what I am saying Rs. 77 crores.
Subhash Anand : Rs. 77 crores. I was saying Rs. 80 crores ballpark, but that's the number.
Subhash Anand: So equity value of around Rs. 400 crores, that's what we are paid for that entity to acquire the estate.
S. Ramesh: So this is the equity value? Okay. Rs. 80 crores for 20%. Fine. Understood. Okay. So now if you see the B2C mining revenue, it is flat. Is it because of monsoon and do you expect that to improve in the next nine months?
Subhash Anand : Do not expect this number quarter -on-quarter to improve because this is a proof of concept and we are moving in that direction. The ramp -up will take some time. So it's not a number which every quarter need s to be tracked. But directionally it gives where the company is focusing and how it's moving. So slightly mid -to long term you will continuously keep seeing things moving in this direction.
S. Ramesh: Okay. So I have two more thoughts. One is , given that you have a larger share of the higher margin business where you are seeing margins under pressure now if you go in the first quarter , so how do you see the margins in the chemical segment moving in the next one, two years? And secondly, on the TAN business, can you share what is the current absolute demand in India and the current capacity? And how do you see the capacity addition in the next two to three years ? Because Coal India is talking about backward integrated capacity addition by '29 , and that does raise some concern about the Coal India demand for the entire industry. So if you can

give your thoughts on the capacity addition and particularly that of Coal India? And secondly, how do you see the margin profile in the next one, two years?
Subhash Anand : Okay. In terms of industry capacit ies coming, let Tarun give more insight .
Tarun Sinha: About the Coal India plant, yes ?
Subhash Anand : Yes, Coal India.
Tarun Sinha: Okay. See, I do not want to go out of TAN in trying to answer what Coal India might be doing. That's the first thing I want to put on record. They are our customers at the end of the day. Secondly, I am sure the way things are panning out, there are think tanks in the government who are also looking at this thing whether Coal India should have its own ammonium nitrate plant or not. See, the critical thing is, it's not imp

ortant whether it's ammonium nitr ate plant or something else. Where this all started from is, see, India has got abundant coal reserves, as we all know. So that means there's a lot of carbon we are sitting on as a country. On the other hand, as a country, we import huge amount of carbon in the form of coal, natural gas, crude oil, so on and so forth. This is what prompted the policymakers in our government some years back, how is it possible that we on one hand we are importing so much of carbon , on the other hand we are sitting on world's third largest carbon reserves. This is a complete contradiction in terms of how it should be. So that stemmed this whole thought process that, okay, how can we put India's carbon, which is the coal reserves , to different usage. And that's where NITI Aayog started to do some work seven years back and they came up with various initiatives.
One of the themes they came out with is what is called in India Today as coal to chemicals, which means starting with coal that we have in India, how can we produce different kinds of chemicals. And that theme then got further evaluated and there is a long list of chemicals which can be produced through coal gasification process. Now coal gasification technology for Indian coal itself is not proven commercially at this stage , it's work -in-progress. But that's how it all started , that's where it is.
So, today somebody might be thinking I will start from coal and produce ammonium nitrate. But

that's not the only thing. At some stage, people may realize that India has a deficit of many other chemicals, which can be produced through coal gasification proces s, which India is currently importing all those chemicals. So why you do that? So now all this is work in motion.
I am not, of course, in any of those government committees . But I can definitely say this with some comfort and confidence that these things will be looked at by the government over a period of time as to how best to put this Indian coal to which kind of use. No point creating assets and products which we already have enough of, rather focus on producing things which we have deficit of. That's where government will intervene at some stage is my view.

S. Ramesh: Sir, just to get things in perspective, then are we to assume that the definite capacity additions will be Deepak Fertiliser s and GNFC and Chambal , and you are not in the camp that believes that Coal India project will ma ke progress , although being announced in parliament and they have set up a GD and they are talking about executing by '29. So that's a very large capacity they are putting up, 6 lakh tonnes , and that is about 60% of current consumption. So for an investor that's a huge overhang.
So, is there any discussion between you and the government to suggest that it is possibly not in the best interest of the industry and you expect to see the reconsideration ? Or are we to assume that you will be able to grow despite that capacity coming up , how should we look at that?
Tarun Sinha: So first thing, as I mentioned earlier, first of all, we are not sitting in any of those government committees or think tanks who are making these policies. Hence, we are not in dialogue with government or anyone else on this matter. We are purely going by rationale how the industry will look at things, what to produce , a thing which is already in sufficiency in the country to produce more of it even if it is not required or to produce other things, which is possible to produce from coal gasifi cation, which country has a deficit of. Somebody has to answer that question at some point in time. Deepak is not the one who will answer that question.
S. Ramesh: Okay. So if you take the private industry capacity addition, what would that number be in the next two years? And do you thin

k the 6%, 7% CAGR is enough to help everybody operate at say 85%, 90%? What is the kind of data you can share on that?
Tarun Sinha: Yes. The answer is yes because as we talked earlier, there will also be some exports, which will be taking place from India. So , the sort of capacity utilization numbers that you talked about has a combination of everything, the answer is yes.
Subhash Anand : Yes. And couple of things I will just add in to what Tarun just spoke about . The new capacity which is coming up towards end of this year, I call it, it is not that it will become operational from day one. Neither we nor anybody else will have 100% capacity utilization immediately. So the capacity utilization will get built up for everybody. And so the CAGR of 6%, 7% additional demand also will keep coming.
As Tarun spoke about, three years put together add to around another 300,000 tonnes additional demand in this. If we see a current shortfall of capacity and additional demand which will come in three years, we will again be reaching to a net -net short capacity for India is concerned. So it's not a question of oversupply if somebody is looking midterm. It's again a question of demand supply getting balanced and we continue to be in the same space.
And then, yes, other things which are important for us, which your question was margin protection, we are continuously working on margin expansion, various initiatives on margin expansion. TCO downstream journey is one of that, which Tarun spoke about beca use that's

what help us margin expansion. Export is another thing, doing more and more export and seeing how can we protect our margin.
Other things, with Gopalpur coming in place , we will be among the largest producer of TAN, not just in India, but one among the world, I call it. The size and scale and efficiency what we will have will definitely give us a competitive advantage. So that's what some of the few things which we know will help us to sustain, maintain or expand the margin in the near future or in the coming time.
Tarun Sinha: Thank you very much. I will join the queue. Wish you all the best.
Moderator: Thank you. The next question is from the line of Niraj Mansingka from White Pine Investment Management Pvt . Limited. Please go ahead.
Niraj Mansingka: Yes, thank you. A few questions. One, what was the CAPEX completed in rupees crores for both the projects? And second is, what is your view on the outlook of ammonia demand supply on the global situation? I understand there's an Indian market, but as well as global how you see the panning out of that? And thirdly, on the fertilizer , some specialty fertilizer has been export

custom China. Any impact on Deepak Fertiliser s because of that?
Subhash Anand : Sorry, can you repeat the question?
Niraj Mansingka: CAPEX of each, how much amount has been spent till date on both the project? Ammonia outlook that you see globally and specialty fertilizer s curbs of China, how can it positively or negatively impact Deepak?
Subhash Anand : Okay. Ammonia, you say ammonia supply at this point of time, there is no shortage of ammonia at this point of time, I call it that way, when it comes to overall demand supply of ammonia is concerned. Ammonia prices are short. We continue to maintain that at this point of time if somebody is looking ammonia prices, the ammonia price is running at almost at a low of many, many years average. In fact, this is one of the lowest ammonia prices currently what we are seeing -- or what we have seen i n last quarter.
So two things what we expect , globally ammonia demand will catch up because a couple of things which normally happens with ammonia in H2 . Some of the plants, Europe, both were shutdown , and that's already started. And on top of that, the gas prices demand supply also changes

globally in Q2 or in H2. So that brings the ammonia prices up in H2 . And that will happen or that's what is expected to happen, I call it, in terms of ammonia pricing is concerned. Demand supply , currently, I do not see there is much challenge on demand supply of ammonia. Ammonia is available. It's more of a pricing which is more important and that's what we need to keep a watch on. So far, we are concerned for our PCL or ammonia profitability is concerned.
In terms of total CAPEX done so far --

Niraj Mansingka: Cumulative CAPEX for Gopalpur .
Subhash Anand : So we have done roughly around Rs. 1,700 crores CAPEX so far.
Niraj Mansingka: Can you give an individual number if possible?
Subhash Anand : Not at this point, I do not have it right now in front of me. We can give you offline. You can reach out to one of us.
Niraj Mansingka: Okay. And what is the view on the China specialty chemical export curbs?
Subhash Anand : China basically fertilizer export curbs, that's what it was rather specialty, I call it. Now there are two things which has happened with that curb coming in. A lot of specialty fertilizer s, which comes into India comes from China. So with that ban happening, the demand or the supply has moved out from China to other countries like European country, including Israel and other countr ies.
Finally , it has increased the cost for everybody because most of the supply of specialty is from outside India, not in India. And that cost has been passed on. So net -net there's no impact to profitability is concerned . But the cost of buying what it used to be earlier when it was coming from China has gone up the moment supply has moved out from China to other countries.
Niraj Mansingka: So the related is , how much percentage we are buying from China for your Smartek ?
Subhash Anand : Not much Smartek or Croptek. It's more of a specialty chemical , that's what most of the specialty chemical has some share of traded volume which comes from China.
Niraj Mansingka: Okay. So the impact is the traded volume is just a higher number because of higher realization because of pass -on, but is that the right way to look at it?
Subhash Anand : Yes. In fact, traded volume, not the bulk I talked about, specialty if we talk about, overall specialty volume what we do , do have some traded element part of that and that has gone up or that has moved out from China to European countries.
Niraj Mansingka: Okay. And is there any inventory gain sitting on this specialty or is not meaningful?
Subhash Anand : Yes, not meaningful.
Niraj Mansingka: Okay, great. Thank you very much.
Moderator: Thank you. The next question is from the line of Shubam Dashmana from Asit Koticha Family Office.

Shubam Dashmana: Hello. Thank you for taking my questions. So sir, when we created the new plant and going to start in Q4 FY '26, are we expecting some kind of loss in the quarter or two due to low volumes?
Subhash Anand : No, no, we do not expect loss in that quarter because it only expected towards end of FY '26. So nothing specific impact is visible for that quarter. The only thing is , yes, it will have a low capacity utilization in the initial time, but that will be for a couple of quarter s is expected.
Shubam Dashmana: Okay. And sir, what would be the beginning point for the move about the plant? And my second question is , there used to be exclu sive TAN export from Russia, so are we seeing any of that in this scenario?
Subhash Anand : Breakeven is not a question in terms of these projects are concerned, because the kind of a margin

this project has. So we will not be seeing that's a concern for us at this point of time. So for TAN
from Russia is concerned, Tarun, you would like t

o take about?
Tarun Sinha: So what was the concern? Can you elaborate your question regarding Russia, then hopefully we will be able to say?
Shubam Dashmana: No, so before the conflict, Russia even contract and there was a supply of TAN from Russia to India.
Tarun Sinha: Yes.
Subhash Anand : Okay. Now let me start and then Tarun can add to that. Basically, there was a time when Ukraine war started , and since Russia comes under a lot of restriction, so there were lot of import . India being the market, so a lot of import happened from Russia to India during that time. That had an impact, but that was more FY '24, that's what the phenomena which was seen.
If we go back and see last one, one and a half years or last five quarter, primarily, barring I say recent phenomena, but otherwise if we see import in India of TAN is now broadly spread. It's not just only focused on Russia, if we see. It had a mixed pie from other country also. Of late again, yes, Russia pie has gone up, but that seasonal pie keeps switching from one to another. But if we are looking slightly longer five, six quarter s, now this pie is broadly distributed among four, five countries, that's the way it used to be.
Shubam Dashmana: Okay. Thank you for taking my question.
Moderator: Thank you. The next question is from the line of Harsh Shah from Seven Rivers Holdings. Please go ahead.
Harsh Shah: The question is while the crop protection segment did pretty well in --
Subhash Anand : No, again your voice is bad. Not able to hear.

Moderator: Thank you. The next question is from the line of Maitri Shah from Sapphire Capital. Please go ahead.
Maitri Shah: Hello. Good afternoon. This quarter we had a really good margin improvement Q -o-Q, so do we expect our EBITDA growing from quarter -to-quarter or will it stay in this range for the rest of the year?
Subhash Anand : What's the question in fact? Your question is not clear , can you repeat the question?
Maitri Shah: Yes, I was asking on the EBITDA margin is 19.3%. Are we going to grow quarter -to-quarter on these, or are we going to remain stable in this range for the rest of the year?
Subhash Anand : No, in fact if you see our last few quarters, now we are in a range. We are currently between 18% to 20% range , because our business is a mix of three businesses and each business has their own profitability and the seasonality. So it moves within the quarter depending on which business is contributing more. But we are confident we will be able to hold our range what we have maintained so far.
Maitri Shah: So can we expect a better margin? So last year we clocked in about 18.7%, so a growth on that, is that possible?
Subhash Anand : Keep fingers crossed. We all want to do it better. Let's see how things go. But our range, that's what I say, we are keeping a range and we will continue to be in that range. That's what our endeavor is.
Maitri Shah: Okay. And on the top line, so two plant additions are coming at the end of the year. For this year, what sort of growth are we expecting in our revenues and with additional two new plants?
Subhash Anand : This year will not be a major impact because both plants are expected towards end of this year. So you will see impact coming in FY '27 for us, not this year.
Maitri Shah: What sort of capacity utilization are we targeting from the 2 new plants and how will the growth pan out in '27?
Subhash Anand : We do see somewhere between around 70% capacity utilization in first year, that's what our number or our estimated despite our time. We already talked about or given the number what capacity addition which we have. So it's a simple math after that for anybody how things will pan out .
Maitri Shah: Okay. Thank you. That is it from my side.
Moderator: Thank you. The next question is from th

e line of Deepak Poddar from Vasuki India Fund. Please go ahead.

Deepak Poddar: Hello. Sir, I would like to congratulate the team first for the excellent set of numbers. My question is on our Gopalpur plant. So can you give me a ballpark figure that what kind of

revenues would be achieved by next year on 70% or 80% utilization as you said?
Subhash Anand : No, just simple, I just spoke about the capacity addition is around 3,80,000. You take 70% capacity utilization and you have per tonne pricing we publish every quarter. So a simple math can help everybody.
Deepak Poddar: Yes, I understand. Secondly, this quarter, the nitric acid prices were in pressure despite that we were able to achieve a good number over there. Do you see any growth from nitric acid prices in a few quarters or will it remain stable? What's your view on that?
Subhash Anand : Nitic acid is not under pressure, nitric acid pricing. It was IPA pricing which is more in pressure actually if I talk about. And we have spoke n about even in our earlier communications also last quarter. IPA is going through a difficult cycle. H2 was very good for IPA and after H2, every quarter -on-quarter we are seeing a IPA pricing getting further soften. And this demand supply gap of IPA route , quantity is not an issue , demand is there , but it's a pricing which is more challenging and that we expect to continue for some more time.
Deepak Poddar: That’s all from my side. Thank you for your time.
Moderator: Thank you. The next question is from the line of Chirag from Keynote Capital. Please go ahead.
Chirag Maroo: Yes. Thank you for the opportunity. Sir, my first question is, is there any progress on the IPA that we were creating for semiconductors ?
Subhash Anand : Not right now. We are still in our, I would say, drawing board and trying to evaluate various options, what is the right way for us to go. So , you need to wait for some more time till we make some concrete plan and come back and share with you.
Chirag Maroo: Sure, sir. Sir, second thing I wanted to know, we have planned to procure almost 25 Btu annually. Will that suffice the requirement of the ammonia plant that we have on the West Coast, 629,000 capacity?
Subhash Anand : Okay. You are talking about ammonia supply, right?
Chirag Maroo: Yes.
Subhash Anand : Or natural gas?
Chirag Maroo: Yes.

Subhash Anand : The natural gas contract what we have is enough or more than enough what we need for our TCL or ammonia plant. So we do not have any shortfall or any further requirement of natural gas to be tied up. Our current contract is taken care for that.
Chirag Maroo: Just for better understanding, could you give me a ballpark number like how much tonne or TBtu of natural gas is required for 500,000 tonnes capacity of ammonia?
Subhash Anand : Just give me a minute. I will tell you broadly , okay , broadly we need around 20 TBtu that are requirement what we have at Taloja plant, PCL plant.
Chirag Maroo: Okay. Annual requirement is 20 TBtu?
Subhash Anand : Yes, that's approximate requirement what we have. So that's the reason we are saying the contract what we have is good enough for us to meet all requirement.
Chirag Maroo: Fair enough. Sir, next question is related to the pricing of ammonia which is going on today. At what price of ammonia do we do a breakeven on a beta level and PBT level?
Subhash Anand : We have shared in fact in past around 300, 325 Middle East FOB, we will be at EBITDA breakeven , and around 425 we are PBT breakeven.
Chirag Maroo: Fair enough. And sir, last question from my side. Just wanted to check, do we have any supply contracts on the east side of India where the Gopalpur plant is expected to come? So do we require any ammoni

a on that TAN?
Subhash Anand : No, ammonia will be imported ammonia f or Gopalpur and we are already in process of tying it up because ammonia, as I spoke earlier, ammonia quantity is not a challenge. So that will happen.
Chirag Maroo: Fair enough. Thank you so much, sir.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand over the conference to management for closing comments.
Ranjit Cirumalla : Thanks, everyone, and thank you once again for joining us for Deepak Fertiliser s and Petrochemicals Corporation Limited Q1 FY '26 Earnings Call. We look forward to engaging with you further in the coming quarters ahead. Thanks, everyone.
Moderator: Thank you. On behalf of IIFL Capital Services Limited, concludes this conference. Thank you for joining us . And you may now disconnect your line.

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Call: Nov 2025

12th November, 2025

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Subject: Management Transcript of Q2 FY 2026 Earnings Conference Call

Dear Sir / Madam,

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing
Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Management Transcript of the Earnings Conference Call held on 6
th November 2025 to
discuss the financial results of the Company for the quarter and six months ended 30th
September, 2025.

The transcript of the Q 2 FY 2026 Earnings Conference Call will also be made available
on the website of the Company i.e. https://www.dfpcl.com/.

We request you to take the same on your record.

Thanking you,
Yours faithfully,

For Deepak Fertilisers
And Petrochemicals Corporation Limited

Rabindra Purohit
VP – Legal, Compliance & Company Secretary Membership No.: FCS 4680
Encl: as above

"Deepak Fertilisers and Petrochemicals Corporation
Limited
Q2 FY '26 Conference Call"
November 06, 2025

MANAGEMENT : M R. SAILESH C. MEHTA – CHAIRMAN AND MANAGING DIRECTOR
DEEPAK FERTILISERS AND PETROCHEMICALS CORPORATION
LIMITED

M R. SUBHASH ANAND – PRESIDENT AND CHIEF FINANCIAL OFFICER
DEEPAK FERTILISERS AND PETROCHEMICALS CORPORATION
LIMITED

M R. TARUN SINHA – PRESIDENT – TECHNICAL AMMONIUM NITRATE
DEEPAK FERTILISERS AND PETROCHEMICALS CORPORATION
LIMITED

M R. SUPARAS JAIN – EXECUTIVE VICE PRESIDENT – CORPORATE
FINANCE – DEEPAK FERTILISERS AND PETROCHEMICALS
CORPORATION LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Deepak Fertilisers and Petrochemicals Corporation Limited Q2 FY '26 Conference Call, hosted by Emkay Global Financial Services Limited. As a reminder, all the participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Meet Vora from Emkay Global Financial Services Limited. Thank you, and over to you, sir.

Meet Vora: Thank you, Swapnali. Good afternoon, and thank you for joining us on Deepak Fertilisers and Petrochemicals Corporation Limited Q2 and H1 FY '26 Earnings Conference Call. From the company, we have with us Mr. S.C. Mehta, Chairman and Managing Director, Mr. Subhash Anand, President and Chief Financial Officer, Mr. Tarun Sinha, President -- Technical Ammonium Nitrate and Mr. Suparas Jain, Executive Vice President -- Corporate Finance.

We would like to begin the call with brief opening remarks from the management, following which we will have the forum open for a Q&A session. I would now like to invite Mr. S.C. Mehta, Chairman and Managing Director, to make the initial remarks. Thank you, and over to you, sir.

Sailesh Mehta: Thank you. A very warm welcome to everyone for the Q2 FY '26 Earnings Conference Call of Deepak Fertilisers. Our earnings presentation and press release are available on our website and the stock exchanges, and I do hope you have had an opportunity to review them.

Now prima facie Q2 results, in a sense, indicate a bit of tough going, looking at the operating EBITDA margins dropping from 18% to 15%, but it is essential to go a little deeper and granular to understand the true picture and the resilience the businesses have shown in the context of the global geopolitical headwinds.

So now as we consider the granular details, we do need to keep in mind the strong headwinds from Trump's tariffs that triggered sudden and chaotic repercussions in many markets and in many countries as the world slowly came to terms with the sudden changes. Some places, the extended monsoons have also had multiple impacts, positive and negative, on the different sectors of India as well as Deepak Fertilisers businesses.

So now keeping the above in view, I'm happy to share the positive resilience shown by our TAN business with almost a 29% volume growth and our Crop Nutrition business growing at 54%, resulting into an overall top line growth of 9%. Our journey from commodity to specialty or holistic solutions stayed steadfast and now contributes to almost 22% share in our H1 revenues with Crop Nutrition leading with crop-specific NPK grades. So taking a little larger perspective, the H1 top line grew by 13% with PAT growing by 11%.

Now for the quarter, what hit us were only IPA and Ammonia. Rest of the sectors, I think, have shown very positive growth. And both IPA and Ammonia, some readjustment in the global trade winds is something that we are awaiting. So on the IPA front, as we await the realignments, our focus on specialty pharma-grade and also other cost optimizations will continue to help us.

On the Ammonia front, too, we have already begun seeing a market price correction, while our efforts to unlock some capacity and efficiency gains are underway. Also, our attractive LNG gas contract with Equinor will kick in by middle of next year to bring further positivity.

The other development that happened was that we completed a full acquisition of Platinum Blasting Services (PBS), our Australian subsidiary at a

n attractive EBITDA multiple. Now this is strategic in nature because it strengthens our footprint in the high potential Australian market and will also reinforce our forward integration strategy, learnings from the best practices in Australia to be brought to India.

So now DMSL is very well positioned to lead mining solutions across India to Australia. As regards to our growth projects, they are progressing steadily well despite all the challenges. The TAN project at Gopalpur is almost 87% complete and the Nitric Acid project at Dahej has reached almost 70% completion.

And both these projects are not only central to our growth and long-term value creation. But as you are aware, they are built on our 40 years of proven capabilities right from raw material,

safety, health, environment, market, customer reach in comparison to anyone else.
So as we see the rest of the year pan out, the above normal monsoon will provide a very good foundation for the Rabi demand for our Croptek, the Crop Nutrition business. And the mining activities also, which will then support the TAN market will also be something that we will see an upswing post the monsoons for the coal and infrastructure activities.
The key aspect I was wanting to leave behind was that our transformation journey is definitely something that is on a clear strong path and is continuing on a strong manner. And that is somewhere where the focus on value-added products and services to our end consumers in each of our sectors is yielding better and better results. So that is something that we will see pan out in a stronger way as the second half and the next year emerges.
So with these broad thoughts, let me hand you over to Subhash Anand, our CFO, who will take you through all the detailed financial performance for the quarter and H1. Subhash?
Subhash Anand: Thank you, and thank you, Mr. Mehta. Good afternoon, ladies and gentlemen. Thank you for joining us today for Deepak Fertilisers and Petrochemicals Limited -- Petrochemical Corporation Limited Q2 FY '26 Earnings Call.
We are pleased to share another quarter of resilient performance, underscoring the strength of our diversified business model and disciplined execution. Our strategic priorities focus on specialty product, customer engagement and operational agility are translating into tangible outcomes. Across segments, we continue to reinforce our balance sheet and maintain sharp operational control, laying a strong foundation for sustainable growth.
Let me walk you through the key financials, and operational highlights. On operating revenue front, Q2 stood at INR3,006 crores, reflecting a healthy 9% Y-o-Y growth. This was driven by a strong contribution from our specialty product portfolio in Crop Nutrition business, which now accounts for 28% of segment revenue, up from 22% previous year.

The B2C segment of our TAN business also gained momentum, contributing 14% to total revenue. For H1 FY '26, operating revenue grew at 13% Y-o-Y to INR5,665 crores. On EBITDA front, the quarter stood at INR464 crores. On a half yearly basis, EBITDA grew 2% Y-o-Y to INR977 crores. The Fertiliser segment continued its strong trajectory, delivering a robust 36% Y-o-Y growth.
While TAN maintained its momentum, the Chemicals segment was impacted by subdued performance in IPA and Ammonia, resulting Chemical segment showing 21% Y-o-Y decline.
On net profit front, Q2 remained stable at INR214 crores, margin of 7.1%. For H1, net profit rose 11% Y-o-Y to INR458 crores.
On a growth project, as Mr. Mehta highlighted, the TAN project in Gopalpur has reached 87% completion, while Nitric Acid project in Dahej hit 70%. Both projects are on track for commissioning towards end of Q4 FY '26 with focused executions to ensure timely delivery. On cash flow and leverage front, in H1, we generated INR782 crores cash f

rom operations.
Despite a capex outlay of INR870 crores, net borrowing increased only marginal to INR3,402 crores. Our net debt-to-EBITDA stands at healthy 1.74x, supported by improved operational performance and capital infusion through CCD. Net debt to equity was at 0.48x as of September 2025.
I'm pleased to inform that we have completed the full acquisition of Platinum Blasting Services at an attractive valuation of 6.7x EBITDA and with an enterprise value of INR537 crores. This strategic move strengthened our mining solutions footprint across Australia and India, enhancing forward integrations and long-term value creation.
Let me now take you through the performance of our key business segments. In Crop Nutrition business, this segment delivered another strong quarter. The manufactured bulk Fertilisers sales stood at 1.85 LMT, down 31% Y-o-Y due to limited availability of key raw materials. However, this was well compensated by trading bulk volume what we were able to import and sell.
Our flagship specialty product, Croptek recorded a remarkable 54% Y-o-Y growth, reflecting strong market acceptance and increasing farmer adoptions. On the outlook front, with a favourable monsoon, rising adoptions of Croptek and Solutek, also a focused marketing approach, we anticipate robust demand for Mahadhan products and strong Rabi 2025 season.
In our mining chemical TAN business, the business sustained, continued to sustain its strong momentum. TAN sales volume grew 29% Y-o-Y to 137 KT with full capacity utilization. The export quota, which was enhanced in June 2025 to 50,000 metric ton a year now start showing into the results and our export now started reflecting increasing trend in terms of volume in export market.
LDAN volume stood at 18 KT, down 3% Y-o-Y due to monsoon-related disruptions in mining activity. Our B2C business grew 33% Y-o-Y, supported by deeper market penetration and

product diversification. On outlook front, we expect a strong post-monsoon recovery in this demand, driven by increased mining and infrastructure activity.

Our focus remains on expanding export, enhancing direct sales and delivering value through reliable supply, product flexibility and tailored solutions for the mining sector. In the Industrial Chemicals segment, Nitric Acid volume remained steady at 70 KT, supported by stable plant operations and consistent demand across key sectors.

IPA volumes were flat Y-o-Y at 17 KT, but impacted by a sharp decline in acetone and IPA prices, the segment continued to face margin pressures due to global oversupply, a steep drop in acetone prices. Additionally, a surge in U.S. import falling antidumping duty on China has intensified competitive pressures in the domestic market.

Our specialty product portfolio continued to gain traction. PICKBRITE is showing promising results in ongoing cash pickling trials with stainless steel customers, while Cororid has expanded its presence to over 250 hospitals across 16 states.

On outlook front, while the near-term environment for IPA remains challenging, we are encouraged by early sign of price stabilization driven by global trade realignment and sanctions. We are actively pursuing opportunities in pharma-grade export and technical grade applications along with cost optimization activities to enhance competitiveness and margin recovery.

Nitric Acid prices expected to remain stable, influenced by increased import. Our strategic focus on market segment and customer-centric innovation continue to support resilience in this segment. On Ammonia front, the segment experienced a challenging quarter, impacted by global price volatility and operational constraints.

The FOB Middle East Ammonia prices averaged around $300 per metric ton, significantly lower below the last year level, resulting in a material revenue and EBITDA impact. High

er natural
gas consumptions due to start-up and shut down cycle, lower incentive income due to GST rate cuts, along with elevated natural gas rates further weigh on the margin in this quarter.

On the outlook front, Ammonia prices have rebounded above $400 already. A planned shutdown in Q4 is expected to enhance capacity, while the NG saving from infrastructure upgrade, ongoing advocacy to strengthen incentive scheme and secure Equinor natural gas supply, we are well positioned for a robust turnaround in the coming quarters.

In conclusion, our performance this quarter reflects the strength of our diversified portfolio, the disciplined execution of our strategic road map. Each business segment is aligned with India broader growth drivers, agriculture, infrastructure, mining and health care, positioning us to deliver both near-term results and long-term value. We remain committed to operational excellence, capital discipline and stakeholder value creation.

Thank you once again for your continued support. Now I welcome your questions.

Moderator: Thank you very much. The first question is from the line of Bhavya Shah, an Individual Investor. Please go ahead.

Bhavya Shah: Hi. Thanks for the opportunity. My first question is regarding the TAN business. In recent months, international TAN prices seem to have gone up by 20%. So -- and domestic TAN value

has moved up by 12 [inaudible 0:18:38] any specific reason for spike in international TAN prices?

Subhash Anand: Your second part of the question is not clear. Can you just repeat it?

Bhavya Shah: So, I wanted to confirm that have domestic TAN prices moved at 12. Any specific reason for spike in international TAN prices?

Subhash Anand: We've had some challenges in understanding your question. Can you hear us?

Moderator: Mr. Bhavya Shah, can you please come closer to your handset and then speak as your voice was not audible. No, sir, you are not audible. Hello, Mr. Bhavya Shah, can you please repeat your question again. I'm so sorry, sir, your voice is not audible. I will request you to rejoin the queue again. The next question is from the line of Shubham from Asit Koticha Family Office. Please go ahead.

Shubham: Sir, can you please elaborate more on the IPA market price?

Subhash Anand: We only hear first sentence on IPA market, nothing more than that.

Shubham: What is the situation right now for the IPA market?

Moderator: Sorry to interrupt in between Mr. Shubham, can you please come closer to the handset and speak?

Subhash Anand: No, that's fine. We understood the question on IPA market. Now a couple of things which is, I say, in progress when it comes to IPA market. One, there are few sanctions has happened, okay. There are a few sanctions which has happened that has resulted some firm up of prices of IPA in the domestic market.
Second thing, a lot of this IPA disturbance is actually led by tariff, which US Trump has announced and a lot of supply because of those tariffs and antidumping on China, thus US market has started supplying it back in India. That's where a lot of import of IPA has started coming to India from US.
Now with tariffs with China getting settled; US-China and US-India getting settled, things will expect it to go back to normal level, and we expect again, back to normalcy. Now yes, it may take couple of months definitely. It will not happen immediately in this quarter. But now there are early sign of things going back to normalcy, and we expect IPA to be back in business in coming quarters.
Shubham: Okay. And sir, second question is on the capex that we do. So, we are expecting commissioning in Q4 FY '26. So how much capacity utilization are we expecting for FY '27 and FY '28 plan?
Subhash Anand: Yes. Normally, the way we expect FY '27, we expect around 70% capacity utilization. And FY '28 will be 80% plus. And after t

hat, it will be a normal capacity utilization.

Moderator: Thank you. The next question is from the line of Viraj Mahadevia from MoneyGrow. Please go ahead.
Viraj Mahadevia: Congratulations to the management team for staying on course. A quick question is with the lower gas integration into the manufacturing next year, how much do we expect gross margins to expand by in FY '27?
Subhash Anand: Okay. Basically, with our new LNG contract, which will be effective from, or the supply will start from May '26 onwards. We expect the gas prices will come down. Now in terms of margin expansions, let's wait for some more time. We've still not gone and then communicated.
But the cost saving is material in nature. It's not a small saving what we are expecting. If everything remains same where our gas prices are today, we expect significant reduction in our gas prices, basket gas prices to happen because of new contract.
And that will bring down our breakeven EBITDA level for Ammonia much lower. So we expect this will be a significant impact in our turnaround of Ammonia business in the coming year, apart from increase in Ammonia prices for which early signs are already there.
Viraj Mahadevia: Understood. And once this capex underway is completed, is there any other capex planned? Or will cash flows from FY '27 be used to delever the balance sheet?
Subhash Anand: At this point of time, we are reaching, in fact, the current stage of capex cycle, we started a few years back. Now we are reaching towards completion of that capex cycle. Immediate, if you ask me, do we have something? No, nothing immediately. So there will be some cooling period.
That's what we expect in terms of next capex cycle to kick in. But we are open any good opportunity, if it makes business case, we look into that.
Viraj Mahadevia: Understood. So the absence of incremental capex or any suitable acquisition, the cash flows will be used for debt paydown?
Subhash Anand: Yes. If there is nothing else, then definitely this will deleverage our balance sheet more and more.
Moderator: Thank you. The next question is from the line of Arman from Blue Sky Fintech. Please go ahead.
Arman: First of all, congratulations on a decent set of numbers despite this volatility. My question is just on a broader perspective as we have been hearing that India and China are getting along with talks of importing fertilisers.
Also on a broader contour with Russia, we are talking with import of fertilisers. How the overall broader scenario you are seeing for our company if the stocks go through, what kind of outlook you have or impact you could estimate of these meetings going through?
Subhash Anand: Okay. Now in fact, the way we operate, our entire focus is on value-add product when it comes to fertilisers. We are in value added fertilisers in this market, whether it's our Croptek business, which is a crop-focused fertilisers or water-soluble business or even the Smartek, which is also not pure NPK, it's a nutrient-coated NPK fertiliser.

So we don't have fertilisers, which is readily comparable in the market compared to other products which are available. So we are creating our own niche space and making our journey,

which is slightly more, I'd say, customized or bespoke for our kind of a portfolio. And this journey started not last year a few, but we are on this track from last few years.
It started now showing into the results and started reflecting into our bottom line. So what you're seeing in our Crop Nutrition business portfolio, actually the result of hard work or the product differentiation strategy, which we started, as the Chairman says from commodity to specialty.
This is a journey which we started a few years back, started showing into results. An

d we'll
continue with that strategy, bringing more and more value-added product for Indian market, for farmers and creating our own space.
Arman: Just a follow-up because a few years back, some years back, we had an issue with Ammonia, right, when Russia, during COVID, I guess, when Russia dumped in India. So now what's the cost level, cost competitive level of producing what we are producing and what is being produced in Russia?
Subhash Anand: Okay. In fact, I'll just pass on to Tarun. This is basically what the competition from Russia is more on ammonium nitrate. That's a TAN business, FGAN, what we call it. That's what gets imported from Russia, which competes with our TAN business in India. Tarun, do you want to add anything -- impact of Russia..?
Tarun Sinha: Yes, yes.
Subhash Anand Because in COVID time, we had a large impact, what is the reality now?
Tarun Sinha: Absolutely. So as Subhash mentioned, the only business in our group, which does get impacted through material coming from Russia is the DMSL business, the Mining Solutions business because Russia exports ammonium nitrate into India. And that has been a little bit controlled over the last 6 months or so of this financial year.
And hopefully, that will remain so because now government of India is slowly starting to realize that all the additional capacities of, domestic capacities of ammonium nitrate that are coming up in a very short span of time from now will actually make India self-reliant in terms of its ammonium nitrate needs over the years to come. And therefore, there is no need to import.
So why to waste foreign exchange reserves on a product which is in sufficiency in the country itself. So that good sense slowly, slowly is seeping in, in the minds of the various ministries.
And hopefully, over a period of time, we will see further slowdown of ammonium nitrate imports in India.
Subhash Anand: Just to add to what Tarun says, last few quarters or few years, if we say, okay, there was a time when Russia-Ukraine war started and all of a sudden, there was a disturbance. But after that, things stabilizes. It's not the Russia import is zero, no. It's -- we are still having an import from Russia. But the price war or a price disturbance is not happening. So things are normalized and

business is going where everybody now is settled down in terms of the margin expectancy and the way things are happening.
Moderator: The next question is from the line of Adarsh Jain, an individual investor.
Adarsh Jain: Yes. Hi. My question is on ammonia plant. I think some shutdown is planned in Q4. So how much capacity can be -- I mean, can be increased for this plant in Q4?
Subhash Anand: Okay. We are expecting around 10% increase in capacity in this shutdown.
Adarsh Jain: Okay. And how long this shutdown would persist?
Subhash Anand: It will be a few weeks shutdown. So definitely, Q4, we have planned for that. With that, it will bring capacity expansion and some efficiency or some of the efficiency things which actions which we kept pending will get completed during that shutdown. So we'll have a far more efficient plant after that.
Adarsh Jain: Okay. So 10% more or less we are actually expecting capacity to be increased. Okay.
Subhash Anand: Correct.
Adarsh Jain: Yes. Another question is TAN export quota. How much we have exported till now on the quota, which was 50 metric tons?
Tarun Sinha: So, Tarun, again here. The export quota was removed only in the month of June, which means Q1 was a washout from an export point of view. So we started to -- and this was after a long gap of a couple of years. So as one would imagine, if any company or any business is out of the international market for a number of years, certainly to get back to the market, international market, it takes time.
But we have made some good progress in Q3, and w

e have exported reasonable quantities as we
used to do in the past. And sorry, in Q2, I should say, July, August, September quarter. And we are very hopeful that in Q3, it will be a higher volume compared to Q2 as well as far as export goes.

Adarsh Jain: So we will be able to, I mean, exhaust the quota by Q3 or it will take Q4 also?
Tarun Sinha: See, if it was only to meet the volumes to satisfy the quota requirements, that is not a problem. But as a responsible company, what we have to keep in mind is that as long as it makes financial sense to export compared to what we can generate in the domestic market, then so be it. So it's always that balanced decision we make, how much to export and how much not to export.
Also keeping in mind is one of the answers I gave earlier, we have given commitment to Government of India that we are going to make India self-reliant for its ammonium nitrate demand. So obviously, domestic market is the first priority for us. So only if there is surplus left and if it can be sent out in a reasonable -- at a reasonable financial number, then we take those decisions as we go by. So it's hard to say how much number -- how many numbers of tons we will export at this.

Subhash Anand: No. Thanks, Tarun. I'll just add into that. Currently, we are in short supply of TAN. In fact, whatever we produce, everything is getting sold in domestic market. We don't have excess capacity available to supply anywhere else. Export -- quota and export market is important for us for the newer capacity, which is getting added. And that's where a lot of market development activity is happening currently to ensure we have that market available by the time we add up to the new capacities.
Adarsh Jain: And as was mentioned in one of the questions, in Q2, we operated at 100% of...
Subhash Anand: Correct. Definitely.
Tarun Sinha: Correct.
Subhash Anand: TAN is operating at 100% capacity. So we don't have anything left for any market. So we are doing margin…
Adarsh Jain: I remember, we used to -- actually, we used to run the plant at 110% or 108% capacity, I think.
Subhash Anand: Okay. That's not always possible to run at 110%, 105%, I call it that point of time. And even in monsoon time and that's the time when TAN business is not its peak. TAN always slows down during monsoon always. And even in that period, we're running 100% naturally, you can see the demand in domestic market.
Adarsh Jain: Okay. So do we get any additional margin if we export TAN or the margin same?
Subhash Anand: That's what we continue to explore. It's a margin maximization decisions which we dynamically keep taking wherever we find better opportunity, we'll take that market in our priority.
Adarsh Jain: Okay. Okay. And last question is about the joint venture -- the collaboration which we had done with Haifa from Israel. What are the updates on that front?
Subhash Anand: No. That's an ongoing, in fact, collaboration with them. We continue to see what are the products which we can bring from their portfolio and introduce into India. And we take the help on some of the product development activity in India. So it's a long-term collaboration which we have entered with them, and we are looking at market development in collaboration with them.
Moderator: The next question is from the line of Bhavya Shah, an individual investor.
Bhavya Shah: Hello. Yes. Can you hear me?
Subhash Anand: Yes. Now we can hear you.
Bhavya Shah: Okay. Okay. So my first question is regarding the TAN business. In recent months, international TAN prices seem to have moved up by 20%. So have domestic TAN prices moved up as well? And any specific reason for spike in international TAN prices?
Subhash Anand: Thank you for the question. So I was looking at in front of me actually, it is Fertecon data, and as I mentioned in one of the answer

s earlier that most of the ammonium nitrate coming into India

is from Russia, which means the index -- Fertecon index that applies to, in our case, is the [Baltic FGAN] index.
And if one were to look at the index rise, I'm looking at it now as we speak. So when we started Q2 in the month of July, the average Fertecon index for Baltic FOB was USD313 in July. Come September, end of the quarter, it became USD275. So it's gone down. It's not gone up. That's the first thing.
Come October, because we are now sitting in November, it has gone down further to USD246, so therefore, it's the contrary to what probably you have as an information. In other words, the international prices that apply to the Indian situation have gone down consistently. And yet, we have been able to maintain our margins.
Bhavya Shah: Okay. Understood. Okay. My second question is regarding the upcoming TAN and nitric acid

capex. We estimate to spend around INR4,650 crores in capex put together. But however, our CWIP till now has been around INR2,200 crores.
Subhash Anand: Correct.
Bhavya Shah: Both the capex being around six months away from commissioning maximum, like why is there a gap between CWIP and the total capex? Can you explain this gap?
Subhash Anand: No. It's a phasing of payment. Payment doesn't happen immediately at the moment things happen. So it's in plan that way. We expect capex to get staggered. Even after commissioning, certain payments remain as a performance guarantee of performance commitment and that still remain on hold for some time even after operation gets started. So I'll not say we will be spending everything at the time of COD, no. It's a phase manual spending happen and that as per plan.
Bhavya Shah: So on a cash flow basis, how much do we plan to spend in FY '26 and FY '27? And what do you estimate to be the peak debt?
Subhash Anand: Okay. No. In fact, we -- this is something we always opened and shared with the Street. Our peak debt to go up to INR4,500 crores. That's what we expect towards the end of this year. So you can see majority of the capex will get spent towards end of this year. Some 10% to 15% will remain pending on hold, which will be paid after a certain amount of time after operations gets.
Moderator: The next question is from the line of Ranjit from IIFL Capital.
Ranjit: Yes. Hi, sir. My question is on the ammonia plant. We had the state incentives that kind of an assured payback on this particular investment. Now with the GST rate being cut, how are we viewing this and how should also one view on the returns on this particular plant?
Subhash Anand: No. Ranjit, that's right. GST rate cut has impacted the incentives, which we were getting on this plant. So with the revised rate, the incentive is much lower compared to what it used to be earlier. In fact, the reports -- the number has been computed by people, everybody knows that number. Only thing what we intend to do, definitely, we are now seeing how can we do more cost efficiency, bring in things which makes us more efficient internally and that's where the Q4

shutdown becomes important for us. So a lot of activity what we are completing in that will help us to make us more efficient in terms of consumption of gas is concerned.
Then naturally, the gas prices with Equinor coming in will help. And then finally, ammonia prices getting firmer because the last quarter, ammonia prices were almost at the lowest of many, many quarters. So once those started going up, we do see things coming back to normal and we should start making money in PCL.
Other thing, which is important, because we do see, when we made the investment, we expected this investment will be paid back as an ultra-mega plant. So we are representing government

and
seeing we should not be penalized by GST rate cut.
Government should support us paying us back or incentivize, continue to incentivize in some way or the other to support this investment, but that's a standby activity. We are not barking on that. We are ensuring our internal actions make us efficient to make money in this.
Ranjit: So I believe that this would be an industry-wide issue, who would have set up based on these things. So what is the initial feedback that you have got from the government, if you can share anything?
Subhash Anand: We -- nothing so far. In fact, we are talking in the industry at this point of time. So there will be representations. Too early to, I'll say, share, these things take time. It's finally going back to the bodies and picking it up. So things take time in this side.
Ranjit: Sure, sir. And second question is, we have shared that we are again initiating exports in TAN. So any specific geographies that you are looking to tap?
Subhash Anand: Yes. Tarun.
Tarun Sinha: Yes. Sure. So, usually, the geographies of interest to us would be where we will be cost competitive in terms of ocean freight. So that would mean South Asia, Southeast Asia and Middle East, definitely. And with a bit of a stretch going up to East Africa and with a bit of a further stretch going up to West Africa on one side of the map. And then with a bit of a stretch on the other side of the map, which we target once our new plant at Gopalpur starts to operate, that would be markets like Australia.
Moderator: The next question is from the line of Shubham Dhasmana from Asit Koticha Family Office.
Shubham Dhasmana: Sir, on the TAN side of our business, how much revenue comes from top two and top five customers?
Subhash Anand: Sorry, your voice is not clear.
Shubham Dhasmana: Sir, on the TAN part of our business, how much revenue comes from top five or top two customers?
Subhash Anand: We could only hear TAN side of the business revenue and then after that, nothing.

Shubham Dhasmana: Sir, how much revenue comes from...
Subhash Anand: Can you pick up the handset? Your voice has an echo actually it's not clear.
Shubham Dhasmana: Sir, how much...?
Moderator: The line from Mr. Shubham has been disconnected. We will move on to the next participant.
The next question is from the line of Ritesh Bhagwati from Alpha Plus Capital.
Ritesh Bhagwati: So I basically just wanted to understand what is the peak asset turn we can expect from these 2 plants that are expected to get commissioned? And by when can we reach that peak utilization? Like is it FY '28 or FY '29? And lastly, like what kind of ROCEs do we see?
Subhash Anand: Okay. The 3 year is a normal time when we expect these plants to reach to normal capacity utilization. So FY '27, FY '28 and FY '29. And that's what we expect. FY '29 is a year when things will be realized in terms of capacities for us.
Asset turn for this business is roughly around 0.5, 0.6. This is what we see in asset turn. This is normal for this industry and similar we'll see for this also. ROCE is normal. We are expecting 20% plus businesses. This is what we expect in this, for the new project, and it should deliver.
Ritesh Bhagwati: So this asset turn you mentioned is for both the plants?
Subhash Anand: Yes.
Moderator: The next follow-up question is from the line of Arman from Blue Sky Fintech.
Arman: Yes, just want to have an understanding of our margin, which we told before it will be in overall 18% to 20% range. Are we still speaking for the overall year that margin will be 18% to 20%? And also for FY '27, any broad estimation for our kind of revenue growth or margins we could, see?
Subhash Anand: Okay. For FY '26, we expect our margins to go back to a normal range, definitely. So that's some expectations, and we are confident we should be able to go back. For FY

'27, I'd say too early for us to give you estimate, but things in terms of new capacities available and expected utilization, we already spoke about. So broadly on those lines, along with the improvement of PCL business, we definitely see FY '27 to be a stepping stone year for us.
Moderator: The next question is from the line of Yash Gupta from Asit Koticha Family Office.
Yash Gupta: Sir, my question is on what's our total dependency on the top 2 or top 5 customer? What's revenue percentage we received from them?
Subhash Anand: It's not, I'll not say we have a very high concentration in terms of business. Each business is separate, I call it. So there is no point looking at broad question saying top 2 or top 5. So it's a diversified portfolio for each business, and we are spread across.

Yash Gupta: Okay. And sir, second question, we have talked about in the previous quarter about the value addition, value-added product. What's your thought now? How much we are working on it? And what's the progress now?
Subhash Anand: We continue to work on that. In fact, if you hear the commentary, we are very clearly saying the B2C segment, which is reaching directly to customer in our TAN business contributes almost around 14% of revenue. And in our Fertiliser business, the specialty product portfolio, which is Croptek plus, this contributes almost 35% of the revenue. So that journey continues and now we started publishing every quarter that number gets published.
Moderator: The next question is from the line of Nupur Gandhi from Siddhi Technologies Pvt. Ltd.
Nupur Gandhi: So I just wanted to understand the pricing of Ammonia. You said it was averaging around $300 per metric ton, as mentioned in the PPT. So as of now, what is the pricing like right now currently ongoing?
Subhash Anand: It's $400 plus Middle East FOB.
Moderator: The next question is from the line of Sheelkumar Shah from Sameeksha Capital.
Sheelkumar Shah: I'm just looking at your consol cash flow and there is a spike in inventories and other assets. If you can explain that.
Subhash Anand: Inventory, basically quarter 2 being a season to build the inventory. So this is normal. It happens as in every quarter. So especially our two businesses, one is TAN business because of monsoon, we build the inventory for next quarter and also for our CNB business, inventory gets built up. So, it's broadly impact of that.
Sheelkumar Shah: Okay. And ammonia, on ammonia prices, so what is driving the ammonia prices now? And do you think they are sustainable?
Subhash Anand: Ammonia prices, in fact if somebody is looking 10-year average, it remained $450 higher up. So $300 was abnormality, I call it, that's not the normal somebody should look in. So, it's getting

back to the right scenario, and that's how it should be.
Sheelkumar Shah: Okay. And how much volume did we lose, Sorry?
Subhash Anand: Sorry?
Sheelkumar Shah: Yes. So how much volume on the Fertiliser side on the manufacturing did we lose because of shutdown?
Subhash Anand: We have not taken a shutdown. We are expected to take shutdown in quarter 4.
Sheelkumar Shah: But our manufacturing volume was down, right, year-on-year?
Subhash Anand: In which segment you're talking?

Sheelkumar Shah: Fertilisers.
Subhash Anand: In Fertiliser, right? No, that was down because we have -- one of the raw material was in short supply, so we cannot take production of Fertilisers for some of the grade Fertilisers could not come under production. So instead of producing, we have gone with the trading option.
Sheelkumar Shah: Okay. So I mean, can you help us with the details which raw material and what's the status now?
Subhash Anand: No, that's normalized now. So we have coverage for this quarter and coming qua

rters. So we
don't see that shortage to hit us in this quarter or in the next quarter.
Sheelkumar Shah: Okay. And what impact do we see because of the expected shutdown?
Subhash Anand: That is quarter 4 ammonia shutdown, not the Fertiliser shutdown. So that will not impact any of the business, because we'll import and then utilize that.
Moderator: The next question is from the line of from Ishan Daga the Dhanvesttor.
Ishan Daga: I just have one query on the margins front. How much is the margin differential between the specialty products and normal products? And what is the differential between the B2C in TAN and B2B in TAN?
Subhash Anand: It's a material difference. We normally don't give a differentiated margin portfolio that way. But if we are looking at general trend, definitely, the specialty products and the B2C products, that gives us a differentiated margin, and that's one of the margin expansion initiative which we have. More focus and more growth on this will help us to expand margin portfolio, and that will continue.
Ishan Daga: So what are the kind of targets internally we have set in, say, 3 years' time frame and how they will be accretive to the margins.
Subhash Anand: It is, we won't give you that, I'll say, color of that. But definitely, this is a focus area, strategic area for us, and we'll continue to work on converting more and our portfolio more and more towards specialty. In Fertilisers, if you see last few quarters, the way we are moving, so our Croptek and specialty product portfolio growth will continue to be, and it will be material growth. So the focus is to move more and more portfolio towards that.
So the B2C also more and more our entire TCO journey and downstream discussion is to go in that path and change the portfolio and go more towards B2C, so this journey is on. What number it will finally will be, I'll hold on for some time and maybe at the right time, we can have that discussion. But focus is to move more and more business towards specialty and value-added product.
Ishan Daga: Thank you. Much helpful sir.
Subhash Anand: Thank you.

Moderator: Ladies and gentlemen, as there are no further participants, that was the last question. I would now like to hand the conference over to Mr. Subash Anand for closing comments. Thank you and over to you sir.
Subhash Anand : Thanks, everyone, for taking out time and making it happen. Thanks for your continued support, and I wish all of you best of health and good time. Thank you. Thanks again. See you again next quarter.
Moderator: Thank you. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us today, and you may now disconnect your lines.

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Note: This transcript has been edited to improve readability

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CIN: L24121MH1979PLC021360

Deepak Fertilisers and Petrochemicals Corporation Limited
November 06, 2025

Call: Feb 2026

4th February , 2026

The Secretary Listing Department
BSE Limited National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers, Exchange Plaza,
Dalal Street, Fort, Bandra - Kurla Complex, Bandra (E)
Mumbai – 400 001 Mumbai – 400 051
BSE Code: 500645 NSE Code: DEEPAKFERT

Subject: Management Tran script of Q3 FY 2026 Earnings Conference Call
Dear Sir / Madam,
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Management Transcript of the Earnings Conference Call held on 30
th January, 2026 to discuss the financial
results of the Company for the third quarter and nine months ended 31st December, 2025.

The transcript of the Q3 FY 2026 Earnings Conference Call will also be made available on the website of the Company i.e. https://www.dfpcl.com/.
We request you to take the same on your record.
Thanking you,
Yours faithfully,
For Deepak Fertilisers
And Petrochemicals Corporation Limited

Rabindra Purohit
VP – Legal, Compliance & Company Secretary Membership No.: FCS 4680
Encl: as above

“Deepak Fertili sers and Petrochemicals Corporation
Limited
Q3 FY '26 Conference Call ”
January 30, 202 6

MANAGEMENT : MR. SAILESH MEHTA – CHAIRMAN AND MANAGING DIRECTOR – DEEPAK FERTILISERS AND PETROCHEMICALS CORPORATION LIMITED
MR. SUBHASH ANAND – PRESIDE NT AND CHIEF FINANCIAL OFFICER – DEEPAK FERTILISERS AND PETROCHEMICALS CORPORATION LIMITED
MR. TARUN SINHA – PRESIDENT – TECHNICAL AMMONIUM NITRATE – DEEPAK FERTILISERS AND PETROCHEMICALS CORPORATION LIMITED
MR. SUPARAS JAIN – EXECUTIVE VICE PRESIDENT , CORPORATE FINANCE – DEEPAK FERTILISERS AND PETROCHEMICALS CORPORATION LIMITED

MODERATOR : MR. AAKASH MAJI - IIFL CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Deepak Fertilisers Q3 FY '26 Earnings Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone

phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aakash Maji . Thank you, and over to you.
Aakash Maji: Thank you, Mike. Good evening, everyone. Thank you for joining us on the Deepak Fertilisers and Petrochemicals' Q3 FY '26 Earnings Conference Call. From the company, we have with us Mr. Sailesh Mehta, the Chairman and Managing Director; Mr. Subhash Anand, President and CFO; Mr. Tarun Sinha, President, Technical Ammonium Nitrate; and Mr. Suparas Jain, Executive Vice President, Corporate Finance.
We would like to begin the call with opening remarks from the management, following which we will have the forum open for an interactive question-and -answer session. I would now like to invite Mr. Sailesh Mehta to make the initial remarks. Thank you, and over to you, sir.
Sailesh Mehta : Thank you. My voice is clear, right?
Moderator: Yes, sir. You're loud and clear.
Sailesh Mehta : Okay. So very good afternoon to everyone, and thank you once again for joining us for the Q3 FY '26 earnings call of DFPCL. Our earnings presentation ha s been shared with the stock exchange and is also available on our website, and I do hope you have had a chance to look at it.. So as you would have seen, Q3 was a challenging quarter, and it got shaped by extended rains, geopolitical uncertainties and certain degree of price volatility. However, what differentiates DFPCL today is our ability to navigate some of these volatile cycles with a greater degree of resilience.
Over the past few years, we have increasingly transformed our portfolio, further strengthened our operating model, substantially enhanced our customer engagement approach, and all of that has supported building this resilience.
Now, let me begin with a brief overview of our financial performance. For the year -to-date FY '26, revenues grew by 12%, driven by a healthy momentum in our Crop Nutrition and Bulk businesses. And adjusted for the onetime tax credit in the previous year, P AT did decline 4%.
Our net debt -to-EBITDA ratio today stands at 2.27x, fully aligned with our ongoing capex cycle, which is in its last leg of execution. And it is going to be laying the foundation for our future growth and enhanced competitiveness.
Having said that, at the undercurrent level, there were 2 or 3 aspects that impacted our results in a predominant manner. The first one being unseasonal and heavy rains. Now, what it did was it slowed down the mining activity in the country, and that impac ted by slowing down the requirement of technical ammonium nitrate, one of our key products.

And for us and the industry, it also brought in a certain kind of a constraint in terms of nitric acid usage because nitric acid goes to feed into ammonium nitrate. So there was a dual impact emerging out of extended monsoon season, softness in the technic al ammonium nitrate space and softness in the nitric acid space.
Now, added to this, we also saw an increase in the ammonia prices globally. And that brought in the raw material price increase for both technical ammonium nitrate and nitric acid. So i t was a bit of a double whammy.
Now, if this were not enough, normally, the rains would have been good for the fertilizer sector, for the crop nutrition business, but the timing and the continuance of the heavy monsoon impacted

the Kharif crop and a lot of sufferance at the farmer level. And in our Q3, actually, the farmers were cleaning away the fields from the Kharif crop, which because of heavy rains got impacted, and they were getting ready for the Rabi plantation. So this major ripple effect, which is just like a black swan event imp acted all the 3 of our businesses.
Having said that, now, as we see things, it is broadly behind us. And with now the normal weather emerging, mining is expected to pick up to its normal levels, and the resultant demand for technical ammonium nitrate and also the resultant demand for nitric acid should pick up.
With the good water table, we are expecting the Rabi season to also be a very good supportive season for the crop nutrition and fertilizer business.
Now, our other product, IPA, coincidentally also during this period, got impacted due to much lower propylene prices globally, but not available in India at those lower prices. And this again impacted in terms of softening of the IPA prices. However, as per the ICIS Asia Pacific pricing insight analysis report dated 27, 28 Jan, t here again, we are seeing a slow improvement in the IPA prices that is being seen. So in summary, if I look at the operations, I would somewhere see 3 things that we continue to fir mly believe in and we see validation. Number one is that the basket of products that is from gas to ammonia to nitric acid to the downstream, the basket of products is giving us a good risk mitigator to be able to bring the resilience.
The second thing that is getting validated quarter after quarter, which is that the strong alignment with the India growth story that all of our 3 businesses have, that has always supported us in terms of ensuring that there is no demand destruction.

And the third is that our continued drive from commodity to specialty or being more and more segment focused and wherever possible combining products plus services, this transformative model is certainly appearing to be in the right direction.

On the project front, the project execution is going on in full steam. And again, that despite all the challenges, we are forging ahead with now almost 91% completion of our Gopalpur technical ammonium nitrate project and around 79% completion of our Dahej acid project. So as I look ahead, the next quarter and mainly the year ahead, we will certainly see, I would say, at least minimum for half of the year, the TAN Gopalpur project and the acid Dahej project contributing to the bottom line.

So this will be a major addition that we are foreseeing. The year is also going to see a partial advantage emerging out of our 15- year long- term LNG contract with the Norwegian giant, which will be somewhere supporting the good, I would say, gas pricing.

So with that note, let me hand you over now to our CFO, Mr. Subhash Anand, who will take you through the detailed financial performance of the quarter and be available for any clarification that you may want to seek. Subhash?

Subhash Anand: Thank you, Mr. Mehta, and good afternoon, everyone. Thank you for joining us for Deepak Fertilisers and Petrochemicals Corporation Limited Q3 FY '26 Earnings Call. It's always a pleasure to update you on our performance and share how we are progressing on our key priorities. At DFPCL, our focus continues to be what drives long-term value, strengthening our specialty product mix, staying close to our customers and ensuring agility across the organization. Despite the volatility in the external environment, our teams have maintained strong operational discipline and prudent financial management, keeping us on track for sustainable growth.

Let me begin with the financial performance. As Mr. Mehta stated, for Q3 FY '26, consolidated operating revenue stood at INR 2,830 crores, reflecting a 10% Y -o-Y growth, led primar

ily by CNB business. On YTD basis, revenue was INR 8,495 crores, up 12% Y -o-Y, demonstrating healthy demand despite extended monsoon, geopolitical uncertainty and supply chain disruption.

Moving to the segment -wise performance. In Mining Chemicals, Q3 volumes were largely flat Y-o-Y due to extended monsoons and softer coal demand. The bright spot was our B2C segment, which continued its strong momentum with 26% Y -o-Y growth. And on YTD basis, total TAN volume grew 11% Y -o-Y. In IPA, volume declined 26% Y -o-Y, largel y due to planned shutdown in quarter 3 and weaker sentiments from correctness in acetone prices.

YTD volume remained stable. In nitric acid, volume was steady with a marginal uptick, though pricing remained under pressure from excess imports and downstream dumping from abroad.

YTD volume increased 4% Y -o-Y basis. Turning to our Crop Nutrition, CNB revenue grew 26% Y-o-Y in Q3. However, delayed Rabi sowing and heavy monsoon impacted the uptake of Croptek and our specialty product.

With raw material cost inflation affecting margins, even so specialty fertilizer and Croptek contributed 30% of CNB revenue, up from our previous quarter, an encouraging shift towards a more value-centric mix.

Coming to profitability , Q3 EBITDA came in at INR 353 crores, a 27% Y -o-Y decline, driven by higher raw material costs, inadequate subsidy support in fertilizers, a weaker realization in IPA and nitric acid. TAN remained steady. And in ammonia, higher pricing supported delivery, though the GST reduction on the incentive income impacted the profitability.

On YTD basis, EBITDA stood at INR 1,330 crores, down 8% Y -o-Y, primarily due to softness in IPA and ammonia with CNB and TAN helping cushion the overall impact. Adjusted PAT for Q3 was INR 141 crores, down 34% Y -o-Y after normalizing for onetime INR 40 crore tax credit

in Q3 FY '25. YTD PAT was INR 599 crores, down 4% Y -o-Y. Shifting to product mix and balance sheet. We continue to reshape the business towards high -value solutions -driven offering. Specialty product contributed 33% of CNB revenue and B2C accounted for 16% of mining chemical revenue. On the investment front, YTD capex is around INR 1,495 crores, largely directed towards Gopalpur TAN and Dahej -II nitric acid project. Net debt stands at INR 4,021 crores with a net debt EBITDA of 2.27 x, in line with our planned capex cycle. Both key projects are progressing well and expected for commissioning in Q1 FY '27. They will materially enhance competitiveness and margin resilience once operational.

Looking ahead, while some near -term volatility may continue, we are beginning to see improvement in a few areas. In Mining Chemical, Q3 softness came from lower coal demand, extended monsoon and higher channel inventory. However, the early sign of recovery are already visible in Q4.
Our focus remain on strengthening direct sales, expanding regional warehousing, scaling exports and deepening our TCO -based customer engagement model. In our Pharma and Specialty Chemical, IPA sentiment is likely to stay muted in the near term due to weak acetone prices and elevated inventory.
Nitric acid prices will remain stable amid excess imports and new capacity. We are responding by sharpening our application-led segmentations and strengthening solution- based customer engagement, which will help to improve the overall nitric acid business. In our Crop Nutrition, favorable reservoir levels and healthy farmer sentiment position us well for Rabi 2026.
Our farmer activation program continued to deliver strong engagement on the ground. With our major strategic projects nearing completions and our portfolio steadily shifting towards high-value solutions -led offering, we expect earning visibility and margin stability to strengthen meaningfully in the medium term.
Thank you on

ce again for your continued support. We now welcome your questions.
Moderator: We have the first question from the line of Niraj Mansingka from White Pine Investment.
Niraj Mansingka: I had few -- 2 questions. One is on the -- can you give us some color on the new upcoming TAN and ammonia projects? And any impact that can have on your -- our India's demand-supply equation? And secondly, how much can be the savings from the LNG long-term contract once they start?
Subhash Anand: Okay. Just a clarification, when you say TAN upcoming projects, you're talking about our Gopalpur project, right, not the industry?
Niraj Mansingka: No, no, I'm talking of other like Chambal and other government companies also signed ammonia projects. So how will the demand -supply equation in India change? And what is -- yes.
Subhash Anand: Okay. I understand. Let me pass on the questions to our President, Tarun Sinha. Tarun?
Tarun Sinha : Thank you, Subhash. Just to check, am I audible?

Moderator: Yes.
Tarun Sinha : Okay. Thank you. Thanks for your question. This question has been asked in the past also. So we see the situation like this from our point of view, the demand growth in India, which is driven by mining and infrastructure largely for our products, for TAN products, is likely to be in the range of 6% compounded average growth rate over the course of next 5 to 6 years at least that we can see.
That's the first point, which means that every 3 years or so, 2 to 3 years or so, a fresh demand -- additional demand creation of around 2.5 lakh ton s of TAN will take place. So that's the first point. So the demand creation is quite good.
On the other hand, the country imports at this point in time close to 4 lakh ton s of ammonium nitrate, which will have to slowly reduce with the domestic capacities coming in. So if you add these 2, the demand growth rate and the imports, which will get substituted, we are looking at quite a reasonable market getting created to accomm odate these capacities in the coming years.
That's on the TAN part. On the -- there was also this question on the nitric acid part as well, I think.
Subhash Anand: Yes.
Tarun Sinha : You can take it, Subhash.
Subhash Anand: Let me take that second side. On ammonia side, the question basically -- or you want first -- nitric acid, basically, there is no new further capacity getting added. Our Dahej -II plant is expected to come in -- sometime in -- towards end of quarter 1. And the way we have planned, we have -- almost 70% of the capacity is already tied up with long-term CNA capacities tied up.
And seeing the current situation, we haven't seen a demand shortage for our nitric acid business, whatever -- in fact, we have always remain ed short of DNA for a long, long time. So we are confident – for being able to place that additional capacity, which will be available in the marketplace.
Coming on ammonia business, yes, some -- we have our new -- Equinor contract is coming in place from next year quarter 1. That will give us a, I'd say, decent cost saving in terms of gas prices are concerned and will bring the overall breakeven levels sign ificantly down from where the ammonia currently or PCL is currently operating.
Just to give a broader sense of numbers, I call it, currently, with the revised GST reduction, which has happened in October towards the end of -- towards September end, our breakeven EBITDA is almost around USD430 FOBME , at this point of time at the current gas prices, which

will come down substantially in the coming quarter once we have an Equinor contract getting in. And recently, the ammonia prices has firmed up. So that has supported PCL turnaround in
terms of -- our PCL was almost at breakeven level in last quarter. I hope that probably gives the answer.
Niraj Mansingka: So just related only,

the USD 430 FOBME would fall down to how much on a like -to-like basis?

Subhash Anand: You need to wait for that specific numbers, but it's a significant reduction, not...
Niraj Mansingka: Can you give a range? Because it will be easy for us to slightly understand the financials in longer term.
Subhash Anand: It's a double -digit reduction, definitely. It's not -- it's more than -- it's in double digit, I call it that way.
Niraj Mansingka: In percent terms, could you give something? Was it 10%...
Subhash Anand: That's what we're saying -- I'm saying the percentage reduction is in double digit, not in single digits. Yes.
Niraj Mansingka: Okay. I thought double digit in dollars. Okay.
Subhash Anand: No, no, percentage reduction is in double digits.
Moderator: We have the next question from the line of Shubham Dhasmana from Asit Koticha Family Office.
Shubham Dhasmana : So sir, I wanted to understand the reason behind acetone price volatility? And what is your outlook for the IPA business for the whole year?
Subhash Anand: Okay. The IPA business price volatility is, I call it, severe at this point of time. If we just talk about number, the price correction or rather the price reduction in this year is almost around 20
-- roughly around 22%, 23%. That's the kind of a price correction which IPA business has seen
this year. And various reasons, I call it, primarily driven by softer prices of acetone in the market and also a lot of imports, which is coming.
We haven't seen a pressure on our demand side. In fact, the volume which we were selling, we are able to hold on to volume. In fact, we have sold more volume compared to last year. But pricing pressure, which is there in IPA business, expected to continue for some more time, although the slower recovery has started, I call it. But we don't see immediate quick turnaround of IPA prices happening in a quarter or 2. It will take some time to come back to a normal.
Shubham Dhasmana : Okay. And sir, I wanted to understand the TAN business. So how much revenue comes from around top 5 or top 3 players in the TAN business? How much concentration risk are we having in that segment?
Subhash Anand: In fact -- sorry, we don't share customer -wise profiling of TAN business. So -- that's very, very clear. But yes, if you talk about, our market share is almost around 40% what we hold in this business. And any customer you talk about in TAN business, we ar e supplying to them. So they know -- almost every customer is covered by us. I can call it that way.
Shubham Dhasmana : Okay, sir. No top 5, top 10 revenue...
Subhash Anand: Depending on explosive business market share, their buying also broadly will be in a similar line from us also. I call it that way.

Moderator: We have the next question from the line of Pratyush Kamal from Incred Equities.
Pratyush Kamal : So I have concern regarding all the 3 segments which Deepak Fertilisers is working into. First, regarding the TAN segment. So there are a few things which I'm seeing in the back end when
I'm analyzing the data and when I'm looking at the industry. First thing is regarding the China, increase in the export of China as far as ammonium nitrate is concerned. So in January, the share
of ammonium nitrate exports from China used to be 7%.
It has increased to about 30% between January and December. And it is playing its role perfectly well in terms of decreasing the ammonium nitrate spreads also. Even after ammonia prices increasing to a level of $450 to $500 from $350, the ammonium nitrate prices was not increased. So it means that there is a bit of supply glut, which I'm seeing in ammonium nitrate export market. Also, if I talk about the domestic market, sir, so domestic

market demand definitely is
not increasing. In fact, it has shrink by 1% YTD, if you compare in terms of Y -o-Y basis. In Q3, it has decreased by 5%. So in place of increasing the demand, the coal demand is getting decreased.
And if you talk about the supply of ammonia domestic supply, it is getting increased by about

500 KTPA in FY '27 by Chambal and GNFC. So -- and current demand would be about 1 million ton, i f 500 -- and total demand would be 1.5 million ton s. Total supply domestic would be 1 million ton. And if 500 KTPA additional supply comes off, then definitely, there would be no place for anyone to sell the ammonium nitrate in the India market ?

So how do you -- and definitely, there is export cap also for ammonium nitrate. And if there would be a supply glut in the global market, it becomes difficult for us to supply it to other places also?

So how do you come across that problem? And what's the response which you have for this problem, which I'm currently seeing in the back end?

Subhash Anand: Okay. I'll just start with, and then, I pass on to Tarun. Now, Pratyush, you need to see industry not with 1 quarter lens, you need to see slightly longer horizon and see how India energy and consumption or a coal consumption is going to go.

Yes, you are right, coal consumption or coal production has come down in the last quarter. And the reason was, as articulated earlier also, the extended monsoon, which normally get over in September, got extended for a longer time, and that has impacted co al production and so the TAN demand.

If we look from a -- I'll say, from a 1 quarter perspective, most of your comment may be right. But are we looking 1 quarter business? No, this is a long-term business. And when India look at the energy requirement, long -term energy requirement, demand pro jection, there are no reasons to believe the India coal production is going to come down. The industry, all the projections, all the long -term projection, all the right pieces, if you pick it up, it's showing the demand for coal is going to go up around 4 % to 5%.

If that is a scenario, the TAN demand will grow. So that's definitely one thing. Second thing is, if I talk about, yes, there is an additional capacity getting added. We are coming up with our plant in Gopalpur. So the competitor also is coming in that segment.

But adding capacity is one thing. Is the production or the license capacity or the capacity, which is getting added, will that be available for sale in the very first year? No, it's not going to happen. There is a ramp -up phase for everybody. So if you see that perspective, the demand with 4% to 5% growth and the available capacity, India may still be short supply or may just be balanced. So in those scenarios, we don't see a challenge where we see -- we will not be able to place this material. And then, there are inherent advantages -- Tarun, if you want to touch upon.

Tarun Sinha : I think you've covered everything. If there's any question unanswered of yours, I'd be happy to.

Subhash Anand: I'll just give one more color. The place where -- or as in the location where our plant is coming, we are coming very near or at the heart of mining activity. So we are pretty confident we will be able to place our material much better. And with the kind of a reach, market reach and experience in this industry or in this place which we have, that gives us a confidence. We have a plan in place, and we should be able to ramp it up.

Tarun Sinha : And just on the export quota because that was another one. So we have had a very fruitful discussion with the concerned ministries just a couple of weeks back on this topic. And I think there is a fair amount of realization that now India is not short of a mmonium nitrate because of the additional capacities that are coming in. And it h

as enough product to feed the mining industry and the infrastructure industry. Hence, there is a very strong case for reviewing this 50,000 tons per year of expor t quota.

And if things goes as per the plan based on the way the discussions have gone by, this quota may also get removed eventually.

Pratyush Kamal : Okay, sir. So there is a follow -up question regarding the same since -- definitely, since sir has mentioned that definitely there would be no ramp-up in the first year itself. But if you look at the total capacity addition, it is on a tune of about 900 KTP A, right, 500 by Chambal and GNFC and approximately 386, 350 by you.

So even if they run by 50% utilization rate, it means that about 450 additional KTPA would easily cover up the entire India market. And when you talk about the global exports, definitely, there's an opportunity.

Even if the quota is opened up, the ceiling is opened up of 50 KTPA, and if you are ready to export to the global market, it becomes very challenging and difficult for Indian player to sell the ammonium nitrate exports, especially in a situation where -- since I mentioned the Chinese export is increasing continuously from the last 5, 6 months at least.

From 7% market share in January, it has increased to about 30% in December -- in October, December. So it means that definitely, there would be a supply glut and you would be competing with all the major players, be it China -- Chinese, Russian or Bulgaria n.

So do you still think that there is an export opportunity of ammonium nitrate in the global market? After seeing the margin crash in Q3, even if the raw material prices -- ammonia has increased from $350 to $450, the ammonium nitrate prices have not seen any jump. In fact, it has become stagnant. So how do you tackle that?

Subhash Anand: Okay. Pratyush, I'll again come back to same. If you look at industry with 1 quarter phenomena, you'll always have a short -term view, which may not align with the long -term -- the way industry is.

Second thing, if I talk about your GNFC capacity is coming in FY '28, not in FY '27, so it's not everything, 450, what you are counting, is there in FY '27. It's not going to be available in FY '27. Third thing, I call it, industry is growing. Even 4% to 5% growth means adding 100,000 tons every year in demand. By the time GNFC comes in, industry moves from 1.5 to 1.7, 2 years from now.

With that, 3 years from now, all the capacity what we are talking at this point of time will not be good enough to even meet India demand after that. Export, yes, I'll not say exports, one need to take it with a broad brush. From India, not every market is servable profitably. So one need to know which market, what is the right place, where it's a profitable market. And that's what we are focused on.

We are not saying we'll export nitrate -- TAN to every place, every country, every market. No, that's not our goal. We are looking at focused market, and that's where the export development is going on.

Pratyush Kamal : But sir, in your own guidance, you have said that coal demand would grow at a rate of 5%. And if you say that the TAN demand would be increasing from 1,500 KTPA to 1,700, it means that we are estimating a demand increase of about 16.6%, right? So how -- like again, so the math isn't matching itself. That 5% growth of coal, would it lead to 16% growth in the TAN demand?

Tarun Sinha : Tarun here. Let me again try to clarify some of your points. So first is -- and I'll repeat some of the points which I mentioned in the very first question. I'm not sure whether you were there at that time. Hence, I'm kind of repeating.

The first is today, there is about 4 lakh ton s of import, which is substitutable. That's a ready - made demand available in the country for the domestic producers. Second, every 2 years

to 3 years' time period -- let's say, 3 years, every 3 years, 2.5 lakh tons of additional demand because of the mining and infrastructure growth is likely to take place. So in 2 to 3 years from now, we are looking at 4 lakh ton s of import substituted plus 2.5 lakh ton s of fresh demand created, 6.5 lakh tons, 2 to 3 years from now. GNFC plant comes after that.

By the time GNFC plant comes, as Subhash was saying, the demand will continue to grow. So therefore, those capacities will start to get utilized. At the same time, the exports of TAN, which currently we have seen, should see a little bit of uplift in volum e also because of the reason Subhash was talking, and we are very selective in where we export. We're not like China. So, therefore, if you combine all of this, this is how the numbers stack up over a 3- to 5-year period. And the capacity...

Pratyush Kamal : Got it, sir. And how about the isopropyl alcohol? Because the prices have come down from INR1,37,000 per ton to about INR 85,000, INR90,000 per ton. And in that case, like your correct situation is that you are making it through the propylene route. Acetone would be cheaper, which your competitors are doing. So you definitely face that margin pressure also. And when the realization is coming down -- has continuously come down in the last 12 months, how do you see it ramping up? And about the -- again, nitric acid front, nitro derivatives, something has always been a concern from China.

So how do you tackle the industrial chemical side in that case going forward?

Subhash Anand: Okay. Pratyush, I think -- let me answer it, and then, you need to leave a space for others also to speak. Otherwise, 1 hour we will have to hear you only. But let me give you IPA. In my opening commentary, I was very clear, there is a correction in prices , and we expect softness to continue for some time.

We don't expect overnight things are going to change. No, it's not. It's a cyclic business, that also a reality. There is a time when prices start going in other direction. And when the phenol prices start getting firmed up, acetone availability gets challenged or the prices become firmed up, and so the IPA prices goes up. There is a cycle.

Currently, cycle is in -- at a bottom, I call it at this point of time. We are seeing IPA prices broadly now at a level where it's there, it's for some time now. It's not every quarter we are seeing further reduction. It's broadly remaining at that level. Now, the cycle needs to turn. Will it turn in 1 quarter, 2 quarter? We need to wait.

We are, in fact, in commodity business when it comes to IPA. It has a cyclic process, and things will move back. In coming time, once the demand -supply gets corrected, overall geopolitical issue, which has created these tensions, once it's opened up, the d emand -supply will get balanced, and these prices will come back. But yes, it will take some time. We ourselves are not seeing IPA is getting corrected in 1 quarter. No, it's not.

Pratyush Kamal : Okay, sir. And about nitric acid?

Moderator: Sorry to interrupt you, Mr. Kamal, request you to kindly come back in the queue for follow -up questions.

Pratyush Kamal : No, it's the same question. It was the same question regarding nitric acid.

Subhash Anand: So nitric acid is 1 quarter phenomenon. It wasn't import -- excess imports happened in last quarter. Normally, nitric acid, otherwise, is short in demand. We don't have the issue of demand side of nitric acid. If you see nitric acid remains stable for a long, long time, even it's just 1 quarter when we have seen softness in nitric acid prices.

Again, since TAN was soft, a lot of nitric acid goes in TAN. TAN softness impacted the nitric acid demand and so the prices. Once TAN demand is okay, we don't see a nitric acid business having a challenge.

That's a short -term phenomenon. That's not going to be long -term phenomenon.

Moderator: We have the next question from the line of Kushal Shah, an individual investor.

Kushal Shah: My first question is from explosive exclusive manufacturer that we did purchased. I want to know the strategy behind that acquisition. Is it more of a production ramp-up? Or is it more of an acquisition from point of view of technology gain? And any capex that we are looking or any amount of money we are trying to infuse in that exclusive manufacturer?

That's my first question. And second is on the line of Deepak Mining Solutions and Deepak Fertilisers demerger. We have been saying it since, I think, 2023 or 2024, and we are in 2026, and we are yet to see any updates on that front.

Subhash Anand: Okay. Let me give second answer first, and then, I'll pass on to Tarun. Now, on the demerger, there are 2 aspects. Demerger per se in a separate entity happened last year. We have created a separate entity, which is DMSL, and the business of mining chemical moved out of MAL and gone to DMSL.

So the restructuring of entity has happened. If you're looking -- yes, the listing of subsidiary, yes, that is, I'd say, as a part of our plan, we are -- in fact, when we went with the restructuring, the focus is very clear. We need to have a very clean en tity structure, so each business can draw its own growth charter and see how do they take business to the next level. To achieve that listing also is one of that, I'll say, roadmap. Timing is we haven't yet -- say, we have taken a decision and we have fir med up the timing, no.

We are still -- I say we're yet to decide when are we going ahead with the process of listing. So we need to wait for some more time until we firm up our plan and then share with the external world. Tarun, you want to talk about explosives?

Tarun Sinha : Sure. So I think your first question was about -- something about explosives acquisition. Is that correct?

Kushal Shah: So it was about -- I'll repeat myself. It was about an explosive manufacturer that we recently acquired. I want to know the kind of strategy we are playing with that. Is it more like production ramp -up? Or is it more like a tech acquisition? Or -- and are we looking forward for infusing any amount of money in that explosive manufacturer?

Tarun Sinha : Okay. So first is we have not yet acquired the company. As you mentioned -- I think you said you have acquired. The answer is no, we haven't. What we have done is we have signed an agreement to acquire.

So that's the first clarification. And the acquisition will be subject to certain due diligence and conditions, precedents, as we say, being fulfilled, after which if everything goes to our satisfaction, then the transaction will go through. And that would mark the acquisition. So that's one clarification.

Now, if that goes through under that assumption, what's the purpose of that? The purpose is basically for us to -- for DMSL to produce differentiated value -adding kind of products to help

enhance our journey in the mining industry as a solutions provider and also help in terms of our export business.
So one example of that could be we could look at bundling those newly produced products along with our technical ammonium nitrate and provide a comprehensive bundled offering to the international markets, and to some extent, also assist our Australian subsidiary, which is known as Platinum Blasting Services. So that's the kind of overall view we have at this stage.
Kushal Shah: And whether that manufacturer is placed in India or is it outside the India?
Tarun Sinha : Based in India.
Kushal Shah: And the last question, could you please throw some light on

how our steel picking solution that
we recently launched, I think PICKBRITE is the name, is performing?
Subhash Anand: Sorry, come again?
Kushal Shah: We had a steel picking solution. I think the PICKBRITE is the brand name. I just wanted to know how that is performing in the market.
Subhash Anand: Okay. That is still in ramp -up stage, I call it. It's an early stage where we are working with a couple of manufacturers, and then, I'll say, take it up from -- you call it from a ramp -up stage to commercialization. So still not reached to a level where it has a meaningful, or I'll say, sizable contribution to our overall scenario. But yes, this is one of the product on which we are working, and then, once it's there, it will be a differentiated product in our nitric acid business.
Moderator: We have the next question from the line of Chirag from Keynote Capital.
Chirag: Sir, my first question is related to the Fertilizer segment. As I'm able to see that our volume growth was stable for the quarter and the realization has improved. However, there has been a significant dip in the margins. So do you want to say that this is purely because of the increase in price of phosphoric acid, which you had tried to pass on to the customers? However, the pass - on was not that much due to the ability for us to charge higher, as there was an extended monsoon. This is the reason be hind that?
Subhash Anand: Two reasons, Chirag. Yes, one reason very clearly, this is a sizable cost increases, which has happened on raw material side. And subsidy was not in tune with the increases, the size of increases which happened, impacting the overall profitability of that. Second, if you see the growth in overall revenue, which has come, it has come in primarily from, I'll say, low end of the product. Since the monsoon was delayed and erratic, actually, that gave us only just a month to place the product of -- our value -added product, which was Croptek and specialty.
So the mix has changed in last quarter, and that's another reason for us with the lower profitability what has come in. The one was raw material costs, not compensated by subsidy; second, erratic rain and delayed rain, finally restricted our ability to pus h the -- or I'll say, place the full value -added product, which -- normally which happens in this business. So both reasons

was there in the last quarter. Now, with this quarter, with Rabi back in place, we hope now things will be back in place.
Chirag: Fair enough. Fair enough. Sir, my second question is related to the IPA segment, which you have mentioned. I couldn't understand the reason behind the plant shutdown. If you could just repeat that once again?
Subhash Anand: It was an annual planned maintenance, which we need to carry it out. So it was nothing to do with anything specific. There was a planned shutdown, which happened -- maintenance shutdown.
Chirag: Okay. And sir, third thing I wanted to understand that we have an ammonia plant with ourselves, too. So any increase in price of the ammonia is actually beneficial for us, as it helps us to make the plant breakeven to an extent, right? So even after increa se in ammonia prices -- I just wanted to understand why there was a reason our margins significantly took a hit in our Chemical segment.
Subhash Anand: Yes. Normally, if you say mid - to long -term, ammonia prices get passed on in the end product, whether it's a TAN or whether it's other nitric acid product. But it's always -- there is always a time lag. It doesn't happen immediately with ammonia price movement. So what price increases what we have seen in ammonia in last quarter, if it remain at this level for some time, then we will see the correction happening in end product.
And that's the time when the real benefit come out. Otherwise, it's a shift from on

e basket to another basket or one segment to another segment until the end product prices gets corrected in line with ammonia.
Chirag: Okay. So will it be fair for me to assume that in TAN, specifically, there was no margin correction -- there were no margin impact; however, the impact was majorly into industrial front?.

Subhash Anand: I will -- okay, yes, if you're looking at combined ammonia and TAN together, then yes, TAN price increase -- while ammonia price increases impacted TAN stand -alone margin, but both put together, margin was same. And nitric acid, yes, has seen a price -- cost increases because of ammonia coming to them.
Moderator: We have the next question from the line of Mukta Chandani from Arihant Capital. Please go ahead. Ms. Chandani, could you kindly come closer to the microphone? Your voice is not very much audible.
Mukta Chandani : I wanted to know regarding mining chemical business. I can see B2C revenue share stood at 15% this time. So if you could just throw some light on long -term targets, it would be great.
Subhash Anand: B2C mining.
Tarun Sinha : Okay. So Tarun here. Thank you for your question. So one thing which -- the way we are looking at B2C is in the -- we now start to call it as a downstream business of DMSL because I think

earlier in the call, there were some -- there was one question on DMSL as an entity and things like that. So as an entity, DMSL has got its own upstream and downstream businesses. Upstream business is largely TAN and supported by its own ammonia, as was answered in the previous question from now. And the downstream is the B2C part, which you are talking. So first, I wanted to clarify, not just for you, but for all the callers. And t he way we measure downstream is through that model, through that B2C model, we connect with -- directly with the mining companies, the end consumers. So there are various ways we do that, and there are different go -to-market models that we adopt for that.
But that's where I would like to leave it at. It's growing. It's growing in its own way, driven by the mining -- the growth in mining and infrastructure. And our share is slowly, slowly improving there.
Having said that, as we will have the new TAN facility in Gopalpur in a few months from now, again, the mix will look a little bit different because we've got a range of products coming in Gopalpur also to market. So what we will have to see is not downstream as the overall mix in the revenue, but in terms of absolute numbers, whether it's growing or not. And the answer is yes, in absolute number, it will be growing in line with the market growth.
Subhash Anand: And just to add to Tarun, our strategy -- or just now or just a couple of questions back, we talk about acquisition in explosives. So that also is part of our downstream journey, how do we take that downstream journey and speed up that journey in that. So all actions are in place, we want to make that business grow and then meaningful for us. So we are working in that direction.
Moderator: We have the next question from the line of Sheel Kumar Shah from Sameeshka Capital.
Sheel Shah: My question is on the fertilizer side. So I could see that our trading business revenue has significantly increased, probably for 2Q and this quarter as well. So what is driving that? I mean, is it going to continue for 4Q and probably next year as well? A nd what type of margins do we make on this trading side? Yes.
Subhash Anand: Okay. The strategy in our fertilizer business is simple. I call it -- our focus is to grow specialty and crop -focused business. And that's how we are looking Croptek and specialty's growth happening in overall side. We have a limited manufacturing facility , but it's fungible. So our priority will always be dedicating our manufacturing facilities more and m

ore towards Croptek. At the same time, we have a brand. We have a market presence. So if we see a demand, we will look at trading route to fulfill that demand of Smartek and o ther products. So that's the strategy, which we'll continue to take.
Yes, specialty products do have a margin profile, which is, I'll say, elevated compared to rest of the profile. But at the same time, when we are looking at traded versus manufacturing, even if we go with trading, we see we maintain a right margin profile even with that journey, and that's what the focus will continue to have. Our strategy is to focus on Croptek and specialty and grow that in a big way. For us, trading is an opportunity. We'll keep looking that way.

Sheel Shah: So I mean, do you mean that when you say trading, it's like a B2B of whatever manufacturing we have done of Smartek or Croptek products or it's like getting products from somewhere and probably importing and then selling to the market?
Subhash Anand: No, we do -- it's not a plain vanilla product what we import and sell. Even if we import, we have our own process, which we need to apply to make a customer -- a product which is differentiated and which match to our product differentiation and quality. So we follow that route. But yes, we

do -- if we see an opportunity and if manufacturing capability is not good enough, we are open to looking at that opportunity through trade route and then doing a few processes in-house to make it the right product for our quality levels and for our customer level.
Sheel Shah: Okay. So do you think this to continue in 4Q and probably 1Q as well?
Subhash Anand: We are -- that's what I'm saying that our focus is more on Croptek and specialty. That's our priority. But this is an opportunity business. We are in market. If we see a demand, we'll continue with this journey.
Moderator: We have the next question from the line of Dev Mehta, an individual investor.
Dev Mehta : So yes, I have one question with respect to our forward integration in the TAN business into explosives. So are we directly competing one of the largest mining explosive manufacturer in India?
Tarun Sinha : Yes. So our business model is likely to be quite different from the existing players in the explosives industry in India. And the main difference will be the offering that we will make to the mining companies, mining contractors, infrastructure projects.
And that will be that our proposal and our offering will be more on the outcome -based, more on the solution- based rather than on the product sell based, which means eventually, we will be guaranteeing some KPIs, some deliverables to the mine owners, mine o perators, mine contractors, which others are not doing. And that's the very big difference in our business model compared to what currently prevails in the country.
Dev Mehta : Okay. And sir, the second question is the $430, $450 savings, which was mentioned, was at EBITDA level? Breakeven, breakeven, I mean, the $430, $450...
Subhash Anand: That's EBITDA level.
Dev Mehta : So in our previous con call, sir, it was mentioned as $350. So why is there so much difference?
Subhash Anand: There are always, I'll call it, 2 things which one need to see. One is the gas prices, where it is. Second is with GST reduction or lower GST rate, the incentive has come down. So that impact also now got factored in.
Dev Mehta : Okay. So sir, this much difference, it will have approx. -- almost $80 if we -- because for calculation purposes, what should we take as a sustainable basis for savings amount? Because when we take $350, then we are breaking even at a very low level considering the ammonia

prices have reached $500. So there is a $150 of savings we can see here. S

o if you can just guide me through that.
Subhash Anand: In fact, if you see, the incentive benefit itself, which 9% local sales tax coming down to 2.5%, itself is sizable on the overall volume, and that's what the impact is. Now, what we are seeing basically, currently -- current, last quarter, Middle East FOB was around $420, $430. At that, we were almost at breakeven last quarter.
But that was at a gas price, which is prevailing today. Now, with a new contract coming in, we do see a substantial gas prices reduction, and that will bring our breakeven down in double -digit percentage terms, I'll say, at this point of time. So that will bring the overall breakeven much lower and will make the PCL profitable.
Dev Mehta : Okay. And sir, last question, with respect to our TAN business only, if we are looking for forward integration, so are we looking at any potential acquisition in the smaller explosive companies to get all the licenses in place, so maybe if we can intend to sell products in future, we can do the same?
Subhash Anand: We are not -- we have all options open. We'll see what is fit for our strategy, and we'll keep doing those steps. As Tarun spoke just a few times, we had one acquisition in pipeline for which we have done a communication, not yet concluded, but the opportunity, if it comes and if it makes a business case, we are open for that.
Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Subhash Anand, President and Chief Financial Officer, for closing comments.
Subhash Anand: Thanks, and thanks, everyone, for taking out time and having a conversation. Look forward connecting with all of you. I understand we are not able to take all the questions because of time constraints. So in case you feel, please do reach out. We'll be abl e to answer those questions on a one -on-one basis or any further clarification. But thanks, everyone. Look forward connecting again next quarter. Thank you.
Moderator: Thank you. On behalf of Deepak Fertilisers, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Note: This transcript has been edited to improve readability

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Call: Jun 2026

1st June , 2026

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Subject: Management Transcript of Q4 FY 202 6 Earnings Conference Call

Dear Sir / Madam,

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Management Transcript of the Earnings Conference Call held on 29th May, 2026 to discuss the financial results of the Company for the quarter & year ended 31st March, 202 6.
The transcript of the Q4 FY 2026 Earnings Conference Call will also be made available on the website of the Company i.e. https://www.dfpcl.com/ .
We request you to take the same on your record.

Thanking you,

Yours fa ithfully,

For Deepak Fertilisers
And Petrochemicals Corporation Limited

Rabindra Purohit
VP – Legal, Compliance & Company Secretary
Membership No.: FCS4680

Encl: As above

“Deepak Fertili sers and Petrochemicals Corporation
Limited
Q4 FY '26 Financial Results Conference Call ”
May 29, 202 6

• MANAGEMENT :
• MR. SAILESH MEHTA – CHAIRMAN AND MANAGING DIRECTOR – DEEPAK FERTILISERS AND PETROCHEMICALS CORPORATION LIMITED
• MR. SUBHASH ANAND – PRESIDENT AND CHIEF FINANCIAL OFFICER – DEEPAK FERTILISERS AND PETROCHEMICALS CORPORATION LIMITED
• MR. TARUN SINHA – PRESIDENT – TAN BUSINESS – DEEPAK FERTILISERS AND PETROCHEMICALS CORPORATION LIMITED
• MR. SUPARAS JAIN – EXECUTIVE VICE PRESIDENT – CORPORATE FINANCE – DEEPAK FERTILISERS AND PETROCHEMICALS CORPORATION LIMITED

MODERATOR : MR. AAKASH MAJI – IIFL CAPITAL SERVICES

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY '26 Financial Results Conference Call of Deepak Fertilisers ho sted by IIFL Capital Services. As a reminder, all participant lines

will be in the listen -only mode and there will be an opportunity for you to ask questions afte r
the presentation concludes. Should you need assistance during this conference call, please signal

an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aakash Maji from IIFL Capital Services. Thank you, and over to you, sir.

Aakash Maji : Thank you. Good evening, everyone, and thank you for joining us on the Deepak Fertilisers Q4 and FY '26 Earnings Conference Call. Today, we have with us Mr. Sailesh Mehta, Chairman and MD of the company; Mr. Subhash Anand, President and CFO; Mr. Tarun Sinha , President of the TAN business; and Mr. Suparas Jain, Executive VP, Corporate Finance. We will begin the call with opening remarks from the management team, followed by an interactive Q&A session. To begin, Mr. Sailesh Mehta will share views on the operating performance and the growth plans of the company, followed by Mr. Subhash Anand, who shall take us through the financial performance.

I now invite Mr. Mehta to share his opening comments. Thank you, and over to you, sir.

Sailesh Mehta: Thank you. Is my voice clear? Thank you. So a very warm welcome, rather hot welcome with this peak of summer to everyone and thank you for joining us today. Our earnings presentation and press release were available on the stock exchanges and our website. And I do hope you have had an opportunity to review them. So as usual, what I will do is share some undercurrents and insights. And then, of course, the detailed financial analysis would be shared with by Subhash and the team. And of course, they are avail able for all question and answers also.

So as we saw Q4 pan out, we also, like companies in India and globally, had to operate in a very challenging environment, thanks to Mr. Trump. We saw a sudden impact emerging from sudden shortage of LPG and the refineries were also pushed hard to not reduc e the supplies of LPG, and that impacted an LPG cut, which is propylene, which supports our IPA business. We also saw LNG cuts that impacted our Fertilisers and Chemicals businesses because LNG vessels got stuck, as you're all aware.

Fertiliser prices went shooting through the roof, and we saw an inadequate and delayed subsidy coverage from the government. Somewhere we saw even skilled labor for our projects impacted by LPG shortage for cooking besides a lot of them vanishing due to the West Bengal and other state elections. We also saw China bringing an export ban on some of the critical products.

And conversely, we also saw India bringing in a ban on exports of ammonium nitrate. Now considering these multiple challenges, I think we have navigated fairly well. As we see things panning out now and the positive trends continuing over Q1, we are now se eing that there has been some respite we have got, thanks to the Petroleum Ministry providing us some help to source LPG propylene. But we're still having some challenges because they have indicated refineries, which are far away from us. So the landed co sts are higher, but that is something we are navigating.

On the LNG front, while there has been an improvement on the gas front, I'm really happy to share that our maiden cargo from our 15 -year contract arrived just a few weeks back. And frankly, I might share that any relationship and such long-term relationshi p is truly tested during

a crisis. And I'm truly happy and grateful to share that our Norwegian suppliers bent over backwards to ensure that the LNG supplies don't get impacted, tha nks to the war holdups and all.

Also, while Q4 saw a long -ish planned shutdown for our ammonia plant to also bring in some efficiencies and capacity improvements, and that brought in an impact of around INR 70 crores in Q4. But as we speak today, the plant is performing very well, and we are seeing not only an improvement

in capacities, but also efficiencies. So as now we are seeing the real benefits emerging of our value chain, that is, LNG to ammonia to the complete downstream, that is now gradually coming alive.

As far as our Crop Nutrition business goes, we did try to push for even higher premiums so that some of these higher costs could be passed on. But somewhere the subsidy support was not adequate to bridge this runaway raw material price hike. Also, as the g overnment held the fertiliser prices, the urea and DAP prices to the farmers in view of the state elections, it put a little lid on how much premium we could charge on our NPKs.

Yet the quantum of premiums gives a very strong validation to us that the enriched specialty smart fertiliser s that we have brought in have truly crossed the mindset of price boundaries in view of the superior value proposition that they give in terms of better yields and better quality produce.

I might also share that while we do hear about the El Nino impact likely to pull down the rains somewhat, we are still tracking for granular details and reports. Since broadly, we have gathered that the impact could possibly be lesser in our crop geographi es, but we'll need to wait and see the granular weather repo rts to come up.

Now while the project execution is going strong, we do have a little time realignment due to severe shortage of skilled contract manpower, which we face with various states going in for elections and suddenly, there was a severe shortage with West Bengal, Tamil Nadu and other elections and also some impact that emerged because of lack of cooking LPG. But now we've again bounced back to full -fledged, full steam working.

On the other side, we completed the acquisition of an explosive unit and are now moving forward on our planned strategy from product to holistic solutions for our TAN and Mining business. As we see the Gopalpur TAN facilities, we will be uniquely placed as we come into production because our TAN facilities will be based on stable and consistently available produced or imported ammonia and not based on constraints of government surplus ammonia policies for urea ammonia plants. Our Gopalpur facilities are ad vantageously placed in the midst of the key mining geographies in the East, and we would enjoy good freight advantages.

Moderator: I'm sorry to interrupt, sir, your voice is not clear now. Okay, sir, please go ahead.

Sailesh Mehta: Gopalpur facilities are placed in the midst of key mining of the geography...

Moderator: I'm sorry to interrupt, your voice is not clear. I'll just call you back. Ladies and gentlemen, the management has been connected. Please go ahead, sir.

Sailesh Mehta: Okay. my voice is clear, right? Okay. So as I was saying, as far as Gopalpur goes, that our TAN facilities at Gopalpur are going to be based on stable and consistently available produced or imported ammonia and not based on the constraints of the government surplus ammonia policy for urea ammonia plants. Our Gopalpur facilities are advantageously placed in the midst of the key mining geographies in the East and would that way enjoy good freight advantages. Having TAN facilities in the West and East will giv e our customers a strong risk -mitigated supply consistency while allowing us to supply from the best freight economic zone.

The group is having 9 nitric acid plants, 4 ammonium nitrate plants, global best technologies and 45 years of customer relationships. These strengths obviously can't be easily replicated. And lastly, with our unique porous prills, the mining knowledge base, BMDs for the last mile connectivity to the mines, we will enjoy unique selling propositions for the premium segments of the market.

So all in all, as I see it, we are finding very strong validation on our strategies of, number one, the investments

we have made in the value chain. So now it will pan out very clearly right from the 15- year LNG contract, the world -class ammonia plant, the downstream capacities that we have added in terms of fertiliser , acids, ammonium nitrate. And last but not the least, the very strong strategic drive that we have brought in from commodity to holistic solutions. So all of these we are going to see unfold ing in the next year, obviously, supported with the larger tonnages coming out of the 2 projects. So this is broadly the way we see things panning out.

I now would invite Subhash to share with you the financials and the logics and of course, help you on all clarifications and questions. Subhash?

Subhash Anand: Thank you, Mr. Mehta, and good afternoon, everyone. Let me take you through the financial performance and highlights the key drivers across business segments . At the consolidated level, we delivered revenue growth of around 12% for the full year with revenue at INR 11,506 crores.

For the quarter, revenue stood at INR3,011 crores, reflecting continued volume -led growth in Mining Chemicals and Crop Nutrition, along with a sequential recovery in Industrial Chemicals.

On profitability, our full ye ar EBITDA stood at INR 1,684 crores, while Q4 EBITDA came at INR354 crores.

If I step back and look at the full year picture, it was a story of 2 halves. In the first half, we saw a strong performance across businesses, supported by relatively favorable pricing and operating conditions. However, the second half was more subdued. T his was largely due to sharp increase in input cost in Fertiliser business, particularly phos acid and sulfur, whereas the pass -through to customer and the corresponding subsidy support lagged the cost escalation.

At the same time, we also saw pricing pressure in Chemicals segment, especially in IPA, which further weigh on margin during the second half. It is also important to note that Q4 includes the impact of planned ammonia shutdown with a one -off effect of arou nd INR75 crores. Adjusting to this, the underlying operating trend is more stable, and we are beginning to see early sign of sequential movement.

At the PAT level, full year profit stood at INR 739 crores. After adjusting the one -time tax credit in the previous year, the decline is around 18%, largely driven by margin compression, partly offset by lower finance costs.
Let me now briefly touch upon the performance across businesses. In Mining Chemicals, the business delivered a strong recovery during a quarter after a softer Q3. Volume were up 12% Y -o-Y basis and 27% sequentially with a full year growth of around 11%. The B2C segment continued to scale well, now contributes around 16% of the revenue compared to 13% last year. This is an important structural shift, improving both realization and customer engagement and will remain a key driver going forward.
In Industrial Chemicals, performance remained mixed, but with improving trend, nitric acid volume shows healthy growth during the year, while IPA performance were impacted by weak price and lately constraint in RGP availability, which continue to limit vol umes. However, now we are seeing an early sign of recovery in both TAN and Industrial Chemicals segment with improving spread supported by tighter global supply conditions and lower import.
In Crop Nutrition, the quarter was challenging. The business impacted by lower farm gate prices, elevated channel inventory and sharp increase in input cost. Importantly, there was also a lag in subsidy realignment, which affected margins during the period. Despite this, Croptek delivered resilient performance and the overall product mix continued to improve. Specialty and Croptek now contributes around 33% of segment revenue, up from 30% previous year, which is a very important structural level lever fo

r improving margins over time.
On the balance sheet, capex during the year around INR 1,569 crores as we move closer to the completion of our key growth projects. As a result, the net debt stood at INR 4,824 crores and net debt to EBITDA is around 2.86x. This reflects the final phase of our investment cycle and is aligned with the capacity creation underway.
On a project growth or on a project progress, both our key projects are now in advanced stage.
Gopalpur TAN project is around 95% complete. Dahej nitric acid project is around 86% complete. The cumulative CWIP on both the project is around INR 3,050 crores. However, if we
see a total spend, including GST and advances, total cumulative spend is around INR 3,800 crores. Commissioning is expected in Q2 FY '27, and both projects remain within the approved capex envelope. These assets will significantly enhance ou r capacity, cost competitiveness and operating leverage going forward.
Another key milestone during the period has been commencement of supply under our long-term LNG contract with Equinor with the first shipment already received in May. This
strengthens our ammonia value chain by improving supply security, cost visibility and integration advantage, which will support margin stability across downstream businesses. In addition, we have completed the acquisition at DMSL, which strengthened our mining chemical platforms and enhance our ability to deliver integrated value -added s olutions to customers.
Let me now summarize. We have delivered strong revenue growth despite operating in challenging environment. Margins were impacted by input cost inflation, pricing pressures,

certain one-off factors, but we are now beginning to see clear sign of improvement. Going forward, we expect quality of earnings to improve, supported by 3 key levers: tightening global supply conditions, which are helping to improve spreads, better cost visibility and stability from our long-term gas arrangement.
And a stronger business mix with higher contribution from Specialty products and B2C segment.
In addition, the ramp-up of new capacities in the coming quarters will provide further support to growth and operating leverage. So overall, with these levers com ing into play, we are confident of progressively stronger performance in the coming period. Thank you.
We would now be happy to take your questions.
Moderator: Thank you. Our first question comes from the line of Rohit Sinha with Sunidhi Securities. Please go ahead.
Rohit Sinha: So first question is on the TAN volume side. This quarter, we did, I think, one of the highest volume on a quarterly basis. Although in last 2 quarters, there was some subdued numbers. So

is this a new run rate for us? Or is there some backlog sales also i n this quarter, which led to higher volume?
Tarun Sinha: Okay. Thanks for the question. This is Tarun Sinha: speaking. The reason for a slightly better performance in Q4 on volume terms compared to Q3 is demand strengthening. And as you know, as we get to the last quarter of the financial year in India, all the mining companies, particularly have their targets o f mineral production and rock production to achieve. So that provides the impetus to the explosives demand, which then leads into the TAN volume. So that would be the primary reason, I would s ay, for better volumes in Q4.
This trend is likely to continue. Although we are getting into a soft season, as you know, we are getting into monsoon. So Q2 is cyclically and seasonally weaker in terms of demand, but we don't see any long- term demand destruction for any reason.
Subhash Anand: And currently, the volume, what you are seeing is from our existing capacity. Once Gopalpur come in, then definitely the new normal volume will be much higher where we are currently.
Rohit Sinha: Got it. Sir, in

terms of realization, if you could highlight how much benefit we have seen in this quarter or how much is expected to be coming in the Q1 as I believe still considering the kind of volume, revenue is slightly lower as what we have seen, the kind of prices prevailing in the market?
Subhash Anand: Let me start and then Tarun will add into this. Yes, and as you can see on the international market, the prices of FGANs are firming up, primarily led by disturbance or distractions in the
-- because of war in Russia, Ukraine, some of the export got banned. And some of the volume got, I'll say, since the import quantity in the country got restricted on top of that, FGAN prices started getting firm up. So that is getting reflected on our realization or getting -- is visible at this point of time.

Rohit Sinha: Basically, I mean, what sort of realization would be there prevailing currently, if at all you can disclose?
Subhash Anand: No. In fact, it's a published number. I say if you are looking at FGAN prices, it's a published number and every month, prices are going up. March FGAN international FOB was somewhere around $300 -- somewhere around $400 this thing. It has further firmed up during this quarter.
So prices are firming up, although most of the time, domestic prices broadly go in line with international prices, but correlation is not always one -on-one, but broadly trend remains similar,
I call it.
Rohit Sinha: Got it. Secondly, sir, on the Equinor supply side, I mean as we have received the shipment, so just wanted to understand kind of how long we are secured in terms of natural gas supply from this shipment?
Subhash Anand: Now we are fully secured. When I say fully secured, the way we have contract -- we have a minimum take-or -pay contract currently with our existing local supplier. On top of that, we have got now 15-year long supply. So we don't see actually any shortage of gas at this point of time.
And not just for next couple of months. We have a few more shipment parcel already lined up in this year. So it's not the first shipment, and it's not the last shipment. Every -- with a gap of a few months, we are getting new parcel. So we are comfortably placed in terms of gas supply is concerned.
Rohit Sinha: Got it. Got it, sir. One last question before I join in the queue. From the nitric acid side, could you throw us some color on specialty grade nitric acid products that we are working on and how we are progressing and what kind of opportunity we have in this?
Subhash Anand: We are working on some of the -- I'll call it, some of the special customer grade nitric acid product. But they are in early stage at this point of time. Most of them in, I say, commercial trial run stage, not yet fully commercialized. So in terms of contr ibution, very, very small. But
definitely, they are the one which as a team, we are focused and we are trying to take it to a commercial stage and then it ramp -up can happen. But currently, it's too early on those products
to contribute mean ingful in our overall portfolio.
Moderator: The next question comes from the line of Shubham Dhasmana with Asit Koticha Family Office.
Shubham Dhasmana: Sir, for acetone or IPA prices, what are our expectations, let's say, for next 6 months? And what could be the driving factor for the price recovery in your opinion?
Subhash Anand: Sorry, your voice is not very clear. If you can repeat the question.
Shubham Dhasmana: So for acetone or IPA prices, what are our expectations for next 6 months? And what could be the driving factor for the price recovery in your opinion?
Subhash Anand: Okay. Now if you're asking current IPA prices, it's already very, very high. And reason for that is the polypropylene is not available or the government restriction because of LPG shortage. So the prices have moved up. Is IPA availa

ble? Limited quantity of IPA available at this point of
time becau se of RGP limited availability.

So will the price will remain elevated for some time? Yes, price will remain elevated for some time before the situation becomes normal and then we'll have to see what will be the normal IPA prices once things go back. Will it come back to a similar level? Unlikely, but the new normal is expected post that.

Shubham Dhasmana: Okay. And sir, for our TAN new plant, what are the capacity utilization numbers are we expecting for the full year FY '27?

Subhash Anand: Okay. The way things look like -- and since we are in TAN business and operating across various geographies at this point of time on TAN, we don't expect us will take much longer time to ramp up and reach to a, I'll say, good capacity utilization level. We expect by end of this year, we should be at least touching 90% to 95% utilization on a TPD basis . It will be a gradual uptick, but yes, we should be able to reach there.

Moderator: The next question comes from the line of Kushal Shah, an individual investor.

Kushal Shah: So my first question is in terms of percentage of HDAN and LDAN that we are going to produce from Gopalpur facility and our current facility, and it is in the light of the fact that we are oversupplied as far as HDAN is concerned. And also as an investor r aised a question in the previous quarterly call. But as far as LDAN is concerned, I think we are undersupplied, and please confirm if that is a concern?

Tarun Sinha: Thank you for the question. Again, this is Tarun Sinha: answering this question. One of the benefits we have across our TAN plants, whichever location you look at, is all our TAN plants are fully fungible in terms of the product mix, which means all plants, whether 3 production lines in Taloja, in Srikakulam and the new one coming up in Gopalpur, they can produce any kind of product mix in solid and liquid form. And within solid, any mix between high densi ty and low density.

So this benefit is passed on to the market because we produce to market needs. It is not inward or an internal decision that this is the ratio of the products that we will produce in different plants. We are here for customers and the market needs. So we k eep changing gears in terms of the product mix as and when the market needs change. That's how we look at it. That's how we plan things going forward. So there is no particular number or ratio anyone can give at any point in time in terms of the product m ix.

Kushal Shah: And my second question is on the lines of that we acquired an explosive manufacturer. Could you please tell the long -term strategy of the company with respect to that particular explosive manufacturer?

Tarun Sinha: So this acquisition, as our Chairman mentioned in his opening speech also, is consistent with and a very big enabler to the transformation strategy of DMSL, which is the mining solutions, mining services entity of the group in the sense that the business m odel that we are evolving in DMSL is that of being able to provide the productivity improvements in the mines and the quarries and the infrastructure projects. Simple definition of productivity improvement is cost of mineral extraction, cost o f rock extraction. So how can we impact that through a solution.

For that, we need full range of products under our control. And that comes from -- that's one of the things we achieved from this acquisition as we build upon this journey of being able to have a full range of products to take it to the mines and end users to provide those solutions. So that's the strategic fit of this acquisition in the overall transformation journey of DMSL from being a traditionally AN producer and supplier to a ho

listic mining solutions provider.

Moderator: The next question comes from the line of Sheel kumar Shah from Sameeshka Capital.

Sheelkumar Shah: Yes. My first question is on the margins. So how should we look at chemical margins because of better integration benefits and this gas contract kicking in?

Subhash Anand: Okay. If you're looking at total, I'll say, segment as a Chemicals, then yes, the margin improvement will happen because Equinor contracts do give us a benefit in terms of overall input cost. However, the way we look in the business, each business has been seen separately based on IPP transfer pricing, not based on cost plus. So each business on its own will show the profitability and Equinor gas contract benefit will finally flow into our ammonia business, which is PCL. But if you're looking holistically, the margin improvement is certain and that will get reflected in our consolidated chemical portfolio.

Sheelkumar Shah: Any quantification would help, if you can.

Subhash Anand: No. That's the information. You'll be able to see once we come up with next quarter results, partial reflection will be visible there.
Sheelkumar Shah: Okay. And my second question is on the cash flow. Our receivables and inventory days have gone up significantly during the year. So how should we look at that?
Subhash Anand: Okay. This is basically, as Chairman also spoke, fertiliser business has gone soft. The rabi season was not -- I'd say, towards the end of rabi, we have seen uneven rain and then farmers getting impacted. Currently, the inventory is slightly higher in the trade. Channel inventory is slightly higher. So that's what is leading to higher inventory as well as receivables in our fertiliser business.
But now reaching to kharif season, the actual pull is going to start from next, I'd say, any time now, we have reached to a state. So this is a temporary buildup for our Kharif season. Maybe next month or 2, we'll be back to normal and this elevated working capital will not be there.
Sheelkumar Shah: Okay. And if you can give us a capex guidance for FY '27 and possibly...
Subhash Anand: FY'27, definitely capex continues to be because we have 2 ongoing projects, which need to get completed, both Gopalpur and Dahej. And there is a capex spending. I have already shared overall project capex for that is around INR4,650 crores. And currently, total capex spend is including GST and advances is around INR 3,800 crores. So there is almost INR 800 crores to INR1,000 crores capex spending, including maintenance.
So this year will be an elevated capex . Next year onward, we should back to a normal capex because our current period of investment will coming to an end. And before the next phase starts,

it will be a normal maintenance capex , and that should be in line with what you have seen in the last couple of years, not significantly different.
Moderator: The next question comes from the line of Parth Kotak with Plus91 Asset Management.
Parth Kotak: Most of my questions have been answered. Sir, a couple of questions. One, on the demerger front, any expected time lines? Are we expecting to do it this year?
Subhash Anand: No, not immediately. In fact, we yet to take a call in terms of form and shape and timing of subsidiary listing and demerger or listing, I call it, not demerger, how and when it has to happen.
So we'll come back once we have more clarity. But yes, we are c ommitted and we'll walk that path.
Parth Kotak: Sure. Sir, just second question. In the opening remarks, you mentioned that we have adequate supply tied down for ammonia for Gopalpur. So if you could probably give us some details on where the supply is coming from? I mean, how have you tied up the capac ity, that would be helpful.
Subhash Anand: Okay. Now a couple of things when we say ammonia. C

urrently, if you see, we ourselves produce almost 500,000 plus ammonia from PCL. We also trade in ammonia, a large quantity of ammonia is being traded by us, which means we import and we sell. We do have a n expertise of ammonia. That's what we claim, I call it or we can claim that we are in this business for long.
I'll say there's no disconnect in terms of we saying ammonia has been tied up. We have a contract in place or we know from where the source is in place. Since we have -- we are already in importing and selling ammonia for us, some more additional quantity need to buy and supply into that plant. So that's not a challenge for us. And that's why that's what gives us the confidence we are ready for Gopalpur ammonia supply.
Parth Kotak: That's great to hear, sir. So going by your guidance, I'm assuming there is no Strait of Hormuz risk for procurement of ammonia. And just to add to that, do we have like a long-term contract for ammonia as well? Or it's just like being traded on spot?
Subhash Anand: At this point of time, long -term contract, no, I call it, but we have a contract with not one, but a number of suppliers and that supply is continuous supply. It's not we buy one -off. So every month, we continue to buy. So that contract holds good. But yes , once we reach near to the formal, if we need -- if we feel there's a need for long -term contract, we are ready and that can be done. So there is no show stopper for that.
Moderator: The next question comes from the line of Ritesh Bhagwati with Alpha Plus Capital.
Ritesh Bhagwati : So my first question was on the Chardham Chemicals that we have acquired. So like we have paid around INR 120-odd crores for 100% stake. Now can management just walk me through in terms of the valuation breakup, like what are we paying for it exactly? Is it the licenses, the assets, technology, order book? And also, if you can give some guidance as to when thi s particular stake will get operational and what sort of revenue and EBITDA we can see over the next 1 or 2 years?

Tarun Sinha: Thank you. A lot of questions in a single question. So Tarun Sinha: again here. In terms of the valuation, without getting into the numbers and the breakup, you're right in terms of the overall number. But what it is made up of is it's the value of the land. It is the value of the licenses. It is the value of some plants and equipment. It is the value of the location of the facility, which is the proximity to the market. And last but not the least, it's the get-to -market speed through this acquisition compared to if we were to put up a greenfield site. So all these factors have been taken into consideration for the valuation, and that's the number you talked about. So that 's the answer to the first part of your question.

In terms of how are we going to set it up, our plan is to bring this facility to Deepak standards. So there will be a project team, which is going to be formed very soon, and they will work on the upgradation of the facility. Also, we will add a number of new plants to this facility to capitalize on the license capacity that we have invested in. And then once we are ready with all of this, there will be a point in time. We will update all of you when we are ready to roll the products out in the market.

And again, these products will go out in the market, not as products, not as commodities, but they will go in the form of holistic solutions, which is what I was talking earlier. These products will be supplied in a way and provided to the mines and infras tructure segments in a way that the products and associated solutions are able to improve the cost of rock and mineral extraction of the end consumers. That's the business model, and that's what this investment is aimed to achieve for us.

Ritesh Bhagwati : Okay. That's a great understand

ing that you have given. Lastly, on the CCDs that we have issued for DMSL, like that INR 800 crores. Now I just want to understand like who holds these CCDs, like, is it some third party or is it some promoter or related entity? And also, I just want to understand as to what is the conversion price, the ratios and what sort of trigger terms that we have finalized for that? Because what I want to understand is what is our stake eventually if such conversion happens?

Subhash Anand: No, the CCD was issued last year in quarter 1 actually. And that CCD was issued as a mix of third party as well as a promoter entity participated in that. The split was INR 500 crores was issued and subscribed by third party and INR 300 crores by promoter entity. Since they are CCD, so it has a fixed conversion ratio. No, it has a fixed conversion ratio. The number of shares are fixed at this point of time because this is how the CCD can be structured. And issuance is post roughly aro und 30 months when the conversion date is due. So it's just 12 months so far. So we still have time before the issuance gets converted.

Moderator: The next question comes from the line of Adarsh Jain , an individual investor.

Adarsh Jain: My question is related to both the projects which are coming up now in Q2. Earlier, this was scheduled to be commenced from -- I mean, Q4 '26, but then it got delayed by 1 quarter and now it is again delayed by one more quarter. So do we see, I mean, furth er delays in implementing -- I mean, starting both the projects further?

Subhash Anand: Currently, if you ask, are we expecting any further delay? No, definitely no. Even this quarter delay, which got delayed from Q4 to now -- or from Q1 to Q2 was not led by any major factor. It was more led by nonavailability of skilled workforce because of various factors which came and got impacted or got affected. We could not see a progress which ideally should have happened. And that's what has pushed us. There's nothing else otherwise, which is there, which we see this project can be delayed or can push this further. No other reasons are visible at this point of time.

Adarsh Jain: Okay. And what was the last year -- last financial year revenue for Chardham Chemicals, which we have acquired. Before that, I could see there was no revenue for -- before that -- I mean, for 3 years, there were no revenues coming from the operations. So f or last year, was there any revenue from Chardham?

Subhash Anand: No, there were no revenue. As Tarun spoke, we are actually going to revamp this facility and bring it up to Deepak standard and then revenue will flow from here.

Adarsh Jain: Okay. And do we see significant amount of allocation again for ramping up the capacity?

Subhash Anand: In terms of capex , you are asking?

Adarsh Jain: Yes, yes. In understand this.

Subhash Anand: No large capex expected for ramping up this facility or bringing it up to our standard. No major.

Moderator: The next question comes from the line of Meet Vora with Emkay Global.

Meet Vora: I had a couple of them. First was on PCL. So what would be our current gas cost, including contractual and spot from the existing mix? And also, how will this change with the Equinor contract?

Subhash Anand: Okay. We don't share a very precise gas cost and pooled gas price. But definitely, Equinor will give us 2 things very clearly. One, supply security or supply surety, which definitely was a challenge in the current

environment. Second, it will give a cost o ptimization or cost benefit
because of long -term contract and the way current gas prices are, the benefit is definitely there.
And even the long-term rate averages as we see, we do see the benefit continue to flow from here. How much it is? Yes, that's an information still not available for public or in the public
domain. We'll come b

ack once we feel this is the right time for us to share.
Meet Vora: Sure, sir. So basically, what I was trying to understand, based on the current gas cost, even if we take Henry Hub or linked contracts, which is available in the country in public domain, our
ammonia breakeven or anyone who is manufacturing ammonia in the country breakeven should
come to around $550, $600, whereas the current ammonia price is between $900 to $1,000 or
maybe slightly more than that in domestic market. So is it fair to assume that the spreads of
converting gas to ammonia currently would be around $450, $500.
Subhash Anand: Okay. Without specifying on numbers, but assumption is right. The ammonia price currently is
trading at much elevated level. In fact, the last published number itself was almost around $800

Middle East FOB. So that's the prices at which ammonia already trading. And with gas prices of
Henry Hub broadly, yes, we do see a significant spread in the current market environment, which
ammonia will have.
Meet Vora: Correct. So till the time these prices sustain, it should be fair to assume because we would be
manufacturing somewhere around 125,000 tons kind of ammonia per quarter. So till the time
these prices remain elevated, we can make roughly around INR 450 crores, INR 500 crores of
EBITDA per quarter. What would be the current assumption?
Subhash Anand: I will not go with the number. But yes, our margin in ammonia business will be significantly
better than what we used to discuss or what we used to talk about.
Meet Vora: Correct, sir, because there were a lot of questions around the investment done in the ammonia
plant. And I think this is the current situation where the ammonia investment is justified. So
based on current spreads, we can recover more than 30%, 40% of our ammonia investment in this year itself.
Subhash Anand: You are right, and this is the basis -- when we put in a business case for ammonia, we knew
ammonia is a volatile commodity. And there will be a time when ammonia, having a manufacturing facility will give a much higher spread. And there will be time when we'll squeeze
on margin in terms of ammonia. So these are the business cycle and business cycle will play
both on positive, negative. This point of time, we are in a, I'd say, up cycle and definitely right
time for ammonia business to turn a round and to make money.
Meet Vora: Correct, sir. Then I think just if you have any estimate of your debt number because I think the
ammonia plant will help us repay significant debt, which is there on the balance sheet. So any
estimate around FY '27 and what we look at the debt number?
Subhash Anand: Not yet, I won't give a debt number at this point of time because we do have 2 capex going on.
So we may need to balance it out and see where the debt number will be for this year.
Meet Vora: Okay. Okay. And second question was with regards to the TAN supply from Russia. Actually,
we have seen disruptions in the last couple of months because of the war prevailing over there. And we have seen actually blasts in a few plants, which used to manufa cture ammonia and
ammonium nitrate. And this has also led to a sharp increase in T AN prices. So just wanted your
broad thoughts, how do you view the situation in the current context? And what is your
expectation? Do you expect this to normalize in, say, 1, 2 quarters or it may take a longer period
of time for the supplies to resume from Russia?
Tarun Sinha: Thanks for the question. Tarun Sinha: again answering this question. So you're right, there was
a temporary ban imposed by the government of India on export of ammonium nitrate and
fertiliser s for some time.
Subhash Anand: And also Export ban by Russia.
Tarun Sinha: And also Export ban by Russia. And then that ban -- so that caused a little bit of slowness in
terms

of product availability from Russia. Also, as you rightly said, one or a couple of their

plants were impacted because of some safety security reasons. So that also caused a little bit of
disruption, I would say, in the supply chain from there. The ban has been removed earlier this
month by government of Russia. So some supplies are expected to resume from Russia, although
the cost levels and price levels will be different.
Having said that, as capacities are getting created in India through the fresh investments, one of

them being Deepak's in Gopalpur, there is a very strong, I would say, very strong case that Government of India might be thinking that once India becomes com pletely self -reliant for its ammonium nitrate needs, then maybe a different approach to imports will be looked at. So that's the latest I can share with you. But of course, things will evolve as we go along.

Moderator: The next q uestion comes from the line of Nishita Shanklesha with Sapphire Capital.

Nishita Shanklesha : I just wanted to understand with the capex that we are doing and now our ammonia backward integration turning around, what is the growth that we see in FY '27? And if our margins will be in the similar range that we did in FY '26 or there's a possibility for them to get better?

Subhash Anand: Okay. I'll not give specific numbers on margin. But in the current environment of global supply tightness and also with Equinor gas availability or gas surety and the cost advantage which we have, we do expect improvement both on growth as well as on, I ca ll it, on our margin front.

Growth will be led both value -driven as well as volume driven.

When I say value driven because in the current environment, price has gone up or realization has gone up. So that will get reflected on revenue growth. Volume growth will come more with the new capacity when it gets added, both Gopalpur and nitric acid. So that will give us a large volume growth coming in this year.

Moderator: The next question comes from the line of Rohit from Sunidhi Securities. We move to the next participant. That would be Yash from Asit Koticha Family Office.

Yash: Sir, my question is on the TAN business. What could be our utilization level for FY '27 and '28 for the Gopalpur facility? And along with that, there are some news that as Coal India is our largest client, Coal India is also working on this TAN capex . So what's your thought on it?

Subhash Anand: Okay. Now on Gopalpur utilization level, I already spoke about this year ramp-up will be there, and we expect by end of this year, we should be -- we should be in the range of 90% to 95% on a TPD basis . So the utilization level will reach to its optimum level. And next year, we should see a full capacity utilization or almost similar capacity utilization from exit level. So that's how the number or the expectation what we have. Coal India, Tarun, you wo uld like to.

Tarun Sinha: Sure. So regarding the question about Coal India's ammonium nitrate plant, it's all in the public domain. So I don't think I need to elaborate too much on that. One can just read it. But since you have asked, so Indian coal is very rich in ash content. And there is no coal gasification technology available currently in India to produce syngas through gasification of this high ash content, Indian coal.

That technology is currently being developed by Coal India through some joint ventures, through some alliances. We do not know at this stage. We are not privy to that information, how far is the progress and how long it might take to develop that technology. And then, of course, as things progress, there will be more clarity, which will emerge and it will come in the public domain. So I mean, these questions are

better asked in Coal India's conference calls rather than in Deepak's calls.

Yash: Okay, sir. Second question on the Specialty Chemicals business. What's your outlook on the Specialty Chemicals segment over the medium term, particularly in the context of the current pricing and the environment demand? What factor could be like critical f or us for the margin to recover towards the historical level?

Subhash Anand: You're talking about fertiliser business, right?

Yash: Yes, sir.

Subhash Anand: Okay. Now we are committed, and that's what we continue to say. Our business focus is very clearly grow our specialty business in fertiliser s. And we continue to work in terms of different -- I said, on different dimensions when it comes to specialty business. One, keep looking and introducing new product on specialty side, and that's the R&D divisions what we have in the company, works to develop those products, also keep looking in -sourcing those products from our JV partners. So that's the strategy.

Second, we are also looking on key market or key focus market where we know these products can help us to grow faster where the farmer adoptions will be very fast. And that's a focus. Very clearly, the way we look both working with R&D to improve product portfolio and also getting deeper into geographies will give us significant very high growth compa red to the overall fertiliser s.

The pie of Specialty will keep going up compared to the overall revenue share. And definitely, you would have seen the margin profile of Specialty business and subsidized business is different. So more share coming from specialty will help us to do a margi n upliftment. And that's the strategy on which we are working, and we'll continue to work on that.

Moderator: Ladies and gentlemen, we would take that as the last question for today. I would now like to hand the conference over to the management for their closing remarks.

Subhash Anand: Thanks, everyone, for taking out time and extending your support to Deepak. I wish all of you best of health and good time. Look forward to connecting with you again in between the calls or during the next conference call. Thank you. Bye -bye.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of IIFL Capital Services, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

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Note: This transcript has been edited to improve readability

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